

Amber Enterp. (AMBER)

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Call: Aug 2022

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Amber Enterprises India Limited (Formerly Known as Amber Enterprises (India) Private Limited)

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Date: 17.08.2022

To

Secretary

Listing Department

B

SE Limited

Department of Corporate Services Phiroze

Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To

Secretary

Listing Department

N

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Mumbai – 400 050

Scrip Code : 540902

ISIN : INE371P01015 Scrip Code: AMBER

ISIN : INE371P01015

Dear

Sir/Ma'am,

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Subject: Q1 - FY 2022 - 23 Earnings Conference call transcript

This is further to our letter intimating the details of Investor/Analyst call on the unaudited financial results of the Company for the Q1 i.e. first quarter of the FY 2022-23.

In this regard, we are enclosing herewith the transcript of Conference Call hosted on August 10, 2022. The same is also available on the Company's website.

Kindly take the same into your records and oblige.

Thanking You,

Yours faithfully

For Amber Enterprises India Limited

(Konica Yadav)

Company Secretary and Compliance officer

Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises India Limited Q1 FY 23 Earnings
Conference Call"

August 10, 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th August 2022 will prevail

MANAGEMENT : MR. JASBIR SINGH – CHAIRMAN & CEO, AMBER
ENTERPRISES INDIA LIMITED

MR. DALJIT SINGH – MD, AMBER ENTERPRISES INDIA
LIMITED

MR. SUDHIR GOYAL – CFO, AMBER ENTERPRISES INDIA
LIMITED

MR. SANJAY ARORA – CEO - ELECTRONICS DIVISION ,

AMBER ENTERPRISES INDIA LIMITED
MR. SACHIN GUPTA – CEO - RAC & CAC DIVISION ,
AMBER ENTERPRISES INDIA LIMITED

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Moderator : Ladies and gentlemen good day and welcome to Amber Enterprises India Limited Q1 FY23 Earnings Conference Call . This conference call may contain forward -looking statements about the company which are based on the beliefs , opinions and expectations of the company as on date of this call . These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh – Chairman and CEO of Amber Enterprises India Limited . Thank you and over to you Mr . Singh.

Jasbir Singh: Hello and good morning, everyone. First and foremost, I hope you all are keeping safe and healthy . On the call I'm joined by Mr. Daljit Singh – Managing Director, Mr. Sudhir Goyal – CFO, Mr. Sanjay Arora – CEO, Electronics Division and Mr. Sachin Gupta – CEO , RAC & CAC Division and SGA, our Investor Relations Advisors .

We have uploaded our Results Presentation on the exchanges, and I hope everybody had an opportunity to go through the same.

The first half of the year was very good for the air conditioner industry . Amid scorching heat this season without any lockdown restrictions as per the industry reports , the January to June , AC market domestic is close to about 6 million units as against pre -pandemic levels of 4.25 to 4.5 million units in H1 CY19. The industry is expected to cross 8 million in this calendar year versus 6.4 million units in FY22 and 7.2 million units in FY20. This signifies that the pent -up demand is coming back into the system despite the inflationary pressures . From 1st July, 2022 new energy rating rules for air conditioners have been implemented. We expect smooth transition to new table , providing more energy efficient products to the industry.

I am pleased to share that our performance stands out even when compared to Q 1 FY19 and Q 1 FY20 which was the last comparable first quarter when business and economic activity were at normal levels. Even when we compare the full fiscal year 2020 with trailing 12 months ended on 30th June, 2022 our revenue has increased from 3,963 crores in FY20 to Rs. 5,324 crores in trailing 12 months ended on 30th June, 2022 . On the operating profitability we have clocked 377 crores in operating EBTDA in trailing 12 months ended on 30th June 2022 versus 326 in FY20 . The quarter however continued to bring challenges related to inflation , rising interest rates and foreign exchange fluctuations . The industry however witnessed some softening of raw material prices but it still continues to be higher than the pre -pandemic levels.

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During the quarter we were able to pass on the commodity price increase to our customers that happens with the quarterly lag as a standard industry phenomenon.

Despite challenges , we are enthusiastic about the prospects for FY23 due to stronger order book and things have become normal post pandemic and softening of commodity prices .

On the new greenfield facility , Sri City facility will be operational in the second half of this fiscal year 2023. We expect to start our trial runs in mid of September this year and commercial production start by mid of December , 2022. We have been able to improve our market share and client wallet share because of our commitment to being a one stop solution provider , a comprehensive and integrated solution provider for our customers. Our market share in value

terms at OEM manufacturing level has increased from 21.2% in FY18, the year when we got listed , to 26.6% in FY22.

Now moving on to the divisional performance:

In room AC division , RAC division has grown by 138% in Q 1 FY23 over Q1 FY22 . Our volumes and revenues grew in tandem with the industry during the quarter . In the fiscal year 2022- 23, the industry is anticipated to surpass 8 million units indicating a robust demand from consumers . On the commercial side, we have added new products for commercial ductable ACs as well as Cassette ACs which we have started to offer to our existing customers now.

In the motors division, motor division has grown by 131% in Q1 FY23 over Q1 FY 22. We have increased our product offering to our customers by adding new models for both the domestic and international markets. BLDC is currently a very small part of portfolio; we have recently

started. Reliability cycle is going on and we are about to start the mass production. We see that this BLDC would be adding as revenue from both side in captive as well as also on the component solution to our customers. Having strong order book due to addition in new products, new customers and new geographies and expected to grow by more than about 30% in FY23. About the electronics division which includes IL JIN and EVER; this division grew by 254% in Q1 FY23 over Q1 FY22. We've added new big customers through brownfield expansion in south India. As informed earlier we have added Boat as our customer and have started supplies for new age applications like smart variables and hearables. This is a large business segment which is growing at a fast pace. Our supply to Boat opens up a large sectoral opportunity for Amber. We expect to see this segment grow at a faster pace in coming years. We are also expanding this division into a new vertical, new applications moving forward.

On the components division which includes AC and non-AC components. Our components division grew by 218% in Q1 FY23 over Q1 FY22. Our components division has played a very positive role in our growth. We are adding new products, new customers and new geographies in this segment. Amber PR and Pravartaka which are the two new acquired entities are

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witnessing increased traction on both cross selling to existing customers and it is expanding its manufacturing footprint now in the western region and southern region respectively.

The mobility application division grew by 91% in Q1 FY23. We have onboarded new customers who are global leaders. We are now developing new products for multiple business categories. We've added products to cater to steel plants. To further serve our existing customers we are developing new products to increase our wallet share in the railways and metros and our order books today stand healthy at more than 625 crores.

To sum up; we believe that all our business engines are at a sweet spot to grow multifold from here. RAC and components division is expected to grow faster than the industry growth rate in this financial year '23. Motors division is expected to grow more than 30% in current financial year '23, electronics division is expected to grow more than 35% in FY 23, mobility application division is expected to grow more than 15% in FY23 and our new acquisitions Amber PR and Pravartaka are on a growth path to deliver more than 25% in this fiscal FY 23. We also expect that our ROCE to improve significantly from current levels and is expected to be in the range of 17% to 20% in the next 2 to 3 years' time. The expected improvement in ROCE is despite investments in the growth CAPEX.

I will now take you through the consolidated financial highlights;

On the revenue Q1 FY23 revenues stood at Rs. 1,826 crores versus 708 crores in Q1 FY22.

On the operating EBITDA side Q1 FY23 operating EBITDA stood

at Rs. 131 crores versus Rs. 50 crores in Q1, FY22. Operating EBITDA margins for Q1 FY23 and Q1, FY22 stood at 7.2% and 7.0% respectively. Q1 FY23 and Q1 FY22 operating EBITDA does not include ESOP expense of Rs. 5.29 crores and Rs. 3.26 crores respectively.

On the PAT Q1 FY23 PAT stood at Rs. 43 crores versus Rs. 11 crores in Q1 FY22.

All divisions are ready to take advantage of multiple opportunities. Our goal is to capture the bulk of the RAC and the component market share. We feel that this opportunity will boost our position in the domestic market while also providing solid foundations for exports moving forward.

On the net working capital days, we have been able to reduce it on a consol level from 76 to 37 days in the comparative quarters. Thank you very much. Now I open the desk for the Q & A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya from Investec.

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Aditya Bhartia: My first question is on some of the one-off costs that we had in this quarter. Could you provide the split between FOREX loss, loss on sale of fixed assets and the write-off on the fixed assets side that we are having and simultaneously if you could also explain the nature of FOREX MTM loss?

Jasbir Singh: I think I'll ask Sudhir to answer this question.

Sudhir Goyal: Hi Aditya, good morning. On the FOREX loss we have our MTM loss of around 23 Cr in the Quarter 1 and on the ESOP impact what we have spoken is 5.29 Crs and on loss on sale of fixed assets is around 52 Lakhs, sorry, it is total is around 79 Lakhs. Also, there is a MTM on the bonds that got adjusted in the interest income that is around 1.95 crores.

Aditya Bhartia: And this MTM loss on FOREX that we are having is mainly on payables?

Sudhir Goyal: On payables and buyers credit as well. This will get adjusted in the future quarter in the form of a price increase which will take on the quarterly lag basis on the customers.

Aditya Bhartia: Understood. My second question is on Sidwal wherein we have seen a very strong growth in revenues in Quarter 1. What has that really been on account of, in terms of new customer additions, product addition, so if you could just spell out in a bit more detail on that front?

Jasbir Singh: So, Aditya as we explained in the last few quarters that we had added some marquee customers there, global players who won a new tender from Indian government from ministry of urban development. Those trains now are almost ready to be dispatched. In fact, the first train which has come out a day before yesterday for trial run on the Delhi-Meerut, new category of rapid rail transport system which has been supplied by Bombardier that has got Sidwal's air conditioners in it. We've also won some recycling of air conditioners businesses from Delhi Metro which we have accomplished this quarter. Our AMC business has also grown significantly in this quarter. All this is adding up to a robust growth in that division.

Aditya Bhartia: Can you also share the volume numbers for this quarter?

Jasbir Singh: This quarter we have a locked volume of 1.28 million from April to June.

Aditya Bhartia: Would it be possible to just provide the proportion of window ACs within that?

Jasbir Singh: I would restrict that because that has become a very sensitive data. We have seen in past, few of our customers taking that data and they attempted a negotiation bid. So, we've started that, we are not sharing that data. But yes, we have grown in tandem. I think we are expected. I am expecting that industry will do a number of somewhere between 28% to 30% this year on the growth perspective. Number this financial year is expected to outnumber the industry by at least 2% to 3% or maybe 4% depending on how

the last quarter goes. Primarily this outnumbering

will happen because our gas charging customers are now at last leg of starting manufacturing

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with us. Sricity is also opening where we are starting our manufacturing footprint which will contribute very -very little this fiscal year because it will be starting in mid of December. But because of the new customer addition we will be able to outnumber the industry in terms of volumes.

Moderator: The next question is from land of the Dhananjay from ASK Investment Managers.

Dhananjai Bagrodia: Would it be fair to assume after taking out the exceptions that your Q-on-Q would be a positive vis-à-vis what you have reported, Q-on-Q would be growth your OPM versus what was reported as a negative?

Jasbir Singh: You are talking about the operating margins?

Dhananjai Bagrodia: Yes.

Jasbir Singh: Yes. It has been a positive as compared to Q-on-Q basis.

Dhananjai Bagrodia: Few of the listed peers have also mentioned that they're now setting up actually for ODM solution, so other players going ahead and they themselves initially consumers of other people. Now do you see that having impact on us also?

Jasbir Singh: We don't see any competitive landscape getting changed because of these initiatives by other companies. I believe that AC industry is heading towards robust growth for coming decade.

There is certainly room for one or two more new players. But will they be able to offer the solutions in all the 23 geographies like Amber does. Will they be able to offer the solutions in the component space also and that too also in seven verticals in which Amber operates, that is yet to be seen. But as far as the stickiness with the clients is concerned, I think Amber is offering a very comprehensive and integrated solutions in different geographies of India. So, but yes, we welcome worthy rivals. So, it's always good to have a competitiveness in the market which keeps you on toes.

Dhananjai Bagrodia: Lastly in terms of the PLI, you mentioned that Q1 is I believe first quarter where we have started seeing some PLI benefits and now we will see that rest of the year? Would you be able to quantify that?

Jasbir Singh: We will not be able to quantify until the PM A agency certifies the PLI benefit. So, that will happen on the yearly sales. We have already crossed our threshold of investment last year. We are eligible for the incremental sale benefit this financial year but we will apply for the benefit after closing of the financial year. I expect that they will take another quarter or so to give us the certificate or to stamp whatever the incentive becomes. Right now, it's very difficult to assess that kind of a situation.

Moderator: The next question is from Renu Baid from IIFL Securities.

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Renu Baid: My first question was if you can help us provide some insights into the operating performance

of the various subsidiaries that we have and how have they moved in terms of a targeted margins offered double digit levels ?

Jasbir Singh: Starting with the motors division ; we have done 83.44 crores revenue as compared to 35.89 on Q-on-Q and this 83.44 revenue brings operating EBITDA of 10.24 and then when we go to mobility applications , that has jumped from 49 crores to 94 crores and at 94 the EBITDA stands at 25.77 crores. In the electronics division we have jumped from 58 crores to 208 crores , this combine s ILJIN and EVER together. The operating EBITDA from (-160) has come to 8.85 crores and Amber PR and Amber Pravartaka, so Amber PR we are moving , we have done 33 crores because there is no comparison with the last year quarter. We just acquired these entities . At 33 they have done 3.88 crores which is about 12% EBITDA and Pravartaka has done 41

crores at a 4.22 crores EBITDA. So, all of the subsidiaries if you see have now almost touching or touched and crossed the double -digit EBITDA numbers and except the electronic division which actually by nature of the business is such. We are on a growth path in all the six subsidiaries of Amber. I expect that they continue to grow like that in coming quarters.

Renu Baid: My second question was actually related to the electronic subsidiaries EVER and ILJIN. If you see there are lot of activities happening in the space on the PCB A segment across various application not just for consumer products. If we see some of the other unlisted peers that you have including the ones which are looking to come in to the market for IPO , their EBITDA margin seem to be in double digit levels for PCB As. How should we compare or how should we benchmark our operating performance or margins as EVER -ILJIN with some of the other peers which will get listed in the coming months and where do you see the gap in terms of margin improvement.

Jasbir Singh: You see , on one side we have companies like Dixon to benchmark. On the other side we have Syrma which you are talking about right now which is just about to launch. So, both the applications are very different. We are catering to applications of consumer durables and variable and hearables which are generally low EBITDA margin businesses. So, Dixon and ILJIN and EVER will be almost in the same range .

Renu Baid: Dixon has a different business model in terms of assembly.

Jasbir Singh: If you go for automobile sector or you go for Defence or other sectors , then their EBITDA margins are certainly very different , not even Syrma, I would talk about other companies which we know about which are unlisted right now which are aspiring to be listed very soon . Those operate in range of 12% to 14%. What we are doing at ILJIN and EVER is that first of all when we took over these companies , it was primarily a refrigerator and air conditioning solution provider and only pure assembly .

Renu Baid: Primary to LG.

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Jasbir Singh: Primarily to LG and IFB, there were only two customers. Now we have 18 customers in that division and we are also coming up with a third factory in south India which will be operational in next 2 to 3 months. That is on the rented premises , that is under installation right now. What we are doing is apart from expanding our customers in the consumer durable business , we have started giving solutions from not only refrigerator and air conditioners but we have gone to washing machines , microwave ovens, fans, water purifiers and TVs. Now we have added another application which is hearable and wearable and now we're adding telecommunication equipment also which right now we have just onboarded a customer. We cannot name them. We will be able to let you know once the commercial production start with them but that is again going to become a big business and also better margins from what we are today. It is a mix and match off various applications which will increase the margins going forward in these subsidiaries.

Renu Baid: Probably from a 2 to 3 years perspective you think the electronics business can target a near double digit margin for us given the mix that we have , 9%-10% or probably that looks elevated .

Jasbir Singh: You see if we are successful in getting the applications where EBITDA margins are generally higher, of course it can hit that numbers. But if you want me to guide the numbers, I will not be able to guide it .

Renu Baid: I am not looking for specific guidance . Second , if we look at the core RAC market as in the offtake seems to be reasonable fine but pricing pressures in the industry continue. So, what would be your outlook in terms of the pass through of the cost escalations that we are seeing , is it

that transmission happening as expected and resulting , should we expect the margin for the core RAC portfolio to improve given that this cost pass throughs will be there? And simultaneously any comments on channel inventory would be an add-on?

Jasbir Singh: Now our room AC sector has entered into off -season quarters. This Q2 and Q3 are off-season for the quarters. And in second headwind apart from the inflationary pressures , the second headwind was BEE table change in the middle of the year which is 1st of July . Normally it used

to happen in 1st of January. Now what used to happen was that dealers used to pick up inventories in anticipation of forthcoming season where they can sell it in a month or two but now since the cycle has reversed this time. There's a bit of lag in the industry right now as far as the July month is concerned but August seems to be quite normal. I don't think so anybody's carrying a lot of inventory now. It is a completely at a normal level right now. Industry was very conservative while planning and industry was surprised by the pent-up demand which came up. I think the CAGR of double-digit growth will be continued from this year onwards. On the price pressures, yes some of the brands are still facing up price pressures. Some of the brands have been able to pass on. It's a mix and match from thereon. As far as our contracts goes, it is basically supported by the price variation clause applicability which we go. Now what happened last quarter was, last to last quarter there was a price increase. Last year last quarter also again there was an increase but then in June end, by middle of June we all saw that commodities started easing off but it did not ease off to the pre-COVID levels. So, probably if the commodities continue to be

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where it is today, I think there should be slight margin improvement going forward in Quarter 3, Quarter 4 onwards.

Renu Baid: But no pressures on you to reduce the prices and pass it on to brands at this point in time?

Jasbir Singh: I think it's a right of every purchaser to ask for price reductions from us. It depends totally on whether we are in a position to do it or not. But we as a company there's very fundamental policies laid down on that front and we don't want to bring the growth based on the margin depletion kind of a thing. So, we are wary of that and in some of the companies, some of the customers there is zero follow-up also. It is automatically understood phenomena and they are all more than 70-year-old companies. They've seen so many cycles of inflationary pressures in past also. It's a complete, I would say the commodities or currency exchanges are passed on without any follow-up with them. So, that's how the industry works. I think that as far as we are concerned, we are not facing any pressures right now from the industry.

Moderator: Next question is from the line of Sonali from Jeffries India.

Sonali Saljoljar: My first question is again an extension of the question on the demand. Now I think the industry has taken cumulatively about 10% to 15% price hikes in the past 12 months. So, is it fair to assume that there is some deceleration in the demand especially for higher price point items such as the air conditioners and also with the new BEE norm being effective from 1st of July, what is

the quantum of price hikes that you think that the industry will take going forward?

Jasbir Singh: Sonali if you see industry has already demonstrated or I would say witnessed more than 20% growth despite of all the price increases which has taken place. That means that this product is actually linked with the lifestyle product rather than somewhere it is a price points. You will be surprised to know that there are shortages right now for some of the premium products in the market. If you want a 5-star

inverter today of some of the brands it is available at 10 days kind of a notice, not off the shelf. Some of the VRF units are available at more than a month basis right now. But having said that some of the brands are still keeping inventories, from my opinion is that industry is operating at a very normal inventory level. There is no point to worry about that. And markets and retail has already digested the price increase which has come. We have seen impacts on the price increase in earlier quarters when there was lot of resistance from retail side to accept that and that's a natural phenomenon whenever such kind of a price increase happens which is unprecedented, retail definitely gives a back pressure. But that got over after the summers and during the summers everything passed out and brands were able to liquidate their inventories.

On the BEE table, July month was of lag month because there was a slowdown, some of the brands they are already shifted to new BEE table from 1st of January, some of the brand shifted right now. So, they saw little bit lag but I think from mid of August onwards we are seeing the order book again coming back to normal. My rough estimate is that industry should cross 8+ million and somewhere we should be landing in the range of 8.2 to 8.4 million this financial

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year. Of course, lot depends on the Quarter 4, if the winters get extended this number may change, But as of now the run rate, I think that this number is achievable.

Sonali Saljoljar: So, what is the incremental quantum of price hikes that you foresee the industry to take post the new implementation of BEE?

Jasbir Singh: In BEE, there is an impact from somewhere about Rs. 800 to 1200 in the range of that per model. So, 1 ton model will attract about 750 to 800 and 5-star, 2 ton will be having about Rs. 1250 odd

range . That is the range of the increment rates. It's not a very big number on a 35,000 or 40 ,000 product category.

Sonali Saljoljar: My second question is regarding your mix. Now components have been fast growing segment for you all. Say about 3 to 5 years from now on what is the perceived mix between R ACs and components in your overall sales?

Jasbir Singh: We are endeavoring that this split should come to 50 -50 level. I think we are touching those numbers in some of the quarters , that is our endeavor to bring components and other businesses to a complete 50% level and RAC at a 50% level. Now what further we are attempting is that RAC and RAC business , I mean RAC as a finished good plus R AC components , to bring that vertical at a 50% level. So, which is right now at about 72%. So, that is our endeavor moving forward for next 4 years' time . So, other businesses are catching up. You will see lot of momentum in those businesses and we are gearing up accordingly.

Sonali Saljoljar: Last question from my side , the CAPEX guidance ?

Jasbir Singh: On the CAPEX , we still would be maintaining the same guidance what we gave last time. So, 400 crore s is what we are investing this financial year , out of which some part is going into greenfield facility at Sri city which will be getting over right now. We are under discussion right now for two major expansions with customers. If that goes through then we will be investing somewhere about 150 cr ores more in this quarter . But that is subject to the approvals which we will come to know by end of August or maybe mid of September. That's it on the CAPEX side. Next year there is no requirement on the new greenfield facilities. It will be just a normally R &D CAPEX and maintenance CAPEX and few subsidiaries are expanding next year. Next year we expect it to be in the range of 150 to 175 crores .

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital Advisors .

Bhoomika Nair: Just

wanted to touch upon the margin aspect. If you see a lot of the brands are actually putting up their own facilities in the south , from that perspective and given our own plant will come in , do you think there will be a margin pressure as we move ahead given that fixed costs for the industry will actually increase ? To that extent what kind of an impact it can have on our ability to take price hikes?

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Jasbir Singh: In fact, if you see the manufacturing footprint right now in our sector , there are about 16 manufacturing companies , out of which 11 are brands . Those brands are having factories not from now on but they are having factories since last couple of decades and we are supplying components to them. Nothing on the competitive landscape is changing for us when the brands are investing in their expansion in the factories in the south India . In fact, that becomes an opportunity for us to supply them the components which they are not putting up. Just to give an example , like when whenever brands put up a factory, they generally put-up assembly lines and labs plus heat exchanger lines. Some of them, they add injection molding and sheet metal. None of them is putting up motor plants. None of them are coming up with the inverter PCB boards. Some of them are not putting up sheet metal facilities. Some are not putting up cross flow fans. There is a lot of opportunity for companies like us to give them . In fact, they are very supportive right now. They are very happy that we are starting our Sri city plant ahead of them . So, we will be able to give some components to them as we are giving right now .

Coming on the margin side of it. You see we are a B2B company and B2B company is an extension of manufacturing arm of our customers. Now whenever that happens , it is actually run by a guided principle. In case a brand is manufacturing on their own any kind of commodity increase or currency impact comes on them also. In fact, with these kinds of customers who have manufacturing plants on their own, they are very practical in approach. They also know that this is a standard part. We cannot reduce or give the commodity increase portion to them in case it comes to us , it has to be passed on and they have further to pass on to clients in the markets. In a B2B organization it's a standard part that you have to continue touching base with the customer in case the commodities prices are going in the north direction. In case it is going to the south direction they have to continue to talk to us . So, that is a cycle that goes on. I think we have seen a two-decade journey till now , a lot of competitive landscape has changed and we have been able to pass on commodity increases on a quarterly lag basis every time. I don't think so that fundamentally there's going to be a change there .

Bhoomika Nair: The other thing , the second question is on export. We were looking at exports and we have started seeing some traction in the middle east. If you can just talk a little more on what is the status of the same? Where are we , have we started getting orders and how do we see that scale up over the next few years?

Jasbir Singh: In middle east , we are actually started penetrating in small numbers. We had already supplied some units last year. This year also we expect to do about 3 lakh units this year , coming quarter and so. We are also attempting to penetrate now in the US market , our products are ready. We

expect that our energy labeling part will get over in FY23. By maybe FY 24 we should be able to clock some small revenues from finished goods side. As far as motors is concerned that is going very well. We have already started getting repeat orders from US markets and middle eastern market. Now we have added BLDC product which was not available with us. So, that will also go, in fact we are also

attempting to export cross flow fans from here through our new acquired entity, as a solution provider in the motor and the fans side. Again, I would like to
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reiterate, that exports is a long-term strategy. It's not a short-term strategy. The significant impact of exports should be visible in the balance sheet maybe 3 to 4 years from now.

Bhoomika Nair: The gross debt and the net debt numbers as at quarter end.

Sudhir Goyal: On a net debt position, at a consolidated basis we have around 625 crores of our net debt and gross debt is around 1,300 crores.

Moderator: Next question is from the line of Nikunj Gala from Sundaram Asset Management.

Nikunj Gala: I need understanding on the FOREX loss which you mentioned this quarter. So, here just want to understand as a business policy we don't hedge our FOREX exposure.

Sudhir Goyal: No, we hedge the position at around 25% to 30% on a short-term basis. Whenever there is a large impact, we see and we discuss with the various people and we increase it to 50% level as well depending upon the scenario.

Nikunj Gala: Whatever unhedged position we have taken the loss of 23 crores, right?

Sudhir Goyal: No, it's MTM. It is not a realized number. It is MTM because we need to reinstate all the liabilities at a closing rate.

Nikunj Gala: I think in one of the comments you mentioned, you will recover this from the client. Is that understanding correct, like in the coming quarters if that fructifies then?

Sudhir Goyal: It happens that in the next quarter costing since we have inventory lying up with us and that gets valued at a last quarter's average commodity prices as well as the foreign currency rate. That gets adjusted in the coming quarter selling price.

Nikunj Gala: One point on this, if I look at the FY19 numbers, so in FY19 was the year where the currency depreciation was also sharp, for the year it was 8% and in-between in one of the quarters it was 9%. How was that accounted during that time?

Sudhir Goyal: During that time also, we were able to recover that depreciation in the future quarter sales and MTM loss is also always covered under the foreign currency fluctuation in the other expenses.

Nikunj Gala: So, similar kind of accounting was done in other expense during that time also?

Sudhir Goyal: Yes. There's no change in the any accounting policy since so many years.

Moderator: The next question is on Pulkit Patni from Goldman Sachs.

Pulkit Patni: Just one suggestion, what previous the participant asked. I think it's from a disclosure perspective if you can just split out the FOREX every quarter, it helps us look at margins more objectively.

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My question is firstly, in the previous quarter you mentioned there were certain fixed costs under recovery because of certain new facilities started which were not contributing, given that we still have the Sri city facility coming in the second half of this year. In the current quarter also do we have some fixed costs which have not been fully recovered? I'm just trying to understand the sustainable margin for the business.

Sudhir Goyal: Yes. Those are still those newly started entities are not at full capacity level. They did the business in Quarter 1. So, we need to wait for those plants which have started in the last year last quarter. They will be operational in a full capacity in the current year. But yes, there will be again new entity which is coming up in the H2 which is Sricity. There will be a small impact on the fixed cost in the first year, but from '23-24 you will see that full year business and no lag of the fixed costs will be there going forward. You will see some of the fixed costs are more because of the new plants we have started in.

Pulkit Patni

i: Also, in Sidwal our order book is one of the highest if not the highest in my recent memory. Can you just for modeling purpose help us understand what will be the time period in which we can exhaust this 625 crores kind of an order book? Is it four quarters, five quarters?

Jasbir Singh: Generally Metro and train orders are extended towards close to about 18 to 20 months period and we expect Sidwal to deliver 15% to 20% range growth this year looking at the current run

rate what's there. But the order book is strengthening. I think the portfolio is getting extended because we are not only adding air conditioners but we have started delivering more products. We have increased our wallet share also within the same customers, be it railway or Metro or

other applications which we are delivering , some Defence orders have also come in. It's moving very positive from that perspective.

Moderator: The next question is from the line of Madhav from Fidelity International.

Madhav: I just wanted a couple of questions , first one was basically , we mentioned about having this is 150 crores CAPEX for two customers in terms of just like an expansion. As far as I understand the nature of these expansions like are we putting up a capacity near their facility or what's happening there? Just wanted to understand that.

Jasbir Singh: So, we are right now under discussion for a brownfield expansion near to the customers and these are going to be customers of component sector. That is what is under discussion. I think by next quarter or so we'll be able to freeze. Right now, it is moving positive with them in case it happens. It will help us in good sales in next financial year.

Madhav: These are RAC customers?

Jasbir Singh: These are consumer durable customers , both RAC and other consumer durables.

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Madhav: My second question was that you mentioned about 3 lakh units of exports that can happen , was it our finished goods RAC or was it from some motor or other components?

Jasbir Singh: No, so motors we are doing slightly more . Motors I think the number is moving positive. 3 lakh is something which we did last year in motors. This year we are expected to do half a million or more motors . In case of RAC 3 lakhs are not sets I've spoken , I've spoken about units. We are attempting to do that number. Let's see how it goes .

Madhav: But even 3 lakh units on a RAC side it's a good number , like on our base of 2.6 million units which we did in FY22, if we can do 0.3 million extra just from export that's a good bump up for us, isn't it or am I missing something?

Jasbir Singh: Yes, we're attempting it. Right now, we are talking with the customer. There are positive notes going on but this can spill over to next financial year also , depending on the energy rating process because that's a quite a long process but that order book is getting frozen, maybe very soon we'll be able to freeze that order book. There are certain milestones when a customer freezes the order book. First of all, the prototyping has to happen in the BEE norm has to apply. Now if that goes fine then that supplies will happen. Now will that 3-lakh number come this year , that's very difficult to state.

Madhav: Which is completely okay as long as the business is trending in that direction that you can get that order , but this is for middle east, the 0.3 lakh units that we are talking about, this fiscal or next fiscal?

Jasbir Singh: No. It's middle east and South Africa region and US, all put together.

Moderator: The next question is from the line of Nitin from Ambit Capital.

Nitin: One question that you've said that this year most likely to do closer to do what the industry will do about 8.2 million pieces. Let's say in FY 23 to '25 India gets closer to something like 10 million pieces for room air co

nditioners. So, what kind of a market share that you are targeting?

Let's say revenue market share you are targeting from 10 million RAC market in India. Do you have enough capacities for that after present year's CAPEX? So, just trying to connect the massive revenue potential from the capacities that you have and the market share that you are thinking from the 10 million AC opportunity.

Jasbir Singh: So, Nitin if you see today on the value term perspective what we are offering to the industry , we have about 26.6% market share on the value terms. That is based on the number of about 7 million. Now when it inches towards the 10 million mark , I think we should be able to expand our market share by at least 200 bps or maybe more because we are expanding into components more now . On the value terms we would not need any kind of a CAPEX for 10 million mark at least on the assembly part of room air conditioners. We may need little slight CAPEX for the component side , now that will depend on how we move ahead. Whether heat exchangers are

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required or inverter PCB boards are required . But on a value term basis I think we should be able to maintain or grow our market share if it inches towards the 10 million mark .

Nitin: So, basically , you are looking at something like 29% market share on 10 million pieces and industry should be roughly at what Rs. 23,000 per set at that time do you think or Rs. 24,000, is that the right way to look at it?

Jasbir Singh: No. In the bill of material side I think it would be little less. If you talk today on the bill of material side it is roughly at around 19,000.

Nitin: Do you think price inflation will happen on this 19,000 by about 5% because of all the effects of BEE premiumization etc . or do you think it roughly stays there at 19 to 19,500?

Jasbir Singh: Very difficult to predict because now I don't think so that for next 3 years BEE will be changing the table. So, from BEE impact I don't think so it will come, but inflationary point is very difficult to predict but we can definitely take a 3% to 5% range for inflation every year.

Nitin: Second question was about the Japanese. A lot of Japanese are putting up captive manufacturing capacities and they are also thinking of India as X growth base. They have global technology parentage and backing also by this Hitachi or Daikin. So, help us understand that how, what is your competitiveness, strength or weakness versus these Japanese and how you can work Japanese either as a strategic player at some point in time or you don't need that?

Jasbir Singh: If you see Nitin, we are working with most of the Japanese clients. We have a Panasonic we have Daikin, we have Hitachi, we have Mitsubishi, Toshiba, Fujitsu General. We are working with most of them. They do take lot of time to onboard a B2B solution provider like us. We have been able to penetrate and give them solutions. Now we are increasing our wallet shares as we move ahead. And yes, you are right some of the Japanese companies, I cannot name them, but they are thinking to shift geographies of exports from India. That 3-lakh number actually which I said is going to happen, part of that will happen through them also. So, it depends on how they are likely to shift some and even our government of India is wanting now since the dedicated export consular is getting set up at the various positions in government, there is going to be a very focused approach from government also to convince multinational companies to shift their geographies. In fact, that is the lowest hanging fruit in our sector now. If we are able to convince some of the multinational especially Japanese and Koreans to shift their even small numbers, it will actually help expand the manufacturing footprint in India, where company like us is well

positioned to take advantage of that.

Nitin: You're saying that when you give that indication of export, roughly you could be working through the Japanese companies, helping them with components or assembling on their behalf so that they export their brand from India, is it?

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Jasbir Singh: Well, I don't want to state a nationality of the customer but yes, they are multinational companies which we are working, it may be a direct export also. The agenda is to export whether direct or indirect doesn't matter.

Moderator: Next question is from the line of Hitesh from ICICI Direct.

Hitesh Taunk: I have two questions. One is on the import front. The government has put up a ban on import of a full gas build AC. Have you seen any reduction on the imports of the AC in the last 2 years?

Earlier I think it was around 3,000 to 4,000 crores of import.

Jasbir Singh: Roughly about 2 million units were getting imported in FY 19 and then September '20 was when the gas ban was impacted. After that we have seen 88% reduction in the finished goods category.

There are some few customers who are importing air conditioners minus gas. So, nobody is able to bring the full finished goods now. That has 100% been banned. There are few customers who are getting the kits and we are likely to start getting shift those customers into manufacturing units in India. I think by next year there should be 95% reduction in the imports, right now it is about 80% reduction.

Hitesh Taunk: Second question is on the PLI front, you said like you are going to hit the threshold of the PLI revenue, so we have a PLI in the different product category. Could you please quantify what kind of threshold level is required to get the benefits for us?

Jasbir Singh: We are eligible for 300 crores in Amber and 100 crores in ILJIN which is our electronic subsidiary. This CAPEX has to happen in 5 years, where the first year was the last year. What the threshold of the CAPEX has already been done. So, that is a tick mark. Now we have to bring in 5 times the CAPEX done last year incremental sale this year. That is also being done. We don't see any hurdles achieving those numbers. After that we will get 6% on the incremental sales as a first-year incentive. So, which will be...the quantification of that will become evident by about, it will be approximately 15 crores for the first year.

Moderator: Next question is from the line of Gopal from SBI Life Insurance Co. Ltd.

Gopal Nawandhar: My question was on, there has been a lot of competition at the brand level and many of these companies are in this good season have reported negative margins. Do you expect consolidation of brands in this competitive environment?

Jasbir Singh: Well, very difficult question to answer because we are a B2B player. We are not in the marketplace. There are many brands listed on the BEE website, if you see those are people who are selling air conditioners, more than 50 of them. Yes, but the market is already consolidated, 80% of that goes through 10 or 12 players. So, 75% to 80% is catered by them. Maybe moving forward once the industry touches about 2 crores, 3 crores air conditioner we should see some kind of a consolidation. But right now, it is too early a stage for consolidation.

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Gopal Nawandhar: Reason was basically we're also supplying to a lot of these fringe brands. Will that have any impact on our volumes or have we seen any effect on those brands in our volume share?

Jasbir Singh: We have seen market shares getting exchanged between brands in last two decades. And we are a solution provider to the industry. I mean if someone merges one company with another one or someone buys someone out, they change their market shares. Since we are supplying to most of

the brands, I think we should not be affected at that point of time. In past also when we have seen, today Voltas is the leader. Last 10 years back somebody else was the leader. When the market share has dropped off that brand that we continued to grow because we were giving solutions to Voltas also and to others also who were having the market share increases.

Gopal Nawandhar: The second question is on the gross margin for a standalone business, is there any one-off on the gross margin or there is no one-off in the gross margin?

Jasbir Singh: There's no one-off.

Gopal Nawandhar: So, basically, in the last quarter call, we suggested that this pass through of cost majority of that will happen in the next quarter which was like current quarter. So, we used to do a gross margin of 14%-15% and we are still hovering around 10.5%-11% and again we are going for next two weak quarters. How we are going to recoup this loss on the gross margin?

Sudhir Goyal: Increase in the commodity prices which happened in the Quarter 4 of the previous financial year, that was not eased out in the Quarter 1. Rather there was a further increase in the month of April and May. That is why there is no decrease in the gross margins. If you see, let's assume there is Rs. 85 of a RMC on Rs. 100 selling price and if Rs. 10 is increased in the raw material prices to 95 and we increased the selling price by Rs. 10, 110, so 15 or 110 in percentage terms it always looks depressed. In a reverse cycle whenever there is ease out of the commodity prices you see a percentage margin increase in the gross margins. Since commodity prices are not eased out, rather they were stable at that point of time in the month of April but rather further increased it.

That is why there is no ease out in the percentage terms of gross margins.

Gopal Nawandhar: So, when it declined, so it should reverse basically.

Sudhir Goyal: Once it declines to the previous level then you will see a better gross margin percentage terms.

Gopal Nawandhar: The last bit on the ESOP charge. If you can just give some color on why we are differentiating it as a separate line item, not part of EBITDA?

Sudhir Goyal: We are differentiating it since it's a non-cash item for us as it is not impacting our cashflow, that is why we are showing it as a separate line item.

Gopal Nawandhar: This 15 to 20 crores range, this will continue every year?

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Sudhir Goyal: No, it is steadily going down if we don't come up with a new ESOP scheme because first year it is always a higher impact on the P & L and in the next 2-3 years it gets declined.

Moderator: Thank you very much. Ladies and gentlemen due to time constraint that will be the last question for today. I now hand the conference over to the management for closing comments.

Jasbir Singh: Thank you everyone for joining on the call. I hope we have been able to address all your queries. For any further information kindly get in touch with us, or strategic growth advisors, our investor relations advisors. Thank you and have a good day ahead.

Moderator: Thank you very much. On behalf of Amber Enterprises Limited that concludes this conference.

Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2022

www.ambergrouppindia.com

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Date: 27.10.2022

To
Secretary
Listing Department

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Jeejeebhoy Towers Dalal Street, Mumbai – 400
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National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Mumbai – 400 050
Scrip Code : 540902
ISIN : INE371P01015 Scrip Code : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings call transcript of financial Results of 2nd Quarter and Half Year ended 30
September 2022 conducted after the Meeting of the Board of Directors , held on
22 October 2022 at 10.00 a.m.

Pursuant to the relevant provisions of SEBI (Listing Obligations and Disclosure Requirements),
Regulations 2015 , as amended , please find enclosed Earnings call transcript of financial Results
of 2nd Quarter and Half Year ended 30 September 2022 held on 22 October 2022 at 10.00 a.m.

This information will also be hosted on the Company's website at www.ambergrouppindia.com .

The audio recordings of the earnings call are also made available on the Company's website, at
link: www.ambergrouppindia.com/wp-content/uploads/2022/10/Amber-Q2FY23-Earnings-Call-Recording.mp3

We request you to kindly take this on your record and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Yadav)
Company Secretary and Compliance Officer
CIN NO. : L28910PB1990PLC010265
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"Amber Enterprises India Limited
Q2 FY '23 Earnings Conference Call "
October 22, 2022

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th August 2022 will prevail

MANAGEMENT : MR. JASBIR SINGH – CHAIRMAN & CEO – AMBER ENTERPRISES INDIA LIMITED
MR. DALJIT SINGH – MD – AMBER ENTERPRISES INDIA LIMITED
MR. SUDHIR GOYAL – CFO – AMBER ENTERPRISES INDIA LIMITED
MR. SANJAY ARORA – CEO – ELECTRONICS DIVISION –AMBER ENTERPRISES INDIA LIMITED
MR. SACHIN GUPTA – CEO – RAC & CAC DIVISION – AMBER ENTERPRISES INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Amber Enterprises India Limited Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder all participants lines will be in the listen -only mode, and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone telephone.

I now hand the conference over to Mr. Jasbir Singh, Chairman and CEO, Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello, and good morning, everyone. Wishing all a very happy Diwali and a prosperous new year ahead. On the call, I am joined by Mr. Daljit Singh, Managing Director; Mr. Sudhir Goyal, CFO; Mr. Sanjay Arora, CEO Electronics Division; Mr. Sachin Gupta, CEO RAC & CAC Division; and SGA, our Investor Relation Advisors.

We have uploaded our result presentation on the exchanges and I hope everybody had an opportunity to go through the same. Room air conditioner industry witnessed a dull period of July '22 to mid -September '22, due to BEE star rating change with effect from July 1, 2022, and unprecedented and untimely rains in the month of August and September 2022.

Secondary sales didn't pick up to the desired levels due to above 2 factors. However, as industry is now at normalized inventory levels, we expect good growth in quarter 3 and quarter 4 FY '23.

Other divisions, such as mobility, motors and electronics witnessed a decent growth due to additional new customers, products, and geographies.

Coming to the performance of Amber Group; the RAC and components division witnessed a revenue growth of 99% in H1 FY 2023, clocked revenue of INR 1,797 crores versus INR902 crore in H1 FY 2022 and currently contributes 70% to the total revenue. Similarly, motor, electronics and mobility divisions are growing at a good pace and have been a significant contributor to the revenue growth.

RAC and components, motors, electronics and mobility division, now contributes 70%, 5%, 17%, and 8%, respectively, to the total revenue. Our standalone revenue saw a decline this quarter owing to ramped channel destocking on account of the change in BEE star ratings. Other expenses, rose on a standalone basis on account of For ex loss of INR 7.5 crores and fixed overheads due to operationalization of new brownfield and greenfield facilities, which will come to normalized levels by next financial year.

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On the CapEx front, we intend to incur a total CapEx of INR 600 crores for the year FY 2023. Our new greenfield facility, SriCity facility, will be operational by Q3 FY23.

Moving on to the divisional performance. First, RAC and components division. This division saw a revenue growth of 85% over H1 FY '22 and RAC clocked a revenue of INR 1,213 crores in H1 FY '23 versus INR 654 crores in H1 FY '22.

Components division is growing at a faster pace and grew at 136% over H1 FY '22. Revenues stood at INR 585 crores versus INR 248 crores. The growth is primarily fueled by a strong order book, new customer addition and expansion in newer geographies, like Chennai and Pantnagar areas. The ROCE for this division stood at 9% for H1 FY '23.

Regarding Motors division; for H1 FY '23, Motor division grew 71% to INR 130 crores versus INR 76 crores in H1 FY '22. Operating EBITDA stood at 11.5% for H1 FY '23 versus 9.2% in H1 FY '22. ROCE for the division improved dramatically to 20% from

11% in H1 FY '22.

We have shifted to a new larger facility in Faridabad to cater the future growth within this division, received BLDC approvals from few customers and few are in process right now and is expected to be received in coming quarters. On the exports front, approval from export customers are in process and expect to receive large orders in FY '24.

The strong order book with new product addition and geographical expansion gives us visibility of more than 30% growth for FY '23.

Coming to Electronics Division, which includes ILJIN and EVER. Revenue for the division for H1 FY '23 was INR 449 crores, representing a growth of 129% over H1 FY '22.

Operating EBITDA stood at 3.8% versus 2.6%. ROCE for H1 FY '23 was 19% versus 10% in H1 FY '22. We have successfully scaled up our supplies to boAt as a customer for new-age applications like smart wearable and hearables which has opened a huge opportunity for this division, segment is expected to grow further, as we have added new few large customers and have accordingly expanded our capacity down south. Supplies to boAt has opened up large sectorial opportunity and expect this division to grow at a faster pace.

Regarding Mobility Application division, which includes Sidwal, revenue of the division grew by 65% in H1 FY '23 to INR 200 crores versus INR 121 crores in H1 FY '22. Operating EBITDA stood at 25.5% versus 24% in H1 FY 2022. ROCE improved significantly to 51% from 44%. Increased impetus on infrastructure development and comfortable journey is providing a large opportunity for growth in this division.

Apart from HVAC solution, we are exploring new applications to increase our share of business in the existing customers, as well as by adding new customers. Our order book for this division stands at INR 650 crores as of now.

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I will now take you through the consolidated financial highlights. On the revenue side, for H1 FY '23 revenue stood at INR 2,576 crores versus INR 1,295 crores in H1 FY 22, marking a growth of 99%.

For the quarter Q2 FY '23 revenue stood at INR 750 crores versus INR 587 crores in quarter two FY '22, a growth of 28%.

On operating EBITDA side for H1 FY 23 operating EBITDA INR 182 crores versus INR 88 crores in H1 FY '22, a growth of 106%. For quarter two FY 23 operating EBITDA stood at Rupees 52 crores versus INR 39 crores in quarter two FY '22.

Operating EBITDA margins for H1 FY '23 and quarter two FY 23 stood at 7.1% and 6.9% respectively. Quarter two FY '23 and quarter two FY '22 operating EBITDA is before the impact of ESOP expense and other non-operating income and expenses.

On finance cost. For quarter two FY '23, there was an increase in finance cost to INR 24 crores as compared to INR 6 crores in quarter two FY '22. The increase in finance cost is largely due to the CapEx incurred during the period and increased interest rates. This has resulted in a PAT loss of INR 2 crores, in quarter two FY '23.

Net interest costs of H1 FY '23 is actually INR 25 crores against gross interest cost of INR 45 crores, as we have an interest income of INR 20 crores in H1 FY '23. On PAT levels, PAT for H1 FY '23 was INR 41 crores versus INR 19 crores in H1 FY '22.

ROCE for H1 FY '23 improved to 12%, whereas the net working capital days drastically dropped to 39 days for September '23 from 93 days in September '22. Despite all the external challenges, we at Amber remain committed to creating synergies through our strategic collaborations, driven by an industry experience of 3 decades and robust capabilities, we continue to explore better opportunities with an intent to expand beyond our current geographical presence.

I now hand over for the Q&A session. That's all from my side.

Moderator: Thank you very much. Ladies and gentlemen. We will now begin the question and answer session. Anyone, who wishes

hes to ask the question may press star and one on the touchstone telephone. If you wish to remove yourself from the question queue. You may press star and two. Participants are requested to use handsets while asking a question. Anyone who has the question may enter star and one. Ladies and gentlemen we will wait for a moment, while the question queue assembles.

We'll take the first question from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: Hi, Jasbir and team. Thank you for the opportunity and wishing you all a very happy Diwali.

Sir, my first question is regarding the current demand environment, what are the initial feelers

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that you are getting, starting in October and the festive season? And you did mention that inventory is at a normalized level. But, I mean, are you seeing a normalized level across the SKUs in air conditioners for a particular name or a mass premium segment?

Moderator: Ladies and gentlemen, thank you for your patience. We have the line for management connected.

Ms. Salgaonkar, may we request you to please repeat your question.

Sonali Salgaonkar: Yes, Sure. My first question is regarding the demand scenario currently. So getting into October, what are the initial feelers that you're getting about the festive demand? And also the inventory levels currently in the channel?

Jasbir Singh: So demand, what we are seeing is there's a lot of optimism from our customers' side, looking at the forthcoming season, and a couple of customers are planning to gear up for the inventories for the forthcoming season in Q3. And Q4, everybody is expecting a good summer. So in anticipation of that, demand scenario for Q3 is much better than what it was in Q2.

As far as the inventory levels are concerned, the industry is not sitting at any large inventory levels. It's a very normalized inventory level. We saw sluggishness in July, because this is the first time that BEE table got revised in the middle of the year. Normally it gets revised by 1st of January. And what happens is that the retail sector, they start picking up the goods in anticipation of selling them in February and March. But whereas for July season, it went opposite, because we were entering into a leaner period, so there was no uptake on the secondary side basically. But got corrected, but then there was some disruption in quarter 2 because of unprecedented and untimely rains, especially in the North area.

But now everything is back to normal, order book is getting stronger, and we look forward for a good quarter 3 and a much better quarter 4.

Sonali Salgaonkar: Understood. Sir, do you foresee any impact of this BEE revision in Q3 as well, in terms of a bit of destocking left?

Jasbir Singh: I think very slight impact would be there in case it is there. But largely now, as markets have digested the kind of increase or the shift in the Star rating. So I think now, what we talk today is we are talking on the normalized levels.

Sonali Salgaonkar: Right. Sir, and would you like to update us on the price revisions that you have taken in air conditioners. See, because of this new BEE rating, and do you think that will positively impact the margin? So do you think it will be neutral on the margins?

Jasbir Singh: So there are two impacts basically. One is, as explained earlier also that we pass on our prices on a quarterly lag basis, largely on the commodity side, so that has been done successfully. You will see the difference in quarter 4 for that. And as far as the BEE table impact is concerned, couple of customers, they actually changed the complete model lineup from January itself. So

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there is no impact in those customers. The customers who impact, who changed it in July, for them the change has happened already

. There is a gap of almost about INR 800 to INR 1,200

per AC, which has been taken and adapted and so have we done in our models.

Sonali Salgaonkar: Right. So you are saying the average price hike is INR 800 to INR 1,200 per AC?

Jasbir Singh: Yes. I mean, it will vary from model-to-model, but on an average that is the range.

Sonali Salgaonkar: Understood. Sir, and my last question is, in terms of the PLIs, any update you would like to share on the progress in the PLIs, and when do you foresee for us to start getting the incentive? And also an ancillary question, what do you plan to do with the PLI incentive? In the sense, do you plan to share a majority part of that back with the brand owner, or do you intend to keep that with you?

Jasbir Singh: So for PLI, the update is that, we've got approval regarding our PLI application a couple of quarters back. We were, in fact, the first one to submit our application and get the approval for that. So threshold of investments are moving on track, which is the first parameter of getting approved, as eligibility criteria is concerned. So, and we are also moving very much on track, as

far as the incremental sales is concerned. So, this year will be the first year of demonstrating the incremental sale and next year, basically, we will get the PLI benefit for this year, from Government of India. We are moving very much on track. There is no lag on the threshold of investment and the incremental thing.

Moderator: Thank you. Our next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Sir, the debt on the balance sheet has gone up, despite a non-season and some correction in working capital too. So how do you see the debt repayment plan over next 1 year, 1.5 years playing out? And sir, secondly, the margin range of the company, EBITDA margin range seems to have come down from the way the earlier EBITDA margin range used to be. So do you see the EBITDA margins moving structurally back to around 7% to 8% range, and by when?

Sudhir Goyal: Hi Aniruddha. First on the net debt level, which is at present INR 662 crores, as on 30th September at console level. So this is largely due to the seasonality in the business, as we have a larger credit period from the creditors, which gets paid during the off-season, and the CapEx which we have done during the H1 financial year 2023. So this will get normalized by year-end, because this is a cycle in which we are working on.

And on the other side, on the margins in terms of percentage, so as we explained earlier that we don't look at the margin in terms of percentage. Reason is that, there are lot many changes happen due to product mix, due to commodity price hike and due to currency exchange rate change as well. So, percentage margin is not the right criteria to see the profitability. So, we also internally check on the absolute amount of EBITDA, how we are growing that on a year-on-year basis.

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Aniruddha Joshi: Sir, basically, I mean the point is the return ratios have gone below the -- in a way, cost of capital now. So it's almost closer to 10% or less than 10%. So, how do we see either the margins should improve or the overall asset turn should improve? So how do we see basically the return ratios are moving back to earlier 13%, 14% kind of a -- or higher than that range?

Sudhir Goyal: So we are expecting that ROCE to be improved by 200 to 300 basis points in the current financial year by year-end. And post that, further we are expecting that 200, 300 basis point in the next year. And if you see the other divisions, they are performing well and those are contributing in a good way during the off-season as well, because there the seasonality is not that much, which is there in the RAC business.

Aniruddha Joshi: Okay. Sure sir. Sir, last

question, what is the PLI benefit that the company is looking at for year FY '23 and any indicative amount that also for FY '24 also?

Sudhir Goyal: Yes, so PLI benefit is the fixed amount. So first year based on the incremental threshold, we will get INR 15 crores and the next year, it is INR 30 crores.

Moderator: Thank you. We'll take our next question from the line of Madhav Marda from Fidelity. Please go ahead.

Madhav Marda: I just wanted to understand very basic question, though our profitability is serious, these one-off cost impacts from ESOP, the loss of sale of fixed assets, ForEx M2M etc.. Last I think 2 quarters or 3 quarters. Firstly with ESOP, when does this impact start going away? Like this is just until FY '23 or does this continue beyond that?

Sudhir Goyal: So ESOP expenses, we have like ESOP policy, as per ESOP policy it will be amortized over 4 years of a period. So first year it is always a larger impact and going forward it cut down to the lower, a very lower level, almost half of the first year in the next year. And since as you know that last year we announced the first ESOP scheme, and this year also we gave the ESOP for the further employees, down employees further. So that is why this year, there will be a larger impact. Going forward, it will be cutting down to half of the current level ESOP expenses.

Madhav Marda: So year 1, the impact was about INR 16 crores, if I'm not wrong? If I have the number right? So you think this year, it should be INR 8 crores because you already have a INR 13 crores impact in first half, right? So, or is it a more runrate basis, it should start coming down?

Sudhir Goyal: So this year, the total should be around INR 25 crores - INR 26 crores, and next year it will come down to almost like, I don't have the exact number, but around INR 12 crores - INR 13 crores.

Madhav Marda: Okay. And then also on the -- I think you do give guidance for number of RAC units that we sell in the standalone business. Could you give any sort of target for FY '23, and also if you could give the number for Q2 as well, how many units have we...

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Jasbir Singh: Madhav, actually, since we have started tracking on the value-based proposition, so volumes --

we would not like to guide anything on the volume side, but what we would like to guide everybody is that on a value-based part of the complete industry, we will continue to maintain our market share of 26% and above. That is what we need to guide, and because we have -- this has become a very -- volumes have become a very sensitive information to the company, because recently, in couple of months back, some of the customers, they started interacting us, looking at the volume-based proposition, and that was not a good part. So we've started tracking the complete proposition on the value-based. And now since this quarter also, you must have seen that our components have outnumbered the RAC well on the revenue side also, so it becomes very important for us to track on the value proposition.

Madhav Marda: Okay. Got it. So could you just give, I think for the motor division, you all have given the outlook in the PPT very clearly, which is 30% growth. Could you give the guidance for the electronics, Sidwal and standalone, just what kind of growth are we expecting? I think you usually give some guidance at each quarter, about how we are looking at the year?

Jasbir Singh: Yes. So Electronics, we would like to guide for about 35% growth and Sidwal, we are about 20% growth story, right now. And our order book is also catching up positively. On both the divisions, it's a good traction which we are seeing.

Madhav Marda: And what about the standalone components that has been growing at a very good pace, like last many quarters? So anything on that side?

Jasbir Singh: Yes, com

ponents will grow more. I think our strategy is very clear that, in the whole eco-chain of the manufacturing footprint, we should be available whether somebody wants an air conditioner or somebody wants components. Full kit or half kit doesn't matter to us. So, I think component side will grow faster than the industry.

Madhav Marda: Okay. And just last question was, any update on the exports? I think we're doing a lot of initiatives on trying to get the approvals and get the models etc. in place. So, just where are we placed, sir?

Jasbir Singh: So on exports, motors have started seeing positive traction, and that's what we mentioned also that, we are expecting some very good orders coming by next financial year. What happened was, because of the two years, people did not travel to India, and now recently in last three months, we have been visited by our larger customers, who we were interacting with earlier, and they have liked the facilities, the product approvals are under process. So once the reliability assessments are done, I think you will see the exports moving up from next year onwards on the motor front.

As far as the finished goods are concerned, we are at level 2, where some of the model lineup has been ready and now the BEE table approvals are going on in some of the geographies, which Amber Enterprises India Limited

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we expect to be cleared by next financial year. And then post that, we should expect some orders coming in.

Madhav Marda: So safe to assume some orders in FY '25 or FY '24 for finished goods?

Jasbir Singh: Yes, we should expect in FY '25 on the finished goods side.

Madhav Marda: Okay, thank you.

Sudhir Goyal: And Madhav, on the ESOP, next year it will be around INR 17 crores.

Madhav Marda: INR 17 Crores. And then FY '25, it should go down even more, right?

Sudhir Goyal: Yes.

Moderator: Thank you. Our next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori: Sir my question is on the pricing side. So obviously BEE ratings would have led to some impact on the overall costing, but on the other side, when we look at the RM, prices have come off. So how do you expect the pricing to play out for the industry and for you specifically?

Jasbir Singh: On the industry side, I think we had seen in last four quarters, there was an impact of almost about 15% on the finished goods side, which was resisted earlier by the retail, but then digested, once the heat-wave struck in the peak of the summer. Then came the BEE table revision, which was another impact by INR 800 to INR 1,200. So that has also been taken. I think now that this has passed, now the commodities are easing off, it has not reached to the pre-COVID levels, but certainly there has been some easing off there. So we expect that since the current pricing has been digested by the retail segment, the customers and the industry will continue at this price level.

And as far as Amber goes, our pricing strategy is very clear. We pass on any kind of commodity impacts on a quarterly lag basis, and that's what we have been doing very successfully and it's reflected in the margin profile also.

Manoj Gori: Right, sir. So sir, in this case, if you look at probably in the fourth quarter with a quarter lag, should we expect some margin improvement for us?

Jasbir Singh: Yes. I mean, on the component side, definitely we should see the margin improvement going on.

Manoj Gori: Right. Sir, so if you look at for this year, already the season has been done. So when you are interacting for the next year, because you have already started with the initial round of discussion

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with the brands. So what is the overall outlook, like how volume should shape up next year, probably as compared to this year, and what are the expectations, if you can share?

Jasbir Singh: Well, we are expecting as per current run rate level, my personal opinion is that, industry will cross or touch about 8.5 million units this year, and by next year we should expect at least 12% to 15% CAGR on this volume.

Manoj Gori: Right sir. Sir, one last question is just on the accounting side. So probably I'm not sure how to read that, but on a standalone basis when we look at the gross margins, there has been a significant improvement, whereas EBITDA margins have been at normalized level, led by higher OpEx and vice-versa for the subsidiaries. So whether gross margins have declined significantly but OpEx has come down, and EBITDA margins, there is some impact, yes. So anything to read over there?

Sudhir Goyal: So on the gross margin in standalone financials, those have got improved. The major reason is that, because of the product mix change in the standalone business, in which the component segment has grown much bigger, as compared to the RAC, because of the lean season. And the commodity prices have declined, which has happened in the quarter 2, which has helped us to improve our gross margin, during quarter 2, only on standalone basis.

Manoj Gori: But if you look at your other expenses, probably, if you look at on Y-o-Y basis also, so like right from 8% of sales, it has increased to 13%?

Sudhir Goyal: Yes. So there are two major reasons. One is that there is a ForEx loss of INR 7.5 crores in the current quarter, which was almost negligible in the last year same quarter, and the fixed costs, which we have incurred in the new units, or in new facilities, which we started in the current financial year, but those are not operational at a full level, because they are just starting and next year they will be going to a fully operational. So these are the two reasons because of which, other expenses are on a higher side.

Manoj Gori: Right. So it's normal business operations, right?

Sudhir Goyal: It's normal business operation, right.

Moderator: Thank you. Our next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Sir, my first question is a continuation of the last participant's question on gross margin...

Moderator: Mr. Bhartia, I'm sorry to interrupt. If you're in a speaker mode, can you switch to handset and speak. We can't hear you clearly.

Aditya Bhartia: Sir on the gross margin side, this trend of higher proportion of components is something that we were seeing in the last two quarters as well. But the expansion in margins that we have seen in this quarter is actually quite sharp. So is there something else to that as well? Is it a case that

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commodity costs have started falling and the benefit of that, we'll end up passing to customers with a lag, and therefore, by next quarter, by next two quarters, gross margins will again come back to the kind of territory that we have seen in the past? How should we look at that?

Jasbir Singh: Aditya, it's largely because of the product mix. You know that we have got a range of products which we offer to our clients and it's very difficult to predict which customer will buy which component, but on a larger side, the traction is towards components. And in components, we enjoyed little better margins, as compared to the finished goods. So, if this trend continues, then certainly you will see better margins moving forward.

Aditya Bhartia: Sure. And that's our expectation that the trend should be continuing. So in that context, what's the kind of sustainable gross margin kind of a level that you look at? Let's say if we remove some of the bought-out components like compressors and just look at gross margin on the products that we are supplying.

Jasbir Singh: Actually, it's a very tricky question to answer, because I'll just give you an example. Like, for

example, if the gross margin is at 20% right now on one component but some times customers do ask us to give them sub-assemblies, by adding some bought-out items into that so that reduces our percentage margin, because it's like a pass-through kind of a thing. So in that case, the

percentage will dip.

So it's very difficult to predict, Aditya, on an overall basis, how the trajectory will be. Because as a solution provider, we cannot say no to our customer, if they require such kind of a little solution from us on a basically sub-assemblies part or adding any bought-out items into the components which we are supplying, so that changes the equation on the percentages. But what we see is that, how much Amber is contributing as a value proposition on the complete manufacturing footprint. I think that is very robust and that is where the fundamentals are, and we are moving very positively on both components and finished goods side. So probably, if this continues, if there is no sub-assemblies, then yes, we can see some margin improvement.

Aditya Bhartia: Understood, sir. And sir, my second question is on your comment on market share, wherein, you said that market share should remain steady over the next couple of quarters at least. Now there was a big import substitution benefit that you are anticipating, that roughly 2 million units get imported, of which 800,000 could potentially come to Amber. We haven't, from my understanding, seen that benefit play out as yet. So shouldn't that be leading to a significant improvement in market share over the next, let's say, 3 or 4 quarters?

Jasbir Singh: Yes, I think so basically, some of the -- so what happened was, the 2 million number was pre-COVID levels and then the market fell down. So that number also came down drastically on a pro-rata basis. So industry has yet to demonstrate the pre-COVID levels, it had touched 6.4 last year. So we did convert some of the customers from -- in the phase 1 into gas charging units, and now we've already converted them into manufacturing parts. But on the other side, there is a shift happening, where some of the customers have decided to basically do the assembly on

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their own. So for them, it will be our component play and for the customers who have shifted to us, it will be a finished goods play.

So I think, if the industry moves to 8.5 million number, that'll be a good jump from 6.4 million to 8.5 million, and we should outnumber the number by some part. So probably we should see some improvement in our share of business also, market share on the value proposition side.

Aditya Bhartia: But you would not anticipate a very-very sharp improvement panning out over, let's say, next 1.5 years?

Jasbir Singh: See, what is happening is that some of the customers on the other side are shifting their strategies.

So as we have seen in past two decades, some of the customers from outsourcing, they went in-sourcing and then from insourcing they went outsourcing. So this is a transition phase happening, because of maybe PLI or maybe because of expansion in other geographies. And what our strategy is that, we mitigated this kind of a risk, whether insource or outsource, or whether market share exchange between the brands, it should not impact us. So that we have seen these strategies and the market share exchanges in last two decades happening.

Amber's proposition is very clear. We are a very integrated, comprehensive solution provider, both in terms of finished goods and in terms of components. Today we can give you 69% to 70% of the bill of material, in case you want components. And if you want finished goods, we can deliver you that also, in any geography in India. So that's the strength which it has.

Now, if this industry grows by that number, I think what we will see is that, components a

re

growing a little faster, because we've added couple of customers on the component side very recently due to PLI benefits and additions. So probably the structure will change and that's why, Aditya, you must have observed that, we have started observing our market share from a value point of view, which makes sense.

Aditya Bhartia: Understood, sir. And sir, a very small clarification, what's the nature of ForEx loss, and what's the kind of hedging that we do on our payables?

Sudhir Goyal: So on quarter 2 only, we have a ForEx loss at a consolidated level of INR 6.6 crores, and we have a hedging policy and we are regularly doing our hedging largely through a forward only, and minimum like 50% to 75%, we always kept it hedged.

Aditya Bhartia: And this ForEx loss will be all M2M, or would there be normal ForEx loss involved as well?

Sudhir Goyal: So it's a mix of both, realized as well as unrealized. So I'll update you. I don't have the exact number out of this, but largely out of this INR 6.5 crores, largely it will be unrealized. INR 2 crores or INR 3 crores should be realized, but I'll give you the exact number later on.

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Moderator: Thank you. Our next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir, my first question is, that you don't share the volume number as well as you've been saying that now, margins should not be looked at as a percentage number, but one should expect that EBITDA will grow at 25%. Now obviously, that EBITDA number has so many other things, in terms of ForEx, in terms of fixed costs not being realized, can you tell us what actual EBITDA numbers we'll grow at? Because that number seems to be pretty significantly lower than what the guidance has been? So if you could tell us, because know some of these things will always be the case, right? ForEx, I mean in this country where rupee depreciates 3%, 4% every year, if you could just tell us what should we build in, in terms of normalized EBITDA growth adjusting for some of these one-offs which seem to be repeating a lot more?

Sudhir Goyal: So Pulkit, I understand that you are saying that there are few things which are non-operating. But you want the actual EBITDA. That is also improving, but this is one year where we have seen such a big impact of the ForEx loss, and with this hedging policy and the costing which we are doing with the customers, we are expecting that this will not hit us more, and we will make it not impacting our EBITDA margins. Still, we are, like, in a phase that this -- only barring current year, where we already got this impact, we will be maintaining our EBITDA margin as well, with a CAGR of 25% to 30%, as well as PAT. So we are not guiding only at an EBITDA level, but also at a PAT level, so PAT is also growing at a CAGR of 25% to 30%.

Pulkit Patni: Sure sir, so we'll build that for the normalized growth. Sir, my second question is, we have seen what some of the brands are doing in terms of inducing competition, and that seems to be spreading across. Now, when a brand is not making as much margin as they were making maybe a couple of years back, it is natural for them to basically try to pass that on to a services provider like you. In that context, is it fair to assume that margins -- I mean compared to what you were making two years back, that margins would be structurally under pressure?

Jasbir Singh: Well, you see, brands have a very different permutation and combination due to which their margins are under pressure, because there are more than 42 brands existing in the country and the competitive intensity in the brands is very dynamic in nature. Earlier there were no online players playing a big role, but now they have also started contributing significantly. So, and there is always a pressure to maintain their share of business or market shares at their level.

What Amber's strategy is; that from a component build to a complete comprehensive solution provider, we generally operate at a very kind of a predetermined fixed-cost basis. And beyond certain squeezing of the margins, we have taken positions where we have neglected some kind of -- or we've given away the businesses, rather, to go on that front.

But if you see the structure of Amber today from last four years, when we got listed, the structure has changed. We are no more a RAC player. So Room Air Conditioner, of course, will go through its own dynamic, but still being a most under-penetrated product category, will remain Amber Enterprises India Limited
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a very focused area, because we see lot of growth opportunities in this sector, and we want to strengthen our position by giving more comprehensive and integrated solutions in different geographies in India, in the room AC space. But however, we have been adding other businesses, which is now contributing 30% to our consolidated balance sheet, which are margin accretive and which are non-seasonal in nature.

So overall, if you see, I think probably we will maintain our guidance of demonstrating that 25% to 30% range of EBITDA in absolute basis, and similarly in the PAT levels also. It's very difficult to assume, how the brands will pass on the benefits. From our perspective, brands come under pressure due to many reasons. Some of the brands have, in past, we have seen the new brands have a -- they come with a balance sheet of buying market shares. So they start subsidizing the products. But there is no point that Amber should subsidize its products on a pro-rata basis. So we have to take a call accordingly, and we've done that in past, we'll do that in future also.

Moderator: Thank you. Our next question is from the line of Veenit Pasad from Investec. Please go ahead.

Veenit Pasad: Sir, I had just one question. I think I missed the CapEx guidance number for this year?

Jasbir Singh: So this year, it's high a CapEx year for us. We will be doing INR 600 crore's CapEx this year, primarily because of our greenfield facilities and PLI commitments. But next year, it is definitely going to drastically come down.

Veenit Pasad: So is it a case that you are preponing some of the CapEx which we were planning to do, otherwise in FY '24?

Jasbir Singh: No, there is no preponement. Basically, the two greenfield facilities were very well planned earlier. And then in some of the subsidiaries are growing very fast, so there is slight CapEx there also and we continue to maintain our focus on the R&D activities. So in an overall basis, maintainable CapEx for all 23 plants, plus the R&D, plus, subsidiaries and the new greenfield facilities, leading to this kind of a CapEx.

Moderator: Thank you. Next question is from the line of Dhananjai Bagrodia from ASK Investments. Please

go ahead.

Dhananjai Bagrodia: Hi, sir. Just wanted to understand now the new changes you've mentioned. So now we have 26% market share of the INR 12,160 crores of the room AC size, right?

Jasbir Singh: Yes, that's right.

Dhananjai Bagrodia: And this INR 12,160 crores includes all components; CB U, everything is inclusive, all of it AC as a whole category, is that correct?

Jasbir Singh: This is room AC and room AC components put together.

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Dhananjai Bagrodia: Okay. So then the earlier volume market share. And sir, just to understand now, right now we would have good clarity in terms of how the remaining year would be, what would be our growth, for example, for the remaining, for the next six months for room AC and room AC components?

Jasbir Singh: So, that's why we've guided that we will maintain the share of 26% plus moving forward, as the markets are moving from 6.

4 Mn to almost close to 8.5 Mn, we are moving in tandem to that and components are growing a little faster.

Dhananjai Bagrodia: So would it be fair to assume that the components will be like 1.08, like around 1.10 times the room AC growth?

Jasbir Singh: If you see in quarter 2 results also, the components have clocked a growth of 136% kind of a thing. So, right now, very difficult to predict, because customers have still to come up and tell us whether they want sub-assemblies or finished goods or only the components. We don't know as yet. But I think from our perspective, what we are seeing clearly, is that our market share will be very much intact, or perhaps we may grow a little in the market share.

Dhananjai Bagrodia: Sure. And sir, you mentioned Sricity, you are opening, the operations in Q3 FY '24?

Jasbir Singh: Please pardon. Can you repeat the question?

Dhananjai Bagrodia: Sir, you mentioned SriCity will be operational by Q3 FY '24?

Jasbir Singh: Yes. It will be operational in end of Q3.

Dhananjai Bagrodia: Okay. FY '24?

Jasbir Singh: No, FY '23. So, basically, right now the factory is ready, lines have been put up and trials are going on. I think once we receive the customer approvals, the production will start, mass production will start.

Dhananjai Bagrodia: And sir, just to understand, what could be the asset turns on this segment?

Jasbir Singh: So asset turns, generally, in these segments are about four, and we'll begin with about three, then we'll go to four and maximum, on the assembly side, we can go as long as seven to eight also.

So it will depend on what kind of businesses we are getting moving forward. But overall on the asset side, we should expect somewhere about four to five.

Dhananjai Bagrodia: And sir, what would be the capacity volume for this? We are targeting for, let's say, the year-end?

Jasbir Singh: So Sricity, we have installed heat exchangers, sheet metal, injection molding facilities, tubing, components and assembly lines for 1 million air conditioners.

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Moderator: Thank you. Our next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Sir, I had a question with respect to your CapEx. So last call you had mentioned that you will add INR 200 crores of CapEx if you get those customer approvals. So now that you increased the CapEx guidance. One, is that we will see some extended period of subdued EBITDA in the standalone business, like we saw in this quarter as capacities get absorbed, so that carries through FY '24?

Jasbir Singh: Sorry, your question is pertaining to what? I mean, you are asking about the CapEx guidance. Yes. We've revised our CapEx guidance after our confirmations from the customer. What's your question?

Dhruv Jain: So, one is that, we saw some unabsorbed losses of unutilized capacities in the standalone businesses this quarter. So now that incremental CapEx of about INR 300 crores that you're doing in FY '23, does that mean that your margins will remain subdued till the first quarter of FY '24 in the standalone piece, because you will take some time to ramp up capacities?

Jasbir Singh: No, that's not the case. In fact, the capacities which have been built up and which are getting added on the confirmations of our customers, that will be reflective from quarter 4 onwards. And the last one where we will be putting up CapEx in this year, will be reflectable in quarter 1 of

next financial year. And these are all good businesses for a long-term contracts to the customers.

Dhruv Jain: And sir, for the INR 600 crores, can you just broadly give the split in terms of how much you're spending in ACs and the other components, motors, electronics?

Jasbir Singh: So almost the Sricity CapEx is close to about INR 350 crores, which is primarily ACs, and remaining are all p

ut together in subsidiaries, as well as subsidiaries plus the maintenance CapEx and R&D CapEx.

Dhruv Jain: Okay. And sir, on the electronics piece, we've seen a decent growth in this quarter on a Y-o-Y basis, so but the margins have declined a little bit. So if you can just give us a sense on, in the electronics piece what is the AC part and what is the non-AC part and just your general broad outlook on that, please?

Jasbir Singh: It varies from quarter-to-quarter. Actually, in quarter 2, air conditioner contribution is very less, because the complete industry went through a sluggish phase because of BEE table and some rains. So largely, in quarter 2, the revenue is, I would say, maybe just 20% of ACs rather than and 80% will be non-RACs.

Dhruv Jain: Okay. And sir, over the last three years or four years, we've seen that you have undertaken significant CapEx along with some acquisitions, right? And, in some of the earlier participant questions you said that your market share, you are likely to maintain your market share and

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increase by a little bit. But considering the CapEx that you've done over the last three years or four years, shouldn't we expect like a very strong FY '24 or FY '25? Just your broad thoughts on that.

Jasbir Singh: Yes. So we are also expecting. This is in anticipation of industry growing around 15% CAGR, and also our endeavor to get into non-RAC components also, which are more margin accretive.

So both the strategies are working on, and we should see that number panning out in the reflective of margins, as well as the balance sheet on the bottom line side.

Moderator: Thank you. Our next question is from the line Paras Nagda from Enam Holdings. Please go ahead.

Paras Nagda: Sir, I had two questions. One was on the gross debt, if I see your balance sheet, your gross debt has crossed close to INR 1,300 crores. I actually fail to understand how the net debt is at INR 665 crores. What is the cash and cash equivalent, plus the bank balance? So if you could, if someone could reconcile that for me, please?

Sudhir Goyal: Yes. So we have a cash balance in the current account or the cash credit account, which we received on the last days, and plus investment in the FDs and investment in the perpetual bonds of the bank, HDFC and SBI only, the total of these investments, including the cash balance is INR 645 crores. So net debt is coming to INR 662 crores. And this is happening, why the gross debt is higher? Reason is that as per the RBI guidelines, we need to draw first 60% in the WCDL, which is a Working Capital Demand Loan, for a fixed tenure. It ranges from like 15 days to 3 months period and we can't prepay it. So that is the reason that if we draw some WCDL, which is a low-cost than the cash credit account, then whatever balance left with us or received during that period, where we can't prepay the loan, we have to keep largely in the FDs for a shorter tenure.

Paras Nagda: And is it fair to assume that this is going to be the peak debt envisaged, or will the debt increase going ahead, net debt?

Sudhir Goyal: See, by year-end, we are expecting that it will come down to a great extent, because this is a cycle of the business, wherein in the off season, we have a larger net debt, and by the year-end we get a lower debt. And one of the main reason of the September quarter's larger debt is the CapEx which we have done in the H1. And by year-end, we are expecting that this debt should come down by minimum INR 200 crores.

Paras Nagda: Got it, okay. And my second question is, Jasbir, could you update us on the export potential and what is happening on the export side of the business, please?

Jasbir Singh: I already did, Paras, but I don't mind repeating it. So on motor front, doing positive. Last year we did INR 28 crores, INR 29 crores

worth of exports. This year we have a confirmed order of

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about INR 50 crores. And next year, we are expecting very large orders. So I think we'll see somewhere about a 70% to 80% jump from current year, next year in the motor business.

As far as finished goods are concerned, as stated earlier, our strategy and our guidance have been mid-term to long-term strategy, because there are four milestones to achieve in finished goods. One is the product readiness for the geographies, like in US, they don't use high-wall mounted splits. Then in European markets, they have complete heating and cooling solutions and have structurally different products. So first milestone is to create those products.

Second is to get the approval of BEE of each country. Every country has different BEE norms and different BEE tables. There is no standardization across the world, which everybody follows. So if you go to Middle East, all the MENA region countries have a different kind of a BEE norm. Somebody follow different norms and somebody has a vary, no one follows a standard one. So that's the second milestone.

Third milestone is to have foot in the door. We as a company, and we as a nation have yet to prove on the deliverability, on the cost competitiveness to our customer, and on the quality side.

Then fourth will be to increase the share of business. So in some geographies, like US, we are at milestone number two. The products have been ready, they are under testing, the samples have been submitted to some, prototyping is happening and we expect that by 2024 financial year, next financial year, we should be over by the BEE table norms. So FY '25 is when we are expecting some good, decent orders as a foot-in-the-door kind of a thing to come in, and FY '26 should be where we should see some share of business increasing in the finished goods category.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Jasbir Singh for closing comments.

Jasbir Singh: Thank you, everyone, for joining the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Strategic Growth Advisors, our IR advisors. And once again, wish you all a very-very Happy Diwali and a prosperous New Year. Thank you very much. Have a good day ahead.

Moderator: Thank you, members of the management. On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2023

www.ambergrouppindia.com

Amber Enterprises India Limited (Formerly Known as Amber Enterprises (India) Private Limited)

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Date: 30 .01.2023

To

Secretary

Listing Department

BSE Limited

Department of Corporate Services Phiroze

Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To

Secretary

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Mumbai – 400 050

Scrip Code : 540902

ISIN : INE371P01015 Scrip Code : AMBER

ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of Q3 & 9M of the FY 2022-23 under the SEBI (Listing Obligations and Disclosure Requirements), as amended.

This is further to our letter dated 19.01.2023 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the un audited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended on 31st December , 2022, held on Tuesday, 24th January, 2023 at 9:30 A.M. IST.

In this regard, we are enclosing herewith the transcript of the Earnings Call Transcript . The same is also available on the Company's website at <http://www.ambergrouppindia.com/investor-events-presentation-head/> for your information and for information of members / participants and public at large.

Kindly take the same into your records and oblige.

Thanking You,

Yours faithfully

For Amber Enterprises India Limited

(Konika Yadav)

Company Secretary and Compliance officer

Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises India Limited

Q3 and 9 months FY '23 Earning Conference Call"

January 24, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 24th January 2023 will prevail

MANAGEMENT : MR. DALJIT SINGH – MANAGING DIRECTOR – AMBER ENTERPRISES INDIA LIMITED

MR. JASBIR SINGH – CHAIRMAN AND CHIEF EXECUTIVE OFFICER – AMBER ENTERPRISES INDIA LIMITED

MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER – AMBER ENTERPRISES INDIA LIMITED

MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER - RAC AND CAC DIVISION – AMBER ENTERPRISES INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 Months FY '23 Earning Conference Call hosted by Amber Enterprises India Limited.

As a reminder all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh, Chairman and Chief Executive Officer.

Thank you, and over to you, sir.

Jasbir Singh: Hello, and good morning, everyone. On the call, I am joined by Mr. Daljit Singh, Managing Director; Mr. Sudhir Goyal, our CFO; Mr. Sachin Gupta, CEO of R AC and CAC Division; and SGA, our Investor Relations Advisors. We have uploaded our results presentation on the exchanges, and I hope everybody had an opportunity to go through the same.

I hope that you all must be aware that Amber was a pure room AC play when it got listed in January 2018 with revenue base of around INR 2,100 crores, and finished goods RAC contributing significantly in its revenues. During these four years, out of which two being COVID years, Amber has successfully diversified into four business verticals, namely room AC and components; electronics; mobility applications; and motors. I'm glad to inform you that all four cylinders are firing well and are on growth -- strong growth trajectory. Today at a higher base of revenue finished good RAC contribution has substantially come down at consolidated revenue.

I would now brief you about each business vertical division-wise performance, including its highlights and financial performance. Room AC and Components division. In 2022 calendar year, room AC industry witnessed a change in the manufacturing landscape, wherein some of the big brands shifted their strategy from outsourcing of RAC to in-house AC assembly with varied level of backward integration in order to take benefits from the PLI scheme.

This change in strategy of brands of in-house assembly of AC increased the requirement of components manufacturers, and Amber is one of the most preferred choice of customers for providing component solutions with its Pan-India presence in vicinity to customers.

We, at Amber, anticipated this shift in the industry and therefore, scaled up our capabilities for components manufacturing, which includes facilities like Chennai, SupaPune, SirCity area and Pantnagar. Our Components business grew by 109% in quarter three FY '23 from INR 545 crores in Q3 FY '22, to INR 1,137 crores in Q3 FY '23. Share of R AC in total consolidated revenue is

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going down with increasing share of components, and we expect the trend to remain so in the near future.

Our strategy going forward is to maintain share of 26% to 28% in the manufacturing footprint of room AC industry. Apart from room AC and its components, this division is also gradually gaining its presence in other segments such as components for refrigerators, washing machines, microwave ovens, water purifiers and fans. At industry level, room AC industry in Q3 witnessed a muted quarter for October and November '22 witnessed lower sales, and we saw demand picking up from mid-December '22 onwards.

We expect the summer of 2023 to be buoyant with a strong summer driving pent-up demand.

We are bullish about good summer, which begins at the end of February and lasts till the end of June. In long term, the Indian AC market is expected to grow at a double-digit CAGR. The industry will continue to focus on a new innovative health and environment-friendly products, changing lifestyle along with increased affordability that will fuel market growth.

As far as financial performance of this division is concerned, RAC and components for nine months FY '23, revenues stood at INR 2,822 crores versus INR 1,587 crores in nine months FY '22, representing a growth of 78%. As far as quarter three FY '23 is concerned, it's clocked a revenue of INR 1,025 crores versus INR 685 crores in Q3 FY '22, a 50% growth. The growth is fueled by a strong order book, new customer addition and expansion in newer geographies like Chennai, Sri City, Supa in Pune and Pantnagar areas. Components division includes -- this division actually includes Amber PR and Pravartaka also.

I'll now take you through our electronic division highlights, which include ILJIN and Ever. This division has successfully entered into two new verticals, which are hearable and wearable, and telecommunications. We have been able to onboard marquee customers in these two new verticals. And so we expect a growth of more than 50% in this division in FY '24.

Electronics Division revenue for nine months FY '23 stood at INR 710 crores versus INR 371 crores in nine months FY '22, a growth of 91%. Operating EBITDA margin for nine months FY '23 stood at 4.2% versus 3.2% in nine months FY '22. We're also expanding the manufacturing footprint of Electronics division with new facility in South India. Commercial production of ILJIN Chennai commenced in December '22, and expect to add four new customers in ILJIN Chennai plant. It has started with 1 large customer right now, and we expect that four new customers will be added in FY '24, in ILJIN, South India.

As far as Mobility Applications division, which includes Sidwal, the revenues for nine months FY '23 stood at INR 310 crores versus INR 206 crores in nine months FY '22 with operating EBITDA growth of 49% on a year-on-year basis for nine months FY '23. Government trust on modernization of railways is providing positive traction for this division. In fact, we have gained orders for Vande Bharat Express and new RRTS, which is going to be Delhi, Meerut new category of trains, which are going to be launched very soon.

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In Indian railway business, this division added new pantry business as a new product category to increase our wallet share within existing customers. Apart from railways, all other segments of this Mobility Division, such as metros, defense, precision air conditioning for telecom and bus air conditioners are on our growth path. Order book for this segment stands strong at more than INR 700 crores.

As far as Motor division is concerned, it is rapidly growing. And for nine months FY '23, revenues for this division stood at INR 202 crores versus INR 156 crores in nine months FY '22, representing a growth of 30%. Operating EBITDA margin for nine months FY '23 stood at 12.8% versus 10.2% in nine months FY '22. We have also received BLDC motor approvals from few customers and further few are in process. The strong order book with new product addition and geographical expansion gives us visibility of more than 30% growth for FY '23 and FY '24, sorry. Motor division is gradually gaining confidence with export customers, and expect its export business to grow by 30% to 40% in FY '24.

I will now take you through the consolidated financial highlights. On the revenue base, for nine months FY '23, the revenue stood at INR 3,924 crores versus INR 2,270 crores in nine months FY '22, marking a growth of 73%. For the quarter Q3 FY '23, revenue stood at INR 1,348 crores versus INR 975 crores, a growth of 38%. On operating EBITDA for nine months FY '23, operating EBITDA stood at INR 271 crores versus INR 163 crores in nine months FY '22, a growth of 67%. For Q3 FY '23, operating EBITDA stood at INR 89 crores versus INR 74 crores in Q3 FY '22. Operating margin -- EBITDA margins for nine months FY '23 and Q3 FY '22 stood at 6

.9% and

6.6%, respectively. Q3 FY '23 and Q3 FY '22 operating EBITDA is before impact of ESOP expense and other non-operating income and expenses.

On finance cost and depreciation, finance costs and depreciation increased to INR 29 crores and INR 36 crores as compared to INR 12 crores and INR 27 crores in quarter three FY '22, respectively. The increase in finance cost and depreciation was largely due to capex incurred during the period and increased interest rates.

With the thrust on building domestic manufacturing capabilities through PLI schemes for promotion of domestic manufacturing of air conditioners and phased manufacturing programs, the industry expects not to be dependent in the coming years on the vagaries of foreign supply

chains and dollar fluctuations that affect prices and operating margins.

Thank you, everyone, for joining on the call. With this, I shall open for the Q&A session.

Moderator: We have the first question from the line of Dhananjai Bagrodia from ASK Investment.

Dhananjai Bagrodia: I wanted to ask you how many units of room AC would have been sold in Q3 this year? And versus how much would be last year?

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Jasbir Singh: Well, we are -- we have stopped giving the volumes for the room air conditioners because the strategy is now value -based proposition in the complete manufacturing footprint point of view.

And in the past, we saw that this business -- this volume was picked up by our customers, and it was treated as a very -- tool to negotiate further. So this has become a company -sensitive information, and we will not be able to provide you any further information on this.

Dhananjai Bagrodia: Any breakup between room AC and room AC components?

Jasbir Singh: Room AC and room AC components. Yes, in nine months, if you see, out of total INR 2,822 crores, INR 1,137 crores is the components.

Dhananjai Bagrodia: And sir, your capex is INR 400 crores. What would that spread be between?

Jasbir Singh: Please say that again.

Dhananjai Bagrodia: Your capex of INR 400 crores, what will the split be between which divisions?

Jasbir Singh: No. Our capex will -- is not INR 400 crores. In fact, because of the strategical shift of brands going in-house, we took a very aggressive stand for -- from the long-term perspective, and we increased our capex by putting up our four new facilities in this year. And the capex will be beyond INR 600 crores, close to about INR 625 crores to INR 650 crores.

This is because we have not only brought in a greenfield facility in Sri City, plus we have added three new plants in Chennai, Tamil Nadu, which was not anticipated earlier. That is for components of heat exchangers, injection molding machines, for copper tubings, electronics, PCBAs and crossflow fans and compressor parts for refrigerators. So all these new additions have been from the aggressive point of view and that's why the capex will stand about to be -- in tune of INR 625 crores to INR 650 crores range.

Dhananjai Bagrodia: And my last...

Moderator: Mr. Bagrodia, kindly come in the queue for follow-up questions. We have the next question from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: Sir, I had a question on the stand-alone gross margin. So we've seen a very sharp decline there. So if you could just point out what's the reason for that? And how should we think about this going forward?

Jasbir Singh: So the stand-alone margin is hit -- in the percentage terms, it is hit by -- because of our new facilities, which have been onboarded within this year due to the expenses which has come up. From quarter one onwards, you will see it improving because now all the new plants have started commercial production.

Dhruv Jain: I was talking about the contribution margin specifically. Is it because we are doing a lot more components in the stand-alone

business?

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Jasbir Singh: So there are three things which have got added. One is components, of course, we have added.

And within the components, we have also added some assembly businesses, which are at a little less margin because that is kind of a pass-through entity where customers asked us to add on a couple of more components and give us -- it is like bought out items, which are added on to our components and then sold to the customers.

So that's the reason where we don't get complete 8% to 10% of EBITDA on those kind of pass-through things. That's why the percentage is -- you look a little bit lesser as compared to them. But as far as the components are concerned, we enjoy the range bound of 8% to 10% margins.

Dhruv Jain: And sir, I had a question on...

Moderator: Mr. Jain, will request you to kindly come in the queue for follow-up. We have the next question from the line of Aditya Bhartiya from Investec.

Aditya Bhartiya: My first Question is on the Electronics segment, wherein you mentioned that we are anticipating over 50% growth next year. And within which we have added variables as well as telecom. Just wanted to understand what proportion of growth is coming from AC business related to electronics, and how much is coming from telecom and wearables and hearables? And within

that, would we be getting the benefit of telecom PLI theme and which are the customers that we are working on the telecom side?

Jasbir Singh: Aditya, the AC contribution is growing at around about 25% to 30% in that division. We've successfully onboarded many customers from room air conditioners front, both in OEM as well as ODM category. In OEM, we are assembling the PCBs as per their design. And in ODM, we are giving our own designed PCBs. So both are -- both strategies are moving forward giving us a positive growth for the PCB assembly for AC to the tune of 25% to 30%.

As far as the telecom and hearable and wearable is concerned, we are -- I think that's pretty much on the growth path. These are new customers, which we have added new business verticals. I believe you know the major chunk of growth will come from all the three factors because not only air conditioners in consumer durable and home appliances, we have now onboarded customers for fans, customers for microwave, refrigerators, washing machines. And on hearable and wearable, we have started smartwatch assemblies plus the PCBAs for that. And in telecom, we are doing 5G equipments, such as ONTs and RRH BBUs. So those are the kind of diversified portfolio electronic business has built up.

Aditya Bhartiya : And who could be the customer, sir?

Jasbir Singh: We will refrain giving any customer's name because it's a company -sensitive information. These are large customers, I can only tell that.

Aditya Bhartiya : Okay, sure. And the idea...

Moderator: We have the next question from the line of Sonali Salgaonkar from Jefferies India.

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Sonali Salgaonkar : So my first question is regarding the industry restocking level. What is the kind -- what are the trends in restocking that you are looking at after the implementation of the new BEE norms?

And what is the current channel inventory that we can talk about? What is the price hike that we will be taking for the new models and whether it will be margin accretive or not?

Jasbir Singh: Well, as far as the price rise is concerned, all of the brands have already taken the price hikes in the market. You would have seen that the air conditioners prices were increased -- have already got increased by INR 1,200 to INR 1,300 because of BEE table change.

And as far as the inventory levels are concerned, industry was quite optimistic for quarter three, but which ended up to be a very, very muted quarter for industry.

October and November, hardly

any sales. And then mid of December onwards, we saw the sales coming up for any goods, RAC both primary and secondary.

Inventory levels is very -- it is completely at a varied level with some of the brands sitting still at a very high inventory levels, but some of the brands are not having that inventory and their sales is moving pretty well. So it's -- there is no thumb rule which everybody is following. It's everybody is at a different level on the inventory side.

Sonali Salgaonkar: Sir, my second question is regarding what is your net debt level as of December versus September? And also about the capex, but I just wanted to clarify, the INR 625 crores to INR 650 crores, you are expecting in FY '23, right? So what about your expectations in '24?

Jasbir Singh: So on the capex front, Sonali, we will be doing about INR 625 crores to INR 650 crore this year. But next year, our capex is going to be around INR 250 crores to INR 275 crores maximum. As

far as net debt levels are concerned, today, we are sitting at about INR 900 crores of net debt level. Whereas we expect to close the financial year -- current financial year, in approximately

INR 450 crore to INR 500 crore range.

Sonali Salgaonkar: So how will you pay down that debt, sir? I mean, is there a seasonality to that? Or...

Jasbir Singh: Yes, basically because the season starts and we start getting our payments from customers. Right now, because of the inventory build-up, the debt looks high.

Moderator: We have the next question from the line of Niteen Dharmawat from Aurum Capital.

Niteen Dharmawat : Sir, you mentioned about telecom sector and some 5G equipment manufacturing. So can you elaborate that? And if we have done any foreign collaboration for that? That is my first question.

Second question is what is the peak revenue that we are anticipating with the current capacities that we are having?

Jasbir Singh: So, in the telecom sector, we have not done any joint venture or transfer of technologies. This is a pure OEM play which we are offering because we are a diversified PCB assembly. In telecom, you normally use multi-layered PCB assemblies. And we have that capabilities. And because of

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our geographical presence in India, we got this order because the customer wants in both South India and North India.

And currently, we have started with the equipment such as BBU and RRH and some antennas plus EO&D devices. So these are all used in the 5G equipment, which is basically delivered by other big companies.

As far as the capacity of revenue is concerned, all the divisions are at different capacities. Today, if we see about the gross block, I think we can easily go to five times of the gross block of what we have today, as a peak kind of revenue base.

Moderator: We have the next question from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi : Yes, thanks for the opportunity. Sir on Ever and ILJIN, the margins are far lower than the PCBA players that we see, which are recently listed or otherwise in the market. So, at current level of EBITDA margin of around 4% odd, and the working capital, do you see these businesses generating return ratios in excess of cost of capital? And when do we see the margins improving in this?

Secondly, can you also elaborate a bit more on the export strategy, which you had spoken in earlier call also, and any update on that? And lastly, the tax rate is higher than 25.5% in nine

months, so what should be the guidance for tax rate for FY '23 as well as FY '24? Yes, thanks.

Jasbir Singh: The tax rate is basically because of the MAT. I think I'll leave that question for Sudhir to answer and then I'll answer your other two questions.

Sudhir Goyal : So as you know that — earlier it was also discussed that we have a MAT credit available, because

of which we are not moving to the new tax regime, which is at 25.17%. Actual cash tax outflow for the — Amber Enterprises on standalone, I'm talking, is around 17%, balance will be utilized through the MAT, and once we utilize the MAT Credit, which is to the tune of INR 35 crores to INR crores, then we'll go to the 25% tax rate.

Jasbir Singh: And now answering your margins on the ILJIN and EVER subsidiaries we are in the range of 4%, 4.5% business. So we have businesses in this division from 3% to about 6.5%. Largely if you see the consumer durable and smart wearable and wearables are in this range only. Even if the peers would be comparative.

Auto and industrial and defense is at different level, which we are not into right now. So going forward in a long-term strategy, yes, we do have plans to enter into those segments, which will help us to increase our margins. But however even at the lower margins of 4.5% odd EBITDA levels where we are, the return on capital employed of this division is above — close to about 23% right now. And it will enhance going forward because the capex requirement is not more, but whereas we are expecting a growth of more than 50% in this division.

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As far as the export strategy is concerned, we have two from the export strategy, one is on the components and the second is for the finished goods. On components. As I highlighted during my call, that we are expecting in the motor division, which is already exporting right now. We expect the export business to grow by 30% to 40% by FY '24. And for the finished goods, we are at the stage of almost approvals — getting approvals from some customers.

First milestone was to get the products ready for those geographies. Second was to get the clearance of the BEE norms, because this is a regulated product by every country. So those two milestones in three basically finished goods category we have received and now we are endeavoring our foot in the door strategy.

These customers have been buying from almost about 25, 30 years from China and Thailand. So first of all, we must have the foot in the door with small volumes, which we expect to demonstrate by FY '24. And then the gradual share of business will start happening from FY '25 onwards.

Moderator: We have the next question from the line of Sandeep Tulsian from JM Financial.

Sandeep Tulsian: Sir, my first question is regarding all these new investments that we have done in the new capacities. What is the broader capacity or the average utilization at which we are operating, probably where you expect to end FY '23 and where do you expect this capacity utilization to get ramped up by FY '24?

Jasbir Singh: Well, the new plants have just begun, so the capacity utilization will be somewhere in the tune of 25% to 30% only and by next year we should have about 50% of capacity utilizations in these new plants. All the divisions are at a different capacity utilization levels.

So, I think looking at the complete balance sheet of capacity utilization will not be a right approach, because electronics is at different capacity utilization, motors is at different — in motors case if I speak, we are sitting at right now 50% of capacity utilization in FY '24. We

have just shifted the motor plant to a new factory. So we have decent capacities there. In Sidwal, we are sitting at a capacity utilization of almost 65% to 70%. And in room AC and components, as we have just begun, the new plants are at 25% to 30%, the old plants are running at 75% to 80%.

Sandeep Tulsian: Second question is sir bookkeeping, if you could also share the gross debt number at the end of 3Q and also the forex loss and ESOP number if any in 3Q that you have provided?

Sudhir Goyal: Yes, hi. So gross debt as in 31st December is INR 1,350 crores. Total ESOPs extensive in the nine months is INR

19.9 crores and there is a forex loss, which largely happened in the quarter one, but overall it is INR 32 crores in the nine months at group level.

Sandeep Tulsian: ESOP in 3Q was how much?

Sudhir Goyal: ESOP in the 3Q is INR 7.32 crores.

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Moderator: We have the next question from the line of Madhav Marda from Fidelity International.

Madhav Marda: Just wanted to understand, given we've added a lot of capacity recently, would it be fair to say that there is a lot of operating leverage from fixed cost in the next two to three years? Because INR 650 crores for our business is a very, very large capex which we've incurred. So just trying to understand how that can play out and how much time do you expect to ramp up the new capacity to peak utilization level?

Jasbir Singh: Well, Madhav, you are right, because you know we don't need to do such large capex again. That's the reason why we are guiding that next year it's going to be in the range of INR 250 crores to INR 275 crores only. And as mentioned that capacity utilization of the new plants are only at 25%, 30%. So definitely the operational leverage will come, going forward and you will see the return on capital employed going up because of that operating leverage.

Madhav Marda: And the ESOP expenses, when does that start tapering off, is that FY'24 or FY'25?

Sudhir Goyal: Sorry, come again please, Madhav?

Madhav Marda: The ESOP expense which we are incurring, does that start going down from FY '24 itself or FY '25 that will go away?

Sudhir Goyal: No, it will start going down from FY '24 itself as well.

Madhav Marda: Okay.

Sudhir Goyal: So ESOP expense is always in the first year, it's largest, then it's fallen down every year in next four years.

Moderator: We have the next question from the line of Keyur from ICICI Prudential.

Keyur: Thank you for the opportunity. Sir just want to understand — first of all on the standalone side, our gross margin and EBITDA margin. So on steady state basis, what kind of profitability should we expect and does it — I mean it depends on our price hikes or with lower commodity prices we should be able to get those steady state margins? That is my first question.

Jasbir Singh: The price hike as explained in earlier quarters also, we have a price variation clause applicability with all customers. So it happens with the quarterly lag. Now like in Q3 also we took a price hike, but you know since the industry was muted so there was hardly any numbers on the components as well as this. So the range of -- complete in percentage terms, you know it's very difficult to tell, because we are now catering to various components which have various range of EBITDA margins. The finished goods range is very different and the subassembly range is very different.

So it will be very difficult to predict what customer wants from us. You know they keep on changing their strategies from finished goods to components to subassemblies, or all the three

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together or just one of them. So it will be very difficult to say what number, in the percentage term is concerned.

As guided earlier, I would like to guide again that looking into our balance sheet on the percentage terms is not the appropriate way, because of the diversified business verticals we have from 4% to 20% plus EBITDA margin businesses. I think what we would like to guide again in this call is, that we will try to deliver a range bound of 30% plus absolute EBITDA number going forward.

Keyur: And that will be higher than your sales growth? So basically your EBITDA growth will be faster than sales growth, because operating leverage with lot of capex and lot of opex is already in the numbers?

Jasbir Singh: Yes, it'll depend on what kind of revenue we get in

case electronics starts moving very, on a high trajectory of 100% growth kind of thing, then definitely this statement is not correct. But in case it remains in the 25%, 30% range, yes, then the percentage of EBITDA and PAT will outnumber there.

Keyur: And the second question you have partially answered, but the similar guidance remains for FY '24 as well?

Jasbir Singh: Yes, I think similar guidelines for FY '24 and '25, that we will maintain that absolute growth of EBITDA.

Moderator: We have the next question from the line of Rakesh Wadhwani from Monarch AIF.

Jasbir Singh: I have one question. First question is regarding component supply or supply chain because there were some articles because of the COVID prices in China, the factories have been shut down.

So just want to understand, as — compressor or other component supply is coming?

And second thing, just wanted to confirm, you said INR 2,822 crore is a nine month sales from a RAC and component. So can you please just confirm the amount for the components and RAC ?

That will be great. Thank you.

Jasbir Singh: So out of INR 2,822 crores, INR1,137 crores is components, which is pure components, supplied to all the customers we have. On the on the supply chain due to the COVID in China, what we did is, we preplanned the shipments from China because of not that we knew that COVID is

coming, but because of the Chinese New Year and that helped us to navigate out of this situation.

So we were not affected because of COVID situation in China. But now that everything is opening up, so things are very streamlined right now.

Moderator: We have the next question from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay : Sir, my question first related to the motor, as you had guided, there is order from BLDC motor and also the large order for export. Is that going to be a similar margin in that trajectory what we

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are reporting, in these orders? And the second question is related to Sidwal for this quarter has seen a deterioration in the margin. What's the reason for that?

Jasbir Singh: So, in Motors, basically export is similar margin to domestic manufacturing. But BLDC category is a slightly lesser margin, because of this product continues to be in the pressure due to the China supply chain. Chinese are still throwing it at a very cost price. But yes moving forward, as the scale comes in this category we will bring this — we expect that margins can be improved for this.

But overall PICL is doing well. PICL has already demonstrated its trajectory from 5% EBITDA company three years back to almost 10% to 12% right now. And as far as the Sidwal quarter three margins are concerned, that is purely because of the product mix and some delay in supply, where we got some LD clauses applicable.

But if you see on the nine month's case, I think we are maintaining the same kind of margin of 21% odd, as far as the full year is concerned. I think we expect that that FY '23 will close by — in the same range as nine months number, percentage terms.

Moderator: We have the next question from the line of Abhishek Ghosh from DSP Investments.

Abhishek Ghosh : Yes. So, thanks for the opportunity. Sir in terms of Sidwal, what will be your overall market share and given that there's so much happening around railways, metros and other things, how do you expect the, you know, overall this business to be next two to three years, any thoughts sir?

Jasbir Singh: Abhishek this business is pretty much on a decent growth trajectory because of the complete infrastructure and upgradation push and urbanization of transportation, which is required by Ministry of Urban Development.

I think if you talk about the share of business in railways, HVAC systems, we will be almost about 50%. In metros in India, we will be about 60% share of business holder

for the — all

metros which we are catering to right now. As far as other categories are concerned, buses, we are very less. In bus we still need to ramp up our share of businesses. We will be at about close to about 5% or 6% at the moment. Whereas in defense and precision air conditioning, I think that that is where we enjoy close to about 60% to 70% of the market share.

Abhishek Ghosh : Sir my second question is in this current quarter, we have seen you know, while Sidwal margins have been weaker, but both in PICL and in, your electronics part of it, you have seen healthy margin improvement. Are those sustainable? How should we look at it? And for the PCB part of it will you also look at the industrial and the defense part of it? Will you kind of look at because since you have the basic capabilities, would you look to also diversify into that segment?

These are my only questions.

Jasbir Singh: Well, we keep on diversifying now since the divisional CEOs are navigating their divisions into growth trajectory. So definitely, they have the diversification plans already. But these kind of

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businesses of defense and railways kind of applications, it takes time to onboard customers and get the approval. So it's -- these are high entry barrier businesses. Yes, we will definitely try to attempt, but that will be in the basically long term, not on a short-term basis. As far as short term is concerned, the scale and efficiency at which we are growing, we expect that we will be able to maintain

Moderator: Mr. Goyal, you're reconnected. You may go ahead.

Jasbir Singh : Yes. Thank you. So as far as maintainability of the margins are concerned, in the percentage terms, it is very difficult to guide anything on the percentages. But again, I would like to guide that on a consolidated basis, we will maintain what we have guided. So that's the guidance we want to give. On each and every division, since we are now moving into a very diversified portfolio, it is very difficult to predict what kind of percentages we will be able to demonstrate. Yes, though the endeavor is to grow the percentage of margins. But when you sit in the front of a customer, sometimes you start on the low margins and then you increase towards the higher trajectory, you have to take these calls. So percentages of the division will continue to vary from quarter -to-quarter. But on a consol basis, on a yearly basis, we will maintain what we have guided.

Moderator: We have the next question from the line of Sandeep Dikshit from Arja v Partners.

Sandeep Dikshit: Just coming to your margins. Your ESOP costs, why do you think they are one-offs? They are a part of our operating expense no?

Sudhir Goyal: Yes, it's part of the operating expense, but it's a noncash item. And this is one -off because we are not very regular in giving the ESOPs. It is first time -- two times only, we have given the ESOP. And that will -- the impact of the same will be over in the next two to three years' time.

Sandeep Dikshit: My second question is, you mentioned that raw material costs have gone up 1.5%.

Jasbir Singh: Right.

Sandeep Dikshit: And that's the primary reason for the contraction in margins. When can we expect it to sort of come back to the 6%, 7% kind of a range?

Sudhir Goyal : So like Mr. Jasbir sir has said, we are not looking at the margins in the percentage terms. We are largely focused on that how we can improve our margins in the absolute terms on each component and each product. So if there's a pass-through of product is there, so percentage terms varies a lot. So that is why we focus on that, how we can get the better margin absolute amount.

Sandeep Dikshit: So I should stay focused on that 30% growth in EBITDA on an absolute number rather than the margin? Am I right?

Sudhir Goyal: Absolutely.

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Moderator: We have the next question from the line of Ronak Vora from AUM Fund Advisors.

Ronak Vora: Yes. Sir, what was the operating cash flow in the first 9 months? And I want to know the split in terms of term debt and working capital debt from our INR 1,300 crores of gross debt?

Sudhir Goyal: So in the gross debt, the term debt is around INR 600 crores. I don't have the exact number, but it's around INR 600 crores on the term debt. And what was the other question?

Ronak Vora: Operating cash flow for the first 9 months and for Q3?

Sudhir Goyal: Just a sec. Just give me one minute. I'll give you that number in some time. You can continue with the other questions. Just give me one second, I'll just answer this question.

Ronak Vora: Okay. Sir, my second question is, whenever we negotiate with our customer, you said that it's okay for us to start on lower margins and then entered up the business is growing. What is the baseline ROCE or return ratios that we look for when we negotiate with the customer?

Jasbir Singh: Well, it's a simple fundamental principle that in case we are unable to get our money back in four to five years, we don't go ahead. That's the fundamental base. Percentages doesn't matter. Sometimes, you have to take a strategic call with your customers, and sometimes, you have to support them as being the long-term association. And sometimes they support you. So it's just like once you are a strategic partner to any customer, you have to move hand-in-hand with their situation. And we need to take those calls. But largely, whenever we invest even INR 1 invested, if any return is coming

beyond 4- to 5-year range, we don't invest. Operating cash is INR 150 crores, including other income.

Moderator: We have the next question from the line of Aakash Javeri from Perpetual Investment Advisors.

Aakash Javeri: My first question is with regard to BLDC for fans. So how big is the market -- how do you see the penetration? And who are we competing against? And what would be the margins like?

Jasbir Singh: We are not delivering products for BLDC for fans. What we are doing is we are doing basically PCBs for BLDC fans. Whereas in the BLDC motors, we've created these products, developed these products for bidding ventilation air conditioning applications. So we've started with BLDC for inverter splits and windows as well as for VRV applications.

Aakash Javeri: Okay. And so how are the existing motor manufacturers not being able to compete?

Jasbir Singh: And that's a very difficult question to ask -- I mean, to answer on their front. But I think we are very focused in heating and air conditioning and primarily because of our the R&D capabilities as well as the complete pan-India presence, which we have and the customer base which we have. This is a product mix with functional components. And in functional components, the final products performance depends on the functionality of such kind of components. The validation assessments are pretty long. So no customer will give you approval without validating your products for at least two to three seasons. That is the first leg of entry barriers. And second is they do not give you 100% share of business on day 1. They practically gradually grow you from

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5% then to 20%, then to 30%. So it's a trajectory of five to six years with each and every customer, which we are present.

Aakash Javeri: Understood. And you mentioned...

Moderator: Mr. Javeri, request you to kindly return to the queue for follow-up questions. We have the next question from the line of Dhananjai Bagrodia from ASK Investments.

Dhananjai Bagrodia: So with one of the players now with PLI -- plan for PLI with that capacity is going to come on this year for components, would

that have any impact on our component business, question 1?

Jasbir Singh: We haven't seen -- I mean, the PLI basically was for only components. PLI was not for finished goods. So any applicant who has applied, all of them are putting up components. So let it be -- there were total 10 components, out of which, copper, aluminum and compressor is not our foray. So that is not something which we should compare.

Then when it comes to other components, like Amber has -- Amber was the biggest company or biggest yearly applicant basically in the component space, other than compressor and copper and aluminum, which has applied in all categories. So we haven't seen any such company which has applied in all such categories across pan India. And we are eligible -- the threshold limits are very much doable, and we are very much on track for the PLI incentive. But nothing has changed. In fact, the PLI -- because of the PLI, Amber has won a lot of awards and contracts, which you all are witnessing right now in the revenue stream of consolidated path.

Dhananjai Bagrodia: Sir, the question is we're not seeing anything from the other competitors yet in terms because their factories have not started yet operationalized?

Jasbir Singh: No. First of all, let us see. I mean the large PLI players are the brands. They are there anyway putting up like if you talk about Blue Star, their factories ready, they've already started production, even they've started production. Then Daikin factory is almost ready. They will be starting production soon. Voltas Pantnagar has already started. Chennai, they will start by next year.

So the shift has already happened. And we are beneficiaries of the shift because of our strategies of being into components and finished goods in both the categories. So I think probably the reason why we benefited is because of our pan-India plus the wide area of 70% of bill of material which we can address. Some of the companies have gone for high backward integration. Some of the companies have chosen not to go for higher backward integration. So depending on the level of backward integration, we have entered into the component strategy with that.

Dhananjai Bagrodia: Okay. And sir, what would be your guidance for next year?

Moderator: Mr. Bagrodia, kindly come in the queue for follow-up questions.

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Jasbir Singh: Well, I'll answer that question. Our guidance, as I mentioned on the call is that we will try to maintain our share of business of the manufacturing footprint of room AC industry to, what you know, 26% to 28%.

Moderator: We have the next question of the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: I had one question, actually two related to c apex and fixed assets. So one is that, I think there has been a slight increase in your FY '24 c apex guidance. So if you could just let us know what's changed there? And on the fixed asset part also, we've seen in the last two quarters or so, you're booking an item, called, a loss on sale of fixed assets. So if you could just throw some light, what's that? I know it's a very small number, but if you could just let us know, that would be great.

Sudhir Goyal: So it is normally like whatever assets are being written off and not usable and they are looking -- asking for more maintenance. So that we have sold off. So that is why there is a small amount of asset written off. Otherwise, there is no big asset, which has been sold off.

Dhruv Jain: About increase in c apex. I think the earlier guidance is [inaudible 0:52:50] .

Moderator: Mr. Jain, we are unable to hear you very clearly. Request to go off the speaker phone?

Dhruv Jain: Let us know about the increase in c apex. I think the earlier guidance for FY '21 was about INR 200-odd crores. So you're talking about INR 250 crores to INR 275 crores?

Jasbir Singh: We -- I don

't remember that we've given just INR 200 crores of c apex because of '23 plants and plus the -- our endeavor to continue our R&D initiatives. And some new opportunities which are with our subsidiaries, not number, but subsidiaries are having very good opportunities. That's the reason why we are increasing this guidance. I mean if we have given -- but I think I remember giving this INR 225 crores to INR 250 crores as a guidance.

Dhruv Jain: And sir, so the ROCE guidance doesn't change, right, I think mid -teens?

Sudhir Goyal: Yes, no, that doesn't change. So the ROCE definitely -- we are now moving in tandem to the industry. So if we maintain our 26% to 28% share in the manufacturing footprint, I think that's a pretty decent market share to have, whether it be finished good or whether be it components.

Moderator: We have the next question from the line of Sandeep Tulsian from JM Financial.

Sandeep Tulsian: I have a couple of follow-up questions. First thing, you mentioned on the margins that, of course, finished goods as a share is coming down because brands have been recently in-house. But at the same time, we have picked up some subassembly business, which is, a gain, a lower margin business for us. So broadly, if you could categorize in terms of your percentage of sales, how this mix works between finished goods, components and I'm assuming subassemblies was very low in the past? And how this has changed and going to pan out or probably where you are currently, if you can give us some broader sense to understand the margin?

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Jasbir Singh: Well, we see -- when we were listed in 2018, we were close to about 80%, 85% banking on room AC, and the revenue base at that time was 2,100. Today, revenue base has almost tripled, and the RAC banking will come -- has come down to 40%. So other 60% is the businesses of other divisions plus the component businesses. And it's a diversified portfolio. It's very difficult to say how in future will be panning out. You never know the customer shift strategy sometimes. If outsourcing starts again, the percentage will go up. But as far as two, three years are concerned, we see the horizon that RAC banking will be in the tune of 35% to 40% in the balance sheet. That will be all components and subassemblies plus other divisions.

Sandeep Tulsian That was more to understand between the difference between subassemblies and components because subassemblies is essentially what is pulling down the margins right?

Jasbir Singh: No, see, let us understand first that, subassembly, are basically a component and then added the -- on top of it, we add some bought out items. The 100% business is not subassembly. So we have businesses only for pure components sale also, which is at a higher margins. And when you are sitting with the customer, you can't say no if we want to put up certain three or four more components on it, and give it -- supply to them on just in time basis, and also maintain the inventory levels, plus deliver them the complete kit solutions. So that is a very added advantage to you, that by having that subassemblies, whether it is at lower margins, you are not putting any capex for that. There is hardly -- and in fact you earn out of that complete -- doing the subassembly work.

So we are not bothered about that lower margin percentage or something like that. I think that's why I'm repeating again and again in past, also I would like to repeat it this time again, that please don't look at balance sheet towards percentages of margins. Percentage of margin are function of product mix, component mix, finished goods, subassemblies, everything will keep on changing from quarter to quarter. It's very difficult to predict or forecast any kind of trend here, because it's all customer driven. And it is also function of commodity and currencies. If

commodities go up, the percentages will look down. So we would like to guide that, we will maintain that 30% plus EBITDA range for the next two to three years' time, on the absolute number growth.

Moderator: That was the last question. I would now like to hand the conference over to Mr. Jasbir Singh for closing comments.

Jasbir Singh: Thank you, everyone, for joining on the call. I hope we have been able to address your queries well. For any further information, kindly get in touch with us, , or Strategic Growth Advisor, our Investor Relations Advisors. Thank you very much, and have a good day ahead.

Moderator: Thank you, sir. On behalf of, Amber Enterprises Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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Amber Enterprises India Limited

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Date: 23rd May 2023

To

Secretary

Listing Department

BSE Limited

Department of Corporate Services Phiroze

Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To

Secretary

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Mumbai – 400 050

Scrip Code : 540902

ISIN : INE371P01015 Scrip Code : AMBER

ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter and financial year ended 31 March 2023

Th

is is further to our letter dated 14 May 2023 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended 31 March 2023, held on Wednesday, 17th May 2023 at 10:00 A.M. IST.

In this regard, we are enclosing herewith the transcript of the Earnings Call Transcript . The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentation-head/> for your information and for information of members / participants and public at large.

Th

is information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended.

Kindly take the same into your records and oblige.

Thanking You,

Yours faithfully

For Amber Enterprises India Limited

(Konica Yadav)

Company Secretary and Compliance officer

Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises India Limited

Q4 FY20 23 Earnings Conference Call"

May 17 , 2023

Disclaimer: E &OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 17th May,2023 will prevail

M

ANAGEMENT : MR. JASBIR SINGH – CHAIRMAN & CHIEF
EXECUTIVE OFFICER – AMBER ENTERPRISES INDIA
LIMITED

MR. DALJIT SINGH – MANAGING DIRECTOR –
AMBER ENTERPRISES INDIA LIMITED

MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER
– AMBER ENTERPRISES INDIA LIMIT ED

MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER
(RAC & CAC DIVISION) – AMBER ENTERPRISES
INDIA LIMITED
Amber Enterprises India Limited
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Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to Amber Enterprises India Limited Q4 and FY2023 Earnings Conference Call. This conference call may contain forward looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jasbir Singh, Chairman & Chief Executive Officer. Thank you and over to you sir!

Jasbir Singh: Hello and good morning, everyone. On the call, I am joined by Mr. Daljit Singh, Managing Director, Mr. Sudhir Goyal, CFO, Mr. Sachin Gupta, CEO, RAC & CAC Division, and SGAs our Investor Relations Advisors. We have uploaded our result presentation on the exchanges, and I hope everybody had an opportunity to go through the same. Indian RAC market has grown to almost 8.4 million units in FY 2022-FY2023 and poised to create healthy growth in the upcoming years owing to rise in temperatures, boom of residential sector, growing retail and hospitality sector, rising construction activities in the commercial and real estate space along with rampant expansion on SME and commercial hubs. The growing construction projects across the country supported by governmental spending towards infrastructure would eventually result in disproportionate demand for HVAC solutions by stepping up the transport infrastructure of the country such as railways, metros and buses. With AC industry peaking to a market size of 8.4 million in FY2022-FY2023 and the continuous rising demand for air conditioners, Amber looks forward towards an optimistic and steady growth in coming quarters. This year we witnessed many brands shifting their strategies and adopting to in-source assembly rather than outsourcing while markets looked this change as a threat, we at Amber turned it into an opportunity by expanding our offerings under the components and subassembly segment. Owing to the rise in components and sub-assembly's businesses, Amber during the year expanded its market share in RAC industry and manufacturing footprint level in value terms to 29.4% in financial year FY2023 vis-a-vis 26.6% in FY2022. In last five years, each division entered into adjacent fees. I am glad to announce that all divisional engines are firing well by expanding geographies, adding customers and products, and expanding its wallet share in existing customers. The company is marching ahead in its export initiatives, have started getting approvals from its export customers and expecting orders to flow in current financial year FY2023-FY2024. We remain focused on prudent asset allocation which results in better return on investment while balancing growth

h profitability and improved
return ratios witnessing a strong 4% jump in ROCE in FY2023 which improved from 11%
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Page 3 of 20 to 15% and expected to improve further in the range of 19% to 21% in next two to three years time. Our working capital days has improved to 29 days from 39 days largely due to better control on inventories.

We closed our financial year 2023 at a net debt level of Rs. 588 crores at consol level. During FY2023 we did a capex of 698 Crores at consol level that helped in increasing the profitability and improving the share of business in RAC segments and other divisions. Since IPO in FY 2018, Amber Group has transformed from largely a RAC player to a diversified B2B solution provider. While RAC remains to be our focus segment our all-other divisions such as mobility, electronics, motors and components are on a strong growth path contributing significantly in both topline and bottom line with good return on investments. We are currently witnessing a muted Q1 FY2024 due to uns seasonal rain largely in the north part of India which generates large amount of demand during this period, however we are strongly hopeful to consistently grow our bottom line due to product mix change and operational efficiencies.

I will now take you through the consolidated financial highlights. The revenue front, for FY2023 revenue stood at Rs. 6,927 crores versus Rs. 4,206 in FY2022 marking a growth of 65%. For the quarter of Q4 FY2023, revenue stood at Rs.3,003 Crores versus Rs.1,937 Crores in Q4 FY2022 a growth of 55%. On operating EBITDA for FY2023, operating EBITDA stood at Rs.475 Crores versus 296 Crores in FY2022, a growth of 61%. For Q4,

FY2023, operating EBITDA stood at Rs.204 Crores versus Rs.133 Crores in Q4 FY2022, a growth of 54%. Operating EBITDA margins for FY2023 and Q4 FY2023 stood at 6.9%. Financial year and Q4 operating EBITDA is before the impact of ESOP expense and other non-operating income and expenses.

Now moving to the divisional performance, RAC and component division. For FY2023 revenue stood at Rs. 5,074 Crores versus Rs.3,065 Crores in FY2022 marking growth of 65%. For the quarter FY2023 revenue stood at Rs. 2,371 Crores versus Rs.1,529 Crores in Q4 FY2022 a growth of 55%. For FY2023 operating EBITDA stood at 284 Crores versus 178 Crores in FY2022, a growth of 60%. For Q4 FY2023, operating EBITDA stood at Rs.140 Crores versus Rs.91 Crores in Q4 FY2022, a growth of 53%. This division has added new customers during FY2023. This division has also realigned its strategy to offer comprehensive solutions in components and subassemblies in tandem with the strategy of RAC customers to in source the assembly businesses. We converted gas charging customer into complete manufacturing solution and also expanded geographical presence. On the mobility application division, which includes Sidwal for FY2023 revenue stood at Rs. 422 Crores versus Rs. 289 Crores in FY2022 marking a growth of 46%. For the Q4 FY2023

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Page 4 of 20 revenue stood at Rs. 113 Crores versus Rs. 82 Crores in Q4 FY2022, a growth of 37%. For FY2023, operating EBITDA stood at 99 Crores versus 67 Crores in FY2022, a growth of 47%. For Q4 FY2023 operating EBITDA stood at Rs.28 Crores versus Rs.20 Crores in Q4 FY2022 a growth of 43%. This division is having a strong order book of more than 700 Crores as of today. It commenced production of pantry systems for Vande Bharat Express increasing its wallet share and increasing in existing customers. It has done transfer of technology agreements in the plug door segments and gangway segment which will help in expanding their wallet share in the existing customers of railways and metros. And defense application for this division is also seeing a robust growth.

On the electronic division which includes ILJIN and EVER. For FY2023, revenue stood at Rs.1,125 Crores versus 617 in FY2022, marking growth of 82%. For the Q4 FY2023 revenue stood at 415 Crores versus Rs.245 Crores in Q4 FY2022, a growth of 69%. For FY2023, operating EBITDA stood at 51 Crores versus 26 Crores in FY2022, a growth of 95%. For Q4 FY2023 operating EBITDA stood at Rs.21 Crores versus 13 Crores in FY2022, a growth of 53%. In this segment, the wearable segment is witnessing a strong growth. It has also done the pilot lot of telecom products also have started. It has onboarded new customers in variable and telecom sectors and the room AC PCBA market share has crossed 20% of the complete RAC sector in PCBA and is consistently growing. On the motors division, for FY2023, revenue stood at Rs.307 Crores versus Rs.236 Crores in FY2022 marking a growth of 30%. For the Q4, FY2023 revenue stood at 105 Crores versus 80 Crores in FY2022 a growth of 31%. For FY2023 operating EBITDA stood at Rs.42 Crores versus Rs.25 Crores in FY2022, a growth of 69%. For Q4 FY2023, operating EBITDA stood at 16 Crores versus Rs.9 Crores in Q4 FY2022, a growth of 78%. It is expanding BLDC Motors now in ODU and WACs and commercial segment of heating, ventilation and air-conditioning. It is at advanced stages to add marquee clients in exports and also developing motors for newer application other than RAC segment. With this, I would now open the floor for Q&As.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhruv from Ambit. Please go ahead.

Dhruv: Congratulations sir on a great set of numbers. I had a couple of questions. One is that sir the growth that we have seen in the RAC business and the entire business in that sense as you mentioned about new customer addition, so if you could just give some indication as to what was the quantum of the growth that was driven by new customer addition and how should we look at it going forward.

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Page 5 of 20 Jasbir Singh: Good morning Dhruv and thanks. You know each division has actually added customers. So from consol level point of view the newer customers addition, we do not have a number right now but we can definitely come back to you at a later stage but it has all these new customers that were added has come in Q4 and that is the reason why Q4 revenue jumped significantly. We were in touch with these customers from last two to three years and as explained earlier the lead times to onboard a customer is quite high in our businesses and this was a very positive part from all the divisions' perspective that has led to this kind of a growth.

Dhruv: Sir, question on Sidwal. So your order book now is at about Rs. 700 Crores and there is

optimism all around railway and defense division, so from a say three to four -year point of view do you think that this business can double with respect to whatever you have been doing on the defense and the other application side also or you know it is just a one -time thing in FY2024, your thoughts there .

Jasbir Singh: Two things happened simultaneously . One is that because Railway Ministry now is launching more of Vande Bharat Express which is completely air-conditioned train. Earlier only 29% to 30 % of coaches were getting the air conditioned , so that is one shift which is increasing the addressable market . Second shift is newer kind of trains in the metro lines which has been launched by Urban Development Ministry which is RRTS as well as the normal metro trains , rapid rail transit system so we have got approvals in all the three categories and what we are doing to further enhance our addressable market is to get into adjacencies like as I explained that we have entered into pantry systems for Vande Bharat Express.

We have done a transfer of technology agreements for getting into doors and gangways which will enhance our offerings to the same customers so our offering in the bill of material of a metro will double . So from that perspective it will be right to assume that yes we can double the revenue in three to four years ' time.

Dhruv : If you could just spell out sir just one small question, if you just spell out the capex number for FY2024 and FY 2025.

Jasbir Singh: FY2023, we have done Rs.698 Crores and this year we should we have planned for a capex of Rs.350 Crores to Rs.375 Crores which will largely be spent on four areas R&D and maintenance capex and also expanding the expansion of the subsidiary businesses and also brownfield expansion in the components and sub-assembly segment.

Moderator: Thank you . The next question is from the line of Ankur Sharma from HDFC Life . Please go ahead.

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Page 6 of 20 Ankur Sharma : Hi sir. Good morning. Thanks for your time. Just three four questions. One if you could give us the volume breakup for your RAC business for 2023 and if possible, between split and windows. Second you did mention that Q1 seems to be a little muted and we are aware that there has been unseasonal rainfall across North and a couple of other regions so if you could talk about a channel inventory, is it only in the north where inventory seems to be high or are you seeing that across other parts of the country as well and thirdly in terms of your overall industry growth with itself for FY2024 are you can talk about number closer to 8.4 million , 8.5 million in 2023 given summers kind of been a little weak to start off how do you see volumes for full year.

Jasbir Singh: Good morning Ankur. Basically on the volume side we stopped giving the volume numbers because it has become a company sensitive information. We saw it in past that some of the customers they took the numbers and started renegotiating which was negative for the company . On the value terms as I explained that we have started seeing our offering to customers from a wallet share on the bill of material part so at 8.4 million numbers the market size comes to about Rs. 25,000 odd Crores which converts into Rs. 17,640 Crores in the manufacturing footprint level and room AC plus the room AC components we have done about Rs. 5,194 Crores which comes to about 29 % market share so that is on the value terms . Your second question on Q1 status, yes the demand is muted and we are all seeing very unseasonal rains in the middle of the May, temperatures in Delhi on 2nd of May was 21 degrees so you can expect you know the air conditioner system but yes channel inventory is high as we speak today . We are hopeful that this will be liquidated in the month of June and July and on the overall industry growth we were optimistic that industry will touch about 17% to 18 % growth, but now I think we are still hopeful looking into the lifestyle shift and power plus other so many other reasons industry should be in a 10% to 15% range in the financial year end so that is our estimates. So 8.4 million should move to about 9.5 by financial year end .

Ankur Sharma : Sir how do you see margins obviously if I may squeeze in one because especially on the standalone level our margins has at the EBITDA level, we used to be at about 7%, 8%, this year we are at a number closer to 4%, so given inventory is high, brands are facing pressure , not able to take price hike how do you see yourself I mean do you think margins can improve either because of price increases but I think that looks difficult given the brand themselves are suffering, so how do you see margins and obviously pricing.

Jasbir Singh: Ankur I have been actually requesting each of the investors and analysts every time I have met in last five years that you do not see our

balance sheet in the percentage of margins.

Percentage of margins are complete function of commodities , currency and product mix .

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Page 7 of 20 Now what we see is the absolute number and that is what we are focused on so for us for example I go to a customer and he offers me to supply a Rs. 100 Core business on the component side which is at a 8% to 9% margin but he also asked me to put about 70 Crores to 80 Crores of sub assembly which is actually a pass through for me so from my point of view the billing will be 180 to him but the percentage of margins will drop but I can't say no to it, so as a solution provider, comprehensive solution provider we need to see the absolute number growth that is what I guided earlier has been guided and I would again guide is that we look at the CA GR of delivering 25% to 30 % of absolute EBITDA numbers on a year to year basis irrespective of the margins, on the gross margins. The gross margin on the standalone which you are seeing which is looking at a subdued level is primarily because we have added a lot of components business but other subassembly have also started getting added so today customers, most of the customers then move on lean manufacturing systems and they outsource much of the assembly part to customers like us, so that is why you are looking at the balance sheet shows you a number of 5% on the gross margin side.

Moderator: Thank you Mr. Sharma. I request you to join the queue for any follow-ups. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Congratulations on a good set of numbers, so my first question is you know on the market share which has now become 29 % and we spoke about PCB is being about 20 % of the industry so you know from the rest of the kind of components that we have say motors or in terms of the plastic molding etc what is the level of market share and on an overall basis how do you see this inching up to 29% or is this something that way we are starting to keep the ceiling. Number two is if you could just talk about the overall exports outlook on both motors as well as on EC and the motors the margins have inched up to 15% over the last two quarters so is this something which is sustainable and sorry if I may just lastly just squeeze on the capex number you spoke about 350 odd crores of capex in 2024, last couple years we have seen very aggressive capex cycle per se do you see that kind of tapering off and where do you see the net debt level settling into the next one or two years.

Jasbir Singh: Good morning Bhoomika and thanks so I will start with your first question on the components sphere of business other than the inverter PCB board so I think on the motors front, PICL is the leading company today in the motors front we will be sitting somewhere about close to about 26 % to 27 % market share on the component side and in sheet metal we are the largest in the country giving solutions in the sheet metal side. We should be somewhere about 35 % to 40 % and then on the crossflow fan side again we are one of the leaders, again having about 25% market share so in each category of the components except Amber Enterprises India Limited

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Page 8 of 20 heat exchanger which is largely made in-house by customers we are enjoying a dominant here in the component side. Now your question about whether the 29 % can go upward, that will completely depend, yes our endeavor is to take it upward, we have already jumped by almost 300 basis points from 26 % to 29 %. We will endeavor to move further inch upwards as we move ahead. On the exports of motors front it is growing steadily it takes about two to three years as I explained earlier to everybody for getting customer approvals because this is a functional component. We have

received approvals from our customers and we are expecting to add two large customers within this financial year. On the sustainability of margins on the motor side it will completely depend on the product mix side in the percentage terms but yes there will be a definitely growth on the absolute number so BLDC motors they are little less in the margins, other than BLDC we are enjoying good margins so it will completely depend on what is the, but on the absolute number we are expecting a good growth. On net debt level we crossed that we closed the year at Rs. 588 Crores and I think we are expecting to close the FY2024 given the capex which we have announced despite of that by at least it will come down by Rs. 100 Crores, Rs. 250 Crores odd Crores in this financial year.

Moderator: Thank you. The next question is from the line of Sonali Salgaokar from Jefferies. Please go ahead.

Sonali Salgaokar: Sir thank you for the opportunity and congratulations on a great set of numbers. Sir my first question is regarding price hikes also with respect to the new BEE models that are there in the system now, so what is the quantum of price hikes that you have taken from January till now and also an extension to this question is the transition to the new BEE almost complete and have all channels now restocked the new models.

Jasbir Singh: Good morning Sonali and thanks. On the price hike, there has been no price hikes because the commodities, it is more or less stabilized now and BEE norms everybody has adjusted

all the inventories are well taken care of and it has been digested by the market so it is a new normal now .

Sonali Salgaokar : Understand. Second question any update on the PLI s please. You have received two PLIs one in the normal category , one in the large category , any update you would like to share at this point in time .

Jasbir Singh: We have crossed our threshold limits both on the incremental capex which was required and also the incremental sales so we peaked both the part of the PLI eligibility and we are eligible I think this financial year we expect to receive the first part of the PLI .

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Page 9 of 20 Sonali Salgaokar : On the incentive what is your strategy on that . Would you like to share it back with the brand owners or retain it with yourself .

Jasbir Singh: So we have not shared any incentives with the brand owners because there is no equity investments done by brand in the capex required by the government for getting eligible in the PLI and we are not sharing any part of the PLI with any of the customer.

Sonali Salgaokar : Sure thank you.

Moderator: Thank you. The next question is from the line of Madhav Marda from Fidelity International . Please go ahead.

Madhav Marda: Good morning. Thank you so much for your time once again. I completely understand that percent margins is not the right way to look at the business but if you look at the RAC division where you reported 284 Crores of EBITDA in FY2023 . so I think going to FY 2024 and FY2025 you did indicate that you know we can grow ahead of the industry but just how will the EBITDA basically shape up because last time there was a lot of volatility in some commodity cost, product mix shape etc. so going to FY2024 if you could give us some sense in terms of how the EBITDA overall will go .

Jasbir Singh: I think we are seeing a stability in the commodity cycle; I do not think there should be any further change in the commodity cycle and so we should be able to maintain what we are at but yes we expect to see some kind of operational leverage because capacity utilizations at our new plants are little less which will also add some bit of margins going forward.

Madhav Marda: Got it and just in terms of the ESOP cost that should be coming down like I am assuming that would have peaked out in FY2022

or FY2023?

Sudhir Goyal: So ESOP cost for the current financial year like FY2022 -FY2023 is Rs.27 Crores and the current financial year which is like financial year 2024 we are expecting it is around 18 to 19 Crores , it will start coming down over the period.

Madhav Marda: What is the capacity utilization at our plant. Currently is there like a blended number that you have or any broad sense you can give us that will be very helpful .

Jasbir Singh: Madhav each of the division is a different capacity utilization , about two greenfield facilities which we have just started , it was started in Sri City started in Q4 and we just ended up having 20 % capacity utilizations but this year we expect the capacity utilization to

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Page 10 of 20 go to at 35 % , 40% but other than that all the divisions are at different levels so on a blended basis I would say we should be at about 65% to 70 %.

Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora : Hi sir. Thank you for taking my question . I understand you will stop giving the volumes for the reason which you stated but generally in the last four or five years in the standalone side which is your RAC you have grown at 23 % , 24% CAGR . What could be the industry CAGR in that case.

Jasbir Singh: Industry has grown about 16% to 17 % CAGR .

Nitin Arora : What was the need of moving into the component side just a little structural question because one a company loses 400- 500 basis points of margin, you become a very thin margin company on the RAC from about 7% to 8% to 4% , so generally as a business call when you are increasing the market share if you would have lost it , you would have moved to the other business in terms of increasing your content when someone is gaining the market then what was the need of coming to the component where you are losing out in terms of even ROE and ROC . If you can throw some light , I understand as a promoter it is a long-term call but generally does not add up the call that we are not losing market share that is the only question sir. Thank you .

Jasbir Singh: First of all we should be very clear in what category of business we are in , we are a B2B company, we are not a brand , we are not a B2C company . In B2B businesses you need to be flexible in your approach to realign your strategies whenever a customer decides to shift its strategy . Our endeavor is to be thick and thin with the customers in their journey on long

term basis irrespective of their strategies to insource or outsource so earlier the market was moving towards outsourcing, it peaked to almost about 41 % of the industry was outsourced in FY2021 and then when the PLI got announced all the major customers decided to put their assembly units on their own. So, they plan to take everything in sourcing and the last year we saw that 41 % opportunity came down to 35%, this year our estimate is it will be as low as 30 % but they can come down to 25 %. Now in this shift how can you grow more than the industry, now that has been always our endeavor that we have to outnumber the industry in value terms so we shifted our strategy proactively looking and we became very aggressive on the component strategy because we can deliver 70% of our bill of material to a customer other than compressor and other than wiring harnesses and packing materials that is the advantage of Amber and through our 25 manufacturing locations we are present now in entire geography of India wherever you want and this strategy proved very well now
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Page 11 of 20 tomorrow imagine if this situation gets reversed we already have capacity for room air conditioners and we can deliver both numbers in the volume terms as well as in the component side whatever you want so we want to grow with you as a customer moving into

as you are moving ahead in the market share perspective so on the market share we have not lost even a single customer it is just the strategy has shifted, so if customer has taken their assembling in house we have started to find them components.

Nitin Arora : This is helpful sir, but generally as an outlook from here because your CAGR and EBITDA is a 3% you think this CAGR will start going up if the strategy is working well for you from a profitability?

Jasbir Singh: I will go in line with the industry growth as are we are growing.

Nitin Arora : Thank you very much.

Moderator: Thank you. The next question is from the line of Pankaj Tibrewal from Kotak Mutual Fund. Please go ahead.

Pankaj Tibrewal : Good morning Sir.

Jasbir Singh: Good morning Pankaj.

Pankaj Tibrewal : On the capex side, we have done a very aggressive capex over the last two years and as a result our assets turned and the shift in business suffered on the margin side and the resultant impact has been on the return on capital. Can you give us some sense on how you foresee in the next couple of years this metrics to start improving and what will contribute, a little more granular detail will be appreciated. Thank you.

Jasbir Singh: I think green shoots are visible in the last financial year results, 400 bps increase in the return on capital employed largely because of operational efficiencies and this will continue, we are not going for any large capex like we did last year, so we will be having more cash-free cash flows in hand and the operational efficiencies and the control on the inventories all put together plus the product mix change will help us to reach to 19%, 21% level in next two to three years' time.

Pankaj Tibrewal : Because when we look at the last few years you have done about Rs.1800 Crores to Rs.2000 Crores inclusive of acquisitions, capex everything but the profitability has not commensurately expanded accordingly so now you think that the capex cycle probably will
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Page 12 of 20 not be too that intensity and with whatever you are talking about on the industry and your growth should help you improve your return on capital is that the understanding right.

Jasbir Singh: Yes that is right and Pankaj on a practical basis out of the Rs. 700 Core capex which we have done Rs. 698 Crore, large part about 300 Crores capex has been done in February and March. That results have yet to come so if I minus that you know our ROC is if you calculate I have already touched 17.5% but we are not talking about that. There is lot of capacity whenever you put up a plant greenfield facility especially it is larger part of the building plan but the real operation leverage comes over a period of years so that is right understanding what you have said moving forward we are focusing on all the areas for improving the return ratio.

Pankaj Tibrewal : Because when we look at the reported number it still looks high single digit about 8.5%, 9% so there still seems to be a long way to reach that 18 %, 19% so I am not very sure that how that number of 19 % in next two years is coming through that means the asset turn needs to really improve from the capex which you have done.

Sudhir Goyal : Hi Pankaj, Sudhir here. How is it like 8% or 9% comes on the ROCE side.

Pankaj Tibrewal : Yes please. Capital expanded based on the overall.

Sudhir Goyal : We can connect separately and just see that how you have calculated the number because as per our calculation it is coming to 15% for the current financial year.

Pankaj Tibrewal : Okay let us connect it separately and take it forward.

Sudhir Goyal : Sure.

Pankaj Tibrewal : Last one . On the outsourcing part which you spoke about when you look at one of your competition and the ir AC

revenues have grown multi -fold over the last two years and that traction still continues to be very strong, what is the disconnect kind of we are missing out there, the competition is talking about aggressive growth numbers but on the other side we are saying that that percentage is coming down. Are we missing something from our understanding perspective?

Jasbir Singh: We are not missing anything P ankaj , we are just not onboarding lower margin businesses , it is a very cautious call which we have taken and that is the strategy .

Pankaj Tibrewal : Thank you.

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Page 13 of 20 Moderator: Thank you. The next question is from the line of Nikunj Gala from Sundaram AMC . Please go ahead.

Nikunj Gala : Good morning everyone , so I have a two questions firstly again on the ROC E part so you know few comments which you made that your blended capacity utilizations are 65 , 70, even if I adjust the capacity of Rs.300 Crores which came in February month from FY2020 base since our capital employed has more or less has become 1.8 times since and during this period our absolute EBIT , the absolute EBIT is the focus and not the percentage so on the during this period from FY2020 to FY2023 our absolute EBIT has hardly grown in tandem with the capital employed in the business so is it a right understanding that incremental the EBIT which is coming in is at a lower ROC than the earlier nature of the business .

Sudhir Goyal: Hi Sudhir here. If you see our capital employed it was 1,900 Crores in the last financial year and now grown to 2,542 Crores , a growth by 32% , whereas operating EBITDA improvement it is more than 60 % . I tell you I think where the calculation is going wrong from your side based on the face of the balance sheet so there is some investment , cash investment in the bond, equivalent to amount Rs.191 Crores which you might not be considering to calculate the net debt level .

Nikunj Gala: Okay because you know I was just looking like reported numbers at the equity side and even I was exploring the cash part but I take it offline to understand your 15% reported ROC E which according to our calculation comes hardly double the kind of a number okay and secondly .

Sudhir Goyal : We are not taking cash in hand.

Nikunj Gala : Even I was removing that part since that core capital employed in the business and this is on the net block since so even on the gross block it would be high single digit so in net block which currently we have highly depreciated one so at a gross incremental return on capital perspective I think it would be hardly double -digit kind of ROC E we would be making on the incremental capital employed .

Sudhir Goyal : So on the incremental capital employed like Jasbirji has mentioned that capex which we have done in the second half of the financial year, the green shoots of the same will be coming in the upcoming years, so it does not come in the same year like last part of the capex has been done in the Q4 as well . So you will see the better returns over the period and the latest capex will give you the more returns in the coming years .

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Page 14 of 20 Nikunj Gala : Just put it in a way different question than as of March whatever capacity of block we have since, assuming like whatever the block we have on FY2023 , what is the absolute EBIT you can generate on this block since.

Sudhir Goyal : Maximum EBIT that is very difficult, that need a detailed calculation to work on and give the EBIT calculation for the same but on the sales turnover like I said we can easily go there like from here we can reach around Rs. 9000 Crores to Rs.10000 Crores with the current capex base.

Nikunj Gala : Okay sure and just lastly in the presentation where you mentioned Amber 's value market share, the Amber sales which you

have mentioned are the standalone numbers . As per our understanding this standalone revenue used to contain some non-AC component sale also right .

Sudhir Goyal : This Amber sales includes RAC and RAC component . This Amber sales means Amber Group which includes RAC sale of Amber , RAC component sale of Amber , motor sales which used in the RAC , inverter PCB both for the RAC. This all includes complete RAC anything to do which we are offering to the customers.

Nikunj Gala : Okay so this is not the standalone because the numbers were exactly matching with the

standalone numbers so that is why I asked. It is not a standalone number right.

Sudhir Goyal : No no, it is not a standalone number.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia : Hi good morning sir. I wanted to understand about the PLI scheme. How are you going to book the incentive given that you have crossed the threshold limit, have you booked some incentives as it comes in this year itself or will they be recorded once you receive it in the next year?

Sudhir Goyal : We are following the accrual base of accounting, so incentive is already booked in the financials for the financial year 2022-2023, but since we have achieved that and since we have already filed the QPR as well with the government, so that has been booked in the books of accounts.

Aditya Bhartia : Understood and we have crossed the threshold limit in both the schemes, right?

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Page 15 of 20 Sudhir Goyal : We crossed both the threshold limits of capex as well as sales.

Aditya Bhartia : I mean for Amber as well as for the electronics business.

Sudhir Goyal : No, no. Electronics we took the first two years as a gestation period so FY2021-FY2022 and FY2022-FY2023 is the investment period only, so capex we have already done and crossed the actual limit, so first year of ILJIN that is electronic one for sales ratio will be the financial year 2024.

Aditya Bhartia : Sir I was just wondering given that our capex numbers have been higher than what it was initially being envisaged, if I look at the large investment scheme also under the PLI scheme that could have entailed an investment of Rs.600 Crores which honestly we have already done so why did not we then opt for the large team and opted for global investment scheme or at least our incentives could have been higher.

Sudhir Goyal : In the PLI scheme, the eligible capex is only the capex done for the component businesses not for the assembly line and not for the land and building as well because this Rs.698 Crores includes a large part of the land and building as well which does not fall under the PLI capital investment.

Jasbir Singh: And Aditya over to that what Sudhir has explained the large investment block comprises of compressor, copper and aluminum which we will not participate in.

Moderator: Thank you. The next question is from the line of Alok Deshpande from Nuvama Institutional Equities. Please go ahead.

Alok Deshpande : Good morning to the Amber team and congratulations on the good set of numbers. Just one question from my side so this year or probably over the past two or three years we have seen several new AC brands come in the market so I just wanted to understand in terms of the value market share gain that we have seen how much of this has been with those new brands as in can you share some number in terms of the number of brands that you are working with let say three years back and let say FY2023, some color on that.

Jasbir Singh: We have got about close to about 26 customers in the home AC category and they keep on shifting as per their market shares and as per their requirements so it is very difficult to answer your question on the newer brands.

Alok Deshpande : Okay and sir just one

question on working capital. How should we look at working capital going forward over the next two or three years?

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Page 16 of 20 Jasbir Singh: On our net working capital days, we are almost at 29 days from 39 days and I believe this is maintainable from 35 to 30 days.

Alok Deshpande : Sure. Thank you thank you so much.

Moderator: Thank you. The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: Hi. My first question on the outsourcing industry you said how it was 41% two years back and now with the PLI scheme it has come down to almost 25% in this year on that note and also you mentioned about the industry size growing at 10% to 15%, so on that note our outsource unit market share or industry that is becoming flat and how do we see to outgrow that for Amber.

Jasbir Singh: Let me give you again clear picture that we are a B2B player so we have to move accordingly, we have to realign our strategies according to the strategies of our customer. Now in our business model we have serious two large risks. First risk is the brands keep on exchanging market shares between them. Earlier from 2004 till 2011 LG was the undisputed leader, then Voltas became the leader, now we do not know who is going to be the leader in next couple of years. So our offering from that perspective is we are supplying

to all the major brands that shift does not impact us. Second is their strategy of insourcing outsourcing that can shift anytime that is we do not control, so whenever they want to shift their strategy to insourcing or outsourcing, we need to realign our strategy so it is irrelevant today to look at the numbers of volume terms. From our perspective from a B2B player perspective it is important to see are we growing with the customer or not. If I have done Rs.200 Crores business last year am I doing Rs.300 Crores business this year or not in case he is doing so that that is what we look at. How does it matter to us whether I am supplying 70% of raw material or 100 % of raw material, in finished good format, it does not matter to us. For us, the wallet share in the customer matters and the growth with the customer matters, that is what we focus on.

Anupam Goswami : Okay and how is that has grown with the same customer bill of material growth.

Jasbir Singh: Yes it has grown, that is how we have increased our share from 26 % to 29 % in the whole industry range.

Moderator: Thank you. The next question is from the line of Jayesh Shah from OHM Portfolio Equi Research. Please go ahead.

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Page 17 of 20 Jayesh Shah : Hi. Thank you for the opportunity. I just have one basic question. When you have shifted your strategy from outsourcing to insourcing with components and assemblies, in terms of absolute ticket size per customer I am talking of say unit value, does it go up or go down.

Jasbir Singh: It completely varies from customer to customer. If customer wants to supply, they want us to supply some assemblies also then it is almost on the same part because earlier they were supplying compressors so that is a pass through other than that we are supplying components in a separate bit it becomes almost similar but if customer chooses not to take all the kind of components from us, they want to take few of the components from us then it will reduce so it will vary from customer to customer.

Jayesh Shah : Understood and what has been generally your experience with your customers.

Jasbir Singh: Generally, experience, so I can give you example of one Korean customer when they took their business in-house, we were doing about Rs. 156 Crores business with them while supplying ACs but when they shifted their strategy to in-house today we are supplying them almost Rs. 600 Crores business

of components to them, so it completely varies because it opens up our door to many folds when we start supplying components, not only in their room air conditioner division but their other divisions also start buying components from us.

Jayesh Shah : That is helpful, so in another way do you look at value-add per customers which come to you or accrue to you as margins is it going up every year, is that how you look at your business.

Jasbir Singh: That how, that is the main part which we look at, that one is are we growing in tandem with their growth so if customer has grown by 20 %, are we growing more than that. If I am supplying, I was supplying one component to them and I am supplying three components to them today, my growth will be more than that with the same customer and plus the value comes in the bottom line what we are generating earlier and what we are generating today with that customer.

Jayesh Shah : So let's say your margin per customer, your top 10 customer has it remained constant or has it changed.

Jasbir Singh: No. it keeps on varying. It completely depends on the performance matrix, what kind of product mix they are wanting us to supply them so we need to be geared up to deliver them any kind of mix of components versus kits versus finished goods whenever they want, so that is the strategy and margins will keep on varying.

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Page 18 of 20 Moderator: Thank you. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur: Thank you. Congratulations to the team for great results. Sir first question is on the RAC growth. You have mentioned that RAC and component segment, company will outgrow the industry, now when you talk about say 10% to 15% kind of growth for the industry and higher channel inventory so generally we have seen some kind of lag in our growth when inventory is high in the system so what will drive our growth faster than the industry growth and will that be back ended since inventory is high or would be high in the first half.

Jasbir Singh : Largely what we do is we keep on horizontally deploying our complete range of components with the customers so for example I am supplying customer A only motors and heat exchangers, now this year I have started heat exchangers, motors I was already giving we have started supplying them sheet metal and cross flow fans so my offering to them

increases irrespective of their even if they do not grow my business will grow with them , so that is what we are doing with almost every customer , that is why we are saying that we will outnumber the industry.

Keyur: Okay okay so that commentary that is there in the presentation also that relates to the entire consolidated business or I thought this is the for standalone business where it mentions that will grow faster than the industry growth.

Jasbir Singh: Yes. This is on a standalone basis .

Keyur: Okay so basically even that also will be say driven by the component in the standalone business , faster growth will be driven by components .

Jasbir Singh: Yes. It can happen also finished goods . For us it matters that if for example customer A is growing by 20 % , are we growing 25 % with them or not so that is what we need to see.

Keyur: But you are confident of outgrowing the industry .

Jasbir Singh: Yes. Last year also everybody was skeptical about Amber that every customer of our side started their own factories who will procure material from Amber but we improved everybody that the strategies of de-risking is right and we have outnumbered the industry.

Industry has not grown by 60 % but Amber has grown by 65%.

Moderator : Thank you. The next question is from the line of Pulkit Singhal from Dalmus Capital Management . Please go ahead.

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of 20 Pulkit Singhal : Thank you for the opportunity and congrats on a good set of numbers . My first question is on the motor division. Can you help us understand what is the size of the industry , what kind of growth do you expect from the industry and what is the kind of market share that you have within the space, how many competitors are there and also what is the contribution of the AC motors?

Jasbir Singh: We are competing with Japanese company called Medak and then there is an American company called Regal Beloit, which was earlier GE Motors Marathon, they compete with us and of course a large part of motors continue to be imported from China . So large part of the competition is in from China not from India but on the overall size I think at 8.4 million numbers, the motors we sell is close to about 1000 rupees per AC so that is the market size we are talking of today of the complete , out of that almost 60% of motors are imported from China and other divisions.

Pulkit Singhal : So what kind of growth are you expecting sir?

Jasbir Singh: We are expecting close to about 30 % to 35 % growth in motor division, largely because we are expanding our offering not only in R AC but other part of heating ventilation and air conditioning products and also some bit of exports are opening up for us .

Moderator : Thank you . The next question is from the line of Vinod Chari from BOB Capital . Please go ahead.

Vinod Chari : Yes. I think my question has been answered . My question was similar to what was asked earlier in terms of your margin profile I think FY20 18 you are at close to 9% margins in the AC and component business , and now we have gone down to 6%, so again this is the same thing . It is like a structural margin that we are looking at these levels .

Jasbir Singh: Margins actually percentages of margins does not matter to us, so what matters is the absolute growth because we do not define what customer wants from us , we supply what they ask so their subassemblies can increase, their kits can increase, I mean for example if I am supplying a fully finished goods and in that compressor and heat exchanger is getting supplied by customer , I cannot demand a margin on that part of good, but my billing will be to a tune of close to complete AC but whereas in other cases on the component side you know so what we see is the blended basis of the absolute numbers with the same customer .

Vinod Chari : Because I think your component has grown at almost three times the rate at which the AC business has grown in the last five years so is that contributing to a lower margin profile is what I wanted to understand.

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Page 20 of 20 Jasbir Singh: No no, it is basically subassemblies , it is components , it is also electronics also . We have electronic division which is at about 4.5% EBITDA level so there are many factors which says diversified company today , so we have businesses ranging from 4.5% to 23% EBITDA levels .

Vinod Chari : Lastly on working capital . How is your working capital ex-Sidwal and what is Sidwal 's working capital .

Jasbir Singh: Sidwal 's working capital is actually it is 110 networking capital days, but on a console level it is 29 days .

Vinod Chari : Okay and what is the ex -Sidwal ROC that you have currently.

Jasbir Singh: We have not calculated that . We will let you know separately.

Vinod Chari : Okay.

Moderator : Thank you. Ladies and gentlemen due to time constraints that would be our last question for today . I now hand the conference back to the management for the closing remarks . Thank you and over to you .

Jasbir Singh: Thank you everyone for joining on the call . I hope we have been able to address most of your queries. For any further information , kindly get in touch with SGA , our investor relations advisors and have a good ahead . Thank

you very much .

Moderator : Thank you very much . Ladies and gentlemen on behalf of Amber Enterprises India Limited that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2023

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Date: 01.08.2023

To

Secretary

Listing Department

BSE Limited

Department of Corporate Services Phiroze

Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To

Secretary

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Mumbai – 400 050

Scrip Code : 540902

ISIN : INE371P01015 Scrip Code : AMBER

ISIN : INE371P01015

Dear Sir/Ma'am, Subject: Earnings Call Transcript for operational and financial performance of the Company for the 1st

quarter of financial year 2023 - 24

This is further to our letter dated 21 July 2023 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the Unaudited Financial Results (Standalone and Consolidated) of the Company for the 1st

quarter of financial year 2023 - 24, held on Wednesday, 26th July 2023 at 10:00 A.M. IST.

In this regard, we are enclosing herewith the transcript of the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentationhead/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,

Yours faithfully

For Amber Enterprises India Limited

(Konica Yadav)

Company Secretary and Compliance officer

Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises India Limited

Q1 FY '24 Earnings Conference Call "

July 26, 2023

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER AND WHOLE TIME
DIRECTOR – AMBER ENTERPRISES INDIA LIMITED
MR. DALJIT SINGH – MANAGING DIRECTOR – AMBER
ENTERPRISES INDIA LIMITED
MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER –
AMBER ENTERPRISES INDIA LIMITED
MR. SANJAY ARORA – WHOLE TIME DIRECTOR –ILJIN
ELECTRONICS (INDIA) PRIVATE LIMITED
MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER –
RAC & CAC DIVISION – AMBER ENTERPRISES INDIA
LIMITED

Amber Enterprises India Limited
July 26, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Amber Enterprises Q1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jasbir Singh, Executive Chairman and CEO and Whole Time Director of Amber Enterprises.

Thank you, and over to you, Mr. Jasbir Singh.

Jasbir Singh: Hello, and good morning, everyone. On the call, I'm joined by Mr. Daljit Singh, Managing Director; Mr. Sudhir Goyal, CFO; Mr. Sanjay Arora, CEO, Electronics Division (please note he is whole time director of our subsidiary ILJIN Electronics (India) Pvt Ltd. It was erroneously mentioned as CEO Electronics division) ; and Mr. Sachin Gupta, CEO of RAC Division; and our Investor Relations advisors, SGA.

We have uploaded our results presentation on the exchanges, and I hope everybody had an opportunity to go through the same. Quarter 1 of FY '24, which is usually a strong quarter for the RAC industry, was marked by unseasonal rains and weather patterns. Owing to the muted demand that industry witnessed, the channel inventories together elevated levels and is expected to come down to normalized level by end of quarter 2 of this financial year.

In H1 of calendar year '23, industry has declined by approximately in the range of 20% to 25%. However, we expect RAC industry to grow by 7% to 8% on a year -on-year basis for financial year '24, which augurs well for Amber. As mentioned earlier, we had anticipated the changing trends in the RAC industry and have created diversified solutions by expanding our offerings under components and subassembly segment.

I will now take you through the consolidated financial highlights. On the revenue front, for quarter 1 FY '24, revenue stood at INR1,702 crores versus INR1,826 crores in quarter 1 FY '23. On operating EBITDA, for quarter 1 FY '24 , operating EBITDA stood at INR138 crores versus INR131 crores in quarter 1 FY '23, a growth of 6%. Operating EBITDA margins for Q1 FY '24 stood at 8.1% versus 7.1% in Q1 FY '23.

Our component strategy, which led to product mix change, has helped to improve these margins during the quarter despite weak demand in RAC, owing to unseasonal weather patterns.

Operating EBITDA is before impact of ESOP expense and other nonoperating income and expenses.

Now moving to the divisional performance. RAC and Components division. For Q1 FY '24, revenue stood at INR 1,244 crores versus INR 1,439 crores in Q1 FY '23. For quarter 1 FY '24,

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operating EBITDA stood at INR 96 crores versus INR 86 crores in Q1 FY '23. Margins during the quarter improved on account of component strategy, which led to product mix change. RAC and Components division is expected to grow faster than the industry growth in FY '24. On Mobility Applications division, which includes Sidwal, for quarter 1 FY '24, revenue stood at INR104 crores versus INR95 crores in Q1 FY '23. For Q1 FY '24, operating EBITDA stood at INR21 crores versus INR26 crores in Q1 FY '23. Quarter 1 FY '23 margins had benefited from low -cost inventory base and hence not comparable with Q1 FY '24. However, sustainable margins of this division would be in the range of 20% to 22% at the current commodity

prices.

We expect Mobility Application division to grow in a range bound of 15% to 20% in this current financial year.

We are at last leg of receiving a large order in this division, which will take our order book to close to about INR 800 crores. On the Electronics division, which includes I L JIN and ever, for quarter 1 FY '24, revenue stood at INR 267 crores versus INR 208 crores in Q1 FY '23. For Q1 FY '24, operating EBITDA stood at INR 11 crores versus INR 9 crores in Q1 FY '23.

Electronics division has witnessed growth in revenues as well as operating EBITDA. Currently, a large part of the demand of PCB As for non -smartphone applications is fulfilled by imports . Government thrust to manufacture electronics locally present a multifold growth opportunity for this division. Electronics division is expected to grow in a range of 35% to 40% in FY '24.

On the Motors division, for quarter 1 FY '24, revenue stood at INR 87 crores versus INR 83 crores in Q1 FY '23. For Q1 FY '24, operating EBITDA stood at INR 10 crores versus INR 10 crores in Q1 FY '23. We were able to maintain our revenues and operating EBITDA owing to new product range introduced in previous quarters.

And Motor division is expected to grow in a range of 20% to 25% FY '24. Exports grew by 40% in quarter 1 as compared to previous years. With this, I would now open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Ravi Swaminathan from Spark Capital.

Ravi Swaminathan: My first question is with respect to the Electronics segment. We have seen very good growth in the segment in the first quarter of this year. Margins are somewhere in the range of around 5%.

Is there a scope for this to improve? What can be the drivers of improvement in terms of margins? And if you can talk about the growth drivers also for the segment slightly more in detail would be great.

Jasbir Singh:

Yes, this margin, you're right, is in the range of 5%. When we bought these companies, it was in the range of 3% - 3.5%. We are moving towards a 6% range, and that's what we guided that in the next two years' time, we should be getting those numbers. Because the reason is that the new orders which we are taking and the new applications which we are entering into are coming with a slightly higher margins and we are very bullish on this divisional performance as well as the future growth prospective of this division.

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When we bought this company, this was in line to air conditioners moving from fixed speed to inverters. But when we entered into this company, we saw that it's an ocean of opportunities, and we started diversifying it into various applications.

So today, apart from air conditioners, this division is serving refrigerator, washing machine, microwave ovens, water purifiers, fans and hearable, wearable and telecom sector, and we are also adding newer applications moving forward. So, we are very bullish about this division of ours.

Ravi Swaminathan: Got it, sir. Got it. Understood. And the second question is with respect to the mobility business.

So what are the large -- is there any large order opportunities which are there in the pipeline from metro side or other railway segment side which can kind of give in large orders to this particular category?

Jasbir Singh: Yes. Certainly, I mean, you must have been hearing a lot of news on the modernization of railway program and about 25 to 26 new cities where tenders are getting opened from urban development ministry for newer metro lines and the existing metro lines are also expanding. So, we are having two strategies here in this division. One is, of course, our HVAC offering has now moved to railway and then metros, and we are serving all most every customer in this range. And then we have

strategized to move into deeper wallet share within the existing customer by offering products like pantry systems, gangways and doors. So that is also moving fine for us. We have done two technology agreements with two companies, one is Canada based and one is a Taiwan -based company for the doors and gangways. We are hopeful to start getting orders in this category also. So larger aim and the long- term aim is to make Sidwal a multiproduct company in the rail subsystems category.

And moving into the line of India, which is a next 10- year story for railways and metros. So we are quite bullish on this division as well.

Moderator: Thank you. Our next question is from the line of Sonali S. from Jefferies. Please go ahead.

Sonali Salgaonkar: And congratulations on a great set of margins. Sir, my first question is regarding margins itself, about 7% -- more than 7% this quarter. You mentioned product mix changes. So could you give us more color as to what exactly were the product mix changes? And how sustainable do you foresee this margin trajectory to be in? Do you think the coming quarters can sustain at about 7% to 8% from here on also because of the PLI benefits coming in?

Jasbir Singh:

Thank you, Sonali, and good morning. Yes, the margins expanded, and the prime reason is that as we explained in the last couple of quarters that we are shifting our strategy towards more of components. That is what led to this margin increase. In both AC as well as non-RAC businesses, which we've added in the last couple of quarters, are paying dividends now.

On the percentage terms, I will again reiterate what I've always said that it is very difficult for us to predict the percentage of margins because of the high product mix which we carry as a

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solution provider. Yes, but we will maintain our guidance that on the absolute EBITDA basis, you will see a jump of 25% to 30% on the EBITDA level.

Sonali Salgaonkar: This is year-on-year for FY '24, right? Is there any pricing actions that you have taken in Q1 so far?

Jasbir Singh: No, there was no need of taking any pricing action because the commodities are more or less on the same level. So there is no change in the pricing.

Moderator: Our next question is from the line of Renu Baid from IIFL.

Renu Baid: I have two questions. First, you've highlighted various new emerging areas where we see developments coming towards companies expanding. So what kind of investments are you expected to do in the next 18, 24 months across these segments development?

Jasbir Singh:

Renu, we guided earlier that total capex for this year is going to be in line of INR 350 crores to INR 380 crores range. And that is primarily because of maintenance capex of all 27 plants, plus the R&D initiatives. And, as explained, that our divisions are now moving to different applications. So, we will need some capex in the divisional part also for expansion of our capacities for newer applications, which we want to address it.

Renu Baid: Sure. And the second question is on the growth side. While in RAC and Components, you mentioned you'll be growing faster than the industry. In the earlier interaction, you mentioned the industry may address to flattish or may decline for the full year. So how should we look at the RAC and Component business growth? And simultaneously mobility. When you're getting into many adjacencies, you're guiding for only 10% to 15% to 20% growth for Sidwal. So is that not slightly more conservative given addition of new capabilities and end markets that we are looking within the right portfolio?

Jasbir Singh: Yes. On the second question on the mobility side, Renu, basically, the newer applications, which we are getting into as a multiproduct company for train subsystems. That is doors, gangways, pantry systems will start paying dividend from next year onward

s.

So this year, we have already closed the TOTs. Now in the Phase I we are taking prototype orders. And then we'll be furnishing these prototype orders by quarter 4. And from next year, quarter 2 starting, we will start getting the reflection of this multiproduct strategy of ours in Sidwal.

We are expecting to double Sidwal revenue as well as bottom line in next two to three years' time. That's the strategy moving forward. On the room AC, what was your question? On the component side, yes, I mean, we are adding new customers on the component side. And also, because the customers have shifted their strategy to in-source largely we've been able to proactively change our strategy in tandem with the customer strategy. So that is what is making us more confident to deliver more than industry growth.

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So industry, earlier, we guided that our industry will remain flattish. But now looking at the July and the August order book and September order book, I think industry should come up to with a single-digit growth patterns by this year-end. And Amber to deliver more than the industry growth.

Moderator: Our next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, my question is a little follow-up. You mentioned about July sales. And you're looking at the growth, you expect about 7% to 8% growth in the RAC. If that so then Amber should be in the range of double-digit growth, let's say, 15% to 18% in RAC?

Jasbir Singh: It will be very difficult to predict whether it is 15% to 18%, but I think we should be at least 3% to 4% higher than the industry at least moving forward, looking into our strategy, which is moving.

Anupam Goswami: Okay. Okay. And so, sir, you mentioned about Sidwal growing double digit. So do we -- in the

multiyear product that we are mentioning, do we maintain the margins of about 20%?

Jasbir Singh: Yes. Sidwal maintainable margins are in the range of 20% to 22%. If you would have seen the last 4, 5 quarters, you know that it changes, varies from quarter-to-quarter because sometimes we have AMC contracts billing happening. Sometimes we don't have AMC billing happening. And then in other ways, there is a product mix of bus air conditioning, defense applications, plus metros and railways. So on a yearly basis, 20% to 22% is maintainable.

Moderator: We move to our next question. Our next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Sir, one question, primarily the split between ACs and RAC and Components. Could you talk about rough margins in both of them? Because we've seen a period 3 years, 2.5 years back, where our margins went from 8% to 6%. And again, in this quarter, we have jumped to 8%. So just for us to be able to understand this better, what is the margin in your RAC business and your component business approximately?

Jasbir Singh: Actually, this is a very company sensitive information, and we would not like to highlight on the complete vertical split. So we have a range. I can talk about the range. The range of finished goods to component varies from close to about 6% to almost about 9%. That is the range on which we supply various models, whether it is in goods or it is the component.

Pulkit Patni: Okay. This is helpful, sir. And can you talk about proportion in both of them?

Jasbir Singh:

Proportion, yes, RAC proportion is reducing now. You would have seen in the presentation also that I think from -- it used to contribute close to about 68% a couple of years back. Now only 48% is RAC in the complete consolidated balance sheet and more of it is components adding up.

Pulkit Patni: No, I'm asking in that standalone between RAC and components, what is the proportion?

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Jasbir Singh: Yes. Earlier, it used to be 70-30, but now we have

reached almost 50-50.

Moderator: Our next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: My first question is you mentioned in your presentation that industry is expected to grow by 7% to 8%. So I assume this is at a RAC and component level. So even if I take a 7% growth, sir, at the current market operating price, I come to a volume of about 9 million units. So sir, just wanted to understand, would we be able to do that kind of volume given that quarter 1 is already gone and it was a bad quarter.

Jasbir Singh:

Yes. We are in that that's about 9 million numbers. Because what we are seeing right now is the inventory getting liquidated in quarter 2. And generally, whenever this kind of trend happens because we've seen bad seasons 4 or 5x in our history of the last 22 years. So there's always a certain jump in quarter 4, which leads to a single-digit growth trajectory, and that is what should happen this year as well. So we are very confident that market should come to about 9 million. So industry should come to 9 million this year.

Natasha Jain: All right. And sir, just on the market share. So if we are expected to do a 3% to 4% higher than industry, would that mean your market share would come to around 31% in FY '24 from 29.4%. Can we expect that?

Jasbir Singh:

We should expect something big, I mean, good trajectory beyond 29% as we are adding more components and we've added more customers also in both components as well as in the (check right word) category. We should see that.

Natasha Jain: All right. Okay. And sir, my second question is on the Motor division. So we've been hearing throughout the previous call this segment is expected to show strong growth, especially on the back of exports. When I see the quarter numbers, it has not been a very high-growth area for us. So first, if you could just tell us the split between domestic and exports? And how do we see this segment going forward?

Jasbir Singh:

Earlier, the export was contributing in a single digit, 7% to 8%. But now export is contributing about 11% to 12%. And that's why I -- in my commentary, said that we've seen about 40% jump in our export orders in quarter 1 as compared to last year quarter 1.

So moving forward, we are expecting some good growth in quarter 1. But the reason why we are changing the guidance instead of 30% to 20% to 25% is because looking into the bad season right now moving on. And most of the customers, they have high inventory of this product category with them.

So even if they liquidate the inventories, the larger order book will start coming from quarter 3 and quarter 4 end. So exports will be positive for this division, and we'll continue to maintain the margins in which we are.

Moderator: Our next question is from the line of Karan Sanwal from Niveshaay.

Karan Sanwal: So my question was I wanted to understand the capacity utilization in our facility at a major consolidated level.

Jasbir Singh: Very difficult to answer your question, Karan, because we have five divisions and all the divisional capacities are at different level. But if I want to give you a gist of the divisional capacity utilization, I think if I talk about motors, we should be at about close to about 50% capacity utilization.

We've just moved into a newer factory last year in that category. On RAC, we will be again talking of about 50%, 55% capacity utilization because we did two greenfield facility expansions. And on Sidwal, in mobility application, we are at about close to 65% to 70%.

And in Components division, again, some of the components, we are at 65% to 70% and some of them we are at 50%.

Karan Sanwal: And my second question was I wanted to understand what percentage of raw material are imported and maybe which country contributing those, make that come to those imports?

Jasbir

Singh:

So on the imports of raw materials, as guided earlier also, you must have seen in our balance sheet that we pass on any price fluctuations on the raw material side to our customer at a quarterly lag basis. But yes, there is a big trend which is changing due to PLI, which is that the component ecosystem is getting built now in India. So we expect the larger objective of PLI was that the local value addition, which was currently at 25% in FY '21 should go to about 75% value addition in our country within the next 5 to 6 years' time.

And we are seeing that this trend will go to about 50% by next year itself. So PLI is playing its role of creating a component ecosystem. I think in the next 2 to 3 years' time, our import content should come down.

Moderator: We move to the next question. Our next question is from the line of Mr. Pankaj Tibrewal from Kotak Mutual Fund.

Pankaj Tibrewal: Can you give us some color on the balance sheet? How is it shaping up? And on the return on capital, the trajectory which we have been talking about, it will be a lot appreciated.

Jasbir Singh: Pankaj, as guided earlier that we already touched 15% of return on capital towards doing about 16% to 16.5% this year. And as guided earlier, I would like to reiterate that in the next 2 to 3 years' time, we should be in the range of 19% to 21%.

Pankaj Tibrewal: And any color on the balance sheet as we speak because interest cost has moved up quite substantially. So just some color on the overall balance sheet debt numbers.

Jasbir Singh: I'll ask Sudhir to answer this question.

Sudhir Goyal: So what kind of color you are looking for in terms of balance sheet? Like -- what exactly you want to know? Because these...

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Pankaj Tibrewal: Gross and net debt and the capex done in the first quarter and the cash flow. So if you can just help us on that.

Sudhir Goyal: For cash flow, we have not prepared still, but I'll give you separately after calculating the number of cash flow. But in terms of net debt, we have a net debt of INR788 crores as on June 30. And the capex done is around INR 40-odd crores in the quarter 1 (Please note Rs. 40 crores of capex in Q1 was on standalone basis).

Pankaj Tibrewal: And this year, you're talking about INR 350 crores to INR 380 crores of capex?

Sudhir Goyal: Yes. Yes.

Pankaj Tibrewal: Okay. Okay, fair. And just one kind of check back. This return on capital number, which you're talking about includes other income, right? That's how you get to 15% last year?

Sudhir Goyal: Yes. It is on EBIT. It is on EBIT line. Yes. So it is a cash line. It is like other income includes our interest cost and everything. So it is on the EBIT.

Pankaj Tibrewal: Okay. So you have included the other income.

Moderator: Our next question is from the line of Alok Deshpande from Nuvama Institutional Equities.

Alok Deshpande: First question is on the Electronics division. It's now at an annualized run rate of nearly INR1,100, INR1,200 crores. So any color you can give on what is the product-wise split within that electronics revenues?

Jasbir Singh: Right now, almost 30% revenue is coming from hearable and wearable and 70% is consumer durable. But we've started the small shipments in the telecom sector. So by year-end, I think the consumer durable and appliances sector should come to about 55% to 60% and 40% would be the other hearable, wearable plus telecom.

Alok Deshpande: Okay. And consumer durable is a mix of different products, I'm guessing different appliances you said?

Jasbir Singh: Consumer durable, we have AC, refrigerator, washing machines, microwave ovens, water purifiers and TVs.

Alok Deshpande: Okay. Understood. And just quickly on this quarter gone by. If you were to split this quarter into, let's say, two halves. Did the first half of the quarter 1 was something where you had

the

majority of the sales and later on, the sales were lower? Because you're talking about inventory sort of channel inventory being elevated in the channel. So I'm guessing the second half of the quarter would have been muted. Is that the right understanding?

Jasbir Singh: So generally, in quarter 1, if you see the previous year's trend also, the April month is the peak month, then it starts slowing down from last week of May and then it slows down in the June.

But this year, April itself was a dissuader because of the unseasonal rains.

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So I would say -- it was like a standard kind of a quarter for us where because of the rains, a lot of inventories were stuck because April, there was hardly any sales in the finished goods category. So there are companies who couldn't sale. They were down by almost 40%. There were some companies who were flattish. So on an average, industry was down by about 20% to 25%. That's how the elevated levels of inventories are there in the system.

Moderator: Our next question is from the line of Gunjan Kabra from Niveshaay.

Gunjan Kabra: I wanted to understand, I mean, you touched upon this point in the previous participant question. I wanted to understand that as all EMS companies who are giving confidence are doing a margin of, say, 15%, 17% in the component business. Maybe in PCB board supplying to consumer electronics. So what is -- if we are moving towards more on the component side and what kind of margins can we be and why is it? Like if we ramp it up, then how much can the margin increase? To what level can it increase is what I wanted to understand in the component business? And why are we doing it low compared to other EMS companies who are doing it? What would be the difference, I wanted to understand.

Jasbir Singh: So basically, there are EMS companies which have 4% EBITDA, and there are EMS company in electronic sector, which has about 11% to 12% EBITDA. It depends on which applications you are serving to.

So there are about 9 to 10 sectors where you can address or deliver these solutions in the electronic space, starting from the lowest margins in our sector, which is consumer durable and home appliances, then moving on further in the industrial and health care sector, it is more. In auto, the range is about 7% to 9%.

But if you start catering to defense applications and railway application, then it is 11% to 12%.

So we started this division by equity infusion 4, 5 years back, primarily because of air conditioners then when we saw that it's an ocean of opportunities, we started diversifying. So now what we are doing is, we are bringing in more applications. And that's the reason why we have guided that.

Margins will slightly improve in coming years to come. And as we continue to add more applications, we can also reach to that level, but it will totally depend on when we are able to track the customers in that range of higher-margin businesses.

Moderator: Our next question is from the line of Dhruv Jain from AMBIT Capital.

Dhruv Jain: Sir, I had a question on the [inaudible 0:32:08].

Jasbir Singh: Dhruv, you were not audible. Can you repeat your question?

Moderator: Yes, sir, please go ahead with your question. You're audible now. Mr. Dhruv, there seems to be a problem with your connection, I guess. Could you unmute your line, please? May I request the management that we move to the next participant.

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Our next question is from the line of Madhav Marda from Fidelity.

Madhav Marda: Just wanted to get -- I think you mentioned in the initial part of the commentary, but the RAC industry growth this year, how do you expect it to shape up through the rest of FY '24? Is my understanding right that Q2 could be a bit better than Q1 because Q1 was a lot impacted and then you're expect

ing Q4 to be a much better one as inventories normalize. Did I understand right?

Jasbir Singh: Yes. Basically, we are seeing some uptick in July month. And I think if the inventories get liquidated in quarter 2, then quarter 3 and quarter 4 should be positive. But quarter 4 will generally be positive.

We have seen this trend of bad seasons earlier also. I mean, within the bad season, this was the worst season which we saw.

But it bounces back. It's a strong comeback whenever this kind of thing happens. So CAGR of industry gets maintained. So I think we are quite bullish looking into the trend of sales of most of the large companies, we think that industry should come up in the 7% to 8% range.

Madhav Marda: And July, you think absolute volumes could be a bit better than what we've seen in Q1, like despite that being sort of the summer season?

Jasbir Singh: On secondary sales, yes, you're right, July would be a little better on the secondary sales part of it. Primary sales, I would not say because primary scale dealers are carrying inventory. So they have started selling those in July and August.

Madhav Marda: Understood Yes. And just second question on Sidwal, I think you did mention that there is a lot of traction in the end market, which we are seeing on the infrastructure side. So just how could the growth be here because there's so many new projects coming up on the railway side, metro side. So how Sidwal could benefit? Because what we understand you all do have very good market share in this space in India. So just your thoughts.

Jasbir Singh:

Madhav, I explained it earlier, I'll repeat it again. So we are following 2 strategies. One is, of course, we are penetrating deeply into the HVAC solutions for our customers. And then we are offering and graduating into a multiproduct company into the rail subsystems.

So we are adding some new products whereby our wallet share per car from a current level of about INR 20 lakhs to INR 25 lakhs will jump to almost about INR 75 lakhs to INR 80 lakhs. But

that is a gradual process. It doesn't happen suddenly. So we are very bullish about this segment and the division.

We expect this division to double in the next two to three years' time, both in top line and bottom line. And that's how the strategies are moving. And this year, we have already started supplying apart from HVAC units, we have started supplying pantry systems. And now we are getting prototype orders for doors and gangways.

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So next year, doors and gangways will also come into a larger category. I think that's how this division will move ahead to be a multiproduct rail subsystem company moving forward with the technology-led components.

Moderator: Our next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I have one more medium-term question. So given where we are seeing margins of some of the brands or OEMs, do you think there's a risk that the component manufacturing can also be brought in-house by them and thereby shrinking our target market or addressable market?

Jasbir Singh: Well, on the scale of 1 to 10, if we say that everybody will start manufacturing all the components, that's not possible. That's -- basically, what happens is we have customers who have only 20% of in-sourcing. We have customers who have just assembly lines and they buy 100% components outside. And we have component -- we have customers on the other side who are deeply backward integrated. So they will be at a level of 7 or 8 in the backward integration. But still, there is a lot of scope of component supply to even customers which are deeply backward integrated, we are still supplying components to them.

So it's just like auto story that if Toyota puts up a factory, they will do car chassis on their own.

They will do car bodies and they will do engines on their own, and future

may be battery packs

and control systems. But will they ever start producing tires and bumpers and steering wheels and seats or audio related systems or glasses.

So similarly, in our sector, when a brand or a customer puts up their own factory they generally go with the assembly line labs and heat exchangers or maybe injection molding machines and maybe some kind of other equipment. But largely or maybe compressors, which is not our addressable markets. But generally, we have seen all the brands like they buy something from us.

So our objective is that how can we continue to be a dominant share in the manufacturing footprint point of view. Today, we have about 29.4% market share in the complete value proposition, value manufacturing footprint. And even if you maintain this, it's going to be a good exponential growth from here on.

Indrajit Agarwal: Sure. That's helpful. Secondly, I know it will be different for different components, but on a weighted average basis, what kind of asset turn a new facility of greenfield facility generally enjoy?

Jasbir Singh: Well, different divisions are at different asset turns. If I talk about electronics, we'll be at asset turns of about 10 to 11. If we talk about mobility applications, our asset turns will be about 15,

12 to 15. If we talk about asset turns of air conditioners, especially in the assembly line, you can reach to 7, 8. But if you talk about complete backward integrated lines, the asset turns can be only 4. So it depends on which components you want to supply to. It varies from component to component.

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Moderator: We move to our next question. Our next question is from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: Sir, given that we are looking at an industry level decline in the first quarter. Can you give us some sense on how this has played out regionally in terms of the industry performance, given that you will be catering both on RAC and Components. So you have some sense of how a particular region has done.

Jasbir Singh:

Well we need to refer to the GFK reports because they are the one which comes out to proper region-wise, we don't monitor region-wide sales because we are a B2B company. So we supply to customers and then they supply further.

But what we are hearing from brands and from our customers is that North India was a big dissuader because of continuous rains starting from March and until now. So North is like a complete, what shocked the markets and. But otherwise, the West and East, we are hearing that this is going pretty well.

Rahul Gajare: Okay. So this is the continuation of the earlier question. Given that we've seen a fairly intense capex intensity over the past 5, 7 years, either directly or through acquisitions, et cetera. When do you think you'll be done with large part of the capex in terms of the growth capability that you had in mind? And therefore, what is the ROCE that you have in mind, which will be a more sustainable number that we can maintain?

Jasbir Singh:

Well, we've done pretty large capex in the last two years. We've almost spent close to about INR1,100 crores. This year, we have guided we'll be in the range of INR 350 crores to INR380 crores. And so a large part of the capex is over. We don't need any more greenfield facilities for air conditioners or for our motor division they are already shifted to newer plants. And also, we are doing some capex. But maintainable ROCEs in our sector on a long-term point of view is between 19% to 21%.

Last year, we did 15%. And this year, we are likely to cross 16.5%, 16% to 16.5%.

Moderator: We move to our next question. Our next question is from the line of Dhruv Jain from AMBIT Capital.

Dhruv Jain: Sir, just a clarification on the subsidiary margins on PLC and the electronics division. So you see a sequential decline. Should we assume

that margins will remain in this level or it should revert back to the earlier trend because in a couple of quarters for at least PIC, we've seen about 14%, 15% margins.

Jasbir Singh: So it will vary from quarter-to-quarter because we have some exports coming in and then there are different product mix we have. Again, I'll reiterate that please don't see the balance sheet in the percentages of margin. It's absolute EBITDA basis where one needs to see the B2B company like us.

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Because we have a high range of 5% to 22% of EBITDA businesses. So it's very difficult to say at what percentage. But yes, looking into the moving trajectory right now, like we have guided that Sidwal will be in range of 20% to 22%, Electronics will be about 5%, 5.5%, and motors will be around 9% to 12% range. So that is the range which we operate in the subsidiaries.

Dhruv Jain: Okay. And sir, we see a sharp sequential interest cost increasing. So -- and you are doing the INR350 crores to INR 380 crores sort of capex. So should we assume that in this year, we're not going to see any net debt reduction or debt levels will remain at the current levels?

Jasbir Singh: No, I think -- a lot of cash flows start coming in quarter 4, and we may reduce the debt by 50 to 100 range as per the business plan, which we have right now. So I think that looks doable right now.

Moderator: We move to our next question. Our next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: So one, with the industry likely to having a very muted growth this year. So do you see any impact from PLI benefits that industry will receive? Or is it fair to say that there may not be a real PLI benefit that the industry may receive this year? Also on -- particularly on our company side, the benefit that we received in FY '20, what is the likely budgeted PLI benefit that we made

in FY '24?

Jasbir Singh: So last year, we've maintained -- we've achieved the incremental sales required as per PLI. And this year also, we don't see an issue of reaching to our incremental sales part of it. There may be some companies who may not be able to do it. But as far as Amber is concerned, we are pretty much on track.

Aniruddha Joshi: Okay. So that's good to know. And if you can quantify the amount that we are likely to get.

Jasbir Singh: See, the total we have applied for INR 400 crores in the PLI. So we are one of the largest PLI applicants. And as per the PLI structure, which is there. In the next five years, we would be receiving close to about INR 270-odd crores as we move ahead.

So last year, incremental sale PLI benefit we should be receiving this year maybe in quarter 3 or quarter 4. And this year, PLI benefit after the balance sheet is final, will be received next year. So it will come until 2027, '28.

Aniruddha Joshi: Okay. Okay. So sir, fair to assume that we might be generating a benefit of around [INR 3 crores to INR 50 crores 0:45:41] in this year '24 and FY '23 also?

Jasbir Singh:

No, no. It is gradually increasing because there is an incremental threshold sales target defining the PLI. So in the first year, like it is for ~ INR 300 crores capex, it is INR 15 crores. Next year, it is INR 30 crores, then it is going to INR 37.5 crores. Like that, it is on an increasing trend because every year, the threshold of incremental sale is increasing based on the incremental capex.

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Aniruddha Joshi: Okay. Okay, sure. And the last question. The industry is likely has almost added now 3 to 3.5 pieces capacity. So do you see any margin impact that may happen in this time because everybody may like to increase the capacity utilized?

Jasbir Singh: Yes. I think there are 5 or 6 brands who are putting facilities. The others are not putting facilities. But --

so I would say the complete changeover of the landscape shift of in-sourcing, outsourcing has almost finished now. So the last leg is remaining by one customer who will be starting their factories very soon, probably by October. Other than that, everybody has started. And there's one more Japanese customer who is likely to start next year. So that's all. Otherwise, more or less it has settled.

Moderator: Our next question is from the line of Nirav Vasa from Anand Rathi.

Nirav Vasa: Just wanted to understand, can Sidwal provide air conditioning solutions for trucks? And how - and as government has mandated air conditioning for trucks, we intend to get into it?

Jasbir Singh: See, one impact is very sure that once the car drivers will start sitting in an air-conditioned environment, they will have ACs in their homes also. And once the AC starts penetrating into that community, you can see the exponential jump on room air conditioners to come.

Coming to your question on Sidwal getting into truck air conditioning system, I mean, we can give the solutions. We're right now giving solutions on the truck refrigerator, reefer parts. If somebody has to come with their older trucks and get it converted, we can do that. But we don't see that as a large business plan because the notification, which has come, is from 2025 onwards. And that is pertaining to the newer trucks, which will be sold. Newer trucks today also are getting sold with the air conditioned largely. The non-AC will be converted into the AC part. So what we are focusing is the truck reefer part as well as the bus air conditioning sectors.

Nirav Vasa: Okay, sir. And sir, the other question is pertaining to exports. So would it be possible for you to share updates on the exports that we can do in FY '24 across our standalone business and across each subsidiary?

Jasbir Singh:

Yes. So on the PICL side, as I explained, that export has moved up, and we are seeing a good traction. We should be doubling our exports probably in the next two years' time.

On the finished goods side of air conditioners, - with some customers we have reached the last leg of getting the BEE approval. The prototypes have already started. And next year, we should see some good -- volumes coming up for the finished goods also.

Nirav Vasa: And for Electronics?

Jasbir Singh: Electronics, we have not yet started any initiatives. Our division are busy in India itself. Probably they will create a global strategy once they are very stable in India and start because they are increasing their footprint into the South India. Now they have put up a brownfield expansion in Chennai, and they have done another expansion in Noida and they are bringing up more applications in the electronics side.

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So their strategy for next two to three years will be within India.

Moderator: Our next question is from the line of Mr. Pankaj from Affluent Assets.

Pankaj : Just wanted to understand, what is the total addressable market for us in EMS space? And how are we working on it?

Jasbir Singh: Well, on the EMS side, we can divide this answer into two categories. One is on the room air conditioner side and other side is electronics side. Electronics, you must have seen a lot of research reports that it's both import substitution as well as the domestic market, which is going into the electronic side.

Every appliance, every auto and every other sector are adding electronics into their products category, and that is where they place it. So it's -- on the electronics side, I think it's a ocean. It's right now close to about \$7.5 billion worth of PCB A's are getting imported in the countries. And if we even just do the import substitution category, then it's enough for everybody to get up in that space.

Pankaj : So what are we doing to increase the presence out there?

Jasbir Singh: Well, we are

adding customers. So -- and which is helping our nation to substitute on the imports as well as helping our company to grow into various applications. We started with air conditioners. But today, if you see air conditioner imports have almost rose in the AC category. So in the AC category earlier, 75% was inverter PCB was getting imported. Today, it has shrunk to almost about 20%.

So that is a big change which we have seen in our sector. Then we have graduated into refrigerator, washing machines and other sector, plus wearable, hearable and telecom sector.

Pankaj : Can you please give guideline how we are expected to grow, especially in EMS space?

Jasbir Singh: In the EMS space, we have already guided our electronic division is likely to touch 35% to 40% growth rate this year. Last year also, they grew by 70%.

Moderator: Our next question is from the line of Kaushik Mohan from Ashika Stock Broking.

Kaushik Mohan: So my question is basically on your railway segment. So I just wanted to understand as a business perspective. You sell the ACs under conditioners to the AC railway manufacturers directly or it goes to the government and then it goes to the person? What's the process?

Jasbir Singh:

It has actually two types of customers. One, we have Indian railways, where Indian railways have their own factories in Kapurthala, Chennai, Raebareilly And other places. And there are zonal railways also where they maintain and refurbish older coaches.

So we supply to all railway divisions. That is where we participate in tenders and we receive the orders and we supply directly to Indian railway factories. Then on the metro side, we supply to Amber Enterprises India Limited

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the train manufacturers, the metro car builders like Alstom and Bombardier or -- CRRC, or CAF, who are making the car body. So we have our customers in that category.

Kaushik Mohan: Got it, sir. Sir, the last question, how would the margins and the payment cycle from the government side for this division?

Jasbir Singh: Yes, we haven't seen any issues in the payment cycle. It's quite streamlined. It's a company which is sitting on a positive cash. In the metro side, we have payment cycle from 90 to 120 days. In railways division, it is starting from 60 to 90 days.

Kaushik Mohan: How about on the margin side, sir? Any guidance on the margins?

Jasbir Singh: Margin, on that division, we have already guided. We will maintain about 20% to 22% of EBITDA margins.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question of our question-and-answer session. I would now like to hand the conference over to Mr. Jasbir Singh for closing comments.

Jasbir Singh: Thank you, everyone, for joining on the call. I hope we have been able to address all your queries. For any further information, please get in touch with Rohit or Strategic Growth Advisors, our Investor Relations Advisors. Thank you very much. Have a good day ahead.

Moderator: On behalf of Amber Enterprises, we conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

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N

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Scrip Code : 540902

ISIN : INE371P01015 Scrip Code : AMBER

ISIN : INE371P01015

Dear

Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter of half year ended 30 September 2023 ('Q2 & H1FY24')

This is further to our letter dated 18 October 2023 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the unaudited Financial Results (Standalone and Consolidated) of the Company for the for the quarter and half year ended 30 September 2023, ('Q2 & H1FY24') held on Monday, 23rd October 2023 at 10:00 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentationhead/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,

Yours faithfully

For Amber Enterprises India Limited

(Konica Yadav)

Company Secretary and Compliance officer

Membership No. : A30322

Amber Enterprises India Limited

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises India Limited

Q2 & H1 FY2024 Earnings Conference Call "

October 23, 2023

Disclaimer: E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 23rd October, 2023 will prevail

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN & CHIEF

EXECUTIVE OFFICER AND WHOLE TIME DIRECTOR –

AMBER ENTERPRISES INDIA LIMITED

MR. DALJIT SINGH – MANAGING DIRECTOR – AMBER

ENTERPRISES INDIA LIMITED

MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER –

AMBER ENTERPRISES INDIA LIMITED

MR. SANJAY ARORA – DIRECTOR – ILJIN

ELECTRONICS (INDIA) PRIVATE LIMITED

MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER –

RAC DIVISION – AMBER ENTERPRISES INDIA LIMITED

Amber Enterprises India Limited

October 23, 2023

H1 FY20 24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jasbir Singh, Executive Chairman & CEO and Whole Time Director of Amber Enterprises India Limited. Thank you and over to you Sir!

Jasbir Singh : Hello and good morning everyone. On the call I am joined by Mr. Daljit Singh, Managing Director; Mr. Sudhir Goyal, CFO; Mr. Sanjay Arora, Director, ILJIN El

ectronics, Mr.

Sachin Gupta, CEO of RAC Division; and our IR Advisors SGA. We have uploaded our results presentation on the exchanges and I hope everybody had an opportunity to go through the same.

Amber over the years has evolved as a comprehensive backward integrated and diversified B2B solution provider. As you all must be aware that we started our journey from room AC sector comprising of window AC and then split and inverter s and further diversified into cassette air conditioners , ductables and package units of higher tonnages. Being backward integrated over the period we spread our wings in R AC and R AC components spreading into different geographies of India. Today we command 29.4% of manufacturing footprint of Indian room air conditioner industry. To gain an edge over the changing market patterns from fixed speed AC to inverter ACs Amber in the year 2018 ventured into the world of electronics by acquiring ILJIN and Ever and became a market leader in inverter air conditioner segment. As we graduated in our skills and knowhow of electronics, we learned that electronics is an ocean which needs to be explored. In the past five years a stint which started from inverter AC has now diversified into providing solutions for home appliances, consumer electronics, hearable and wearables, telecom and automobile segments. Recently we entered in a joint venture with Nexxbase Marketing Private Limited having its brand named 'Noise' to undertake the manufacturing, assembling and designing of wearables and other smart electronic products , thus contributing strongly towards Make in India initiative, which will help reducing import dependency, promoting top tier manufacturing, and positioning India as a global hub for industry-leading wearable technologies across various categories .

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Page 3 of 19 Being number one smart wearable brand in India and 3rd globally , 'Noise' in-depth understanding of the category combined with ILJIN's expertise in manufacturing , resources and innovative capabilities will help build a world class manufacturing ecosystem in India while contributing significantly to the burgeoning growth of the entire category .

Going forward we clearly see our electronic division becoming number 2.0 strategy having exponential growth opportunities in the year to come.

Furthermore, to expand our addressable market in heating, ventilation and air conditioning segment, we acquired Sidwal during the year 2019 to cater the mobility infrastructure of country, which includes railway s, metro, bus and defence. Sidwal being a pioneer in all indigenous roof-mounted air conditioners for rail coaches carved out a niche for itself by developing top of the line products over the decades. Post acquisition we ramped up Sidwal facilities, expanded R&D capabilities and enabled Sidwal to cater different applications of metro, railways , HVAC solutions for new age application trains like Vande Bharat Express, Metro ACs, and trains like R RTS (Namo Bharat). Today , Sidwal is the leader in mobility air conditioning space and is further turning its wheels by expanding its footprints into railway sub system space while introducing products like doors, gangways and pantry systems, hence enabling Sidwal to increase its wallet share in the bill of material of passenger coaches. With Indian government launching its plan of modernization of Indian Railways by launching new Vande Bharat Express and Urban Development Ministry to have new lines in the new cities and existing metro lines to expand their network, exponential growth opportunities are unfolding for Sidwal. We are currently inching towards finalization of our first global order for Sidwal products and this division is also set to become Amber 3.0 strategy going forward. We also feel pride in sharing that Sidwal has also been a p

art of recently inaugurated New R RTS Delhi -Ghaziabad -Meerut Corridor

Journey to be known as Namo Bharat where it manufactures air conditioner systems for the train.

Looking into the current business and manufacturing landscape change in last couple of months we have witnessed the customer demand getting fragmented into various forms like individual components, modular kits, finished products, sub assemblies, hence we at Amber now onwards shall be doing a reporting in three divisional formats for the sake of simplicity and for our own focused approach we shall be looking towards three divisional concepts thereon. As explained above, all the three divisions, consumer durables which comprise of room AC finished goods, room AC and non-room AC components, this is one division. Second division is electronics division and third is railway subsystem and mobility, and all have multifold growth opportunities going forward.

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Page 4 of 19 I will now take you through the consolidated financial highlights. On the revenue front for H1 FY2024 revenue increased by 2.1% to Rs.2,629 Crores versus Rs.2,576 Crores in H1 FY2023. We have reported revenue of Rs.927 Crores in Q2 FY2024 versus revenue of Rs.750 Crores in Q2 FY2023.

On operating EBITDA on H1 FY2024 operating EBITDA stood at Rs.203 Crores versus Rs.182 Crores in H1 FY2023 a growth of 11.5%. For Q2 FY2024 operating EBITDA increased to Rs.65 Crores compared to Rs.52 Crores in corresponding quarter last year. Operating EBITDA is before impact of ESOP expense and other non-operating income and expenses. Operating EBITDA margins for H1 FY2024 stood at 8% versus 7% in H1 FY2023.

PAT of H1 FY2024 stood at Rs.41 Crores versus Rs.41 Crores in H1 FY2023. For Q2 FY2024 PAT loss stood at Rs.6 Crores versus loss of 2 Crores in Q2 FY2023. Increase in depreciation on account of capex incurred and finance cost increase due to increase in debt and higher cost of finance which led to increase in PAT loss.

Net debt of September 2023 stood at Rs.956 Crores from Rs.662 Crores in September 2022 we expect this debt number to come down to in the range of 650 to 675 Crores by the financial year end. Working capital days for September 2023 stood at 52 days as compared to 39 days in September 2022 and we also expect the net working capital days normalize by Q4.

Overall capex for H1 FY2024 stood at 149 Crores and we plan to incur a total capex in the range of Rs.350 to 380 Crores in the current financial year.

Coming to divisional highlights we shall now take you through all three divisional highlights which are as follows.

Consumer durable division: In consumer durable division the room AC and the component segment, for H1 FY2024 revenue for this division increased to Rs.1,744 Crores versus revenue of Rs.1,797 Crores in H1 FY2023. Operating EBITDA stood at Rs.114 Crores versus 99 Crores in FY2023. For Parvartaka, we have setup a new facility in Chennai which is in process of scaling up for Amber PR (cross flow) division we have expanded in Pune which is also in the process of scaling up.

We have witnessed a mixed trend for the first half of this financial year 2024. Q1 which is usually a strong quarter was impacted by unseasonal weather patterns resulting in increased inventory levels. However rising temperatures and festivities on the anvil got the demand

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Page 5 of 19 back and have helped in liquidation of inventory thereby leading to almost normalized levels of channel inventory. We anticipate a year-on-year growth in the single digit for the room AC industry in the fiscal year 2024 which bodes positively for Amber.

In this consumer durable division we have a motor segment. On the motor segment for H1 FY2024 revenue stood at Rs.135 Crores versus Rs.130 Crores. Operating EBITDA stood at

Rs.13 Crores versus Rs.15 Crores in FY2023. Our profitability was slightly impacted a bit here due to increase of employee cost owing to inflation. However, for motors division we expect exports to increase in the coming quarters and further expect the industry to grow in the range of 25% to 30%.

Coming to electronics division: On the electronics division which includes INJIN and Ever we have performed phenomenally well, revenue for H1 FY2024 increased to Rs.515 Crores from Rs.449 Crores in H1 FY2023. EBITDA increased to Rs.24 Crores versus Rs.17 Crores in H1 FY2023. The division has witnessed growth in revenue, operating EBITDA as well as PAT due to product mix and growth of existing customers. During the quarter gone by ILJIN entered into a JV with Noise this JV will be 50% owned by ILJIN and 50% owned by Nexxbase and we will have a new plant setup in Noida. To begin with, ILJIN will develop local comprehensive integrated solutions in the wearable space and further intend to move into other electronic products. This is an exclusive tie-up with Noise and going forward this

JV will be catering to other brands as well. In FY2023 ILJIN did revenue of close to Rs.1100 Crores which included Rs.330 Crores of wearable segments. With this JV going forward we expect additional Rs.1,000 Crores topline by next fiscal year in this JV and a capex of about Rs.10 to Rs.15 Crores and expect margins to be in the line with industry. Further we have also added customers in telecom, automobile and hearable space in this segment. As mentioned during our prior discussion a significant portion of the PCB A required for non-smart phone applications are currently met through imports, the government's commitment to promoting domestic electronic manufacturing offers a significant potential for the substantial growth and we anticipate a growth rate of 35% in FY2024 for the segment. We also expect this division to increase its margin going forward. We are targeting an EBITDA margin in the range of 6.75% to 7% range and doubling its revenue over the base of FY2024 year-on-year base in next two years' time. Coming to the third division railway sub-systems & mobility. On the mobility applications the H1 FY2024 revenue stood at Rs.235 Crores versus Rs.200 Crores in H1 FY2023. For H1 FY2024 operating EBITDA stood at Rs.52 Crores versus Rs.51 Crores in H1 FY2023. The division has witnessed growth in revenue, operating EBITDA as well as PAT due to growth in the current operating segments. We are adding new product categories for metro.

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Page 6 of 19 coaches which include gangway, doors, pantry system, and HVAC system. Due to our recently announced technology transfer agreements, we have started receiving orders for the new product categories and we are glad to share that the order book of Sidwal has significantly jumped and now stands at Rs.1,140 Crores. We expect mobility application division to grow to in the range of 25% in FY2024 and double its revenue in the next two financial years.

With this I would now open the floor for Q&A.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain : Good morning gentlemen and congratulations on a good set of numbers. My first question is on electronics side. Why do we have a robust commentary for this division and have also delivered good growth in terms of margin, our topline for this quarter has been quite tepid at 3% and on the Q-o-Q basis it has been declined, so since this is a non-seasonal segment and our historical trend has been quite good, so why only a 3% growth that is my first question?

Sanjay Arora : So, such growth is mainly due to the muted growth in the AC segment like electronics division we supply a lot of controllers and

and the AC season was quite damp this time and it also affected the growth, so that was the main reason of the less growth in the electronics.

Natasha Jain : Would it be possible to give a breakdown for electronics in terms of telecom, hearables and wearables, automobiles and PCB A that will help?

Jasbir Singh : Anyway Sanjay we can send it to Natasha later on the breakup of the four segments within the electronics division.

Natasha Jain : Alright. Thank you so much Sir. My next question is on the consumer durables segment. First of all, has there been any price discounting which you may have taken as an ODM for the brand?

Jasbir Singh : Price discounting?

Natasha Jain : Yes. Has there been any price discounting or any discounts that you have passed on to the OEM players?

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Page 7 of 19 Jasbir Singh : No, there is no price discounting which we have passed on to any customers. The commodities now have eased off so that is a quarterly lag basis, whatever the impact is that will automatically get transferred.

Moderator : Thank you. Our next question is from the line of Dhruv from Ambit. Please go ahead.

Dhruv : Hi, Sir. Good morning. I had a couple of questions. First was on the electronics side just to build on the last participant's question, so we have seen a tepid growth and while you have given a guidance of close to 35%-40% growth in the full year, so do you think you can continue the momentum in the second half will we see a better number there also?

Jasbir Singh : Yes. We have added new applications in this sector. We have added auto EV space. We have also added wearable and hearable customers and telecom business which we just onboarded in Q1 has started, so we expect that we should be able to match in the range of 35% growth for this division.

Dhruv : On the standalone side we have seen a strong growth; however, I think Sanjay Ji made a comment that the AC season was tepid so that growth that we have seen was it on account

of a newer customer just trying to connect, I think there is a little bit of disconnect in that sense ?

Jasbir Singh : Multiple reasons too, new customers, new applications, and new products.

Dhruv : Can you just elaborate a little bit on these new applications per se ?

Jasbir Singh : For the new applications which I spoke like we have added telecom sector components, we have also added telecom products in the electronics division, then we have added auto EV space, we have added some customers in the hearable and wearable space, so all these put together plus there are some customers, which have been added in the refrigerator and washing machine space, so all put together is giving us this growth.

Moderator : Thank you. Our next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar : Good morning Sir and thank you for the very detailed earlier commentary during the call.

Sir just two questions firstly any update on PLIs, the two that we have received for AC components and secondly for Nexxbase you did mention that about Rs.1,000 Crores additional revenue just to clarify this Rs.1,000 Crores will be for the JV as a whole, so we will be taking about 50% of that or 50% is equal to Rs.1,000 Crores for us ?

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Page 8 of 19 Jasbir Singh : No, the JV will have total 1000 Crores and since it is a 50 :50 JV we will not be able to consolidate it in revenue, it will be a separate revenue which will be booked on the new company and we will be able to consolidate the PAT on the 50% part of it. As far as your first question is concerned regarding the PLI we are eligible in the PLI. PLI audits have started, a couple of factories have been visited and we expect that maybe by Q4 we should start receiving the PLI benefits .

Sonali Salgaonkar : How much

incentive we are expecting in FY2024 and FY2025 if we can share that ?

Jasbir Singh : So, for the first year it was about Rs.16 Crores and this financial year we expect the incentive to be in the range of about Rs.28 to Rs.30 Crores .

Sonali Salgaonkar : Understood. Got it. Thank you Sir.

Moderator : Thank you. Our next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia : Hi, good morning, Sir. My first question is on the electronics side how we really looking at this vertical, would it be an extension of what we have been doing until now or can it be completely different, a foray into even industrial application, defense, aerospace, are all options open or are we looking to be specializing in certain fields within the electronics space?

Jasbir Singh : No, since we have now learned the electronics space and we are expanding our knowledge base, so we are very open, we have taken two pronged strategy one is to increase our margins because we started with our lowest margin businesses available in the PCB A which is the consumer durables part whereas the defense and aerospace and the railways and industrial is the higher margin businesses, so we are inching towards that. So, as you see we started with consumer durables, then we entered into telecom, then we added a hearable, wearable and now we have added auto EV space. So, we will continue to grow in the space of PCBA applications while increasing our margins, and we also intend to backward integrate in the component space moving forward, which will strengthen our moat in this division. So we are seeing this as Amber 2.0 story like what we did in air conditioner we started with manufacturing just a sheet metal box of air conditioners and then started producing air conditioners and then backward integrated and today we can deliver 70% of bill of material of air conditioner including the full boxes. So similar strategy will be followed over the years in this division and we are very excited. I think this division has the potential to surpass room AC division in three to four years' time .

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Page 9 of 19 Aditya Bhartia : You spoke about I think 6.5% -6.75% kind of margins. Given the kind of mix that we are having today how those margins are going to be attained because I understand that room AC, your consumer durables is slightly on the lower side in terms of margins even possibly wearables and hearables could also be a similar margin or is my understanding incorrect?

Jasbir Singh : You are correct, the consumer durable space will continue to be lower margin space, but since we are adding new applications which are at a higher margin that will grow this division's performance to a better margin and we are intending to backward integrate into some components which are at a higher margin space. So consolidated basis you will see this division going to almost about 6.75 % to 7% range. When we acquired this company it was just 2.8% EBITDA company and it is already inching towards 5% now and we will continue to grow the margins.

Moderator : Thank you. Our next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.

Onkar Ghugardare : Good morning. My question was regarding you mentioned about doubling of revenue from FY2024 for electronics division in two years and doubling of revenue in two years for railway systems and mobility division as well. I just wanted to know what is your long-term strategy on both these, you are mentioning 2.0 for electronics and railway sub system 3.0 for Amber, just wanted a broad long-term view on these two aspects?

Jasbir Singh : The broader long-term view is that these divisions will be heading for a very independent growth and have a potential of becoming as big as Amber is today, going forward. So it is very simple strategy which

we have opted. We actually acquired into adjacencies and then we have grown those divisions into various applications. In electronics like I have explained that we have already entered into four applications now we are adding some more applications in that plus we are going to backward integrate into component space of the electronic PCB A part, which will help us both topline growth as well as the bottom line growth. In the Sidwal the mobility division, when we acquired this company was a small company and the EBITDA margins were also less so we have already traveled a journey in last three years from 16% EBITDA to almost 22% EBITDA and grown the topline by almost three times in last three-and-a-half, four years. What we are going to do next is that today we are contributing only 4% to 5% of the bill of material of the passenger car. Now if you can imagine the kind of orders which have been floated by the Indian Railways for new Vande Bharat Express trains and also by the Urban Development Ministry which has already shortlisted 25 new cities to have new metro lines and the existing cities having metro lines are going to expand its network. There is an opportunity, huge opportunity which has come for the complete railway application passenger coaches, which is called Amber Enterprises India Limited

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Page 10 of 19 rolling stock. So, in rolling stock, if you see we currently are giving a solution of only 4% to 5% of our bill of material. So, we to become a meaningful supplier in the whole railway subsystem we have now started our growth story for getting deep dive into the bill of material for increasing our wallet share with the existing customers. Now how do we do that? We started forging our alliances by signing technology transfer agreements. We have done two TOTs, one with Taiwanese company and another one with Canadian company for doors and gangways and we have developed Pantry systems. So today we can offer 10% of bill of material in a passenger car to a customer. So from 4% we have reached to 10% and moving forward we are going to further do some more alliances and we wish to reach to 25% to 30% of offering, becoming a multi product company in the railway sub-system's part. So, within India there is a huge growth opportunity. There is a growth opportunity in the global space as well, so we are excited with these complete growth opportunities coming for this division and by forming alliances by TOTs for JV we will reach to a 30% offering of a bill of material in next two to three years' time, and that is how we are very confident that we can double the revenues from current levels and also increase some margins.

Onkar Ghugardare : Just one number I wanted for FY2023 what was the revenue of electronics division and what was the revenue of railway sub-systems?

Jasbir Singh : So, FY 2023 revenue of for electronics division was Rs.1,100 Crores plus and for Sidwal it was Rs.422 Crores.

Onkar Ghugardare : Thank you very much.

Moderator : Thank you. Our next question is from the line of Arafat from InCred Capital. Please go ahead.

Arafat : Hi, Sir. Thanks for taking my question. My first question is on capex. Last year you invested almost Rs.750-odd Crores and this year also you guided for Rs.350-odd Crores investment, so I just want to know which are these areas we will be investing, of course it is a non-AC more about a hearable and wearable, but again if you can guide on that and again what asset turn you are expecting on a longer-term with this investment?

Jasbir Singh : So, we will be investing in all the three divisions, largely investments are happening in electronics division and the mobility division plus this complete Rs.380 Crores includes the maintenance capex of all 27 plants. It also includes the R&D capex and some new products which we are developing for the room air conditioner division.

on. So, in total we will be

reaching currently. On the return side as guided in the markets earlier also we will repeat.

Last financial year we have done about 15% ROCE and we expect ROCEs to jump to about Amber Enterprises India Limited

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Page 11 of 19 16% plus this year and as guided earlier we will again maintain that guidance that we should see Amber on a consolidated basis delivering a 19% to 21% ROCEs in the next two to three years' time.

Arafat : My next question is again on the PCB A side let us say you are now have the AC PCB A, refrigerator , television and all, has there any plan to enter like you said high growing area like aerospace , defence and medical in that matter so any plan to enter that segment heavily Sir?

Jasbir Singh : Certainly , there is a plan to enter into various applications of PCB A. If you actually strip down the availability of the PCB A applications, almost about 8 to 9 sectors are prevailing.

So first of all on the bottomline point of view, the top bottomline contribution is aerospace and defense and then comes the railway, then industrial, then telecom sector, then automobile sector, then healthcare sector is there and hearable & wearable and consumer durables. So, we started our journey from consumer durable appliances side. We are inching into adding some new customers, new applications. We will continue to do more applications in this division. It will take time. Defense and aerospace is a little longer time duration because their testing periods' time, validation assessments takes long time, similarly is the case in the industrial and railways, but yes we have initiated our processes.

Moderator : Thank you. Our next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Sir, thanks for the opportunity. Now we are seeing most of the brands are sitting at their own facilities so do you see any impact on the industry and on us considering there will be likely excess capacity in entire air conditioner as well as components manufacturing , also what is current industry capacity versus what is it likely to be let's say after one, one-and-a-half years when most of the new plants will come on stream and what is Amber's strategy to tackle the steep increase in industry capacity as well as the likely competitive pressures that may emerge post this capacity? That is it from my side.

Jasbir Singh : So the brands basically started investing in their own capacity from year -and-a-half back and most of them have started their facilities. Only two customers are pending to start their facilities probably I think in Q4 and one customer will start and by FY 2025 one Japanese customer will start. So , the depth has already been settled with this landscape change of complete insourcing versus outsourcing by some of the brands and we have already aligned in tandem to their strategy towards moving into more component supplies rather than finished good supplies and we are seeing some benefits out of our strategy which we focused on. Moving forward I think there is no more announcements coming up from any
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Page 12 of 19 brands for putting up new facilities . Yes, you are right , industry will sit on a little bit overcapacity for maybe two to three years' time because recently anybody who puts up a factory they do not put up a factory, only just considering year or two years' time it is a good horizon which they take. So for coming two to three years' time we will be seeing overcapacity in the industry, but our strategy is to supply them components whichever brands have started. So whichever company started their factories we are giving them components from various geographies. Whether in North , West or South, we have plants all over place and we can deliver 70% of the components

which goes into air conditioner . Our

wish list is that everybody buys all those 70%, but had that been true we would be sitting at 70% of our market share, but today we are at 29.4% of the manufacturing footprint of AC. I think we are excited by the growth of this whole sector. In the last five years the room AC volumes have jumped from 4.2 million to 8.5 million it has doubled and in the next five years also there is expectation of more than doubling than this, so we expect 8.5 million number to go to 20 million number and exports are also starting happening from India. So , for Amber it is a manufacturing footprint which we see as addressable market where we think that there is a lot of growth . Even maintaining the market shares which we have, we should see a decent growth coming out of this division.

Aniruddha Joshi : Sure Sir. Very helpful. Thank you.

Moderator : Thank you. Our next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : Hi. Good morning, team. My first question is to understand that while we have embarked on pretty aggressive growth in both mobility as well as electronics business . As a company what are we doing to build capability with respect to team people and what kind of capacity expansion in yours is required to double these revenues in the next two years? That is the first question.

Jasbir Singh : The divisions are already headed by professional CEOs and they have a complete team in place. As we are expanding our applications , we are enhancing our team strength at the senior level as well as at the bottom level and this is happening at both the divisions and we

are taking proactive approaches because we know which divisions, which applications we are entering into so there is a proactive approach on the team strength which is happening and few of the members have already joined in. On the capex side Sidwal will be bringing up a new plant moving forward, since already we have entered from single product category to multiproduct category. Now we are giving solutions not only in air conditioner space, but for the doors and gangways and pantry systems and moving forward we are also entering
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Page 13 of 19 into further components in the railway sub-systems. So there will be definitely, Greenfield expansion and Brownfield expansion both happening in both the divisions moving forward.

Renu Baid : Capex that you have broadly outlined at this point in time even if it is slightly rough in terms of broad estimate?

Jasbir Singh : In ILJIN if I talk about, I think the capex outline is already there because we are a PLI participant, so we are doing capex in that. We will be doing about Rs.75 to Rs.80 Crores capex in ILJIN and Ever and we expect slightly lesser capex this year in Sidwal, but since the applications are getting addressed by next financial year, maybe next financial year, we will come up with one Greenfield facility, which will include about the capex of close to about Rs.80 to Rs. 100 Crores next year.

Moderator : Thank you. Our next question is from the line of Nirav Vasa from Anand Rathi. Please go ahead.

Nirav Vasa : Hello Sir and thank you very much for the opportunity. My question pertains to the debt part. As I look at in Q2 FY 2024 the gross debt of the company is close to Rs.1,450 Crores, wanted to understand what can be our peak working capital requirement as we get in the peak summer season because this gross debt to equity ratio is quite close to net worth of now almost Rs.1,956 Crores and since we have aggressive plans going forward as well, how do we intend to fund them?

Jasbir Singh : So, one is that you are seeing from the gross debt side we have close to about Rs.400 odd Crores sitting in investments in fixed deposits and bonds, so net debt is a little less than Rs.1,000 Crores and as explained during my commentary that we expect this debt to be in

the range of Rs.650 to Rs.675 Crores by the March end. This is a general trend in our industry and this year because this was a very poor season for air conditioners, a lot of inventory was piled up which was supposed to be paid on time and hence the debt got increased but as the inventories are getting liquidated it will come down. So internal accruals are very strong if we see from next two years perspective as we have guided that there is a likelihood of doubling our revenue in two divisions and the percentages are also getting increased, so internal accrual is good enough for catering to the needs of the capex requirements of the company.

Nirav Vasa : Any update on the current scenario and the growth rate that you are expecting for the domestic room air conditioner industry, would it be possible for you to share any kind of volume number that you are targeting for domestic air conditioners and what can be the
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Page 14 of 19 number for exports that we can look in terms of volumes in the forthcoming part of the year? Thank you.

Jasbir Singh : See I can talk about the industry as such because our landscape has shifted because we are largely now supplying components, sub-assemblies, semi-knocked-down kits and room air conditioner as such. I think industry did about 8.5 million last year, so we expect the industry to be in the range of 8-9 million this year. If all goes good by Q4 all depends on how the summer season spans out to be. So, we expect a single digit growth in the room air conditioner sector at least in this financial year, Q1 was a negative by 20%-25%, but we are seeing some makeup being done in Q3 and Q4. So, I think industry should be largely flattish or maybe in a single digit growth kind of a category of the room air conditioner part, but we have added some customers on the component side and we expect to outnumber the industry by a few percentage points as we have always done. That is our view on the industry of room air conditioner part. On export front there is a shift which is happening. We are seeing some multinational companies shifting their geographies to India and they have started testing the waters right now and we are seeing the export number which was happening only 1 lakh air conditioners were getting exported has come to almost about 5.5 lakhs, so this number is also going to go up as the multinational companies will shift their geographies to India to cater to Middle East and South African markets as the scene has been in the mobile case. I think this number will also add up to the manufacturing footprint of India and because for us the addressable market is what is getting manufactured in India whether for domestic market or global market does not impact us. Plus, overall Amber is

also endeavoring on its own for export opportunities. We are very hopeful to receive orders for our first finished goods category in Q1 of the next financial year. So, we have already crossed some customers' validation assessments and now the Bureau of Energy Applications are going on. Once we clear that we will see first orders coming in from next Q1 of the next financial year.

Moderator : Thank you. Our next question is from the line of Abhishek from DSP. Please go ahead.

Abhishek : Thanks for the opportunity. Sir just couple of questions first is you called out this consumer durable topline to almost double in couple of years from FY2024. How should we look at the mix in terms of the PCBAs in terms of the new areas which you spoke about industrial, railways, defence, what can be the contribution from that or will it be largely from the current segment that you are doing?

Jasbir Singh : No, we have guided that the electronics division and the mobility application division which is railway sub-system

electronics division 'Sidwal', both are likely to double its revenue in next two years' time and that the reasoning is very simple, we are adding new applications, new
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Page 15 of 19 product categories, new customers and we are also deep diving into the bill of material of more passenger cars. So earlier as explained we were just giving 4% of the bill of material of a passenger car, which was only air conditioner as a product category, but now we have entered into multiple product categories which orders have also started flowing in and that is why we are very confident of achieving the doubling of air conditioner.

Abhishek : So my question was that this new product which you are adding, what can be the contribution of topline when you double it in next two years, will it be like 5%-10% or can it be meaningfully higher is what I was trying to understand?

Jasbir Singh : No, it will start with smaller number normally because these are very technical oriented products, so customers will not give you 100% of share of business on day one. So, we have started receiving orders, our supplies will start going in for next financial year. So, next year I would say the contribution should be about 10% to 15%, but two years from now the contribution will be almost as big as 35% to 40%.

Abhishek : Major portion of growth will come in from new product?

Jasbir Singh : That is right.

Abhishek : Just one other thing is in terms of your gross margins, we see some improvement there both on standalone and consolidated, so how are you looking at the overall competitive scenario, commodity inflation, just some comments that will be helpful in terms of the gross margins?

Jasbir Singh : As far as right now if you see the scenario the commodities have more or less settled and eased out so we do not see any big spike coming in from commodity cycle, but if it does so happen, we have demonstrated in past also that we are able to pass on to our customers on a quarterly lag basis. So, because we are entering into better profile of products category moving forward in electronics and in mobility applications, so on a consolidated level some margin improvement should be seen.

Moderator : Thank you. Our next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan : I just wanted to sort of understand the weakness in the motor segment margin that is particular quarter what was the factor that we are back to single digits after sustaining double digits for a long time?

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Page 16 of 19 Jasbir Singh : In the motors division it was particularly because we sold more of a BLDC motors which are lesser margin businesses and our export shipments did not happen the way we anticipated so that is the reason why there were small dip, but I think the double digit numbers are maintainable for this division.

Deepak Krishnan : For the full year we should be back to double digit?

Jasbir Singh : That is right. Yes.

Deepak Krishnan : In terms of overall inventory given how Q2 was and maybe early part of festive season how do you see the AC market evolving just Q2 and Q3 any sense of how the market trends have been so far?

Jasbir Singh : Market trend as explained earlier I will repeat it again. It is basically what we are seeing is mixed signals from various customers. Some of them are sitting with inventory, some of them have been able to liquidate them and some of them have liquidated some models, but some models are stuck. So overall if I talk about the industry level industry is heading towards a normalized inventory level I think by end of Q3 we should be able to see a completely normalized inventory levels so we should start Q4 at a good note.

Moderator : Thank you. Our next question is from the line of. Alok Deshpande

de from Nuvama

Institutional Equities . Please go ahead.

Alok Deshpande : Hi. Good morning, gentlemen. Two questions , first on the electronics division you mentioned about the growth and the margins if you can give us some sense on what can be the typical working capital dynamics going forward what would be the asset turns on that is that is question number one and secondly any outlook that you can give on the motors part of the strategy there beyond this year?

Jasbir Singh : Can you repeat your second question? The first one was the electronics division, Second one was...

Alok Deshpande : The strategy going forward on motors beyond this year?

Jasbir Singh : So, on the electronics side the net working capital days they are not much, the asset terms are pretty good in that division. The asset turns are as good as about 11 to 12 and ROCs in that division is in the range of 26% to 27% , net working capital days will be in the range of about 20-25 days, so we expect that it should be in the same range moving forward as well and on the motors front what we are doing is we are opening our global doors as well as we have entered into industrial and commercial application of air conditioners. We have started Amber Enterprises India Limited

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Page 17 of 19 giving motors for VRV applications for ductables, for package units, for fan coil units, etc., that is also moving positive for us and plus of course in the room air conditioner division we did not had BLDC motors which we have now been able to successfully launch , so this is one part of the strategy. Second part of the strategy is we are entering into washing machine motors and chimney motors. Probably next year we should see some orders coming from washing machine sectors also.

Alok Deshpande : Any chance that growth will accelerate in motors?

Jasbir Singh : Yes. We expect decent growth in next year. I think if all goes positive , we should see a growth rate of about 30 % to 35% in the motor space over this year, next year.

Alok Deshpande : Understood. Thank you so much Sir.

Moderator : Thank you. Our next question is from the line of Aadesh from Motilal AMC. Please go ahead.

Aadesh : Sir, in Sidwal we are seeing that your current order book is around Rs.1,100 odd Crores any sense on where can this number settle over the next two to three years?

Jasbir Singh : Well, lot of activities are going on in that division so very difficult to give you a number but if our global doors open which we are likely to open it can be substantial number to add up to this number, but we cannot give that number right now. I think that is why we have guided that we are confident of doubling the revenue in next two years , but yes that division is heading towards a very robust growth moving forward.

Aadesh : Doubling of revenues will be from FY2024 base or FY2023 base .

Jasbir Singh : 2024 base, current year base.

Aadesh : Thanks. All the best Sir.

Moderator : Thank you. Our next question is from the line of Dhruvesh Shah from JM Financial Asset Management. Please go ahead.

Dhruvesh Shah : Sir my question is with respect to the new expansion that you are making that is into the EV auto space . Can you please describe or speak two lines on it as to whether it is a two - wheeler, four -wheeler or where exactly, what domain exactly are you planning in that space and what is the right to win versus that of the other peers? Thank you.

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Page 18 of 19 Jasbir Singh : We have cracked four -wheeler EV first and we have not become the Tier-1. We have become Tier-2 supplier right now and we are adding two-wheeler EV also very soon. I think probably by Q4 we should be able to add the two -wheeler also because that is a very focused segment for us. What we are offering uniquely is the geographical spread as well as our R&D capabilities

which we have built over the last five years so that is the uniqueness

which we are offering and we have plans in North India, West part of India and in the southern part of India , so that is helping us in this strategy.

Dhruvesh Shah : Are we in a position to name any clients ?

Jasbir Singh : No. NDA have been signed that is a company sensitive information .

Dhruvesh Shah : No problem. Thank you. Best wishes.

Moderator : Thank you. Our next question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia : Hi Sir. Congratulations on a great set of numbers . Just wanted to ask you between your

room AC and motors what would have been the split this quarter?

Jasbir Singh : Room AC has been on a consolidated level it has come down to 40% and then motor...

Dhananjai Bagrodia : Last quarter it was Rs.1,242 room AC what would have been this quarter?

Jasbir Singh : I do not have the number right now. Dhananjai what we will do is we will send you the numbers latter on.

Dhananjai Bagrodia : What would be your capex for this year ?

Jasbir Singh : So, this year we have guided that we will be in the range of Rs.350 to Rs.380 Crores.

Dhananjai Bagrodia : Perfect. Thank you.

Moderator : Thank you. Ladies and gentlemen due to time constraint that was the last question of our question and answer session. I would now like to hand the conference over to Mr. Jasbir

Singh for closing comments.

Jasbir Singh : Thank you everyone for joining on the call and I hope we have been able to address all your queries. I think two queries have not been addressed, which we will be sending you separately to Dhananjai and to Natasha. For any further information kindly get in touch

Amber Enterprises India Limited

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Page 19 of 19 with Rohit, or SGA our Investor Relations Advisor. Thank you very much and have a good day ahead.

Moderator : Thank you. On behalf of Amber Enterprises India Limited that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

www.ambergrouppindia.com

Amber Enterprises India Limited

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Date: 16.02.2024

To

Secretary

Listing Department

BSE Limited

Department of Corporate Services Phiroze

Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To

Secretary

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Mumbai – 400 050

Scrip Code : 540902

ISIN : INE371P01015 Scrip Code : AMBER

ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter and nine months ended 31 December 2023 ('Q3 & 9MFY24')

This is further to our letter dated 07.02.2024 2023 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the unaudited Financial Results (Standalone and Consolidated) of the Company for the for the quarter and nine months ended 31 December 2023, ('Q3 & 9MFY24'), held on Monday, 12th February 2024 at 9:00 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentationhead> / for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended.

Kindly take the same into your records and oblige.

Thanking You,

Yours faithfully

For Amber Enterprises India Limited

(Konica Yadav)

Company Secretary and Compliance officer

Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

Konica

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"Amber Enterprises India Limited
Q3 & 9M FY'24 Earnings Conference Call"

February 12, 2024

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN , CHIEF
EXECUTIVE OFFICER & WHOLE -TIME DIRECTOR
MR. DALJIT SINGH – MANAGING DIRECTOR
MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER
MR. SANJAY ARORA – WHOLE -TIME DIRECTOR
MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER
(RAC DIVISION)

Disclaimer: E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 12th February 2024 will prevail

Amber Enterprises India Limited
February 12, 2024

Moderator: Ladies and gentlemen, good day and welcome to Amber Enterprises India Limited Q3 & Nine Months FY'24 Earnings Conference Call .

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call . These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh – Executive Chairman , CEO and Whole-Time Director of Amber Enterprises (India) Limited. Thank you. And over to you, sir.

Jasbir Singh: Hello and good morning , everyone on the call I'm joined by Mr. Daljit Singh – Managing Director; Mr. Sudhir Goyal – our CFO ; Mr. Sanjay Arora – Whole-Time Director of IL JIN Electronics ; and Mr. Sachin Gupta – CEO of R AC Division.

We have uploaded our Results , Presentation on the exchanges and I hope everybody had an opportunity to go through the same .

This year has been a year of transformation at Amber . As you all are aware that we have been into business of manufacturing of room air conditioners since beginning and have been maintaining our dominance in this industry since we got listed in 2018 , unlike other sectors, this sector underwent major structural shift in the last two years. First , we got impacted by two COVID waves in 2020 and 2021 when COVID hit us in the peak of the season, then competitive landscape changed where we saw many new players entering B2B space in RAC sector , and, finally, all the major customers decided to shift assembly businesses in -house and started constructing their own facilities. Most of them have already shifted to in -house manufacturing , two more customers are expected to start in Q1 and Q2 of next financial year.

Looking into the structural shift in our sector , we proactively realigned our strategies in tandem to our customers decision and took a cautious call on diversifying our portfolio.

Firstly, we shifted towards supply of components to room air conditioner customers with our goal of maintaining our share of business in this sector of 28 % to 29% in value terms . We are glad to announce that we have been able to maintain our share and are hopeful to continue maintaining it.

Furthermore, we opted for going for non -room air conditioner components , like components for telecom, smart meters, automobiles, refrigerator compressor parts, washing machine parts,
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microwave parts, etc. , Today, our room AC contribution has come down from 72% in 2018 to 38% and will further reduce in the coming years to come.

We also diversified our electronics PCBA portfolio to different applications apart from consumer durables . We added hearable and wearable sector, telecom sector , auto, smart metering and now further expanding into defense and industri als, plus, we acquired Ascent circuits for expanding our portfolio into PCB boards for various applications.

Furthermore, we strengthen ed our railway portfolio . Apart from supplying air conditioners, we entered into doors and gangways and pantry systems and further now expanding into couplers, interiors, toilets, pantograph s and p assage through our recently announced JV with Titagarh . With all the above initiatives in respective divisions, we have laid a very strong foundation for robust growth for a coming decade. Each division has multibillion dollar opportunities in the years to come. Financi

al year '25 will be the year of execution and customer approvals for our new initiatives in PCB and railway business , and we expect all the initiatives to start paying dividends from second -half of F Y'26 onwards .

As we are undergoing this transformational journey , a couple of quarters may witness fluctuations in top line. However, we are very strongly confident of maintaining our growth trajectory in our bottom line in the next financial year and years to come. Also, we are confident of maintaining our guidance of ROCE levels of 19 % to 21% range in the next three years, i.e. FY'27.

I would now like to take you through Highlights of Recent Announcements made in Electronics and Railway Division . Ascent Circuits: Amber Group has acquired 60% stake in As cent Circuits Private Limited through IL JIN Electronics for consideration of Rs.311 crores subject to adjustments as stipulated in definitive agreements . This acquisition will aid us in manufacturing of printed circuit boards and help us develop capacities and capabilities for single -sided , double -sided, multi -layered and RF PCBs . Through this acquisition, we will be able to cater diverse set of customers for various applications that is aerospace and defense, medical, energy solutions, automotive, telecom, data centers, consumer electronics, IT, lighting , etc., Further , Amber via Ascent Circuit s also signed an MOU with South Korea 's Circuit, which is a YoungPoon g Group Company, to manufacture Flex , HDI, semiconductor substrates , PCB s, thereby enhancing PCB manufacturing in India .

Korea Circuit is the pioneer of Korean PCB industry and has pioneered various PCB solutions including HDI , flex, semiconductor substrates, multilayer double -sided and single -sided PCB s in the last 45 -years. These solutions find applications across diverse sectors such as mobile industry , IT industry, semiconductor industry, home appliances, consumer electronics, aerospace and defense, medical, energy solutions, automotive, telecom, data centers and more.

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The recent acquisition of a majority stake in Ascent C ircuits, followed by signing of this M oU with Korea Circuit , places Amber in a unique spot and positions it as a leading player in the electronic EMS space, thereby opening a myriad of new business opportunities. Moreover , it enhances Amber's EMS portfolio by increasing local value addition and fostering backward integration into passive components of PCB assemblies. This aligns seamlessly with the Atmanirbhar Bharat Vision of Government of India and is consistent with the group strategy of strengthening backward integration for its EMS play across diverse applications. We clearly see our electronics division becoming Amber 2.0 strategy that has exponential growth opportunities in the year to come.

Now , I'll talk about Sidwal and Titagarh Announcement. Further, Amber through Sidwal has posed a strategic partnership with Titagarh Rail Systems Limited to enter the train components and subsystem business in India and Italy via a 50 :50 joint venture SPV named Shivali k. Titagarh Rail stands as a front runner in the railway rolling stock domain excelling in both freight and passenger rolling stock. Beside s being renowned manufacturer of railway wagons and metro coaches , Titagarh is actively engaged in prestigious projects including Vande Bharat T rains, Surat Metro, Ahmedabad Metro an d Pune Metro. Both Sidwal and Titagarh Rail will invest INR120 crores each into this joint venture and will establish a new facility in India dedicated to manufacturing critical railway components and subsystems utilized in railway and metro coaches.

Additionally, the SPV will make investments into Titagarh Firema SPA, which is an associate of Titagarh group, based in Italy. The government of Italy's investment arm Invitalia will also be making new investments of €17 million

in Titagarh Firema , for which an in -principle nod has already been obtained. Fir ema is a premier designer and manufacturer of passenger trains in

Italy, boasting a distinguished legacy spanning several decades with an order book nearing €1 billion for new coach production. Together, Titagarh Rail and Sidwal will support the growth of Firema via combined management expertise as well as improving cost competitiveness by supplying critical components from India, which are produced by both the groups.

We are already in advanced stage of discussing for obtaining technology for such components from global leaders, including Europe. The components would include coach interiors, coach toilets, kitchens, seats and other important railway subsystems. The JV Co would target to achieve a wallet share of at least 20% value per coach by way of developing components and subsystems which are fitted on these coaches.

The strategic partnership in Firema will not only facilitate Sidwal's entry into European market, but will also give Sidwal a preferred access to Firema's own demand. This division is also set to become Amber 3.0 Strategy going forward.

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I will now take you through the "Consolidated Financial Highlights." On the revenue front for nine months FY '2024 revenue stood flat at Rs.3,924 crores on a YoY basis. We have reported revenue of Rs.1,295 crores in Q3 FY '2024 versus revenue of Rs.1,348 crores in Q3 FY '2023. For the nine months FY '24, operating EBITDA stood at Rs.285 crores versus Rs.271 crores in the nine months 2023, a growth of 5%. For Q3 FY'24, operating EBITDA stood at Rs.82 crores compared to Rs.89 crores in corresponding quarter last year. Operating EBITDA is before impact of ESOP expense and other non-operating income and expenses. Operating EBITDA margins for the nine months FY'2024 stood at 7.3% versus 6.9% in the nine months FY'2023. PAT for the nine months FY'2024 stood at Rs.40 crores versus Rs.56 crores in the nine months FY'2023. For Q3 FY'2024, PAT loss stood at Rs. 1 crore versus Rs.15 crores in Q3 FY '2023. Increase in depreciation on account of CAPEX incurred and finance cost increase due to increase in debt and higher cost of finance which led to PAT loss.

CAPEX for the nine months FY '2024 stood at Rs. 262 crores at consol level.

Coming to the "Divisional Highlights," we shall now take you through all three divisional highlights which are as follows:

The Consumer Durable division has reported total revenue of Rs.2,810 crores for the nine months FY'24 and Rs.932 crores for Q3 FY'24. The operating EBITDA stood at Rs.174 crores versus Rs.170 crores in the nine months FY'23.

While we have delved into these figures extensively in previous discussions, it's essential to reiterate that our business model is currently undergoing a significant transition. Thus conducting year-on-year comparisons might not provide an accurate depiction. With many OEMs bolstering their in-house manufacturing capabilities, we have strategically shifted our focus towards component manufacturing. Consequently, although it may seem that our revenues in these divisions have experienced a 3% and 5% YoY decline for the nine months and Q3 respectively, it's crucial to consider the context, namely the decline in finished goods sale compared to the previous fiscal year. Typically, orders for finished goods commence in late October to prepare for the upcoming business season, while orders for components usually kickstarts in January to February to minimize inventory holding period. We expect margin expansion in this division due to our shift of strategy towards components and we expect to maintain our share of business of 28% to 29% in value terms in this division.

Shifting gears to the "Electronics Division," it has reported total revenue of Rs.757 crores for the nine months FY'24 and Rs.241 crores

for Q3 FY'24. Operating EBITDA increased to Rs.36 crores versus Rs.30 crores in the nine months as compared to the nine months FY'23. Despite witnessing a 7% YoY increase in the revenues for the nine months FY'24, there was an 8% decline in Q3 FY'24.

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As previously mentioned, we have recently done two strategic onboarding in Amber's ambit; Ascent Circuits and Korea Circuit which will significantly contribute to the top line and bottom line of the division going forward.

Further, we have onboarded large smart metering business and customers in automotive segment. Though we anticipated all the customer approvals by Q3, however, it took longer time than we expected, and also one of our customers opted for job work basis to start with in phase-I. Since now we have received all the necessary approvals and expect good growth in coming year, we foresee this division to increase its margin going forward and doubling the revenue in the next two financial years.

Additionally, with YP Group joining hands in Ascent Circuits, we shall be able to cater to semiconductor and mobile sector, thereby opening new growth opportunities in the years to come.

On the "Railway Subsystems and Mobility ." This division has demonstrated decent performance with total revenue of Rs.357 crores for the nine months FY'24 and Rs.122 crores for Q3 FY'24, showcasing Y oY growth rates of 15% and 11% respectively. For the nine months FY '24 operating EBITDA stood at Rs.76 crores versus Rs.71 crores i n FY '23. The order book for this division stands at a commendable Rs.1,160 crore s plus Lol from Titagarh for framework agreement of Vande Bharat, Surat and Pune Metro , will further offer order book strengthening by around Rs.850 crores, thereby taking our order book visibility to close to Rs.2,000 crores. While Q3 FY'24 revenues may appear slightly subdued compared to Q2 FY'24 due to unforeseen delays at the customer's end, it's imperative to understand that we currently only cater to 5% of the bill of material of the entire rolling stock. Therefore , the readiness of the customer in terms of balancing rolling stock directly impacts our supply chain dynamics. These temporarily hurdles notwithstanding, they do not in any way impede the overarching vision or strategy of the division.

Looking at the modernization and expansion plan of Government of India in the segment of railways and metro, we are optimistic towards opening an addressable market size of almost about Rs.75,000 crores to Rs.80,000 crores in the next five to six years . Taking a very conservative approach of addressing about 20% of this total addressable market, we foresee an exponential growth in our railway subsystems division in next four to five years. In order to achieve this growth, Sidwal shall be setting up a new Greenfield facility in Faridabad for existing product portfolio capacity increase and also plan two more facilities through SPV ; one for interiors , and other for couplers, gear, pantograph an d other subsystems. Total CAPEX for this expansion in Sidwal shall be around Rs.200 crores to Rs.225 crore s, which shall be done in the next two financial years.

In essence, our company now boasts multiple robust growth engines . Necessitating a holistic perspective when evaluating our business performance, Amber' s evolution beyond its traditional Amber Enterprises India Limited

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focus on the RAC industry is evident and our steadfast commitment to diversification ensures that our dependen ce on any single industry continues to diminish steadily in the years to come . With this, I would now open the floor for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Natasha J ain from Nirmal Ban g. Please go ahead.

Natasha Jain: My question is on the consumer durable segment. Now , I unders

tand that you mentioned that

you've gone through segmental reporting change and so on so forth. However, see , brands have reported good volume growth , right , in Q3. So in comparison, we have registered a degrowth.

Now , what I want to understand is, was most of the sales out of the inventory already present with the channel and therefore no primary sales at the OEM level , or there is also some bit of in - house manufacturing by brands w hich has led to compression in your overall revenue? That's my first question. And my second question is, you did mention that component sales would now start from the fourth quarter , that's how it goes. Now that we're already done with half of fourth quarter, how was the shelf filling quarter for you and how are you seeing the demand in terms of the entire fourth quarter?

Jasbir Singh: Yes, Natasha, you're right. Almost about seven brands have shown positive numbers and almost about 25 other brands have shown muted numbers. But , yes, being a B2B company, we are the first one to get impacted and the last one to rise when it comes to inventory level management at the brand level. So , brands did face issues in Q1 when the unseasonal rains disrupted this whole sector. And so they started liquidated their inventories in Q2 and Q3. And Q3 end by almost about 15th of December is when we saw uptakes starting happening. And since some of the brands have already started their factories, so they have shifted the assembly businesses in - house, and that's the reason why our top line number is looking muted , because finished goods top line is basically having some pass -through components like compressors and all , whereas in components that is not the case. So right now , we are supplying more of the components than the finished goods and our structural shift has already happened. I think two more customers which are pending, they will start their facilities in coming financial year , and post that the complete dust will settle of all the insou rcing versus outsourcing and the structural shift which has happened i n this sector . We are very optimistic of increasing our margins because of our shift in the strategy. And as you rightly said that January is when we started getting orders of components and now everything is on line and track.

Natasha Jain: Just one more question in terms of the strategic alliance that you mentioned about Titagarh Rail System s, now you said that you will be targeting 20% of the BOM cost. So , any kind of translation in terms of value there and what services exactly would you provide in the international markets -- so would you manufacture those stuff there itself or would you manufacture it domestically and ship it out , how w ill that work?

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Jasbir Singh: So I'll give you a little brief on this. One Vande Bharat comprises of 16 passenger coaches and one passenger coach cost whatever you want to call metro car or passenger car. The bill of material is somewhere about Rs.6 crores. Currently, we were only addressing air conditioners till now, which was in the range of Rs.25 lakhs to Rs. 30 lakhs depending on model-to-model. But with our additions of doors, gangways and pantry system, we have taken this wallet share to almost about Rs.75 lakhs to Rs.80 lakhs. Now with this announcement with Titagarh where we are bringing up interiors, toilets, seats, plus we are getting into couplers, gears, pantograph and other railway systems, we will be able to address almost about Rs.2 crores per car on that front. So you can imagine Indian Government has already announced 3,000 new Vande Bharat Express to come in the next five to six years. And if we even take conservative approach, 2,000 numbers of Vande Bharat and almost 600 coaches of metro cars which are newly built every year, you can imagine the kind of addressable market we have opened. To answer your sec

ond

question, we will be manufacturing these components here in India. While we have got a preferred purchase agreement with Firema, Italy, so we will be supplying these components from India. Currently, we were trying from the last two years to go global in Sidwal, but because of lack of experience of even single train supplied outside India, we were not getting orders. In one of the large orders which we were likely to get in Washington, we lost it because of the lack of experience though we were L1 there. So, this announcement of Firema will help us to bridge that gap and also open up global doors for Sidwal as well as for the new SPV, which we'll be creating with Titagarh.

Moderator: The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: My first question is on the electronics side, wherein you mentioned that there were some delays from getting customers onboarded and getting some approvals. If you could give us some more details about what's really happening over there? Usually, consumer durable kind of business should not have gotten impacted whatever we were thinking was in addition of that. So is it that we are seeing some challenges on the consumer durable side as well? And amongst all the additions that we are doing, where exactly are we positioned and how are you seeing growth for that division going forward?

Jasbir Singh: Aditya, in IL JIN and EVER specially consumer durable applications which we were giving, we got impacted because we are one of the leading solutions provider in the air conditioner space. And since air conditioner went through non-seasonal rains and there was inventory got stuck up and so brands also ended up having inventories of this component and hence the air conditioner part of the PCBs that saw a decline while we were expecting a growth there. Plus, the new customers which we onboarded specially on the smart metering side and auto side, we were expecting that we will get approvals by Q3 wherein it took longer time and now we have recently just in February 1st week we have received the approval. And now things are on track, plus, the inventory levels of air conditioner PCB also has been exhausted at brands level. So we think that now it is coming back to track. Plus, one of the customers initially to begin with, this is the first interaction with us, so they opted to go for the job work basis rather than on the sales basis which is completely understood at our level. So, we obtained that, okay, fine, not a problem, we can

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shift later on. That's the reason why top line is looking muted. But now it is on track and that's why we have given a guidance that this division will double its revenue in the next two financial years. So, we started our journey with air conditioner PCB and then we added refrigerator, washing machine, microwave, water purifier and fans. This was for consumer durable applications. Then we added hearables and wearables. Then we also added telecom products and now we have recently added smart meters. And the process of approvals is underway for the defense and aerospace and industrial business, which we expect to come in FY '25. Plus, the Bare Board PCB Ascent Circuits has opened a new Pandora box for new growth opportunities for us. Because that is the first level of backward integration you need to do in PCB A. And with that, we have opened up a new category of product profile. So, we are expecting this division to not only increase its margin. History of that was 3% margins. Now, we have already touched to almost 5%. But we expect within next year itself, this division will cross 7%, 7.5% margins. And of course with the good ROCE in hand, this division is expected to grow very robust growth in the coming years to come.

Aditya Bhartia: When you are speaking about doub

ling revenues, you are considering revenues of acquisitions that we have also done?

Jasbir Singh: Yes, Ascent Circuits last year did about Rs.279 crores financial year. So this year, I mean, since we entered in February itself, though that revenue will not come up. But next year, yes, it is also

expected to grow in 15 % to 20% range , plus all this initiative which we have taken in PCB business will also grow and that's how we are expecting to double the revenue.

Moderator: The next question is from the line of Bhumika Nair from DAM Capital. Please go ahead.

Bhumika Nair : Continuation to this PCB A segment , when we're talking of doubling the revenue profile over the next two years, I just want to get a sense on only also the Noise JV, how that is panning out and is that inclusive of the Bare PCB Board ? And in terms of the Ascent Circuit s, how is the working capital profile going to change because initially both IL JIN and EVER did have lower working capital. So does their profile change . Question #2 is on the overall investments that will be required in the P CBA perspective , because in this business, because you're having a Rs.300 crore s kind of an investment in terms of the acquisition , but will that require more CAPEX ? And when I look at it, there's Rs.300 crore s that is going into Ascent roughly , about Rs.120 crores that will go into the Sidwal JV with Titagarh and there'll be further CAPEX for Sidwal expansion per s e. Obviously, there will be increase in revenues and profitability, etc. , But does that mean that there will be towards these two businesses, something like a 7 00, 800 c rores kind of investment over the next two years ?

Jasbir Singh: So Bhumika , for the first question on the Noise JV , the doubling of revenues doesn't include Noise JV part because that's a 50 :50 JV , so we will not be able to consolidate revenues. However, we will be able to consolidate some PAT levels in line to the percentage of equity we hold .

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Jasbir Singh: That is going fine. Noise as you all must have heard that they have signed an agreement with Bose. Bose has invested in Noise and now they are moving towards premium segment. So , we are pretty excited. Our facility with Noise is moving on track. We will be starting that facility by mid of April and that's when it will start , and we expect decent revenue to come in , in the very first year. They are talking of very big numbers . I think somewhere about 800-1,000 crore s is something which we expect to begin with in Noise JV part. But that is not on the consolidation of IL JIN and EVER . Now talking about the investment part of Ascent C ircuit s, Ascent is a profitable business with cash -positive business. It is like Sidwal business where the net working capital days are almost about 100 days right now, but since we saw the similar trend in Sidwal where we were able to bring it down . Since the profitability is very high, we expect that it will be ROC E accretive for us and it will not be a dampener on the working capital days moving forward . But yes, for the defense and aerospace businesses and for industrial bus inesses, that is where some lack of net working capital days will be there. We still have to experience that as we move forward, but we expect that we will be able to bring some efficiency there . On your question on the investment part, looking into the Sidwal plus Bare PCB Board , right now we are still looking towards what strategy to take, whether to go for semiconductor substrates and also mobile substrates and HDI part , then after that we w ill decide on what kind of CAPEX that we have to do in this along with YP G roup. So as we speak , our team today is sitting in South Korea to even to finalize those numbers . I believe by next 15 to 20 days' time or month 's time we will be able to have a clarity on what capacities and whi

ch sectors to go for the first phase of

expansion. Already 12 acres have been allotted by ELCOT by Tamil Nadu government for Ascent Circuits which is about 6 kilometers ahead than the current facili ty. So , we will be expanding our portfolio there, but the investment amount is yet to be figured out. YP Group is also going to put up equity stakes there. So they will also in fuse some equity there. I think probably we will be able to answer your question by next quarter in more detailed format because we are also still in that initial phases of deciding how much CAPEX to be done and what category of products to be brought in there. As far as Sidwal is concerned, yes, we have told that we are going to bring three new facilities ; one Greenfield facility for expanding the capacities of Sidwal products, doors, gangways, pantry systems and also air conditioners , that will be put up in Faridabad. We have already got approval of five -acre plot in Faridabad from HSIIDC , and we are expecting allotment very soon and then we'll start the construction . And plus two facilities, one for interiors and one for the other railway subsystems will be set up ; one in Brownfield expansion and one in Greenfield expansion . But the CAPEX in that is not much . The amount of Rs.120 crores which we are putting in the SPV will take care of those investments in those zones.

Moderator: The next question is from the line of Rahul Gaj eria from Haitong Securities. Please go ahead.

Rahul Gajeria : I have two questions. One is on the mobility business I want to know . We are talking about the opportunity on Vande Bharat, know through Titagarh , but on the metro, do we have tie -ups with the likes of B EML, Siemens, Alstom, Bombardier? That's the first question. The second question is on the CAPEX side. We've spent over Rs.2,000 crores in the last 10 years and we are looking at the significant CAPEX given that we've spent almost Rs.260-odd crore s in the first nine months. You did indicate in the opening remarks , you want to get to ROC E of 19 % to 20% from

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single digit. Can you just take us through how will you reach from single digit ROCs given the CAPEX intensity that we can see in the next couple of years ?

Jasbir Singh: To answer your first question, Rahul, we already are supplying to B EML, Alstom, then CRRC and now onboarded Titagarh plus, all the three railway manufacturing facilities, ICF Chennai , RCF Kapurthala, MCF Raebareilly and plus all the sub -divisional parts on the DCW and all , plus we are also supplying to locomotives as well , both Siemens and GE. So, on the customer front, we are already approved there. We just need to expand the product offering by increasing our wallet share. To answer the question on the second part on the CAPEX intensity, since all these new initiatives are higher margin businesses with a high ROCE businesses like Sidwal per se today is sitting at about 22% of EBITDA margin with close to 40% of ROCE business , Electronics again is at about 27% of ROCE business. And furthermore, by the initiatives which we have taken, we are going to increase the margins in the business , and on the consumer durable side also because of our strategy shift on the component side, the margins are expanding. So , because of higher margin businesses and high growth plus the operational leverage on the plants, we will reach to the ROCEs level of what we guided.

Rahul Gajaria: Isn't consumer and electronics both are close to 5%-odd because that's what we've seen in the nine months numbers.

Jasbir Singh: Consumer has now come to about 7.3% and electronics by next year will cross 7%.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: So on the RAC side, right, so you mentioned about the insourcing trends that are going on. So just wanted to understand

that even in say FY'25 and the fourth quarter , will we see similar kind

of trends as in flattish kind of growth and only double digit will only start happening in FY '26?

Obviously , things are dependent on the season, but some thoughts will be helpful , sir.

Jasbir Singh: Dhruv, on the top line side, since finished goods will be on the declining trend, yes, you may see some fluctuations or muted for two or three quarters , but on the bottom line front you will see a complete growth path moving forward as guided earlier. So we don't see any disruption on that side. Top line is because in the finished goods we put compressors and gases and other things which is completely pass -through to us which is not required. And I think as mentioned in the opening commentary that we are very hopeful and we are maintaining our share of 28 % to 29% on the value terms . As far as that is happening, we will be able to grow in line with the industry growth moving forward.

Dhruv Jain: On these two inorganic initiatives that you have taken right, so just wanted to understand what kind of revenue potential and margin that we can see in terms of improvement ? And if you could even talk about Ascent's nine months performance and how should we think about it in the next two or three years? And just one clarification there , on the electronic side, you mentioned that Amber Enterprises India Limited
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you will go to about 7%, 7.5% margin. So does this include the Ascent because we understand that the margins there are much higher ?

Jasbir Singh: So Ascent , nine months is performing fine ; they have done Rs.206 crores with almost Rs.42 crores of EBITDA, almost about 19 % to 20% of EBITDA levels which is very high for this kind of business sector. Yes, it will be consol of electronics division will reach to 7%, 7.5% moving forward, both PCB A as well as the Bare PCB Board put together , will be there on an EBITDA level.

Dhruv Jain: Just on the acquisition side, right , how should we think about say, the railway JV in terms of numbers, right , so you're committing about Rs.120 crores, but if you can just help us in terms of how you think that this will play out in addition to Sidwal's existing business?

Jasbir Singh: You see , Sidwal we acquired in May of 2019 when top line of Sidwal was Rs.167 crores and it was a 15% EBITDA company. This year we are likely to touch about Rs.475-480 crores or maybe little more than that, with again 22% of EBITDA . This number has a potential to go to at least 4 -5x or maybe more in the next four years' time . That is the potential what brings on the table , plus the subsidiaries will have a different kind of revenues , the SPV where we will be having 50 :50 JV with Titagarh, that is another Sidwal in making , where we will be consolidating the PAT numbers, but not the top line numbers. So overall basis if I see , Sidwal has a good growth book . And due to this Titagarh onboarding, we've added order book of almost about Rs.850 crores to Sidwal, where we'll be supplying doors , gangways plus our air conditioners to Vande Bharat and Pune Metro and Surat Metro , plus of course, this opens up a door for the global play. So it's going to be positive for both the organizations and strengthening and leveraging each other's strength to create synergies.

Moderator: The next question is from the line of Sonali from Jeffries India. Please go ahead.

Sonali: My first question is, you did mention that you are undergoing a transformation in your RAC business. I know this question was asked earlier, but if you could give some more color on it, how many more quarters should we expect this kind of consolidation in your RAC business , and when can we expect the normalcy to come in the top line say because of the added components

business?

Jasbir Singh: Sonali, on the RAC front, it's very difficult to predict right now because two of the customers

are still to start their facilities. We were expecting that they will start their facilities in this quarter, but which did not happen. So, there's a little lag there. They may start in Q1 or Q2 or maybe Q3, we don't know. But whenever that happens, they will start the assembly businesses in-house, and that is when our component strategy will kick in with those companies. So, you should expect that at least two more quarters to have these fluctuations on this RAC front. But components are very much in track. Those companies who are taking who are right now building their facilities have already taken us on board for component supply, and our factories are also getting ready along with them whenever they will start making finished goods in their factories we will start

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supplying components. So, I think post-Q3 basis, you should look at the normality because whichever brand had to put up a facility will be over, and post that the normalcy should come up in the RAC segment.

Sonali: From H2 FY'25, is that correct?

Management: Yes.

Sonali: My second question is of your new initiative on the Ascent and Tita garh, you've tied up with them. What is the kind of upside, very approximately that we can expect?

Management: On Ascent, we have done two things. One is we have acquired 60% in Ascent, and secondly, we have also signed MoU for partnering with YP Group Korea Circuit of South Korea. It is a \$12 billion group and they are one of the leading players supplying to mobile industry as well as semiconductor industry there and a specialist in HDI board. So they are very keen. With both of them put together, we have opened up a good opportunity for this business sector. Right now this bare PCB board is largely getting imported and nobody is making mobile PCBs here and nobody is making semiconductor substrates here, plus you must have heard anti-dumping duty has been levied and the file is just awaiting the final notification to be out. Already, DGFT has recommended 30% anti-dumping duty on these products from single layer to six layer basis. We expect that notification should be up and out by March. So that will open up this whole complete import substitution for us. Currently, if you see, almost about \$3.8 billion worth of bare PCB boards are getting imported, plus, ongoing growth in electronics sector, where every sector is having more content of electronics, be it automobile, be it consumer durables, defense, aerospace, aviation, whatever sector you see, the content of electronics is increasing on yearly basis. So today, if we see, there's a lot of opportunity, which opens up because of Ascent Circuits and our association with YP Group.

Sonali: Any quantification you would like to state at this point either in your numbers of the total addressable market?

Management: Well, I mean, as I explained that about \$3.7 billion is getting imported, so we'll see how which part of it to go in. But I think after next quarter, we will be very clear on which capacities we are building up and how much time we are going to increase for this division moving forward looking into the semiconductor lines now. You must be hearing lot of announcements of semiconductor and OSAT businesses. Both the businesses need these Bare PCB Boards and we are a one company which is ready to deliver that, but it will depend on when their factories are getting ready. If they are getting ready by FY '27, then a lot of opportunity will open up that. But if I see currently almost \$3.7 billion getting imported. That itself is a very big opportunity size for Ascent.

Moderator: The next question is from the line of Indrajit from CLSA. Please go ahead.

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Indrajit: I have got two questions. First is on electronics division. Can you help us understand what proportion of the revenue as you report today is from RAC-related electronics and what is non-

RAC related electronics, just to understand what kind of decline that we have seen in electronics can be attributed to?

Management: So, electronics basically contribute about 19% in the total consolidated revenue and in that almost about 25% is air conditioner PCB boards.

Indrajit: So even if that would have declined by, say, 10%-odd, it means that non-RAC electronics would also have declined because of the order pushback that you talked about, is that correct?

Management: No, the decline was more than 10% because of the inventories which brands we are keeping with them. Now, since the inventories have been liquidated, they have started buying from us again.

Indrajit: Secondly is on your transaction with Ascent. Currently, are you sourcing any bare boards from Ascent? And also related to that is Ascent entire sales in domestic market or do they export, just

to understand the import -?

Management: We as a company is not buying anything from Ascent because our customers need to approve Ascent first and then they will allow us to start . After our acquisition , four of our customers have already visited and now they have started the approval process. I think in the next six months' time, we will receive the approvals and we will start buying for our captive use. Secondly, yes, they do export , almost about 20% revenue of Ascent comes through exports at the moment.

Indrajit: Is the entire product portfolio of Ascent enough to satisfy our requirement of bare boards or do you still need to source it from other avenues?

Jasbir Singh: It will depend on which customer gives them the approval. Yes, but as far as the product line up is concerned, they can deliver all the kind of products which we are using captively for us.

Moderator: The next question is from the line of Arafat Saiyed from InCred Research. Please go ahead.

Arafat Saiyed: Just want to understand more about the Ascent. What is the current order book of Ascent and which sector this company is focusing mainly into because if you look at the margin of 19 %, 20 %, nobody makes in the PCB board and all , so I just want to understand more on that?

Management: Well, Ascent Circuits has a very good order book for the next two years , they are sitting at an order book of close to about Rs.800 crores , and we expect them to grow in a decent value , plus we are likely to add new categories of bare PCB board along with YP Group in Ascent Circuit s and that will expand their order book from over and above to what they have to day.

Arafat Saiyed: Next question is on your revenue mix. So right now , AC is around 38%. So I just want to want how this mix will change over the next three years considering various things happening on non -

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AC side especially railways and a gain P CBA. So just want to understand more about the revenue, EBITDA structure in FY'26?

Jasbir Singh : So, RAC used to be 72% in 2018, which has come to 38%. We expect RAC to go down to almost about 28 % to 30% in the next two years and the other businesses to move up and that's how other businesses have better margins. So, we expect the margins also to improve on the consolidated level.

Arafat Saiyed: Any guidance on that , if you can quantify exactly you're looking in terms of margins, although you are looking to double the revenue for your electronics and also if you can guide on that what sort of margin are you looking for FY'26?

Jasbir Singh : Well, all the divisions are at a different margin profile. I think we are at almost 7.2 % in the consumer durable division , we will be touching 7% plus in the electronics division by next year , and railway mobility is at about 20 % plus. So all divisions are at different stream and at good growth prospective . Like in railways , I've explained that by this announcement , we have opened

a good TAM for us . If you see on the Vande Bharat Express, very few Vande Bharat Express will be delivered next year. But next -to-next year, the numbers are going up, and by FY '27 the numbers are exponentially going up. So our revenues in that stream also will go to in line with the requirement of the Indian Railways.

Moderator: The next question is from the line of Kaushik Mohan from Ashika Institutional Equities. Please go ahead.

Kaushik Mohan: Sir, in the call you mentioned that you would be putting up this thing of Rs.2 crores of worth product for Vande Bharat. But according to my knowledge , one car value is around 8 crores. So, you are telling that 2 crores divided by 8 crores, 25 percentage of the total value of the car you are going to contribute ? And how much would be your share on this and how were you able to get such a big contribution towards the car?

Management: Rs.8 crores is the selling price of the rolling stock people . If you see the bill of material, it is about 6 to 6.5 crores. And out of that , we will be addressing 2 to 2.5 crores. How we are going to get it? We were currently supplying air conditioners. Now , we have added doors , gangways , pantry system which has taken our wallet share to about 75 lakhs per car , plus we are adding couplers , we are adding interiors , we are adding toilets , and we are adding passenger announcement systems , and pantographs . Moving forward, we will be adding brakes also, but that is not right now , that is a little later . But even if we talk about all these initiatives, we will be able to address to 2 to 2.25 crores in Vande Bharat car.

Kaushik Mohan: Sir, 2, 2.5 crores is a very big number according to me because if we talk about 6.5 crores as the one entire manufacturing cost, you are telling that 30% you're contributing. So –

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Management: If we talk about only interiors cost , somewhere about Rs.40, 45 lakhs, then pantograph is there , then toilet is there , plus doors and gangways are there. We've already reached Rs.75 lakhs. So, Rs. 2 crores is not a problem at all. We have seen the numbers , and along with the Titagarh team, we have identified those things. So 2 to 2.5 crores looks doable. See, what our competition is

doing in Knorr -Bremse and Faiveley, they are a highly profitable company in India supplying all these multi-products in railway subsystems, having almost about 30% of EBITDA businesses with good ROCEs business. So, this space was dominated by multinationals. We will be able to bring in Make in India story for all these sectors.

Kaushik Mohan : So, what margins do we make here?

Management: It's in the range of 20 % to 22%.

Moderator: The next question is from the line of Anupam Goswami from Star Life. Please go ahead.

Anupam Goswami : Now that you are focusing more on the non-AC part, when do we see the growth in the top line, do we have a better sort of growth than earlier, are you envisaging some stronger growth than earlier or do we see some slowdown in that now that the AC part is coming down in the proportions?

Management: It's very difficult to predict on the top line basis because on the component side also we have some sub-assemblies where customers do take sub-assemblies, sometimes they don't take sub-assemblies. Similarly, in electronics division we have seen similar kind of a trend. So predicting and guiding on top line will be very difficult. But yes, as guided earlier, on the bottom line basis, we see a very, very strong growth moving forward.

Anupam Goswami: We have been a little beaten down with interest cost and depreciation. When do we see that absorption in our ramp up and a better bottom line margins?

Management: By next year, you will start seeing that.

Anupam Goswami: And our asset turn will also improve to that way?

Management: Yes, that's right.

Moderator: As that was the last question, I now hand the conference for closing comments.

Jasbir Singh : Thank you, everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Rohit Singh or Strategic Growth Advisor, our investor relations advisor. Thank you and have a good day ahead. Thank you very much.

Moderator: On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

www.ambergrouppindia.com

Amber Enterprises India Limited

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Date: 24 May 2024

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services Phiroze
Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Mumbai – 400 050
Scrip Code : 540902
ISIN : INE371P01015 Scrip Code : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter and financial year ended 31 March 2024 ('Q4 and FY24')

This is further to our letter dated 14 May 2024 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the Audited Financial Results (Standalone and Consolidated) of the Company for the for the quarter and financial year ended 31 March 2024, ('Q4 and FY24') held on Saturday, 18th May 2024 at 9:30 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentation-head/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Yadav)
Company Secretary and Compliance officer
Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises Limited Q4 & FY'24 Earnings
Conference Call"

May 18, 2024

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN & CHIEF
EXECUTIVE OFFICER , & WHOLE -TIME DIRECTOR ,
AMBER ENTERPRISES INDIA LIMITED
MR. DALJIT SINGH – MANAGING DIRECTOR , AMBER
ENTERPRISES INDIA LIMITED
MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER ,
AMBER ENTERPRISES INDIA LIMITED
MR. SANJAY ARORA – WHOLE -TIME DIRECTOR , IL JIN
ELECTRONICS

Disclaimer: E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recording uploaded on the stock exchange on 18th May 2024 will prevail

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Moderator: Ladies and gentlemen, good day and welcome to Amber Enterprises India Limited Q4 & FY'24 Earnings Conference Call.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh – Executive Chairman and CEO and Whole -time Director of Amber Enterprises India Limited. Thank you. And over to you, sir.

Jasbir Singh: Hello and good morning, everyone. On the call, I'm joined by Mr. Daljit Singh, Managing Director, Mr. Sudhir Goyal, our CFO, Mr. Sanjay Arora, Whole -time Director of IL GIN Electronics and our Investor Relations Advisor, SGA.

We have uploaded our Results, Presentation on the exchanges and I hope everybody had an opportunity to go through the same.

FY'23 -24 has been a year of resilience and growth for Amber. And in this one year we have strengthened our portfolio and market offerings with strategic diversifications in new growth segments.

From a core RAC player we have transitioned towards a diversified manufacturing company supported with multiple acquisitions and MoUs that we did during the year, further fortifying our positions in the markets.

Amber with the DNA of manufacturing is completely aligned with this transformative journey and is scripting its role through localization and backward integration of consumer durables and its components, EMS and railways subsystem & mobility.

I will now take you through some highlights on the "Consumer Durable Division. " Our journey, as you all know, it began from room air conditioner sector, initially focusing on window ACs, then expanding into split units, then inverters, later branching out into cassette air conditioners, ductibles and higher tonnage package units.

As the industry landscape evolved with majority of the customers looking to shift assembly businesses in-house, we quickly recognized the need to adapt our strategies accordingly and diversified our portfolio. Initially, this involved transitioning towards supplying components to RAC customers with the aim of maintaining our market share in this segment at around 27% in value terms. I am pleased to report that we have successfully upheld this share and are optimistic about sustaining it moving forward.

Additionally, we expanded into supplying components of non-room AC applications such as telecom components, smart meter components, automobile components, refrigerator, washing machine, microwave components and more. As a result of this strategic shift, our contribution from room AC has decreased from 72% in FY'18 to just 40% in FY'24.

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As guided during previous call, our RAC top line was hit due to brands taking RAC assembly in-house and a reflection of the same is evident in our top line of FY'24. This was a well-known transition and hence we diversified our offerings in the component space which are more margin - accretive. Further, two more customers will begin their plant by next quarter and post that the business

s model will move towards stability and growth will move in tandem with the industry trend.

Glad to share that due to high temperatures and good secondary sales in the month of April and May, we are moving with a run rate of 20% growth and expect the same growth by year-end for this division.

Also, our operating EBITDA margins in consumer durable division have increased by 100 basis points, touching to 7% now which is reflective of our component strategy with better margins. I'm also glad to share that Amber received a PLI grant of Rs.15 crores for manufacturing of AC components.

On the JV with Resojet continuing with the same thought process of strengthening our position in the consumer durable space, we have entered into 50:50 JV with Resojet Private Limited part of the Radian Group Company for manufacturing of fully automatic top and front load washing machines. This joint venture will propel Amber's diversification beyond air conditioners in finished goods into the washing machine and its component segment, thereby further solidifying our position within the consumer durable market.

Mass production from the new plant will commence from H2 second half this year, where we expect around 40,000 washing machines to be produced in this year, which will further take it to 1,25,000 in next financial year. We have already onboarded a couple of customers and the trials are currently going on. Through this JV, we gained access to manufacturing washing machines, thereby allowing us to offer wider range of high quality products to our customers. Now, I will take you the highlights on "Electronics Division." In the past five years, our stint which started from providing PCBA solution for inverter AC has now diversified into providing solutions for home appliances, consumer electronics, hearable and wearable, telecom, smart meters and automobile segments.

We have further amplified our offerings by making an entry into manufacturing of bare PCB, which going forward will open new avenues for us in the sector of aerospace, defense, medical electronics, EV, mobile and energy solutions amongst others.

We acquired 60% stake in Ascent Circuits for manufacturing of printed circuit boards, single sided, double sided multilayer and RF PCB. The company has been catering to marquee customers such as ISRO, BHEL, VHEL, automotive component customers, telecom, consumer electronic clients, both multinational and domestic, who have been driving India's growth journey. This acquisition will enable us to offer solutions to applications such as aerospace and defense, medical, energy solutions, etc., This acquisition strengthens our EMS portfolio by enhancing our presence in passive components of PCB assemblies. This uniquely positions Amber as a leading player in the electronic EMS space.

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Further, our MoU with South Korea, Korea Circuit through our recent venture Ascent Circuits for manufacturing of Flex HDI and semiconductor substrates, which means in India will bolster Amber's electronics EMS play. This MoU will enhance the capability of Ascent Circuits for providing solutions to the mobile and semiconductor industry, which has been a focus of the government recently. This association between Amber and Korea Circuit will envelope the entire portfolio of PCBs required for various applications in India's electronic manufacturing growth story, that is HDI, Flex, Semiconductor Substrate, Multilayer Double Layer, Single Sided, etc., Also, the recent decision by government to impose anti-dumping duty on imported printed circuit board

boards will settle the dust of import and make the road clear for localization of bare boards in the country.

In this electronic EMS division, we have travelled a journey from 3% EBITDA in 2018 to 5.6% in FY'24. Now going forward, we are confident to touch EBITDA in the range of 7.5% to 8% for the division in the current year.

On the railway subsystem and mobility division, as you all are aware that last year we expanded our portfolio from HV AC to doors and gangways through TOT with Ultimate Group and also added pantry systems in Sidwal.

We are glad to share that during year of FY'24 we received our first orders for doors and gangways from three new customers. In phase one, we shall assemble these new products and in phase two, complete manufacturing will begin from Q1 FY'26 onwards.

During the year, we did a strategic alliance with Titagarh by investing in Firema in Italy and also did a JV with Yujin of South Korea for couplers, gears and pantographs.

We are also glad to inform that our defense portfolio in Sidwal is gaining momentum. The order book for the defense has moved double -digit during this year and we are expanding our product portfolios for specialized terrain vehicles, slip on air conditioners, etc.,

For expanding our capacities we have done a groundbreaking ceremony for our upcoming Greenfield facility in Faridabad and construction is in full swing. This new facility shall have state-of-the-art manufacturing facility for energy efficient air conditioners, doors and gangways for railways and metros and pantry systems. We expect commencement of production from this facility in Q1 in next financial year.

Another Brownfield expansion will be done for Yujin products in the country in current financial year. We expect to receive all clearances and approvals from customers in FY'26 and expect to commence production of Yujin products, that is couplers, pantographs and gearbox by Q4 of FY'26.

With all the above mentioned initiatives, Sidwal can now give solution up to approximately 1.1 crore per passenger car, which expands our addressable market multifold. FY'25 shall be the year of execution and customer approvals for these new products and the real ramp up in revenue for all new product category shall start from second half of FY'26 onwards, which is in line to the rolling plan of new Vande Bharat Express Trains.

I shall now request Sudhir Goyal, our CFO, to take you through the Consolidated Financial Highlights.

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Sudhir Goyal: Hi, good morning everyone. So now I will take you to the consolidated highlights of the Financial:

So, on the revenue front for Financial Year '24 revenue stood at Rs. 6,729 crores compared to Rs. 6,927 crores in Financial Year '23. We have reported revenue of Rs.2,806 crores in Q4 Financial Year '24 versus revenue of Rs.3,003 crores in Q4 Financial Year '23. Operating EBITDA for Financial Year '24 stood at Rs.519 crores versus Rs.475 crores in Financial Year '23, a growth of 9% for Q4 Financial Year '24. Operating EBITDA stood at Rs.234 crores compared to Rs.204 crores in corresponding quarter last year. Operating EBITDA is before impact of ESOP expenses and other non-operating income and expenses. Operating EBITDA margin for Financial Year '24 stood at 7.7% versus 6.9% in the Financial Year '23.

PAT for the Financial Year '24 stood at Rs.139 crores versus Rs.164 crores in Financial Year '23. For Q4 Financial Year '24 PAT stood at Rs.99 crores versus Rs.108 crores in Q4 Financial Year '23. Net debt for March '24 stood at Rs.615 crores from Rs.588 crores in the March 2023.

Working capital

days for March '24 stood at 13 days as compared to 29 days in March '23.

Overall CAPEX for Financial Year '24 stood at Rs.373 crores compared to Rs.698 crores in Financial Year '23. We plan to incur CAPEX of Rs.350 to 375 crores for Financial Year '25.

Due to the anti-dumping duty imposition on the printed circuit boards, new avenues of opportunities are opening up and expect marquee customers addition in auto and IT-related products category and consumer durables. We are evaluating our expansion plan for the printed circuit board for Make in India and shall inform once the decision of total capacity expansion has been taken considering all the government incentives in place.

Coming to the "Divisional Highlights," we shall now take you through all the three divisional highlights which are as follows:

The consumer durable division has reported total revenue of Rs.5,009 crores for Financial Year '24 compared to Rs.5,380 crores in Financial Year '23. For Q4 Financial Year '24 revenue stood at Rs.2,199 crores compared to Rs.2,475 crores in Q4 Financial Year '23.

The operating EBITDA stood at Rs.352 crores in Financial Year '24 versus Rs.325 crores in Financial Year '23. The operating EBITDA in Q4 stood at Rs.179 crores compared to Rs.156 crores in Q4 Financial Year '23.

We expect margin expansion in this division due to our shift of strategy towards components and further diversifying into manufacturing of fully automatic top load and front load washing machine and its components. We expect to maintain our share of business of around 27% of manufacturing footprint in value terms in our RAC division.

The electronics division has reported total revenue of Rs.1,241 crores for Financial Year '24 compared to Rs.1,125 crores in Financial Year '23. For Q4 Financial Year '24 revenue stood at Rs.484 crores compared to Rs.415 crores in Q4 Financial Year '23.

The operating EBITDA stood at Rs.69 crores in Financial Year '24 versus Rs.51 crores in Financial Year '23. The operating EBITDA in Q4 Financial Year '24 stood at Rs.33 crores compared to Rs.21 crores in Q4 Financial Year '23.

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With marquee development during the year such as customer addition in telecom, automobile and durable space, onboarding large smart metering business and customers in automotive segment.

IL GIN entering JV with Nexxbase for manufacturing smart variables, acquisition of Ascent Circuits for expanding portfolio into PCB boards for various applications and Ascent signing MoU with Korea Circuit to manufacture Flex, HDI, Semiconductor Substrate PCB. With such developments, we expect this division to increase its margin going forward. We are targeting an EBITDA margin in the range of 7.5% to 8% and expect this division to grow by above 35% in the current Financial Year '25.

The Railways Subsystem and Mobility Division has reported total revenue of Rs.480 crores for Financial Year '24 compared to Rs.422 crores in Financial Year '23. For Q4 Financial Year '24 revenue stood at Rs.123 crores compared to Rs.113 crores in Q4 Financial Year '23. The operating EBITDA stood at Rs.98 crores in Financial Year '24 versus Rs.99 crores in Financial Year '23. The operating EBITDA in Q4 Financial Year '24 stood at Rs.22 crores compared to Rs.28 crores in Q4 Financial Year '23.

Just to reiterate for the benefit of all, our railway subsystem and mobility division has witnessed remarkable developments during the year with manufacturing air conditioner system for the Namo Bharat trains, Sidwal's strategic partnership with Titagarh rail systems and now with AT rail subsystems ' JV with Yuj

in Machinery. These development places Amber Group in a sweet spot to increase its wallet share and BOM per passenger coach, which is in line with our strategy. Further, we have received our first order for new category added in Financial Year '24 that is doors and gangways. Glad to share that new orders for doors and gangways received from three customers amounting to Rs.515 crores. This makes total order book of Sidwal at approximately Rs.2,000 crores. No

With good order book in place, increase in product offering per passenger coach and Sidwal getting a preferred supplier status, we expect railway subsystem and mobility division to double its revenue in the next two to three financial years. With all the initiatives in respective divisions, we have established a robust foundation for strong growth over the next decade. We expect further margin improvement in this current financial year at a consol level by at least 50 basis points to 75 basis points and hence ROC E level to bounce back above 15% in Financial Year '25.

With this I would now open the floor for question -and-answer. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

R Swamintathan: My first question is with respect to the railways business. There seems to be a lot of exciting opportunity over there and you are also increasing your capability in that. Just wanted to get your sense with respect to Sidwal. How is the opportunity that we need to think of with respect to the traditional railways, the Vande Bharat trains, defense also you had mentioned there's a bit of opportunity and there has been a lot of work going on in data centers also. What can be the addressable market over the next two to three years that you can talk about? and with respect to the Titagarh joint venture, would we be addressing the opportunity of Vande Bharat only from Amber Enterprises India Limited

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the Titagarh angle, or we will be in a position to supply to other Vande Bharat manufacturers also... train manufacturers also, if you can give your broad thought process?

Jasbir Singh: Good morning, Ravi. Basically this modernization program, which was kicked in by the Government of India for complete railway ecosystem, which includes new Vande Bharat Express and also urban mobility where new cities are getting new metro lines and the existing metro lines are also getting expanded, this opens up a wide multi-fold business opportunity for a company like Sidwal. I will give you just a brief data number. As per the recent media reports published by Ministry of Railways, they are now coming up with a grand plan of almost about 3,000 new Vande Bharat Express is to be rolled on in next 5 to 6 years. Now, new Vande Bharat Express will have 24 sleeper coaches in one Vande Bharat Express. So that means almost about 72,000 coaches, passenger cars will be required to be delivered in next 5 to 6 years. And Sidwal as a comprehensive solution provider at what level we have become supplying almost seven components that goes into a passenger car addressing almost Rs. 1.1 crore per car. So that is only opportunity of Vande Bharat I'm talking to you currently which is going to come in next 5 to 6 years. And also to clear, there are almost close to about 550 to 600 coaches which are required in the metro space also. Every day, every year metro lines are expanding. That business is also expanding and we have clearances from all customers who are giving rolling stock to metro divisions like Alstom, they are all our customer,

BEML is our customer. Titagarh, of course, has become our customer and new customers like TMH and Siemens and all, they are also being onboarded. Yes, with Titagarh, we have a preferred supplier status as a partner with them. But we are free to deliver the solutions to everybody and we are receiving this order book from other companies also. So we are very excited with this capability enhancement which we have done. This has been very strategic move. I think post current year of FY'25 where all the new factory will be put up plus the new customer approval will be coming in, order book has already started flowing in for the new product category and we are excited for this journey going forward.

R Swamintathan: And all these products will be manufacturing here, pantry, doors, gangways, couplers or will there be a sourcing strategy for this?

Jasbir Singh: So all these will be manufactured here only in India. We have one factory in Faridabad. Second factory groundbreaking ceremony has been done. The construction is in full swing. The Yujin products which are the gears, couplers and pantograph, that team is yet to come from Korea and once they come, we will finalize the location, and once the location is finalized then we'll go ahead with creating the factory for those products also.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir my question firstly is on the reported numbers. In your segmental number in the PPT versus what you've published, sir, specially at EBIT level for electronics, there's a very stark difference. So on your published number, I think there is a degrowth of almost 470 basis points and on the PPT there is an increase of 170 basis points. So if you can tell us what's the difference here because even if I take full impact of ESOP, there is still a decline. So, if you could call out what are these non-operating income and expenses? And secondly, on that segment again, we are seeing a tepid growth in FY'24. Now, our guidance have been that we want to clock in 50% top

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line CAGR. So like how you explained for Sidwal, if you could tell us the strategy here also

going forward, how can we get back on the growth path?

Jasbir Singh: So basically on the growth part like PCBAs, we have already expanded our applications. We are no more a consumer durable application company. We are now giving applications solutions for telecom industry, for hearables, wearables for smart meters, for auto players also and plus by acquisition of Ascent Circuits, which is largely into defense, aerospace and predominantly into auto space. This expands our portfolio of offering both into PCB as well as PCBA world and that's how we are very confident of achieving, because our PCB business is at a higher margin as compared to our PCBA business, but on a blended basis, now we are targeting to touch 7.5% to 8% in this current financial year. As far as on the other income is concerned, I would request Sudhir to answer that question.

Sudhir Goyal: So on the operating EBITDA which you mentioned that there is a difference in division wise performance versus the consol. So if you see that consol level operating margin is 7.7% and on the divisional front like consumer durable division is having 7%, electronics division is having 5.6% operating EBITDA margin and railway subsystem is having 20.4%, so weighted average is coming to 7.7%. If there is some more difference is coming we can have a separate call and I will discuss with you and give you the proper explanation. On the operating EBITD

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adjustments, one is the ESOP which is totaling to around Rs. 17.7 crores. Then we have one fixed assets, because gain on the sale of fixed assets comes in the other income, but loss is coming in the other expenses, so that we have netted off amounting to around Rs. 8.5 crores, which is including put call option adjustment on the acquisition. And these are the major differences which will make it to the operating EBITDA level from the normal EBITDA.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: First question was on the working capital side, right? So we have seen a very sharp improvement in working capital. So just wanted to understand the sustainability of the same, do you expect that the working capital is now normalized to 13 to 15 days kind of a number?

Sudhir Goyal: This is not a normalized level of 13 days though the normalized level in the year end level, we are expecting it should be in the range of 20 to 25 days. But this year, because of some new customers we onboarded, we have better terms and we got the payment on time. That helped us to reduce the payment term plus increase in the payment terms of the creditors.

Dhruv Jain: The second question was on the industry side. So in the last 1, 1.5 years we have seen that there has been a lot of capacities put up by brands and EMS partners. So there was that risk of insourcing for various EMS partners. However, we've seen this summer being very strong, so where are we in terms of the demand and supply in terms of capacity utilization of the AC industry as such? Do you expect that the risk that was thought to be say for two years or three years in terms of lower RAC sales would actually play out earlier?

Jasbir Singh: Well, Dhruv, basically, these are all recent units manufacturing plants which have been put up by various brands and whenever brand puts up a factory, they plan longer for the capacities. And I think yes, this season has been a very positive season. So capacity utilization will increase

much beyond, I mean, we were not expecting this, but if we see from a long-term perspective, you may be right that in case these kind of trend of good season continues, then maybe the
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capacity utilization gets over in next two to three years only. But we have mitigated to large risks in our business model. One is since we are supplying to the entire industry so brands exchanging market shares do not impact us and second basically on the insourcing and outsourcing function, which is beyond our control, which is there which is decided by the brands themselves. They keep on calculating between make versus buy. But good part is that we as a solution provider, we are also enjoying the good season and we have seen good uptake both in finished goods as well as in our components division. I think already in April and May month, we are 20%-plus at run rate of that and if the Q4 also have a good season probably industry will see 20% to 25% range improvement in the whole industry level.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

S Salgaonkar: So my first question is regarding the multiple new product stories and the tie ups that you have recently entered. So the opportunity of each of these components is different and each of these will accrue to your top line in FY'25. So any kind of ballpark guidance in terms of revenue you would like to give? And also in Sidwal what percentage of your overall top line do you expect Sidwal to come through in the next three to four years?

Ja

sbir Singh: On a guidance, I mean since all these three divisions are on a growth path, I think it's very difficult to predict which division will contribute, how much in full financial year. But, yes, we are seeing positive uptick in each division. I think electronics is on a growth path of delivering about 30%, 35% range on the top line basis and also margin expansion, we expect it to touch to 7.5% to 8% this year. As Sidwal business is actually linked with the rolling of new Vande Bharat Express. So if you see all the order book which Indian Railways has given for Vande Bharat Express, so this financial year there are very less trains which are rolling out, but next year, the number of trains are exponentially increasing. And FY'27 is the peak year where it's the exponential increase in the number of trains which will be rolled out from all the rolling stock companies. We expect Sidwal to grow in that range only. As far as right now is concerned, we have got good order book. Our defense order book which used to be earlier at generally about 20, 25 crores, we have shifted to 70 crores and we are expecting that in line and we are adding some more products also for the defense offering. In metro space also, the same kind of about 10% to 15% growth is coming. And on the consumer durable side as I explained, we are running with a run rate of 20% right now. So on a blended basis, it's very difficult to guide right now on the top line but yes, you should expect a good growth and good bottom line growth on a consol level.

S Salgaonkar: Secondly, you did mention 40,000 washing machines in FY'25. Any customer names you would like to give at this point in time in terms of onboarding or prospective onboarding? And secondly, it's a JV . So what kind of numbers do we expect to accrue to Amber in FY'25 or going ahead?

Jasbir Singh: So it's basically a PAT which will be consolidated. The top line will not be consolidated in the consol balance sheet because it's a 50:50 JV . On the 40,000 numbers, that's what we are aiming to deliver with the clients which have been already onboarded for which the approvals are right now going on. I cannot name all the clients because we have NDA signed with them, but these are mix of multinationals, domestic and online players. And I think this will start contributing significantly after two years in the PAT levels also. But it's a good growth story. The assembly line has been put up, already, the products have started rolling out, we have started giving
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samples to customers, customers have visited our facilities, we have now onboarded almost about four customers and we expect to add three more customers going in this year.

S Salgaonkar: Any pricing actions you have taken in Q1, especially in your AC business or expected to take?

Jasbir Singh: Since there is hardly any movement fluctuations of commodity side, but only the copper is a commodity which is skyrocketing right now, the LMEs shot up which will be passed on to customers definitely on a quarterly lag basis as we have done in past it will be done.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: A couple of questions. One on the electronics side. For the quarter, have we included Ascent as well for fourth quarter given that we've acquired?

Jasbir Singh: Yes. So it's only two months of revenue which has been added, which is Rs.43 crores which has been added in this FY'24.

Bhoomika Nair: Rs.46 crores of revenues and how much would be the corresponding EBITDA?

Jasbir Singh: E

BITDA will be Rs.5.8 (7.1) crores.

Bhoomika Nair: So you did speak about a lot of demand and favorable import duty which will help Ascent grow. How do you expect this business to really pan out into FY'25, '26? And how should we pencil in the growth when you're talking about 35% growth for the segment, I'm assuming this is excluding the Ascent business. Would that be a fair statement to make?

Jasbir Singh: No, Bhoomika, this will be including the Ascent business, but Ascent on its own as a company is witnessing a huge flow of customers and enquiries because of the anti-dumping duties and anti-dumping duties imposed is still six layer of PCB which is generally for applications like automobile, IT, and consumer durables, and already very big auto companies, large four wheeler companies have started visiting, they're auditing us. Their process is to audit and then approve in about 6 to 8 months 'time which they take. That process has started with almost five customers. If I consolidate the demand of five customers, this company has a potential to grow by 100% next year, but it will all depend, because we want to expand the capacities in line to the government incentives. There are specs scheme which is available and there is state incentives. So almost about 45% we will get that. So right now, we are taking inputs from everybody. We are also meeting Ministry of Electronics and IT officials for clarifying us on this specs scheme. And once the clarification comes and the customers commitments are onboarded, then definitely we will roll on. But yes, we have a plan to bring up India's largest PCB manufacturing plant for Ascent. Timing is very difficult to predict right now because it will all depend on the government incentive. So we will move in line to that.

Sudhir Goyal: One correction here, that, like sir has said, operating EBITDA of Ascent for two months is Rs.7.1 crores instead of Rs. 5.8 crores.

Bhoomika Nair: So here in the electronics segment itself, right, I mean, 70% is really the consumer durable segment. Within that, is it possible to understand how is RAC as a percentage of this electronic segment?

Jasbir Singh: Out of that, almost 25% to 30% will be RAC.

Moderator: The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

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Rahul Gajare: So I've got two questions. One is on financial, and one is on a slightly longer timeframe. Now last year in FY'24 we had an EBITDA of almost Rs.500 crores and we landed up booking almost 70% of that cost or expense under depreciation and interest. And this number has actually increased in the last couple of years. I think that that number was holding around 50%, 55% and that has gone to almost 70%. And with newer ventures and with more Capex that is lined up, this number is I would think will increase at least on the depreciation side. Now, I understand this is certainly not good from a long-term perspective. How do you intend to manage your financials over the next, say, three to five years?

Sudhir Goyal: So, on the EBITDA front, like you said in the last year, it was Rs.470 (471) crores including the other income and not the Rs.500 crores and operating EBITDA was Rs.475 crores, which is excluding the other income and the non-operating expenses, plus ESOP we have not included while calculating operating EBITDA. And this year, that Rs.470 (471) crores has become Rs.547 crores. Percentage has improved from 6.79% to 8.13%. And the operating EBITDA as apple -to-apple comparison from Rs.475 crores, it has come to Rs.519 crores. Yes, on the depreciation front an

d the interest, there is a big jump in both the expenditure because of the growth prospects which we are looking into all the three divisions that is contributing big in the current financial year and the last financial year. It is going at the same level. It appears will not get reduced in the near future, but interest, we are targeting that it will not increase substantially in the current financial year, and will be moving towards more profitability in the current financial year and the future financial years. Margins are improving because of our component strategy and PAT will also improve substantially in the current year as well as in the future years.

Rahul Gajare: So that is likely to remain high is what you're saying?

Sudhir Goyal: Appreciation, yes, but interest this year it might be.

Rahul Gajare : I'm looking at least numbers as a percentage of EBITDA because whatever operating profit ...you may include ESOP or other things, it's just a very high number basically that I just wanted to understand your thought process over the next three to five years is what I was saying. Fair enough. So it's going to be slightly higher for the next couple of years. Sir, my second question is, this company has diversified significantly over the last couple of years from electronics to train subsystems, including several MoU 's, stakes in company. How do you intend to manage all these activities, do you have business head for this and what are the parameters you as an M.D. would be looking for as far as performance of these JVs, MoU entities is concerned?

Jasbir Singh: So it's all led by professionals at each level. We have a divisional , CEO who's heading the RAC division, then we have components division CEO, electronics division CEO is right now sitting with us, Mr. Sanjay Arora, and Mobility is headed by Udaiveer, who's not on the call today . So, everybody, they are growing the product portfolio, they're adding customers profile, they're

increasing the wallet share within the existing customers and also increasing the geographic profile of each division. And all these JVs and MoUs have been triggered by them only. I mean, I was just the catalyst of going and signing the agreements largely, but it's all come from them because every division is excited for their own growth path. So it's the three themes which we are working on. Consumption theme is what consumer durable business is, electronics theme is

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what we all know about EMS and the infra theme which is led by the government initiatives on the infra spending for railways and defense sector.

Moderator: The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

Anupam Goswami: My first question is on the Sidwal. When you are saying that you are going to expand Sidwal's portfolio and venturing into new railways and segments, do you intend to keep the margins also, I mean, do the margin will stay the same, how Sidwal has produced a little higher on the 20%, 23% margins, because we have seen some margin dilution coming in this quarter as well as the ROC E?

Jasbir Singh: No, margins actually will continue to remain in that space. But as we add new product categories like doors and gangways, they are slightly little margins of 18% kind of thing and couplers and gears and pantograph are also in the range of 18% to 19%. So we expect on blended basis, I think about 18% to 20% margin for the Sidwal products.

Anupam Goswami: You told about RACs or consumer durables growing at a 15%, 20%. Do we say this even when brands are putting up their own factories, if you can s

hare some light on this, how do we expect to grow at such a rate?

Jasbir Singh: So brands have already put up their factories, capacities have been created and we shifted our strategies for supplying more components to brand rather than finished goods. And that's why there was a structural shift in our business model, which is now getting settled, because most of the plants have started at the brand level and two more plants are yet to start, which I expect in next quarter or so, those plants will also start. Post that, we will be supplying both, finished goods and the components. So we have given this flexibility to brands, and as of now, we are maintaining our 27% market share on the manufacturing footprint of complete room AC sector. So, it doesn't matter to us whether we supply full air conditioner or a semi knockdown air conditioner or just the components out of it. But, we as a B2B company focus on is how deeply penetrated we are in each of the brands and are we having a substantial share of business in the whole industry as such. And we expect this industry to keep on growing in double-digit growth at least for next 10-years.

Anupam Goswami: Just related to this, what explains the YoY degrowth in consumer durable this quarter?

Jasbir Singh: So we answered that in our commentary, but I will reiterate that we told that in last earning call that next four quarters will be little shaky for the top line kind of a growth because the brands have taken in-house. So, because of finished goods going less, the top line has got impacted and we were also impacted by Q1 unseasonal rains. So, these are the two factors why the top line has come down, but margin improvement has come because of the component strategy and other product mix of the other divisions.

Moderator: The next question is from the line of Pulkit Patni from Goldman. Please go ahead.

Pulkit Patni: So the first one is in continuation of the previous participant asked, because while you haven't grown the top line much on the consumer durable side, you're saying 27% market share in AC components is maintained. So it should have reflected in our electronics division, right, because part of electronics is also AC-related. I'm not sure why that 27% is not reflecting in the growth

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for this segment or have we actually on an overall basis lost market share in the AC segment, that's the first question?

Jasbir Singh: No, if you see the total addressable market of air conditioners last year, earlier Q1 was a dampener because of this unseasonal rains and that's when we had predicted that industry will grow by 7% to 8%, but it has grown more than that in about 10% range, and the numbers of the whole finished goods have come to about 9.3 or 9.5 million numbers. And if you convert them into numbers and versus what Amber has delivered in the RAC and RAC components, we are maintaining the share of 27%. So nothing has changed on that. But yes, it is not getting reflected because we are not selling more air conditioners. So we are selling largely components and in air conditioners we had pass through items with us, because compressors and refrigerant, other things gets passed through which we are not producing which were supplied largely by the brands to us. So that's not happening right now. That's the reason why it is not getting reflected. But the right way to look at the reflection is from the margin perspective. If we were not maintaining our 27%, we wouldn't have delivered this kind of margin and the percentage of EBITDA wouldn't have improved.

Pulkit Patni: Sir, I probably I will have to un

derstand that better because I think top line is where the market share should reflect. So anyways, I will move to the next question. You have been talking about a 30%, 35% EBITDA growth for the company over two to three years and it hasn't come through. So, now that you have given some guidance in some of the sectors, are those numbers more like aspirational numbers or we have clear visibility for example in the electronics division, 35% growth and 7.5% margin, is that something that is part of our order book or is that part of our aspiration that we'd want to get there?

Jasbir Singh: No, we've never told our aspirations. I mean, aspirations are of course to do 100% growth every year. But yes, I mean, this 7.5% is because of the blend of our strategy for PCB and PCBA business. Our PCBA business today stands at about 5%-odd and our PCB business stands at about 18% to 20% range. So that is the blend why we are confident of achieving 7.5% to 8% range of the consol electronic division bottom line number. And that's what if you see all the electronic EMS who are delivering to defense, aerospace or industrials, they have better margins and that's what we have done. So, we have shifted our strategies towards a better margin businesses.

Moderator: The next question is from the line of Keyur Pandya from ICICI Life Insurance. Please go ahead.

Keyur Pandya: Sir, just one clarification. The 35% kind of guidance that you have given for the electronic segment, now 1,240 crores of revenue for FY'24 organically probably around 1,200 crores excluding Ascent. So we are guiding for 35% growth on this 1,240 crores revenue which will include around 250 or 300 crores of revenue from the consolidation of Ascent as well and which gives us the organic growth of 10% to 15%. Is that a correct understanding?

Jasbir Singh: Yes, that's a correct understanding. Our PCBA business and Ascent Circuit put together will deliver us 35%. So we expect this to come in the range of close to about 1,800 crores this year.

Keyur Pandya: And just one follow up. So with all the diversification away from AC, I mean, is there any macro reason why organic growth we expect to be lower than what we used to do in the last two or three years, is it days or is it some macro challenge, if you can just throw some light?

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Jasbir Singh: No, no, no. Since our B2B segment in the contract manufacturing space has undergone a structural shift because of brands taking assembly in-house, so that assembly the top line is not coming and that's the reason we are not guiding any number. All what we are saying is that April and May because of good season is delivering, we are moving at a run rate of 20% and if this trend continues, the industry grows by 20%, we will definitely grow by 20%.

Keyur Pandya: I was just talking about the electronics segment. The organic growth of 10% to 12% excluding Ascent consolidation, is there any company -specific reason or there is macro challenge?

Jasbir Singh: Organic, there is a little slight understanding here, because we were earlier manufacturing Noise products in IL Jin, now those products were worth of about Rs.400 crores, will shift to the new JV . So we are not including that. If we totally talk about the electronics part, it will be close to about 35% growth and this is without Noise. If we add the Noise JV that will be another 450-odd crores plus. So, it will be total of Rs. 2,200 crores.

Keyur Pandya: The second and last question is the kind of diversification that we are doing and adding capabilities and the size that we are increasing from the O

pex perspective or especially from the employee cost perspective, should we see just normal increase that we see say 10% to 12% kind of growth or because of the talent acquisition, that growth should remain higher for the next couple of years?

Jasbir Singh: No, it should remain normal because we've already done the JVs and all. The new factories which we have planned basically will bring us new revenue also. So it should be in the range, not exponentially high.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Sir, my question is on your cash flow. So if I see your cash flow in FY'24, there is a very big jump in loans to related parties. Can you just give a little color as to what these related parties are and why has it increased so substantially?

Sudhir Goyal: So, we have given a loan to related parties, especially one is Rs.310 crores of OFCD which we have given to IL GIN from Amber to acquire Ascent. That is a larger jump if you have seen. And it is now on 30th of April, it has been converted into equity shares. And earlier we used to have 70% of IL GIN Holdings, now after that conversion we are holding 85.6% in IL JIN.

Moderator: As that was the last question, I now hand the conference over to Mr. Jasbir Singh for closing comments. Over to you, sir.

Jasbir Singh: Thank you, everyone for joining on the call. I hope we have been able to address all your queries. For any further information, please get in touch with Rohit or strategic growth advisor, our investor relations advisors, and have a good day ahead. Thank you very much.

Moderator: On behalf of Amber Enterprises India Limited, that concludes its conference. Thank you for

joining us and you may now disconnect your lines.

Call: Aug 2024

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Date: 2 August 2024

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services Phiroze
Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Mumbai – 400 050
Scrip Code : 540902
ISIN : INE371P01015 Scrip Code : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter ended 30 June 2024 ('Q1 FY25')

This is further to our letter dated 22 July 2024 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the unaudited Financial Statements (standalone and consolidated) of the Company for the quarter ended 30 June 2024, ('Q1 FY25') held on Saturday, 27th July 2024 at 10:00 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentation-head/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Yadav)
Company Secretary and Compliance officer
Membership No. : A30322

CIN NO. : L28910PB1990PLC010265

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"Amber Enterprises India Limited
Q1 FY '25 Earnings Conference Call"
July 27, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on

the stock exchange on 27th July 2024 will prevail.”

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN & CHIEF
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MR. DALJIT SINGH – MANAGING DIRECTOR – AMBER
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DIRECTOR – IL JIN ELECTRONICS
MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER –
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Amber Enterprises India Limited

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Page 2 of 18 Moderator: Ladies and gentlemen, good day, and welcome to Amber Enterprises India Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh, Executive Chairman and CEO and Whole -Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello, and good morning, everyone. On the call, I'm joined by Mr. Daljit Singh, Managing Director; Mr. Sudhir Goyal, our CFO; Mr. Sanjay Kumar Arora, Whole -Time Director of IL JIN Electronics; and Mr. Sachin Gupta, CEO of CAC & RAC Division.

We have uploaded our results presentation on the exchanges, and I hope everybody had an opportunity to go through the same. As you are all aware that over the years, we have transitioned from our core focus of room air conditioners and have structured our diversification in 3 business segments, namely Consumer Durable division, Electronics EMS division, and Railway Sub-system and Defense division. All these divisional engines are firing well and are marching forward, scripting new growth opportunities. It's been a good quarter, and we have delivered revenue growth of 41% at consol level, EBITDA grew by 45% and PAT recorded a growth of 60%.

I will now take you through the divisional highlights. First is consumer -durable division. This division comprises of three verticals: room air conditioners and room air conditioner components; non-room air conditioner components such as telecom components, smart meter components, IT server components, refrigerator components, microwave, washing machine, water purifier and automobile components; and third, is washing machine, fully automatic, front -load and top-load, which is a new addition.

Owing to favorable summers, the air conditioning industry witnessed an unprecedented demand during the last quarter. The industry recorded a growth of more than 35% in the first half of this calendar year, continuing to uphold our leadership position and our strategy to grow the product and component business, we have grown both business verticals of Consumer Durable, that is RAC product business and component business.

I'm delighted to share that due to favorable weather conditions and good secondary sales, we recorded a growth of 50% in our RAC business and non-RAC components vertical grew by 39%. On a blended basis, this division has grown by 44%. Owing to these endeavors, our operating EBITDA margins in the Consumer Durable division stood at 7.8%, which is reflective of our blend of strategy for finished goods and the components. The major drivers that led this growth were unprecedented industry growth, addition of new customers and increasing wallet Amber Enterprises India Limited

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Page 3 of 18 share in existing customers and diversification of business into other industries beyond consumer durables. We further expanded our product portfolio by adding new products during th

e quarter and became India's first B2B player, offering ODM solutions in products like tower air conditioners, window top throw inverter series, tropical high-efficiency split air conditioners,

and cassette air conditioners.

Our dedicated and continuous R&D efforts give us an edge to provide solutions that are first to market, and we shall keep working on this strategy. Propelling the diversification beyond air conditioners, our JV for washing machine, Resojet, is further strengthening our position in the consumer durable space. We are on track to deliver our guidance where the mass production will commence from second half of this year. We have already onboarded four customers for which trials are undergoing, and we expect to start mass production by Q3 of this year.

Now coming to Electronics division, led by strategic acquisition, this division during the quarter grew by 45%. The journey, which started from around 3% EBITDA in 2018 has evolved to 7.7% in quarter 1 of FY '25. Going forward, we are confident to touch EBITDA in the range of 7.75% to 8% during this year. In PCBA segment, our journey which started with capturing the trends of air conditioners from fixed speed to inverters has now evolved to provide solutions for appliances, consumer electronics, hearable wearable, telecom, smart meters and automobile segments. I'm also glad to inform that we have received our first purchase order for defense products in the segment. This division has further received a thrust with induction of bare PCB in its fold through acquisition of Ascent Circuits and MOU with Korea Circuit.

These partnerships have opened our avenues for manufacturing of single -sided, double -sided, multilayer, RF PCB, Flex HDI and semiconductor substrates. These acquisitions and MOU has helped to cater marquee customers in the segment of automotive component customers, telecom consumer electronics, both domestic and multi -nationals, defense, medical, energy solutions, and aerospace. The bare board PCB market in India stands today at INR37,000 crores and is expected to reach INR80,000 crores by 2030. The sector is growing at a CAGR of 11%, but 85% of its total demand today is still bring that through the imports. The current gap of localization versus imports is huge and, therefore, presents us with the opportunity to reduce this gap through import substitution.

The recent announcement of government imposing antidumping duty on PCBs up to 6 layers has given the much needed boost to local PCB industry. This move has enabled us to onboard four new customers, which is a mix of multinational companies and domestic companies comprising of segments such as consumer electronics, IT, auto, EV and defense. In this quarter, we have also increased our stake in IL JIN and Ever from 70% to 90.2%. Looking into our current order book, our earlier guidance for revenue growth in EMS division of 35%, now stands revised to more than 45%.

Now coming to our third division, Railway Sub-system and Defense. The expanding infrastructure spending towards modernization of mobility infrastructure in the country in the last few years has given the much needed thrust to the railways and metro ecosystem in the country. But the change in government strategies in Indian Railways and its priorities slows down the progress for the interims. Owing to these priority shifts by the government, this

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Page 4 of 18 division witnessed a sluggish quarter largely pertaining to following reasons: The Bangalore Metro project is moving with a delay by 9 months. Mumbai Metro project is also d

elayed

because of shortage of sub-systems from the rolling stock companies. Project of 200 Vande Bharat Express is also moving delayed by around 8 to 9 months, owing to a change in the composition of coaches from 16 to 24 per Vande Bharat train. And also recent announcements made by railway ministry on shifting their focus to non-AC coach this year has led to delay in production of coaches, which has withheld lifting of material from our factory. Considering the delays of the aforesaid projects, we expect this division to be flattish this year; however, during the quarter, we have further strengthened our order book by winning more contracts, thereby taking the order book visibility to around INR2,075 crores. We continue to maintain our earlier guidance of doubling the division's revenue in the next 3 years.

I am glad to announce that we have shortlisted the location for Yujin India, our recent joint venture for couplers, gears and pantographs with the South Korean company, Yujin Machinery and have started ordering this plant and machinery. The trial of products under this joint venture are expected to begin in India by quarter 4 of this fiscal.

Further, the construction of new greenfield facility of Sidwal is in full swing and we expect to start the trials of our new product categories, doors and gangways, in quarter one of next year, which is expected to convert into mass production by Q4 of next financial year.

It also gives me pleasure to inform you that after dedicated and relentless efforts of our team for 4 years, we have reached to the final stage of receiving our developmental order of air conditioner for trains from the US markets and European rolling stock companies. It will take about 2.5 years for completing the development process, post which we expect global doors to open for Sidwal. In a nutshell, the long-term horizon of this division stands to be robust.

Additionally, our defense segment is gaining momentum. With our order book growing stronger, we are expanding our product offerings in this segment and aim to become significant contributors to this sector.

Just to summarize, our strategic acquisitions across various business divisions have bolstered our market position and allowed us to offer more comprehensive solutions by leveraging favorable government initiatives like Make in India and Atmanirbhar Bharat. We are dedicated to reducing our dependence on imports and are well positioned to capitalize on the emerging market opportunities.

I now request Sudhir Goyal, our CFO, to take you through the consolidated financial highlights.

Sudhir Goyal: Good morning, everyone. So now I'll take you through the consolidated financial highlights, including the divisional performance.

So on the revenue front, at consol level, our quarter 1 financial year '25 revenue stood at INR2,401 crores compared to INR1,702 crores, which is a growth of 41% year-on-year level. Operating EBITDA for the quarter 1 financial year '25 stood at INR200 crores versus INR138 crores in quarter 1 financial year '24, a growth of 45%. Operating EBITDA is before impact of ESOP expenses and other nonoperating income and expenses. Operating EBITDA margin for Amber Enterprises India Limited

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Page 5 of 18 quarter 1 financial year '25 stood at 8.3% versus 8.1% in the quarter 1 financial year '24. PAT for the quarter 1 financial year '25 stood at INR75 crores versus INR47 crores in the quarter 1 financial year '24.

Now coming to the divisional highlights. We shall now take you through all the 3 divisional highlights, which are as follows:

Consumer Durable division: The Consumer D

urable division has reported total revenue of INR1,918 crores for quarter 1 financial year '25 compared to INR1,331 crores last year same quarter. The operating EBITDA stood at INR150 crores in quarter 1 financial year '25 versus INR106 crores in the same quarter last year. Strong summer season led to good demand, which resulted in improved revenue and EBITDA in quarter 1 financial year '25.

Electronic division: the Electronics division has reported total revenue of INR388 crores in quarter 1 financial year '25 compared to INR267 crores in quarter 1 financial year '24, which is a growth of 45% year-on-year level. The operating EBITDA stood at INR30 crores in quarter 1 financial year '25 versus INR11 crores in quarter 1 financial year '24.

Now coming to Railway Subsystem and Defense division: The Railway Subsystem Defense division has reported total revenue of INR95 crores in quarter 1 financial '25 compared to INR104 crores in quarter 1 financial year '24. The operating EBITDA stood at INR20 crores in quarter 1 financial year '25 versus INR21 crores in quarter 1 financial year '24.

Now at consol level, we have started realizing the subsidies from central and state governments over the capex made. We expect to receive a subsidy reimbursement of INR80 crores during the year under various central and state subsidies, including PLI of INR36 crores. At consol, our capex guidance remains at same level of INR350 crores to INR375 crores for this financial year. Our net working capital days at consol level has improved from 35 days to 14 days, and our net debt stood at INR965 crores. Lastly, at current run rate level, we expect our consol revenue to grow around 25%. Further, we expect a jump of around 300 basis points in our ROCE level, taking it to above 15% financial year '25, and we maintain our guidance to touch 19% to 21% in next 2 financial years.

With this, I will now open the floor to question and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: Sir, I have 1 question on the EMS division. So last year, we ended consumer durables plus smart watches at about 91% share. How should we think about the share of the other verticals improving over the next 2 to 3 years? And what, in your sense, would be the right margin, say, over the next 3 years for this vertical?

Jasbir Singh: Dhruv, good morning. So, you said 91%. We didn't get that point.

Dhruv Jain: So the share of your EMS verticals, consumer durables plus smart watches, revenue share was about 91% in FY '24, if I'm not wrong.

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Page 6 of 18 Jasbir Singh: No, I think you're mistaken on the numbers. But anyway, I'll give you a highlight on the Electronics EMS division. Basically, on this division, we have 2 segments now. We have PCBA and we have PCB. In our PCBA business, which started from 2018 by acquiring IL JIN and Ever, it was a small INR300 crore worth company, and we were at 3% EBITDA. And we were catering to refrigerators and air conditioners inverter PCB boards. So we took 2 years to develop our own boards, and we became the first company in India to develop our own inverter PCB solutions. And then we found that we were having headwinds from Chinese, they were dropping the prices, then we changed our strategies.

While strengthening our inverters board for air conditioning industry, we started diversifying into hearable wearables, where the smartwatches and bluetooth speakers came in. And then we further added telecom equipments,

telecom PCBAs. Then we added smart meters. We also added auto. And recently, we have added the defense portfolio. So in all, the trajectory was to take this 3% EBITDA from a bottom line towards more than 6%, 7%. And we achieved about 5.6% last quarter while diversifying these applications. Then we acquired Ascent Circuits, which is into bare PCB boards and which is a more marginable business plus a very high import substitution opportunity.

And on a blended basis, that division is also growing very well. It's grown by more than 30% this year over last year. And it has further strengthened because of the anti-dumping duty imposed by the government. On a blended basis, now the EBITDA has come to 7.7%. So in a nutshell, if you see, we have a strong R&D layer built up. Today, we are catering to almost about 22% to 23% of inverter PCB boards for air conditioners, the prime reason for which we acquired this company, so that objective has been achieved. And now we are further graduating into becoming an EMS player, electronic EMS player like our peers, a very strong solution provider. So nobody has the solutions like we have. We have R&D layers on one side. We are giving full solution on the PCB and different applications plus we have a backward integration with the PCB support, which is a higher -margin business. So all 3 put together brings this division to a very robust growth opportunity moving forward.

Dhruv Jain: So sir, how should we think about the contribution of non-consumer durables vertical evolving as a revenue share evolving over the next, say, over until FY '26 or FY '27?

Jasbir Singh: See, if you remember, we used to speak about when we were just entering into electronics that we want that our air conditioner versus other businesses, there should be a decent split of 50-50 moving forward, so we are moving towards that. And the verticals created by us, which is railways and defense and electronics are contributing to that only. Today, all these divisions, which have been -- where we have invested further, they are nonseasonal in nature. They are having good EBITDA margins. And overall basis, if you will see, we will be a very different diversified B2B player in moving forward if we talk about 3 years or 4 years from now, which will be exporting our components both in different divisions. And also on the domestic side, there are huge growth opportunities.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark.

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Page 7 of 18 Ravi Swaminathan: Sir, congrats on good set of numbers. Sir, my first question is with respect to the room air conditioner market. If you can give a sense on what could -- is likely to be the growth for the room AC business given the backdrop of the strong growth that was there in the summer for financial year '25. What kind of growth would have been there? What is the kind of volumes of room ACs that the industry would have seen this year?

Jasbir Singh: Well, you see, as per our resources, the H1, the full from -- the positive season is going from January onwards. We are seeing almost about 36% growth, 35% to 36% in the whole full number. So if we are talking of almost about 1 crore air conditioners last year, I think if this run rate continues in quarter 4 also, industry should be closing somewhere about 1.3 crores to 1.4 crores. And looking into that, I believe, right now, because of the good summers, inventory levels are at the minimum at this point of time. And everybody is anticipating good summers again. So everybody has started now preparing ourselves for the next

season.

And we believe that if you see -- actually, Ravi, if you see the long-term thing, this is -- we have seen 6 bad seasons in the last 24 years. We have seen many good seasons in this. But overall, because of the per capita income increase, because of the lifestyle shift, because of power adequacy, this demand for air conditioners are moving. And what new trend we are seeing that it has started penetrating to Tier 3, Tier 4 cities and even to the rural areas. I was surprised to hear that even villages have started putting up, the first air conditioners have started penetrating into some villages. So that means that it opens up a big opportunity moving forward for this sector.

Ravi Swaminathan: Understood, sir. And sir, for us to grow probably much higher than the industry growth rate, say, in terms of export opportunities or ability to manufacture critical components like compressors or even trying to gain further market share. If you can talk about them more in the room AC space, that will be great, sir.

Jasbir Singh: So we are expanding both products -- product profile in the finished goods sector as well as in the component space. In the finished goods sector, as explained during my speech, we have expanded the product portfolio like tower air conditioners. We have become the first B2B company launching the tower air conditioners, cassette air conditioners and window top through inverter series and also the tropical high-efficiency split air conditions. That is one part. There are endeavors moving forward for the exports also. And we expect we should be able to crack our first orders for the export markets very soon. And that -- this is going on in the product business. On the component side, we are already very deeply penetrated from the inverter PCB boards from motors point of view.

We can offer 70% of the bill of material in the air conditioners. Our wish list is that everybody should buy all the 70% from us so that we should be 70% of the market. But today, we have

about 26%, 27% market share, and we are maintaining that. But yes, we are also looking to expand into other verticals, which we will announce as soon as there will be some advancements. We don't want to right now tell because it's little sensitive. We have signed some NDAs on that front for expanding our further footprint in the bill of material.

Ravi Swaminathan: Okay. If compressor would be the one, which is...

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Page 8 of 18 Moderator: Sorry to interrupt Mr. Ravi. Could you please fall back in the question queue for further questions. The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Congratulations on a good set of numbers. So my first question is related to the Electronics segment. If you can talk about in terms of what has been the contribution by Ascent in both the revenues and the EBITDA line number? And there has also been the shift of the hearable and wearable JV to a JV. So what was that lower revenue? Or what revenue kind of got shifted out to the JV. So we just get a like-to-like number.

Sudhir Goyal: Good morning. Our revenue in Ascent is around INR73 crores for the quarter 1 ended 30th June 2024 and operating EBITDA is INR15 crores.

Bhoomika Nair: Understood. And sir, any revenues have moved to the JV versus last year first quarter?

Sudhir Goyal: So JVs are not subsidiaries. So JV, only PAT get consolidated in the overall PAT.

Bhoomika Nair: Okay. So even 1Q of last year didn't have any JV revenue?

Sudhir Goyal: Yes.

Bhoomika Nair: Okay. So the reason I'm asking is that if I -- the kind of growth that we've seen in the AC segment,

which has been quite robust. If I were to remove the Ascent bit, the growth for the -- for IL JIN and Ever per se is at about 18-odd percent. So any reason why the growth has been slightly lower and not kept in pace with the AC segment? And given the fact that we've added a lot of customers in various segments out there.

Jasbir Singh: So Bhoomika, the reason why this has been about 18%, 19% growth in the PCBA segment is because the average selling price of the hearable wearable have drastically been reduced.

Though the volumes continue to grow, but ASP of smartwatches and Bluetooth speaker has come down. It's almost down by 40%. That's the reason why the top line growth is not looking at. But it is reflective in the bottom line strategy. Overall, what we are looking at it because we are further expanding our applications, so that's the reason why we have guided that on a blended basis. We earlier guided that we will be able to grow this division by 35%, but now our guidance stands at 45% growth.

Bhoomika Nair: Okay, sir. And this 45% is inclusive of Ascent, right?

Jasbir Singh: It is inclusive of Ascent. But if you remove the Ascent also, then PCBA also will be growing a good 35% growth.

Bhoomika Nair: So we expect the next couple of quarters to pick up sales?

Jasbir Singh: That's right. Yes.

Bhoomika Nair: Okay. Sir on the Ascent business, you spoke about the import duties and our MOU with Korea Circuits for expanding our product portfolio. If you can talk about how are we seeing this evolving? The market is very large. There's a huge import substitution, which can come into Amber Enterprises India Limited

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Page 9 of 18 play. How quickly can we kind of scale up these volumes shift towards the higher levels of product portfolio. If you can just give some color on that aspect?

Jasbir Singh: So firstly, I mean, we have already been allotted 12 acres additional land in the SIPCOT area. That is the first beginning, which we have done. And MOU with Korea Circuits have -- it has begun, the activities have begun. They have started visiting us. Our teams have started visiting them. And we are also waiting for the government to announce some incentive schemes because earlier, the incentive scheme was SPECS and also this was the central government subsidy of about 25% and states were giving about 20% subsidy.

So now it is getting revised. So we have already got approval for about INR256 crore of plant and machinery in the SPECS Scheme 1, which is underway. That expansion has started happening. But we are expecting the new SPECS scheme or PLI scheme or some new incentives, which are getting changed for the component sector of electronics. Once the announcement will be done, we will be immediately going for the expansion with the Korea Circuits and Ascent put together in the HDI board. So we expect that at least 50% to 55% will be reimbursed by central and state governments.

Bhoomika Nair: And by when do you think these revenues from these HDI boards would start coming in?

Moderator: Could you please fall back in the question queue for further questions.

Bhoomika Nair: Sure. I'll go back. Thank you.

Moderator: Thank you very much. The next question is from the line of Sonali from Jefferies.

Sonali: Congratulations on a good set of numbers. So my first question is regarding the RAC industry.

We definitely saw a great summer. So you did mention the channel inventories are low right now. So does that mean that we could look at restocking of channel inventories going ahead in

Q2, Q3. And also any pricing action that we have done in the first half of the year or is expected go

ing forward?

Jasbir Singh: Yes. Good morning, Sonali. We expect that the industry because whenever this kind of upbeat summer comes in, generally the trend is that Q2 is a normal one because Q2, nothing great happens, but Q3 onwards, the traction of the inventory buildup starts happening. So we expect better Q3 and then Q2 also is also moving much better. I mean, as of now July is moving much better than last year.

Sonali: Understood, sir. And about the update on the industry transition to be in-house. Any update on that front and also pricing actions in ACs.

Jasbir Singh: So we don't see any pricing action as of now because there is not a very large movement on the commodity side. But on the industry expansion side, on the in-source versus outsource, I think the dust has already been settled. There's every company who wanted to put up their factories, their factories have started, except only one company is pending whose plant will be ready by October or November. So after that, I think, we don't hear any further plans from anybody to
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Page 10 of 18 show. So there should be a spillover also moving forward into the outsourcing part as the capacities of those plants get built up.

Sonali: Sure. Sir, my second question is, whether you mentioned that Sidwal's revenue could be flattish this year. I missed that, which is why I'm reconfirming.

Jasbir Singh: Yes, we were expecting about 15% to 20% growth this year. As earlier guided, that we have done joint ventures and we have stitched deals for expanding our portfolio into doors and gangways for which did a TOT. And for pantographs, gears, and couplers, we have done joint venture with Yujin. So generally, these kind of safety products and the functional products, they take a long time for the approval.

So once the factories are up and running by quarter 4 this year, next year as I guided earlier, this year will be the execution year. And next year will be the year of approvals from railways and metros. So we expect that Q4 of next financial year will be the starting point for all the new product categories.

Yes, that's the reason why we have changed our guidance because right now, for the time being, government has shifted its focus for production of more non-AC coaches. And that there is a slowdown from Indian Railways to pick up. But that's very momentary. I think it is momentary for this year. So that's the reason why earlier guided that this division will grow by 15%, 20%, we want to guide that it will be flattish this year, but nothing changes on the long-term horizon from next year or quarter 4 onwards.

Moderator: The next question is from the line of Sampath Nayak from Veritas Capital.

Sampath Nayak: Congratulations on good set of numbers. So my question is regarding railway mobility, especially HVAC segment, right? So what is the opportunity size and wallet share we have across different segments, such as AC, railway, defense and bus? That is my first question, sir.

Jasbir Singh: So in HVAC segment, so there are 2 segments to look at it. One is metro rails and second is Indian Railways. In metro rail, we are enjoying 46% share of business in the metro for the HVAC segment. And in Indian railways, we are at about 40% share of business in the Indian Railways.

Overall, earlier, if we see there are about close to about INR550 to 600 coaches getting produced for metros on an annual basis. In the railway segment, the number keeps on fluctuating. So sometimes the production is of non-AC coaches more, sometimes AC coaches are more.

So it's very difficult to predict the government budgetary provi

sion because that's very

fluctuating numbers keep on coming in. Generally, it needs to be close to about 3,000 to 4,000 coaches annually, which is being produced, which are generally the air condition coaches. Out of the almost 7,500, 8,000 coaches being produced by 3 factories of Indian Railways.

And but the new trains which are being launched like Vande Bharat Sleeper, Vande Bharat Metro, and Vande Bharat Chair, they are all air-conditioned coaches. So as the momentum of new coaches will come up, the more trend will be from FY '26 onwards towards the air conditioned coaches.

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Page 11 of 18 Sampath Nayak: Right, right. And sir, what would be the like wallet share of HVAC in one particular coach?

Jasbir Singh: So generally, you see there are different -- different passenger cars have different kind of composition on the bill of material. Like LHB coaches about INR3.5 crores where HVAC contribution will be somewhere about INR16 lakhs, INR17 lakhs. But if you talk about the metro where it is about -- Vande Bharat, it is about INR6 crores, in that HVAC contribution will be somewhere about INR22 lakhs to INR24 lakhs. But metro is totally different. The coach composition can shift from -- bill of material can shift from INR9 crores to INR10 crores. In some cases, INR7.5 crores.

So it will keep on varying. But what we have done, Sampath, is that, we have moved beyond HVACs also. Earlier, our contribution was only 3% to 4% of the bill of material of a particular passenger car. But now with the deal stitched with Yujin and the TOT done with the Ultimate group for doors gangway, we can go to INR1.2 crore per car. So that's the offering. So we have expanded our total addressable market. Plus, as explained, we are not only in future in about 2.5 to 3 years from now, we are expanding our global doors also. So that there's a whole new world opening for Sidwal as far as HVACs are concerned, and then we'll further grow this other component there.

Yes, on the defense, as you asked on the defense, there is no particular research, which says how much is the market side because it's varying. It's totally dependent on projects. But yes, we are into multiple defense products where we have launched our instant cooling solutions. That is one expansion, which we have done. In fact, we have done deemed exports also for that. Some shipments were sent by Government of India, in which the instant cooling institutions were provided by us. And we are also expanding our defense product which is also opening doors for exports. So currently, as we are speaking, there are teams sitting in our Sidwal factories, which are gearing up. It will take about 24 months. We are letting up ourselves for the exports of these products to outside India also.

Sampath Nayak: Great, sir. And sir, what is the entry barrier for railway and defense sector?

Moderator: Sorry to interrupt, sir. Could you please fall back in the question queue...

Jasbir Singh: So on entry barrier, Sampath, it's a big gestation period. Generally, if someone wants to enter into railway HVAC or the safety products or functional products, you will be awarded a developmental contracts where within the 2 years, once you finish your development, the railway ministry will come and inspect and then they will give you 2 coaches or 3 coaches. They will monitor it for complete 1 year. After the successful execution, you will be awarded Part 2 category supplier. Part 2 means even if you come L1, you will receive only 15% or 10% of the business. And then 300 coaches or 3 years, whichever is earlier, that's ho

w you become a Part

1. So it's a journey of 5 to 6 years.

Moderator: The next question is from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: Congratulations on good performance during the quarter. So I've got two questions, given that you've raised your guidance in the EMS from 35% to 40%, which will take us closer to INR1,800 crores. Many EMS companies are now talking about 50%, 60% kind of growth. Do you see

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Jasbir Singh: Well, as I explained, we are expanding our portfolio as other peers. So from one side, we are expanding our portfolio to increase our EBITDA margins. On the other side, we are expanding our offering -- expanding the total addressable market. So both in PCB as well as in PCBA. In PCB, we see huge potential because of import substitution at the current level, as I explained, the industry is at INR37,000 crores.

And only 15% is getting manufactured in India. So there tends to be a big boost for the import substitution. But we don't want to give any number here that we can grow by -- continue to grow over 4, 5 years for 50%, 60%. But if government of India keeps on coming up with decent schemes, I think, automatically, companies like us will continue to grow in 45% to 50% range.

Rahul Gajare: Sir, my second question is on your stakes that you have got with 2 areas. One is through Sidwal, you are planning to invest INR120 crores in the SPV. So I want to understand how much of this money will go into the domestic factory and how much of this will get invested into the overseas entity in terms of the stake? And connected with that, I just wanted to understand when you're looking at washing machine also, what would Resojet really bring to the table? Because I think that also is a fairly recently incorporated company.

Jasbir Singh: So on the second question, Resojet, basically, they had already got the factory ready and complete tools and machinery was getting in place when we entered and they've already done a strategic tie-up with TCL, which is supporting the whole model lineup. And that's where we come in. We bring on the table basically, we've shortened the whole line. I mean, earlier, it would have taken us 1.5 to 2 years. But we've just directly entered into the newly freshly done - up plant.

And we brought in -- from our side, what we brought on the table is all the customer base of the company and, of course, the manufacturing capabilities of the consumer durables. So earlier, the plan was just to assemble, but now we have started complete manufacturing. The trials are underway. There are 4 customers, which have been onboarded and we are talking to 8 more customers to be onboarded. I believe we will keep you updating on the numbers of new customers getting added in that division.

On the other Sidwal front, of INR120 crores, out of that, INR90 crores we have invested in the Italy plant along with Titagarh and Government of Italy's fund, Invitalia. So the reason why we invested in that was because you see, if you want to see where the rolling stock large businesses

are going to come from, that is coming from India for next 10 years and U.S. markets and European markets. So they are just booming in the rolling stock businesses. And we were trying to penetrate into the global markets, but we were not getting approval because we lack in experience of even supplying single train outside India. In one of the tenders, which

was very big tender, we did not get despite of coming L1 because of the lack of experience of single train.

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Page 13 of 18 So to reduce that 7, 8 years of approval cycle, we entered into that Italy with Titagarh and took a right of first refusal for the Sidwal products. And as we entered, we have started meeting the Italian government railway systems for our HVACs for the first wave. They have already given the orders for doors and gangways are under discussions. So we will be cutting short our approach to the global markets through this division. So that was our rationale to enter into that.

Rahul Gajare: I have more questions, but I will come back in the queue.

Moderator: The next question is from the line of Abhishek Ghosh from DSP.

Abhishek Ghosh: Sir, just on the Sidwal part of the order backlog of INR2,075 -odd crores, what is the execution time for that, sir?

Jasbir Singh: So these are different projects with different time lines. So largely the Vande Bharat time lines are that first 2 trains have to go this year and then about 6, 7 trains next year, but the large traction of the deliveries are coming into FY '27. So you can say that this order book would be somewhere about divided in 2.5 to 3 years.

Abhishek Ghosh: Okay. Got that. And sir, the other thing is on the electronics part of the business, now with Ascent having come into your fold, which is a good 18%, 20% kind of a margin business for you all. How should one look at the overall margin profile? I know you don't want to comment to our growth because there are multiple levers to it. But can the overall margin of the Electronics division move to something like a low double digit given that Ascent is already at a 20% revenue contribution with about a 20% margin profile. Any thoughts on that?

Jasbir Singh: So Abhishek, when we acquired IL JIN we used to guide that, yes, in 5 years, we will be increasing our margin and that's what we have done. I would say that, yes, on a long-term perspective, if we talk about 3 to 4 years from today, we will definitely be targeting to do the early teen kind of numbers on this front, and we are taking adequate steps for capturing the applications, which are higher margin.

So there has to be a blend on value versus volume. So some of the business are volume driven and some of the businesses are value driven. So we are gradually getting into these high entry barrier zones. And I believe that somewhere about in the long run, if we talk about 4 years from now, 4 to 5 years from now, somewhere above 12% to 13% should be possible.

Abhishek Ghosh: And sir, just lastly on the AC part of...

Moderator: Sorry to interrupt. Abhishek, sir, could you please fall back in the queue.

Abhishek Ghosh: Sure.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: I have a couple of questions. First, on Electronics business. On 45% growth target implies about INR1,800 crore revenue for next year. Of that, assuming Ascent is roughly about INR300 crores, INR330 crores. Can you give us a split of the end consumer of the rest of the business, that is how much wearable? And what are the other businesses that you have got?

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Page 14 of 18 Jasbir Singh: We don't have handy right now, but yes, we can separately tell you, but it keeps on fluctuating. Even if we give you number that business will continue to fluctuate because if quarter 4 is very good, air conditioners will take the major jump as we have seen in quarter 1. So it will keep on varying like we have entered into elect

ronics for 4-wheeler, we have light commercial vehicles, we have heavy commercial vehicles we have entered into, and we have entered into the auto part also for the EV charges and defense also. So it's very difficult to predict the complete bifurcation on the revenue mix of the applications.

Indrajit Agarwal: But ballpark, would AC be a substantial part of it, RAC...

Jasbir Singh: No, no. No, AC is very less part of it. If I talk about today also, AC will be less than 20%.

Indrajit Agarwal: Okay. That is helpful. My second question is on Sidwal of the order book of 2017. Is it all HVAC as of now or any of the newer segments are contributing to the orders?

Jasbir Singh: No, no, no. So this is almost about INR780 crores is the new product category and about INR78 crores to INR80 crores is defense order book and remaining is HVACs.

Indrajit Agarwal: And on your RAC...

Jasbir Singh: HVACs and pantry systems.

Moderator: The next question is from the line of Aadesh Mehta from Motilal Oswal.

Aadesh Mehta: Congratulations on fantastic numbers. I just have one question. Sir, [inaudible 0:47:14] for RAC

industry and how are we positioned? What kind of inventory could you see building up for the industry as a whole and your outlook on growth?

Jasbir Singh: Could you repeat your question? There was some blip in the line. Can you please repeat your question?

Aadesh Mehta: In RAC business, are we seeing the next rating [inaudible 0:47:40] and consequently, are you seeing the inventory building up, in which year will that happen?

Jasbir Singh: So government has already announced that the new energy table will be implemented from 1st January 2026. So I think this year, nothing changes. But yes, next year, quarter 3 onwards, there will be shifting, which will happen.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Just wanted to understand how exactly is it panning out on the in-sourcing side from customers? Is it fair to assume that for some of them, given the facilities have become operational this year, they will be in a ramp-up phase and next year, they will possibly be doing a lot more in sourcing than what they have done this year?

Jasbir Singh: I don't think so because make versus buy is a right of the customer. And they keep on evaluating whether they should make or they should buy from outside. Overall, the capacities being put up by the brands, I believe it will be -- if this kind of continues the growth kind of continues, it will

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Page 15 of 18 be earlier than that, that they will be fulfilling those capacities and the spillover may happen.

But Aditya, if you see our strategy of serving them even if they want to insource, nothing has changed for us., I would say some of our investor friends, they did get confused when every announcement came that factories are being put up by the customers.

But we moved in tandem with them. We started supplying our components, and you've seen that the margins have improved and the top line is also moving in tandem with the industry. So I think if this trend -- this will keep on shifting. In future also you should be ready. Some years, they will be spillover, some years, there will be under capacity -- over capacity, so they will be making in-house. But companies like us, we will keep on shifting in both the strategies.

Aditya Bhartia: Understood, sir. And my second question is related question on margins. So if we look at this particular quarter, wherein we had a very strong growth even in standalone entity, which houses ACs and largely durables. Over there despite tha

t strong revenue growth in terms of margins,

we actually didn't see any expansion. So there would have been operating leverage benefit, which would have played out, higher proportion of components would have been the case in this quarter. So there is no EBITDA margin expansion and at the gross margin side, there is a bit of an erosion. So how should we think about profitability going forward?

Jasbir Singh: See, we were earlier -- we were hovering around 6%, 6.5%. Now we have already touched almost close to about 8.3%. And we could see the EBITDA margins getting maintained at this level moving forward.

Aditya Bhartia: Okay. So we didn't really get any major benefit of operating leverage?

Jasbir Singh: So operating leverage. If you divide into the consumer durable numbers, you will see that margins have improved over the last quarters. And that's primarily because of the operating leverage as well as the shifting strategies of the components.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: Sir, just maybe one question given that the PLI scheme sort of reopened again. How are we looking at that? Are we looking at any specific categories or in general expansion into existing basis? How are we specifically targeting the PLI scheme or will we stay completely away from that.

Jasbir Singh: No, we are not looking to invest further in PLI because PLI has been announced now. You will be just filing the application. You will be doing sale and then they are only 2 years left for getting the incremental sales and the benefits. So it's not worth that -- for taking the onus on achieving the incremental sales. So we will not be participating. We are staying away from the PLI.

Deepak Krishnan: Sure, sir. And maybe just in terms of -- you said overall industry growth rate was 35%. How much was the RAC growth rate for us, RAC, RAC components for the summer season? Because some of our peers have seen growth in the range of 60 plus. So I just wanted to sort of reconcile how has market share moved specifically within the outsourcing players in this particular quarter or this particular summer as such, both Q4 and 1Q together?

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Page 16 of 18 Jasbir Singh: So H1, industry grew by about 35%. That's the number from our resources. There is no research report published, but we feel that the industry numbers are somewhere about 35% to 36% growth rate. And we have grown by almost 50% in this quarter. So that's a good, robust growth. I think that's reflected that things are spilling back. But you should not -- I think what I will guide everybody and suggest is that quarterly fluctuations will continue from insourcing, outsourcing, components, non AC components or RAC components. But largely on the long-term horizon point of view, this is a good industry, which has a long-term horizon, and that's where we are

banking our efforts on.

Moderator: The next question is from the line of Nirranish Jain from BNP Paribas.

Nirranish Jain: Congratulations as on a good set of numbers. Sir, my first question is on the debt level. So what we have seen is like our debt has increased over the last 2 to 3 years primarily because like most of the PLI-related capex had been front-ended. So now going ahead, considering that our capex guidance has also come down from the levels that were there in the last 2 to 3 years, what is our debt repayment plan? And how are we looking at it going ahead?

Sudhir Goyal: Nirranish, this is Sudhir. So our debt repayment plan, so normally long-term debt, whatever we have taken, it is

for 7 to 8 years, and our average maturity is around coming to 4 years. So the larger debt was taken in the last year and the last to last year in the terms side, and that will be paid over the next 7 to 8 years' time. Balance is working capital, which is a perpetual kind of a limit, which keeps on changing based on the requirement of the working capital.

Nirranish Jain: Sure, sir. Understood that. Sir, second question is on the durables division. So in FY '24, we saw that around 40% was the RAC contribution to the overall consol numbers. Now considering that the summer had been really strong, like how are we seeing this mix getting evolved? And in case like the RAC mix remains constant, can we expect a continued improvement in the margins for the durables division with a higher mix of the RAC?

Jasbir Singh: So we actually look at the RAC and RAC component. That is one vertical. Then we have non-RAC components. So that keeps on -- the average will keep on fluctuating.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Two questions. Just first on the Consumer Durable division. So based on the performance of Q1. So any specific outlook you would like to give for the division in the context of strong AC demand? And just the extension to the question is that we saw strong demand in Q1 since there was overflowing of demand from their in-house facility. Now should we see that in Q2, Q3 as well? Because I believe that in those periods, the facilities are underutilized, and so brands given a choice would like to make in their own facilities. That is first question.

Jasbir Singh: No, actually, once you sign up for the model lineup, then it is very difficult to switch every quarter like this. So if the growth is going on for those models that will continue to be in the same range if the markets are growing at 35%, 40%. I think that, that's the growth we should look at, in case the quarter 4 is a good summer.

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Page 17 of 18 But in case quarter 4 is not a good summer, of course, the average will come down, but the model lineup remain intact. Yes, if brands put up extra capacities, maybe by next year, then they decide that supposing they are taking model A from us and they want to manufacture the model A within inside, then we will ship the -- we will start supplying components to them for that model A. That's the strategy.

Keyur Pandya: So as a summation of all this, any growth outlook for Consumer Durable division for '25? And the second question is total capex for FY '25 and any broad breakup that you may give?

Jasbir Singh: On the consol, I think, Sudhir, has already mentioned that we are looking towards consol revenue growth of almost about 25% this year. And we expect that we should be able to do it.

Keyur Pandya: For capex?

Jasbir Singh: Can you please ask your question again? I mean, there was some question pending.

Moderator: Yes, sir. We'll move on to the next question. It's from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Sir, my question is, first, on the revenue mix, now the commentary around Sidwal with CMS segment, it has been quite bullish and the revenue, I mean, the margin contribution is also very high from those segments. Just want to understand how the revenue mix will move from current 75% in Consumer Durable, say, by FY '27? If you can help me with that.

Jasbir Singh: Well, we feel that -- I mean, that's our wish list, that banking on Consumer Durable will a little bit come down because that's the way we are bringing up other divisions. So we expect that there should be

at least a 60-40 kind of a split by FY '27. Other divisions are going to grow and they're doing good. And this is on the top line contribution, but bottom line can be a 50-50 kind of a split also.

Natasha Jain: All right. Sir, 60, you mean Consumer Durables and 40 remaining from EMS and Sidwal?

Jasbir Singh: That's right, yes.

Natasha Jain: All right. Sir, my next question is on the RAC assembly order book. Sir, can you throw some light as to what kind of clients we've onboarded there recently? Or what is the kind of contribution from our top 5 clients there, especially this quarter if we were able to onboard some newer clients?

Jasbir Singh: Yes. I mean, we've onboarded some new clients this time. We would not like to name them because of the sensitivity and the NDA signed with them. But largely, these are MNC clients.

And then we were doing some gas charging earlier, which we have successfully shifted to ODM solutions. So that's the addition, which we have done.

Natasha Jain: Understood. And lastly, sir, in terms of margins, if I see now, if I just take your EBIT level number as per your filings, again, there is a flattish kind of EBIT margin growth in Consumer Durables. While I understand that the reason is a non-operating expense income, you've removed. But can you just throw some light, what are these expenses because they keep coming

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Page 18 of 18 every quarter. And if we remove them only is when we see a margin expansion. Could you throw some light as to what these line items are?

Sudhir Goyal: Non-operating expenses are largely ESOP expenses, which comes in the -- we normally add back to calculate the operating EBITDA. Apart from that, non-operating expenses like loss on sale of some fixed assets and something like that. A larger portion is ESOP.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today's conference call. I would now like to hand the conference over to Mr. Jasbir Singh for the closing comments.

Jasbir Singh: Thank you, everyone, for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with Rohit or SGA, our Investor Relations Advisors. And have a good day ahead and good weekend. Thank you.

Moderator: On behalf of Amber Enterprises, we conclude this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2024

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Amber Enterprises India Limited

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CIN: L28910PB1990PLC010265

Date: 28 October 2024

To
Secretary
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BSE Limited
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Listing Department

National Stock Exchange of India Limited
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ISIN : INE371P01015 Scrip Code : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter and half year ended 30 September 2024 ('Q2 & H1 FY25')

This is further to our letter dated 16 October 2024 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the unaudited Financial Statements (standalone and consolidated) of the Company for the quarter and half year ended 30 September 2024, ('Q2 & H1FY25') held on Wednesday, 23rd October 2024 at 9:30 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentation-head/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Yaadav)
Company Secretary and Compliance officer
Membership No. : A30322

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"Amber Enterprises India Limited
Q2 & H1 FY '25 Earnings Conference Call "
October 23, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd October 2024 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – WHOLE TIME
DIRECTOR – AMBER ENTERPRISES INDIA LIMITED
MR. DALJIT SINGH – MANAGING DIRECTOR – AMBER
ENTERPRISES INDIA LIMITED
MR. SUDHIR GOYAL – CHIEF FINANCIAL OFFICER –
AMBER ENTERPRISES INDIA LIMITED
MR. SANJAY KUMAR ARORA – WHOLE TIME
DIRECTOR – IL JIN ELECTRONICS
MR. SACHIN GUPTA – WHOLE TIME DIRECTOR –
AMBER ENTERPRISES INDIA LIMITED
MR. RAVI KHARBANDA - HEAD INVESTOR RELATIONS
- AMBER ENTERPRISES INDIA LIMITED
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS -
AMBER ENTERPRISES INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Amber Enterprise India Limited Q2 and H1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh , Executive Chairman and CEO and Whole -Time Director of Amber Enterprise India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello, good morning as well as good afternoon and good evening for the participants joining from different time zones. On the call today, I'm joined by Mr. Daljit Singh, Managing Director; Mr. Sudhir Goyal , our CFO; Mr. Sachin Gupta, CEO of CAC and RAC Division and Whole -time Director; and Sanjay Kumar Arora, Whole -Time Director of IL JIN Electronics and CEO of Electronics. We have uploaded our results presentation on the Exchanges , and I hope everybody had an opportunity to go through the same.

As you are aware, we have three business divisions, namely Consumer Durable division, Electronic EMS division and Railway Subsystem and Defence division. I'm pleased to say the diversification journey is progressing very well and each division is unlocking new horizons of growth for Amber.

Propelled by each division, we had reported robust growth for Q2 FY '25 with revenue of INR1,685 crores, reflecting a growth 82%. Operating EBITDA grew by 85% and PAT grew to INR21 crores from a loss of INR6 crores over the same period year.

Prior to taking you through divisional performance for the quarter, let me touch base on the recent strategic initiatives to shape up the growth trajectory of the group. Firstly, earlier this month, we did a ground -breaking ceremony for manufacturing plant of Ascent Circuits at Hosur in Tamil Nadu. This will add annual capacity up to 840,000 square meters upon completion in two phases.

Secondly, we have entered a joint venture agreement with Korea Circuit to foray into the advanced manufacturing of HDI, flex and semiconductor substrates PCBs. This collaboration will further strengthen the offering of bare PCB portfolio and marks the revolutionary progression of Amber Group into a leading full stack backward -integrated EMS company. The JV would leverage Korea Circuits experience of more than four decades in PCB production

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and help us develop competitive advantage for rapid growth and additionally bring the connect with marquee global customers.

This JV will expand our horizons newer segments, including mobile, IT modules and semiconductor industry. From the ownership perspective, we will have 70% ownership through our subsidiary IL JIN Electronics and 30% with the Korea Circuit in the new JV company.

Now let me take you through the divisional performance. First is Consumer Durable division. This division comprises of three verticals: Room air conditioners and its components; non - room air conditioner components such as telecom components, smart meter components, IT server components, refrigerator components, microwave, washing machine, water purifier and automobile components. And lastly, as a final product washing machine , fully automatic front load and top load.

Owing to prolonged summers and lower channel inventories during

the period, both the

vertical of RAC and non -RAC components recorded a strong growth of 104% and 68%, respectively, with the blended growth of this division of 95%, leading to operating EBITDA of INR62 crores for the quarter, representing a growth of 196% over last year.

The robust growth of the division was driven by strong underlying RAC industry and increasing wallet shares by virtue of deepening relationship with customers. Additionally, during the quarter, we onboarded one new customer for the tower ACs and cassette ACs and successfully converted a customer from gas charging earlier to now ODM solutions.

With regards to our diversification beyond air conditioners, I am pleased to report our washing machine JV with Resojet is on track and progressing very well to commence the mass production in second half. The trials are in progress for the four onboarded customers.

Moving to Electronics division now. The division revenue almost doubled to INR492 crores with a robust growth of 98% in Q2 . The journey, which began for capturing the technological shift in the AC industry from fixed speed AC to inverter AC by acquiring IL JIN , then offering PCB assembly. It has evolved now to a full -fledged division, offering solutions for appliances, consumer electronics, hearable, wearable, telecom, smart meters, automobile segment and additionally entered into defence segment now, and further strengthened offering into the bare board PCB with acquisition of the Ascent Circuits.

I would like to emphasize our recent key strategic developments once again, the ground - breaking of a new manufacturing plant of Ascent at Hosur, Tamil Nadu. This will add annual capacity of 840,000 square meter upon completion in two phases, more than doubling the capacity from current level. We plan to invest around INR650 crores for advanced manufacturing technologies of multilayer bare PCBs backed by state government and central government subsidies.

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On the JV with Korea Circuit, JV will foray us into advanced manufacturing of HDI flex and semiconductor substrates PCBs. This JV will further graduate Amber as leading Electronic company, offering solutions in PCB assemblies and full stack backward integrated PCB solutions for a single layer, double layer, multilayer, RF, HDIs and semiconductor substrates PCBs. We await for the new incentive scheme by Ministry of Electronics and IT on HDIs and semiconductor substrates, which is likely to be announced in the next 3 to 4 months. Post announcement, we will finalize our capex plan and intimate our stakeholders accordingly.

On the macro front, the bare board PCB market expects to grow to almost INR80,000 crore market by FY 2030 from current level of INR32,000 crore market and with a CAGR of almost 11% to 12%. And interestingly, close to 85% of market today is fed through imports. So, this leaves a big delta of growth for this division. These initiatives unlock the opportunity to capture the domestic market and localization potential as well.

And we are also glad to announce that we have signed a buyback arrangement with our partner Korea Circuit, where they will be buying back a percentage of the complete capacity for first 2 years, and then it will taper down moving down. So, the day we start with the Korea Circuit facility, we will be going for a complete 80% to 90% of capacity utilizations on the year 1 itself.

Now coming to our third division Railway subsystems and defence . The division reported a muted quarter with a decline of 6% in quarter 2, owing to delay in projects and shift in government strategies and priorities towards the non -AC coaches. However, the delay in Indian Railways offtake is more momentary and with no cancellation of orders, hence, division growth potential remains very intact.

On the expansion front, I am pleased to report construction is pr

ogressing well for Sidwal's

greenfield expansion, and we're on track for energy -efficient air conditioners, doors, gangways and pantry systems to commence operations by quarter 1 of FY '26. Additionally, with regards to the progress of JV with Yujin machinery of South Korea is progressing well for the couplers, products, gears and pantographs and trial of the products under this joint venture are expected to begin in India by quarter 4 this year or Q1 of next year. We continue to maintain our earlier guidance of doubling the division's revenue in the next 3 years, backed by a strong order book of more than INR2,000 crores plus and product portfolio expansion .

To sum up, we witnessed a strong quarter 2, coupled with key strategic initiatives of Ascent's new plant expansion and JV with Korea Circuit have further strengthen the positioning of Amber Group. In line with the government of India's Atmanirbhar Bharat initiatives. These initiatives augment the domestic manufacturing and import substitution capabilities.

I now request Sudhir Goyal, our CFO, to take you through the consolidated financial highlights. Thank you.

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Sudhir Goyal: Good morning, everyone. Greeting for the festive season. I'm pleased to report a strong set of financials for the quarter , despite quarter 2 generally being a seasonally weak quarter. Let me take you through the quarterly financials first .

During the quarter 2 financial year '25, we clocked a consolidated revenue of INR1,685 crores, up by 82% over last year. We recorded quarterly operating EBITDA of INR120 crores against INR65 crores last year with a growth of 85%. For clarification, operating EBITDA is before impact of ESOP expenses and other nonoperating income and expenses. PAT for the quarter is INR21 crores versus a loss of INR6 crores last year.

Let me take you through half yearly results for H1 financial year '25 financials at consolidated level. We recorded consolidated revenue of INR4,086 crores strong growth of 55% over last year. Operating EBITDA of INR320 crores against INR203 crores last year with a growth of 58%. PAT for the H1 financial year '25 is INR96 crores versus a INR41 crore last year.

Now switching over to divisional performance. The favourable weather, coupled with the channel filling led to remarkable growth in the Consumer Durables division. This division reported total revenue of INR1,069 crores for quarter 2 financial year '25 against INR547 crores same quarter last year, reflecting a strong growth of 95%. Coming to divisional profitability. The operating EBITDA for the quarter 2 was INR62 crores, a growth of 196% on a year -on-year basis.

Moving to Electronics division. The Electronics division has reported total revenue of INR492 crores in quarter 2 financial year '25 against INR248 crores, growth of 98% over last year. The operating EBITDA of INR37 crores in quarter 2 financial year '25, representing year -on-year growth of 187%. I will reiterate, we are progressing well towards the guided revenue growth of 45% for this Electronics division. To reiterate the recent expansion of Ascent Circuits, new plant and Korea Circuit JV dwell for the margin profile of division in long term, being the margin -accretive segment of the business.

Now coming to Railway Subsystem and Defence division. The division reported a muted quarter owing to a slower offtake as mentioned earlier. The revenue for the quarter 2 financial year '25 was INR124 crores, representing a decline of 6% over last year, owing to lower revenue further operating EBITDA declined to INR21 crores in quarter 2.

On capex guidance, we expect the yearly capex to remain in the range of INR350 crores to INR375 crores, excluding the Korea Circuit capex and the expansion of Ascent, which we'll let you know in due course of time.

On the balance sheet front, the net working

capital days reduced to 27 days from 52 days in

H1. And net debt stood at INR1,277 crores at consol level. Looking ahead, we expect the console revenue to grow around 25% for the year and expect an improvement in ROCE to reach around 15% by the year -end. The recent key initiatives, Ascent facility expansion, JV

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with Korea Circuit, and expanding product portfolio of Railway division augurs well for the growth of that company.

Now I request to open for the Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: Great numbers in both the Durable as also the Electronics division. Just one question on the

AC side. If you could just talk about; one, how are you seeing festive overall industry level? How is demand? Of course, Q2 was great in terms of channel filling but in terms of end demand, how you're seeing? And also, your views on overall industry growth and how much would Amber in turn be growing for FY '25? That's my first question.

Jasbir Singh: Ankur, so I think on the industry side, on the air conditioners, as you all have seen that there were a lot of climatic volatilities, which we are seeing these days. Last year, I would say that it was the worst year of AC industry in 40 years. And this year has been the best year of 40 years of our industry. So, the channel inventories right now are at reasonable levels, which are standard levels, which keep -- the channel keeps with them. And this is the product which is not festivity product. So, this used to be product earlier, which was sold in the festivities. But yes, in the southern markets, definitely, it does bump up because of the climatic conditions. From a growth perspective, we expect that the industry should clock a 25% to 30% improvement from last year's number. So, I expect that the industry should be in the range of 1 crore 30 lakhs air conditioner this year as compared to about 95 lakhs last year -- 95 lakhs to 1 crores last year. And we are expecting -- I mean everybody looking from the current order book and the excitement from our customers level, we expect that the quarter 3 and quarter 4 will also be a good quarter because channel inventory is pretty low.

And by December, customers will start filling in the inventory of various brands. So, we expect that the quarter 3 should also be a positive quarter for the industry. But overall basis, I expect that it should be about 30% growth for the whole industry in India.

Ankur Sharma: And for, Amber, sir, just to finish my question. Amber will grow faster for sure, right?

Jasbir Singh: Amber is growing more than the industry, primarily because of reasons that we added a new customer, which was earlier a gas charging customer. That is one part. Secondly, all our earlier initiatives which we announced in last 4 quarters for launching the tower air conditioners and cassette air conditioners, also the commercial air conditioning range of ductables are now fructifying into reasonable revenues.

So those kind of initiatives are also showing a very positive results, and plus the industry growth. So, these are 3 factors, which is making Amber grow more than the industry. I believe we should continue this trend at least for the next 2, 3 quarters.

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Ankur Sharma: And just a second question on the....

Moderator: Sorry to interrupt you, sir. I request you to come back for a follow-up question. The next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: Sir, my first question is on your gross margin despite a very strong top line growth, we've seen almost 200 basis point decline in gross margin. So first, can you please explain that?

Jasbir Singh: That's largely perta

ining to product mix range because whenever we will sell more finished goods, the gross margin on the level is lesser there. And whenever we sell more of components, the gross margins are different there. So, because this time, this quarter, we have seen more of finished good sales sold by us. The gross margin has declined. But -- so that's very standard for the product mix.

Natasha Jain: Sir, just a follow up on that. Even in first quarter, our commentary was saying that we did more of finished goods than components. So when exactly can we see the component story playing out because the demand in terms of RAC is very strong. So when can this be expected to be changed?

Jasbir Singh: Natasha, it's very difficult for a B2B company like us, which is delivering solutions on all the fronts. See, we sit in front of a customer as a solution provider. We don't, they define what we need to sell them. So if they want more of a finished goods, we have to sell more of a finished goods. And in case they want to manufacture finished goods on their own, then we sell number of a components.

So it varies from quarter to quarter, and I would like to guide everybody that we have mitigated 2 broad risks in our business strategies, which is, one is the brand exchanging market share should not impact us as we are supplying to everybody. Earlier the LG was leader, today Voltas is leader, tomorrow, maybe other companies could be the leader. So, since we are supplying to everybody, that doesn't impact us.

The second is the brands exchanging the market shares, brands changing the strategies of insourcing and outsourcing. So, when they start outsourcing, we will start supplying them more of finished goods. And when they want us to supply more components, we will supply but we don't define the mix of the components and all. So, this can vary from quarter -to-quarter.

Natasha Jain: Understood, sir. That's very helpful. And sir, a related question on the channel inventory now. I understand that quarter 2 was a channel filling quarter because of lower inventory. But we

have to understand that going forward, we'll also be sitting on high basis. And because there has been a bump in inventory in quarter 2, does that mean that our growth could moderate in quarter 3 when actually it's a channel filling quarter? Or do you think that the demand is quite strong?

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Jasbir Singh: Industry is growing by 25% to 30%. I think we'll grow more than the industry because of various initiatives taken by us. So, there were new products, which we have launched, the new customers, which we have added, which were not there last year in the balance sheet. So those kind of things will enable Amber to grow more than the industry. But yes, on a long-term basis, you are right that because if we see from quarter 1 perspective, it was a very high base. So, we will move in tandem with the industry growth.

Natasha Jain: Understood. And sir, just one last question, if I may.

Moderator: Sorry to interrupt you, ma'am. I request you to come back for a follow-up question. The next question is from the line of Rahul Gajare from Haitong Securities.

Rahul Gajare: Congratulations on a very good performance. Sir, my first question is on your EMS business. Now could you give us a sense of approximately what is the kind of investment that is being planned for the JV with Korea Circuit? I think Mr. Sudhir did indicate that we will give you, perfect number later on but some ballpark number. And typically, what should be the asset turn that one should expect in this kind of business?

Jasbir Singh: So, Rahul, the asset turns in PCBs are very low. Generally, depending on what kind of PCBs you want to supply. So, its range is from 0.75x to 1.25x. But there's another way to look at the asset turns because in industry government is giving good incentives. So, ind

ustry is being fed

by incentives from Central Government, which is Ministry of Electronics and IT schemes.

Earlier, there used to be a SPEC scheme, which used to fund 25% of plant and machinery. And then the state governments are also giving the capex subsidies plus GST subsidies and logistics subsidies and other subsidies, in all totalling to about 30% to 35% depending on which state you want to go in for.

So, if you reduce that point of almost 55% plus subsidies, which you are getting back, so you will be doing a capex of almost about 40% to 40% (wrongly said, kindly read it as 40% to 45%). So, from that perspective, the asset turns become very good. So, this is the way we are looking at it, and that's why I think this is the right time to take bold and brave step to create import substitution in the country. Otherwise, we will continue to import as a nation.

And especially in the PCB business, there's a large total addressable market. I'll just give you all a very brief on how we are looking at it as an opportunity. Seven years back, India was consuming \$32 billion worth of electronics. Last year, India ended up consuming \$115 billion worth of electronics in our country. As a thumb rule basis, 3.5% to 4% is what is required as a PCB of this consumption. And today, almost about INR32,000 crores worth of PCBs are getting consumed in India either through products, full products or through imports.

And incidentally, only 15% of this INR32,000 crores is getting manufactured in the country.

Now that is a big delta, which is lying on. And where is this \$115 billion of consumption heading towards in FY 2030. Business as usual, according to various research reports, it is

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heading towards \$300 billion, whereas our honourable Prime Minister has taken it as a mission mode for \$500 billion by FY 2030, which was announced in the SemiCon Conference. So, if we even take the \$300 billion mark, this is a \$10 billion opportunity sitting for the nation.

And we are assuming that at least 40%, or 45%, or maybe 50% will continue to get imported in this form of the finished good products or through imports. So, you can say a small number of INR3,000 crores versus the 5 billion, that is the TAM for this kind of industry. And we want to be very brave and bold to bring this import substitution to the nation. So, we will not shy away from announcing big capex. But the quantum of capex right now is very difficult to tell you because we are waiting for the incentives.

Now what we hear from various media reports and during our meetings in the Ministry of Electronics and IT that they are coming up with a very big incentive schemes, almost similar to semiconductors kind of thing for the HDIs and semiconductor substrates and other electronic components, which government wants them to be being manufactured in the nation. So, if that happens and plus coupled with the state subsidy, we will come with a good number on the capex. We want to create a big import substitution slowly in India.

And with the Korea Circuit's technology and with the buyback arrangement with us, we won't see any risk in implementation from execution point of view. So, we will become a full stack PCB player in the country, starting from single layer, multilayer, double-layer, RF, HDI, semiconductor substrates plus PCB assemblies delivered by IL JIN and Ever. So, this is a very unique electronic EMS, which we are creating.

Rahul Gajare: This is very helpful. And typically, how much time does it take for construction of the kind of facility that you are envisaging with Korea Circuit?

Jasbir Singh: So normally, this kind investment take somewhere about 10 to 12 months for construction because the lead time of the machineries are quite long. I think as soon as -- so what we are doing is in 3 to 4 months' time, you will have the notificat

ion of the announcement by Ministry

of Electronics and IT. Parallely, our teams have started talking to various state governments for -- and scouting the land piece parcel. And also, one team is working with the customers along with the Korea Circuit. So, we are having very marquee customers, which Korea Circuit is planning to shift to India with us, and there are big names which are coming on the table.

Rahul Gajare: Okay. So, we'll see this really starting to contribute in FY '27. I think that is what I can make out from our discussion.

Jasbir Singh: Maybe quarter 4, '26 could be seen as a first kind of implementation from that. But this is on the Korea Circuit. But on the expansion plan of Ascent Circuits, we've already done a ground-breaking ceremony. The plant should be up and running by next year September. And we expect H2 of next year to contribute from the new plant also.

Moderator: The next question is from the line of Abhishek Ghosh from DSP Mutual Fund.

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Abhishek Ghosh: Sir, if you can help us articulate for both Ascent's 8.5 lakhs square meter and for Korea Circuit, what would be the overall capex that you will entail over the next 2, 2.5 years?

Jasbir Singh: Abhishek, we are doing INR650 crore capex right now out of which we will get almost about 50% back from the government. So net capex outflow will be INR300 crores in the 2 financial years. This year, we have started just the construction. So, the guidance as given by our CFO of INR375 crores contains this capex guidance on the minus the capex of Ascent Circuits.

So, I think somewhere if you want to answer that total Ascent Circuits will do about INR650 crores in the next 2 financial years. On the HDI semiconductor substrates, we will be able to let you know exact number by quarter 4. Abhishek, I hope I've answered your question.

Abhishek Ghosh: Okay, Sir, you were inaudible for last 10 secs, I'll maybe get it later. Sir, in terms of the Ascent's number in the INR492 crores of top line that you have done in 2Q, what was the Ascent Circuits' number in that?

Sudhir Goyal: So, Abhishek, Q2 Ascent's number is revenue is INR83 crores and operating EBITDA is INR16.5 crores.

Abhishek Ghosh: Okay, okay. Got it. Sir, just 1 thing in terms of the ...

Moderator: The next question is from the line of Aditya Bhartia from Investec India.

Aditya Bhartia: My first question is on the guidance that you've given, given that we have had a phenomenal first half, the guidance of roughly 25% revenue growth basically means only around 5% revenue growth in the second half of this fiscal. So how should we look at it? Is it that you're just being very conservative while guiding and overall numbers are likely to be much stronger than that?

Jasbir Singh: Yes, Aditya, our CFO is very conservative. You know that. So, we believe in under-committing and over-delivering. And I think we are seeing a robust October and November sales also. But we don't want to guide any number because nobody can predict how quarter 1 or quarter 4 will go depending on the season because this is highly seasonal product.

And if you remember last year, the rain started from February onwards. And it went on until May. So, we don't want to predict any number. But yes, what I can commit is that what we can guide is that we will outdo the industry growth for sure.

Aditya Bhartia: Understood. In fact, last year, second half to that extent was slightly weak base. And unless, again, we have very unfavourable weather, fair to assume that we should be having a pretty decent second half?

Jasbir Singh: That's right. Yes.

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Aditya Bhartia: Growth much stronger than -- sure, sure, sure. Sir, my second question is on Korea Circuits. While you mentioned that at this stage, it's not possible

to give complete understanding about

capex that may get incurred. But if you could just let us know about how you're looking at the opportunity size, what kind of revenues can this company be doing? And on the buyback arrangement, what exactly is it? What proportion of capacity gets bought by Korea Circuit?

Jasbir Singh: So basically, on the buyback, it is a full capacity buyback for first 2 years, then it is a tapering down in the next 2 years. So why we wanted this buyback is that the semiconductor ecosystem is getting developed in the nation. And we may see some kind of delays. So, we don't want to sit on an investment, which is not delivering on time. And Korea Circuit agreed for that, which is very, very good initiative by them.

And they also agreed to pump in 30% of the equity, which is their commitment for bringing the right technology and also their conviction and their confidence in Indian markets and the growth strategy. They are already selling close to about \$1.5 billion, \$1.6 billion worth of just PCBs in various regions, and they want to use India as the best cost country from that perspective.

So, we are looking forward. But let me give you some timelines to all of you, I think, so to avoid any confusion. So, Korea Circuits JV has been signed. Earlier MOU was signed, but now it has converted into a proper JV, which was -- the signing ceremony was also witnessed by our honourable Secretary of MeitY and Joint Secretary of MeitY. And they also appreciated this technology to be brought in India.

We will be waiting for the announcements to be done, which -- from MeitY scheme but parallelly our teams have started working. So, on the timelines, it is that even if the announcements are done for example, by January or February by government, bring into the notification stage, it will be another 2 months' time. And then they will ask companies to apply, which will be another 2 months' time, and then there will be approval process. So, in the best case basis, the approval should come by quarter 2 of next financial year.

After that, the capex will start over. So large capex whatever will be happening, whatever we decide will come in FY '27. So, nothing is coming in FY '26 from that perspective, except the land piece parcel. So, this is what I want to tell you.

But yes, I think you all would agree to me that looking into this large import substitution domestic play, this is the right time for the Indian entrepreneurs to come forward and achieve the Atmanirbhar aha of our nation. So that is what we are looking into, and I think we are very excited by this JV signing.

Aditya Bhartia: Absolutely, sir. And revenue potential, anything that you would want to comment on that?

Jasbir Singh: I don't want to give any revenue potential but Aditya just to answer your question, I think I can give you FY 2030 target for our division. That is a very strong target which we have taken

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because PCBAs and PCB both are clocking well and PCBs are a better margin business. So, as you have seen, our historic journey, which started from INR300 crores top line in 2018 with just 2.7% EBITDA has almost reached to 8% now.

And I think this division now has a multibillion-dollar opportunities going forward. That's all I can say. And we want to bring it to a double-digit EBITDA division very soon. Maybe in the next 2 to 3 years' time, you should see that number is going up.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: So, my first question is on capacity utilization. So, if you could just spell out what is the current capacity utilization of the Consumer Durables division? And what is the kind of peak revenue you can do without incurring substantial capex?

Jasbir Singh: On capacity utilization, all plants are at different capacity utilizations. Our component plants

are sitting at a capacity utilization of somewhere about 60% to 65%. Our air conditioner plants, if I see on the annual capacity, maybe we are just sitting at 40%. But that's not the right way to look at this industry. We look at it from a seasonal capacity utilization point of view. So, like our new Sri City plant that's sitting at about 60%, 65% of capacity utilization, whereas our Dehradun plant is already running at 85%, 90% capacity utilization. So, there are some seasons.

What we see from capacity utilization is how much we can manufacture in per plant on a monthly basis. That is the right way because seasons keep on shifting. Sometime the season will start in February and sometimes it doesn't start until March also. So, there are a 4-month, 5-month window period where capacity utilization is very high but then we hit the leaner quarters.

And Sri City plant is sitting at lesser because that's a newer capacity. We are not touching 90% also right now there. But I think to give you answer on where we can head from the revenue perspective, I think we can grow at least by 40% to 45% with the current capacity utilization we have additionally on revenue side.

Dhruv Jain: Okay. And my second question, sir, you mentioned in your presentation with respect to commercial AC and light commercial AC coming up, right. So, I just want to understand, sir you say, 2 years' time or 3 years' time, how substantial it can be? Any number would be great?

Jasbir Singh: I'll share my personal thought process, how we are seeing our Consumer Durables division by FY 2030. Last year, AC industry was about 1 crore air conditioning industry, about 10 million numbers. And this year, if it touches 1.3, by FY 2030 we are expecting 3 crore air conditioners to be sold in the market. So, there is a clear 3x story what we have on the plate. Last year, we did about INR5,000 crores worth of our revenue on the AC and AC components. So even if we discount that number by bit, overall, above air conditioners, what we are doing

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is we've launched this commercial air conditioner division. We have also launched our tower cassette air conditioners. Then on top of it, we have done washing machine initiatives. So plus, we are opening some doors for the exports, which is right now, we are seeing some green shoots. Maybe by next year, we will be able to crack something on that and that will be substantial numbers, which are coming forward.

But largely on these 3, 4 initiatives over and out to the standard industry growth. This can contribute about INR1,500 crores to INR2,000 crores additional revenue in the next 3 to 4 years' time. So that is what we are doing. So, I think we are trying to hedge our seasonality. We are trying to also bring more initiatives over and above to the industry growth. So this sector can grow at least 3, 3.5x in next 5 years' time.

Dhruv Jain: Sir, just 1 data point on the Electronics...

Moderator: Sorry to interrupt you sir. I request you to come back for a follow-up question. The next question is from the line of Bhoomika Nair from DAM Capital.

Bhoomika Nair: Congratulations, sir, on a good set of numbers. My first question is related to the Electronics ex Ascent business. If I see that seen a very strong growth, both on Y-o-Y and also on Q-o-Q basis. So, what's really -- what segments are within this is really driving the growth? What new customers have you added, etcetera? If you can just kind of throw some color would be useful.

Jasbir Singh: Bhoomika, so we have added customers. In the automobile segment, we have also added. So these are all initiatives which we took three years back to diversify our applications in the PCBAs are now giving us good results. So, we started this journey in 2018 by just supplying air conditioner PCB and refrigerator PCBs. That is what IL JIN

used to do in 2018 when we picked up 70% stake. And it was just an SMT assembling plant. So, we developed our own R&D unit. And then after applying to air conditioners, we started diversifying. So today, we are giving solutions in the smart watches and Bluetooth speaker. I'm glad to announce consistently from last three months, we have been clocking about 1 million watches every month.

And then we've added telecom sector, which we are supplying to companies like Tejas. Then we added smart meter companies. Then now we have recently added automobile companies, both 2-wheeler and 4-wheeler, and we've added defence electronics company onboarded from the PCBA point of view.

On the Ascent Circuits, we are already delivering solutions to auto, almost 65% of revenue is coming from the auto sector and almost about 15% is coming from the telecom sector and then rest is aerospace and defence sectors. So, this becomes a very big, good hybrid for us. And moving forward, we've recently added our consumer durable companies whom we were serving from here in the Ascent Circuits also. So that's given us a good leeway from the PCB point of view. So, I think we are horizontally deploying our customer base into Ascent now, and Ascent customer base into the PCBAs.

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So, this is a good synergy, which we are able to do. And we are very excited. I think we are moving very positive on this division. It's a very strong division. We are almost touching about 8% EBITDA, and we want to go to a 10% EBITDA in next 3 years' time. And that is what the target is for this. And this division will continue to grow. I mean, it will be a very robust division for us.

Bhoomika Nair: Sure. Sir, on Ascent, what is our current utilization till the new capacity comes in? And will that help grow? And secondly, in terms of Sidwal margins, I understand it has slipped because of the weaker revenue growth. Once the growth really comes back, do we see margins going back to the 20-odd percent that we used to see? Or is this going to be the new level of growth?

So yes, so just on Ascent utilization and Sidwal margins.

Jasbir Singh: So on Ascent, we are already sitting at 85% capacity utilization, and that's why we have done the groundbreaking because after the announcement of antidumping duty by government of India up to 6 layers, we have seen a lot of interest from very marquee customers and very big names. And that's the reason why we immediately went ahead and started this capex. So, as I told that almost 50% will come back in subsidy terms. So net capex will be about INR300 crores from our side. But this can additionally give us a revenue of INR550 crores to INR600 crores on a full capacity basis. And Ascent as it is, can go to about INR450-odd crores in the current capacities what they have. So this means that we can do about close to about INR1,100 crores with the new capacity and the old capacities in this by doing just a capex of INR300 crores and with good EBITDA margins.

Bhoomika Nair: Sure. On Sidwal margin, sir?

Jasbir Singh: On Sidwal margins, we'll definitely come back because there's no change in the construct of bill of material and RMC there. It is just a matter of because we are doing expansions and there are some expenses being built. On the other side, there's a little slowdown but Sidwal team is very confident that by next year onwards, we will start seeing the growth. And they are also at the final leg of winning some more tenders right now. I think we will appraise all of you by next quarter call if that materializes. So those are also big tenders.

And we are glad that export of Sidwal air conditioners, we are expecting to start by quarter 4 of next year. So that will be our very big inroads into the European markets from that perspective. We are already sitting on the INR2,075 crores of order book which will

be further

strengthened in this quarter, plus the export opportunities, which are sitting on the table. So this division will be a very different division if we see from a 5-year point of view.

Moderator: We will now take the next question is from the line of Sonali from Jefferies Group.

Sonali: Congratulations on a great set of numbers. Sir, my first question is regarding your PLI incentives. Could you quantify how much you have received so far in H1 and probably how much you expect to receive in H2? And also, just a confirmation, you don't share these

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incentives back with the brand owners, right? So, should we expect them to flow through directly into your EBITDA?

Jasbir Singh: Sonali, yes, so last year, we received our first PLI incentives, which was INR15 crores. This year, we are likely to receive about INR36 crores (inaudible 45:50). I think the documents have been filed. So, whenever they want to announce the disbursements, it will be announced soon.

And plus, we are expecting some more subsidies from government of Haryana and other state governments. So, in all I think we are looking towards the subsidies receiving in the tune of INR65 crores to INR70 crores this year, which is moving online right now.

And yes, as you asked us to confirm, I think as explained earlier that because the PLIs have been given by Government of India on the threshold of some investments and the PLIs are getting back to us on the incremental sales. So, because the incremental sales are all the endeavours of Amber management, we don't think so that there's a possibility of us to pass on to our customers. We are not passing anything to our customers from the PLI benefits point of view because this is not a sector, which is like other sectors where you have to pass on completely. Because here, you have to be near to the customer. These are voluminous components. So, there are many products. And customers are not giving you a take or pay back arrangements in case they don't deliver the incremental sales. So that is the reason why we have not passed on. So, we confirm again.

Sonali: Very clear, sir. Sir, my second question is regarding the AC industry. It's obviously a very strong year. Could you quantify the pricing actions that the AC industry has taken in the first 6 months of this fiscal year, that's April to September? And also lastly, I missed the number if you have already given for the potential capex for Korea Circuit's JV?

Jasbir Singh: Sonali, I think on the capex front, we are right now in a stage where we are discussing with government for their incentives. I think that will be announced soon. Post the announcements are done by Ministry of Electronics. We'll come up with a number, and we'll have a call with all of you.

I've explained the complete total addressable market and what is our rationale behind this JV. I have also explained about the buyback arrangements, which we have signed, which is a I think, good step and good confidence, which Korea Circuit is bringing on the table and plus by bringing new customers. What was your question on the AC front, do you want to ask...

Sonali: Pricing action -- the pricing actions in the industry.

Jasbir Singh: On the pricing, nothing has changed on the pricing. I think industry is moving as stable. Commodity cycles are not very volatile. So, there's no big changes in the pricing side.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.
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Pulkit Patni: Sir, my question is on our cash flow. While our revenue has grown significantly, so is the operating profit. We see working capital increase meaningfully, and that's primarily because of trade payables going down quite significantly. How should we look at this? Is it just because of the

seasonality that we had higher payables in March and we've paid that out? Or how should we look at payables? Our net operating cash flows have grown quite negative this particular first half. So, what's your view on that? That's question number one.

Sudhir Goyal: Yes. Pulkit, so on the negative cash flow from operations question is because that we have a better payment from the creditors and largely, we bought all the materials during the peak season, which is quarter 4 and quarter 1. In quarter 2 of the financial year it gets paid. So that is why you always see that our cash flow is stretched, our net working capital days are different in the quarter 2 and quarter 3, which get normalized by year-end. And this is a normal trend year-on-year as well.

Pulkit Patni: Yes. So, this is just the trade payables getting paid out after the festive season got over, right?

Sudhir Goyal: Yes. Yes. Not the festive season but I don't say that it's a festive season – after summer season.

Pulkit Patni: Yes, I mean, the summer season, sorry, yes. My second question is on against capex. I think a few people have asked. Can you talk about the total capex plus what is going to be the other investments given that we've got multiple other joint ventures, Yujin etcetera, what will also be the growth in investments that we'll do during this year in addition to whatever gets added to the capex line?

Sudhir Goyal: So as of now, if you talk about any additional investment, that is not we can foresee in the current year, which is happening apart from the normal capex for the capacity expansion, which is to the range of around INR350 crores to INR375 crores other than the KCC and Ascent expansion.

Pulkit Patni: Okay. So, no major investments in any of those Railway JVs, etcetera, other than what you've spoken on?

Sudhir Goyal: Yes.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Sir, first question is on the growth and you mentioned about the good momentum in demand. So, in that backdrop as well as our earlier commentary of new capacities coming up for the brand. So, considering that, how should we think of growth in second half? And when you mentioned about good momentum being continued, should we expect growth similar to H1, which is 50% kind of growth in H1?

Jasbir Singh: All the brands, whoever had announced their factories in South India, they have already started. And the last one was Voltas, which started in quarter 1 in their Chennai plant. And we
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have shifted both strategies into the components and the finished goods. And very difficult to predict right now how the quarter 4 will be.

But what we have guided to everybody, I'll repeat it that we will out-do the industry growth by good percentage points because we've added customers, we've added new products, and we've changed our strategies from being a consolidated solution provider in terms of either components or in the air conditioner side, full side. So, we are expecting a good season. Let's hope. I think if rain doesn't disrupt, it should be a very good season and a very good year for AC industry.

Keyur Pandya: Okay. And second and last question. So, I mean, you mentioned some of capex like the Korea Circuit, that would come in this next financial year. So clearly, what would be the capex for current financial year FY '25, which includes organic capex as well as some stake increase if you do? And in that context, what would be our debt level by the end of the financial year?

Sudhir Goyal: So, if I talk about the normal capex, which we are doing in all the entities, it is in the range of INR350 crores to INR375 crores. Apart from that we invested in Resojet JV, INR35 crores in the current H1 financial year '25. Plus, we increased our stake in IL JIN and Ever by

further

paying around INR100 crores. So that is what we have done the investment plus the capex that we are doing. In the next H2, we are not as of now expecting any further investments. So that is not on the block as of now.

Keyur Pandya: So INR370 crores plus INR135 , that would be the total cash outlay for this year, INR370 crores normal capex plus INR100 crores IL JIN and Ever, plus INR35 crore Resojet, that would be the summation ?

Sudhir Goyal: Yes.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Sir 2 questions. One, this is pertaining to the Consumer Durables business. While you've talked about overall growth for the full year of the company, it implies only 5% for the second half. Obviously, you are being conservative here. But I'm just trying to figure out if this is 5%, the swing in terms of a reduction, so to say, in terms of growth rate, would that be more Durables or Electronics as well?

Jasbir Singh: No. So , Electronics is moving fine. The guidance which we are giving for the AC industry is pertaining because this is a very seasonal product. So , we don't want to give any guidance where we can't commit , we can't hono ur those. But we are looking towards a 25% to 30% growth in the industry. And what we are guiding is we'll definitely outdo this growth because quarter 4 has a higher base as compared to the earlier because quarter 2, quarter 3 was a leaner section and quarter 1 was bad season last year. So , there were lower base there. On quarter 4 basis, it's sitting at a higher base. What we have guided is that if the industry goes by 30%, we'll definitely cross at least 5% to 10% more than the industry.

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Achal Lohade: Understood. And the second question I had with respect to margins. Can you help us , we have seen a substantial improvement in 2Q in the Durables business as well as Electronics.

Durables, I obviously understand to do with the utilization. How do you see if current momentum to sustain theoretically, could this margin be significantly better in the second half?

Jasbir Singh: Well, so each division is sitting at a different margin profile. But on the Electronic side, as I guided that we'll be closing near to about 8% on the EBITDA margins. And the Consumer Durables side, I think we will maintain the margins what we have done in H1. We don't see any big volatilities coming on the commodity side as of now. And that's how we think that the margins will be protected further. But yes, the more businesses, which we are adding are company with better margins. The larger part of significant revenue increase from those divisions , from those initiatives will start flowing in next year. So as far as H2 is concerned, I think we should be able to maintain the margins.

Achal Lohade: Got it. And just 1 small question, if I may. Of the total...

Moderator: Sorry to interrupt you sir. I request you to come back for a follow -up question. The next question is from the line of Nirranish Jain from BNP Paribas.

Nirranish Jain: Congratulations on a great set of numbers. Sir, most of my questions have been answered, and I have just 1 follow -up on the debt part. So , what we have seen in the first half that the debt levels have increased a lot, maybe primarily because of an increase in the short -term borrowings of the latest investments that have been done in the Resojet as well as additional stake. But how do we expect the debt levels going ahead? I mean with the additional capex that is expected for the next 2 to 3 years. So , do we expect the debt levels to increase further from here?

Sudhir Goyal : Yes, a little bit increase we are expecting in the current financial year as compared to last year because of the investment that we have done, and the capex which we are doing. So , we are expecting increase ,

like it should be in the range of INR700 crores to INR800 crores by year - end at the net debt level.

Nirranish Jain: Okay. INR700 crores to INR800 crores. So last year, it was around INR1,400 crores. So , is it right to assume that it would be around INR2,000 crores by the end of this year?

Sudhir Goyal: No, no. So I'm talking about the net debt, not the gross debt. Net debt what do that gross debt minus whatever cash we are having in the form of FDs and the current account balance, plus the liquid investments in the perpetual bonds of bank. So , if you exclude that, we were around INR600 crores. So that we are expecting at the net debt level, it will be in the range of INR700 crores or to INR800 crores by the year -end.

Nirranish Jain: Sure. And sir, lastly, 1 question on the Electronics side as well. I mean any particular reason why we have not increased our guidance to more than 45% considering that we've already clocked around 70% and the momentum is expected to remain strong and now that there is a

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pickup in the core PCBA business as well from 18% last quarter, excluding Ascent to 65%,

excluding Ascent this quarter. So any particular reason why the guidance has not been revised for the segment?

Jasbir Singh: On the lighter note, the reason is the precedent set by the market s itself. Once we could not achieve our guidance and market punished us on an exponential basis. So , we want to be very conservative and then over -deliver our numbers. But yes, what I would like to say is that the Electronics division is standing at a very strong footing. And if you see on each and every division, all the 3 divisions have opened up multibillion -dollar opportunities moving forward for the next 5 to 10 years' time.

So, we are taking the right steps. It has taken a little more time than expected for us to build this division. We were expecting that this will be built by last year, but it has taken 1 more year for us, but now things are very clear. We are the only Electronic EMS company in the country today, giving a complete solution, backward integrated solution coupled with the R&D, PCBA solutions and backward integrated in the PCB solutions. And both PCB as well as PCBAs with the applications, which we are addressing are very, very big opportunities coming forward. And we have stitched very sweet deals with our good partners, identifying good partners in both all the three divisions, whether it be Korea Circuits or by partnering into acquiring Ascent Circuits and also Yujin machinery of South Korea. They are a very beautiful company, manufacturing with marquee products, you'll see as we move ahead. And the ToT done for the doors and gangways and also now addition of commercial air conditioners and washing machines.

So, each division is progressing very well. I think we are very excited for that. But we don't want to guide any number where -- and then because the seasonality and because of so many functions it is. So, we would rather be a conservative guidance people and then overdeliver .

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to Mr. Jasbir Singh for closing comments.

Jasbir Singh: Thank you, everyone, for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with our Head of IR, Ravi Kharbanda or IR team, Strategic Growth Advisers or Rohit Singh from our IR team. So, thank you very much and we wish you all a very happy and prosperous Diwali and safe Diwali. Thank you. Have a good day ahead.

Moderator: Thank you. On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you joining us and you may now disconnect your lines.

Call: Jan 2025

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Date: 30.01.2025

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ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript of the operational and financial performance of the Company for the quarter and nine months ended 31 December 2024 ('Q3 & 9M FY25')

This is further to our letter dated 19 January 2025 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended 31 December 2024, ('Q3 & 9M FY25') held on Friday, 24th January 2025 at 9:30 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ambergrouppindia.com/investor-events-presentation-head/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Yaadav)
Company Secretary and Compliance officer
Membership No. : A30322

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"Amber Enterprises India Limited Q3 & Nine Months
FY '25 Earnings Conference Call "

January 24, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 24th January 2025 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN , CHIEF
EXECUTIVE OFFICER AND WHOLE -TIME DIRECTOR -
AMBER ENTERPRISES INDIA LIMITED
MR. DALJIT SINGH – MANAGING DIRECTOR - AMBER
ENTERPRISES INDIA LIMITED
MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL OFFICER
- AMBER ENTERPRISES INDIA LIMITED
MR. SANJAY ARORA – CHIEF EXECUTIVE OFFICER ,
ELECTRONIC DIVISION & WHOLE -TIME DIRECTOR - IL
JIN ELECTRONICS
MR. RAVI KHARBANDA - HEAD INVESTOR RELATIONS -
AMBER ENTERPRISES INDIA LIMITED
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS -
AMBER ENTERPRISES INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Amber Enterprises India Limited Q3 and 9M FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh – Executive Chairman & CEO and Whole -time Director of Amber Enterprises India Limited. Thank you and over to you, Mr. Singh.

Jasbir Singh: Hello, good morning. Greetings for 2025. And thank you for joining from different time zones. On the call today I am joined by Mr. Daljit Singh – Managing Director; Mr. Sudhir Goyal – Group CFO; Mr. Sanjay Arora – CEO of Electronic division and Whole -time Director of IL JIN Electronics.

We have uploaded our Results Presentation on the Exchanges , and I hope everybody had an opportunity to go through the same.

I am pleased to report robust quarterly performance in Quarter 3 FY '25, with revenue of Rs. 2,133 crores, registering growth of 65%. Operating EBITDA almost doubled to Rs 162 crores, recording 97% growth. And PAT grew to Rs. 37 crores from a loss of minus Rs. 1crore over the corresponding period previous year.

As you are aware, we have three business divisions, namely :

- The Consumer Durable division
- Electronics division
- Railway Sub -system & Defense Division.

Let me take you through the divisional performance :

The Consumer Durable division, which consists of Room AC and its components, plus non -room AC components and washing machine. The RAC industry continued the growth momentum with channel inventory filling during Quarter 3 in anticipation of the positive summer season. We recorded the blended division growth of 67%, led by both RAC and non -RAC vertical. RAC grew by 71% and non -RAC vertical grew by 43%. And the resultant EBITDA of Rs. 116 crores, reflecting growth of 150% over last year. The strong performance is driven by the underlying growth in the RAC industry, coupled with conversion of new customers from gas charging to ODM, and deepening of customer relationships.

Beyond the RAC, the commercial AC is picking up thrust. I am pleased to report addition of one new customer and strengthening of the commercial AC order book. The washing machine JV with Resojet is progressing well, and trials are in progress with new customers. And we expect to commence the mass production from the new plant by H1 of the next financial year.

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Switching to the Electronics division, the division continued the remarkable growth momentum, clocking revenue of Rs. 472 crores, reflecting growth of 96%. And resultant EBITDA of Rs. 34 crores reflecting 193% growth. Looking into current order book, we are pleased to revise our revenue growth guidance for Electronics division from 45% earlier to 55% for FY '25, propelled by both PCBA and bare board verticals.

The journey which began to capture the technological shift from fixed speed AC to inverter AC in 2018, has now evolved into a comprehensive full stack EMS company. In the PCBA vertical, we continued to expand our customers with the addition of renewable energy customers. On the strategic expansion front, the construction is progressing well for the new facility at Hosur and we expect to start commercial production by Q4 of FY '26.

Additionally, we earlier announced the JV for HDI, flex and semiconductor substrates PCBs with Korea Circuit Company, a pioneer for Korean PCB industry with more than four decades of experience. To reiterate, the JV will bring the world class technology in to India, will

leverage on

connect with marquee global customers, along with an interim buyback arrangement for initially two years.

On the way forward, we are waiting for the finalization of the electronic component scheme by the Ministry of Electronics & IT. Which, as per the recent media articles, has got the nod from the Finance Ministry. While in parallel we are scouting for the land and have started engaging with the customers.

To summarize, the Electronic division is on a transformative growth path with addition of customer applications on PCBA front and on the bare board front, the Ascent facility expansion coupled with Korea Circuit JV will unlock the new scales for the company.

Now coming to our third division, Railway Sub-system & Defense :

The division reported a muted quarter with a decline of 13% in Quarter 3 on expected lines, owing to delay in off-take of products. The division profitability also got impacted due to delays and product expansion expenses. We expect to get back to normalized range of 18% to 22% by H2 of FY '26, to emphasize delays in offtake are momentary with no cancellations of orders. During the quarter, we further strengthened the order book with an additional air conditioner order for a metro project. And on the defense front, the vertical is gathering a robust traction with visibility on sizable export opportunities over midterm.

On the expansion front, the construction is progressing well for Sidwal's greenfield facility for HVAC, Pantry, Doors and Gangways and is expected to commence operations by Quarter 2 of FY '26. Similarly, the JV with Yujin Machinery of South Korea is progressing well. We expect the facility to be ready by Quarter 1 of FY '26, product trials to begin from quarter 2 or Quarter 3 FY '26 onwards for the Driving gear, Coupler and Pantograph.

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We continue to remain confident on the long-term potential of division and maintain our guidance of doubling the revenue in the next three years, backed by a strong order book visibility of Rs. 2,000 crores plus and increase in wallet share.

To sum up :

We witnessed a robust quarter, and we look forward, the road map is in place for multi-fold scale up for each division as expansion strategy unwinds.

Now, let me hand over to Sudhir Goyal – our CFO, for the financial highlights.

Sudhir Goyal: Hello, everyone. Good morning. I am pleased to report a strong performance for Quarter 3 and nine-months for Financial Year '25.

Let me first take you through the Quarterly Consolidated Financial Highlights.

The consolidated revenue for Quarter 3 Financial Year '25 grew by 65% year-on-year to Rs. 2,133 crores compared to Rs. 1,295 crores in the previous year. And operating EBITA increased to Rs. 162 crores during the quarter, compared to Rs. 82 crores last year, reflecting a strong growth of 97% year-on-year. Please note, operating EBITDA is before impact of ESOP expenses and other non-operating income and expenses. We recorded PAT of Rs. 37 crores against the loss of Rs. 1 crore in the previous year same quarter.

Let me take you through the Nine Months Financial :

Revenue for nine-months Financial Year '25 increased to Rs. 6,219 crores compared to Rs. 3,924 crores in the previous year, recording a growth of 59%. Operating EBITDA increased to Rs. 482 crores against Rs. 285 crores in nine-months Financial Year '24, with a growth of 69% year-on-year. PAT increased to Rs. 133 crores compared to Rs. 40 crores in previous year, reflecting a growth of 228%.

Now, let me take you through the Divisional Performance :

Firstly, revenue and operating EBITDA details are not comparable with the published segmental results.

To start with, Consumer Durable division :

The division reported revenue of Rs. 1,555 crores in Quarter 3 Financial Year '25, compared to Rs. 932 crores, reflecting a growth

of 67% year-on-year on the back of strong RAC business growth, driven by positive season. Operating EBITDA for the quarter increased by 150% year-on-year and stood at Rs. 116 crores compared to Rs. 46 crores in Quarter 3 Financial Year '24.

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Coming to Electronics Division performance :

Revenue and operating EBITDA details are not comparable with published segmental results. That revenue for the quarter increased to Rs. 472 crores compared to Rs. 241 crores in previous year, reflecting a growth of 96% year-on-year. Operating EBITDA for the quarter increased by 193% year-on-year and stood at Rs. 34 crores compared to Rs. 12 crores in Quarter 3 Financial Year '24. I will reiterate that we are progressing well and expect to close the year with revenue growth in excess of 55% for Financial Year '25. There is revision in guidance, earlier was 45%, now we are going by more than 55% during the year.

Moving to Railway Sub-division & Defense division performance :

Again, to emphasize the revenue and operating EBITDA, details are not comparable with the published segmental results. The division reported a muted quarter owing to slower offtake, as mentioned earlier. The revenue for the quarter stood at Rs. 106 crores, reflecting a decline of 13% year-on-year. And resultant operating EBITDA of Rs. 12 crores, impacted due to slower offtake and product expansion expenses.

On the return on capital employed, with a strong underlying business performance, we expect improvement in ROCE and expect to cross the 15 % mark by the year end. Just to summarize, the key initiatives taken earlier during the year of Ascent facility expansion, JV with Korea Circuit, and expanding product portfolio of Railway division bodes well for the growth of the company.

Now, I hand it over to the operator and happy to answer all the queries.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Natasha Jain with PhillipCapital. Please go ahead.

Natasha Jain: Congratulations team for a great set of numbers. Sir, I had two questions, my first question is on the RAC side. So, now in the past few quarters we did more of assembly because of which our margins were flattish. Now when I see your consolidated gross margin, you further declined by 106 basis points. So, I just want to know if you could throw some light as to how RAC components did versus RAC assembly, and some growth in between those two segments?

Sudhir Goyal: So, the gross margin impact is largely due to the product mix, like we need to give you a very detailed explanation for that because margins varies on product to product. Like we explained earlier, there are different margins for different star rating, different tonnages, plus which component revenue share is how much. So, it's very difficult to give you the complete breakup that how to measure it, but it's a normalized thing and there's no big impact in the gross margins during the financial year.

Natasha Jain: Sir, so can we expect that the components business is picking up, specifically the RAC components?

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Sudhir Goyal: Yes, the components business is picking up, on the back other side, RAC finished goods is also picking up. If you see the growth, in both these products there is good growth we have done in the current quarter and the full nine-months as well.

Natasha Jain: Sir, and my second question is on the Electronics side, and you have revised your guidance upward from 45 to 55 %. Now, given in the short term we have capacity constraints for Ascent, also there has been ASP decline in hearables and wearables. So, what is going to be needed so much that we are revising our guidance so much?

Jasbir Singh: Natasha, first of all, congrats on your new role, and good

morning.

Natasha Jain: Thank you so much, sir.

Jasbir Singh: Actually, if you see the traction and the journey of Electronics division, we have added lot of applications. So, we started our journey with the Consumer Durable specifically by supplying PCB applications and assembly boards to consumer durables, especially air conditioners, and then we graduated into refrigerator, washing machine. But now we are giving solutions in the space of telecom, in smart meter space, we are giving solutions in auto space, both four-wheeler and two-wheeler. In fact, recently we have just started the commercial vehicles business also. And we have

onboarded defense. So, looking into that, plus the Ascent circuit growth potential, we have revised the guidance. And we are very strongly hopeful that we shall be able to maintain more than 55% of the growth of this vertical.

Moderator: Thank you. Next question comes from the line of Bhoomika Nair with DAM Capital. Please go ahead.

Bhoomika Nair: Congratulations on a great set of numbers. Sir, just wanted to understand the RAC segment a little better. Now if I look at it, for the nine-month period we have grown fairly well, even this quarter we have grown about 71%. Now, if I understand, a lot of the brands were putting up a lot of capacities in a lean season too they have continued to outsource. So, if you can just explain what's driving this growth, what's the end market growth? And coming into the next season, given the overall slowdown in consumption and the base of last year being very high, how are you looking at the upcoming season really?

Jasbir Singh: Good morning, Bhoomika. First of all, I will give you the reason for 71% growth of this vertical. You would be aware that we were doing gas charging for large multinational companies, and we have been telling that we are converting those into ODM players and that has already happened. And that's the reason of the growth. And also, the factories which brands were putting, it has already done. So, there is no more new factory which is getting announced as of now. All the six brands who were putting up, their factories are up and running. There is no brand which is left out now.

And from our perspective, as a solution provider, we have tagged along with them while supplying our components as well as finished goods. So, this year we have also seen some spillover because

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of a large demand which came to us, and that's the reason why we have outnumbered the industry growth. For coming year, I personally feel that industry should be growing. This year industry ends up at about 25% growth, next year industry is expecting good summers, and in that anticipation they are ramping up the inventory right now.

But you are right that there is some demand slowdown. We yet need to see that slow down because right now inventory is getting filled at the primary level at the dealers level, and that's how the ramp up is happening. But as far as Amber is concerned, I think we will grow in tandem with industry. And because of our addition of some new customers onboarded, we may outnumber industrial growth next year.

Bhoomika Nair: Sure sir, this is helpful. Sir on Sidwal you spoke about the deferment by Indian Railways which has resulted in a bit of a sluggish nine-month period. Now going ahead, how are you looking at the ramp up coming back? Because this year we will probably see some decline in revenues and drop in margins. But as we move ahead into '26, where do you see the acceleration coming through, what kind of execution can be there? And do margins then revert back to 20% if revenue growth comes back, or should we structurally look at a lower margin profile out here?

Jasbir Singh: Bhoomika, we intimated everybody in last quarter also when the Railways announced focus on non-AC production because of the accidents which

happened. And there was lot of hue and cry in

the market that government needs to plan on the BPL families also for the AC, but the government is only thinking about air-conditioned trains. So, the focus entirely changed and that's why we revised our guidance that this will be a muted year.

And right now, if I see, there were two main issues, one is the 200 Vande Bharat Express order that got delayed in execution because of the structural shift in the number of coaches. Earlier, one train was having 16 coaches, now the government has revised it to 24 coaches. So, the whole construct of designing of the train systems get changed and that's delayed. But now what I have heard just 10 days back is that they have been cleared, so most probably it is moving by a year's delay. So, next year this whole will come back from H2 onwards.

As well as another project which was delayed was the Mumbai Metro project. Again, we are hearing now since the elections are over and everything is done in Maharashtra, so that is also coming up again on track. Apart from that, there is nothing, no change in Sidwal. Yes, we did get hit in the margins because, in anticipation of the growth, the expenses also were increased, there were teams which were built. And on the other side the slowdown happened, the delays happened, which was totally not foreseen.

But what we feel right now is, all these two projects are coming again onboard. We feel that the margins will come back again. We will continue to get hit for the next quarter and next to next quarter. After that we will see this margins coming up because the Railways have already given us indication of resuming the supplies from H2 onwards. We expect this division to grow next year. And apart from that, there are some defense projects which are getting added and the order

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book on the defense side is also getting added. I believe next year we should be able to come back to the normal 18% to 22% range post H2 range.

Moderator: Thank you. Next question comes from the line of Aditya Bhartia with Investec. Please go ahead.

Aditya Bhartia: Just wanted to understand these new customers that have been moved from gas charging to ODM solutions. How large could those customers be and how much they may have contributed in third quarter and nine-month of this fiscal?

Jasbir Singh: Well, these are large multinational companies which were earlier importing their products and then the gas ban was announced by Government of India, so we started helping them by gas charging the products. But ultimately, the road map was very clear that you cannot continue like this, you have to either put up your own facility or you convert it into manufacturing in India. And there their volumes are growing, I think they are gaining traction, they have surpassed our expectations. We thought that they will grow in range of 25%, 30% but two of our customers, they have grown by more than 45%. So, we got benefited because of that. And the whole shift of gas charging to ODM started giving us more traction on the finished good side. But one of the customers in the gas charging machine product category, they have put up their own factory and they have already allowed us for the supply of components. So, we will be supplying components, one, and we have started supplying finished goods to other teams.

Aditya Bhartia: Sir, the reason why I was asking is that like you mentioned room AC category grew by 71%, just wanted to kind of get some sense how much would have existing customers grown by and how much these new customers could have contributed. How relevant are these customers in the overall scheme of things?

Jasbir Singh: So, these are long term contracts Aditya, because once you ship to ODM, when you design products and invest in the tools, so these are all long-term projects which are onboarded right

t now.

As on the percentage side, I think it is very difficult to say because largely customers have got added on the CAC front also, the commercial air conditioners front also. These two, three customers which have come onboard, you can say that they have been instrumental in giving us the growth over and above to the industrial growth.

Aditya Bhartia: Sure, sir, that's helpful to understand. And is it fair to kind of think about outsourcing industry growing at a pace much, much faster than the overall industry in a good summer season and therefore the benefit being disproportionate this year?

Jasbir Singh: Well, see, outsourcing industry, it's very difficult to predict at our level because we are a B2B solution provider. What we focus on is how deeply we can deliver comprehensive solutions to the industry. I particularly feel that, if last year India was at 10 million mark, this year with a 25%, 30% we should end up at 1.30 crores market. By FY '30 it is expected to be close to about 3 crores or 3.5 crores air conditioners. And if you see last five years or four years' trend also, from 7.2 million in COVID time, it has come to 1.3 million. So, looking into this, there's a 3x growth kind of a thing possible for this if these numbers stack up rightly.

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So, there is enough growth for everybody in the whole air conditioning industry. I personally feel we are tagging along with industry growth, the strategical shifts of customers will continue, they may outsource, they may buy components. So, from our side it is very important, the relevant thing from our side is that how much business we are doing with the customer on the absolute basis, irrespective of the structure and form of the solution which we are providing.

Moderator: Thank you. Next question comes from the line of Aniruddha Joshi with ICICI Securities. Please go ahead.

Aniruddha Joshi: Sir, congrats for excellent set of numbers. So, currently, the industry capacity, I mean, how do you see the current industry capacity of the brands as well as the EMS players both put together? And how do you see the capacity changing by FY '26 end and by FY '27 end? I guess most of the projects are already in place now, so what should be the capacity change maximum?

Jasbir Singh: See, everybody has put up different capacities. All the brands, all the six new units which had come are at very, very different capacities. Some have put up 0.5 million capacity, some have started the 2 million capacity. But whenever a brand puts up a facility, they will think long term. So, they have thought about the next four, five years at least to put up these facilities. And to add on the capacities on assembly lines is not a very big challenge because it's just a six-month job. So, you can add assembly businesses anytime, while moving in the season also.

I believe that overall, we should look at it how the seasonal capacities are panning out. So, on the seasonal capacity side, I would say, industry should be at around 65% of capacity utilization, something like that. That's a very ballpark number which comes to mind. But every brand is at different capacity utilization. We cannot comment on behalf of our customers, but as Amber is concerned, we are at a capacity utilization of 65% at the moment in our room air conditioner facilities.

Aniruddha Joshi: Sir, that's helpful. And on the second question, in a way, probably we would have gained the market share. So, is there any loss of market share or is it pure industry growth that we would have grown? Means, in a way, right now the kind of growth that we are building is much higher than what the market growth also seems to be. So, is there a likely market share gain or in a way market would have also grown at similar rate in Q3?

Jasbir Singh: We do not calculate it on a quarterly basis. I think by year end we

will calculate where we are.

Last year we were at 26% of the manufacturing footprint of air conditioner. And if industry grows by 30% number, and Amber end up growing by 50%, 60%, then definitely we would have grown our market share.

Moderator: Thank you. Next question comes from the line of Ankur Sharma with HDFC Life. Please go ahead.

Ankur Sharma: Just one question on this proposed JV with Korea Circuit on the manufacturing of PCBs. If you could just help us, what is the overall Capex that you are looking at here? What could be the asset

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turns? I understand we are expecting quite a bit of subsidy as well here, so yes, some dot contours, by when do you commission this plan?

Jasbir Singh: Good morning, Ankur. So, on Korea Circuit we are waiting for Government to finalize the incentive scheme. You would have all heard through the media reports that it has already got nod from the Finance Ministry. So, earlier we were talking of Rs. 40,000 crores incentive, but the nod which has come from the Finance Ministry is Rs. 25,000 crores. We are waiting for the structure. We are not privy to the final structure, which is going to come out, especially for the PCB parts. And once that is there, earlier we were hearing it is Rs. 1,000 crores minimum investment, but now we do not know because of this shift change, maybe they have reduced, or they have increased, we are not knowing about that.

I personally feel that, we expect that it should get announced by the Budget time. And in case it does so, there will be a notification after that and then at least two to three months will be given for the applicants, and then another two to three months for the approval systems. So, by next year half, or maybe by September the approvals will be in place, and that is when the process will start. But what we have done parallelly is we have started scouting for land. And the incentives which is talked about is quite a good, it is more than 40% for HDIs and semiconductor substrates from the Central Ministry. And over and above to that, state governments are also giving incentives like the Hosur expansion we have been able to negotiate 35% of incentive from the state government. So, we feel that it's a time to put a bold foot forward for creating this whole ecosystem in India. And just to give you just the numbers on the electronics getting consumed and the reason why we are planning this large Capex whenever the incentive schemes are announced. Largely if we see, India as a country consumed \$32 billion of electronics eight years back. Last year, we consumed \$115 billion. Business as usual is expected to be in the range of \$300 billion, \$285 billion to \$300 billion. Whereas our honorable Prime Minister has taken a mission mode for getting the number to \$500 billion because this is one sector which is labor intensive and it creates a lot of jobs also. If we see what it calculates into the total addressable market for the bare board PCB, this is a MeitY number which I am talking to you right now, it is I think available on the MeitY's website. India consumed about Rs. 30,000 crores plus PCBs and only 10% of that got manufactured in India. So, with that incentive schemes coming in right now, I think there's a huge potential for this going up. And if we talk about 5 to 10 years from now, there's a large potential and TAM available for this and we will be a single stack company offering complete solution from single side, multi-layer RF category, flex category, HDI, semiconductor substrates, all categories in one place. So, that is what we are aiming to deliver to Indian markets.

Ankur Sharma: That's very helpful, sir. Also, have you frozen on how much are you looking to invest in this JV in terms of overall Capex number? I understand there will be subsidies that you will get thereafter, but is there a number

you can share?

Jasbir Singh: See, there will be a threshold investment criteria by government. So, as I explained earlier, it was Rs. 1,000 crores when we were talking of Rs. 40,000 crores of incentive scheme. Now it would

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have been shifted, we do not know whether it has shifted. That will be the number which we will have to put up for getting approved by the Ministry. So, if it is Rs. 800 crores, we will have to do minimum 800 crores. If it is more than that, we will have to do that. So, I think it should be in the range of Rs. 1,000 crores plus.

Moderator: Thank you. Next question comes from the line of Dhruv Jain with Ambit Capital. Please go ahead.

Dhruv Jain: First question that I had was on the Consumer Durable side. So, if you could just tell us what's the peak capacity and the peak revenue that you can do with the current capacity? The reason why I am asking this question is that the government recently announced the third round of home appliances PLI and Amber did not participate in that. So, just your thoughts there, that's my first question.

Jasbir Singh: Well, we have already got approval of Rs. 400 crores PLI, and that's the reason why we did not apply for any further PLIs. And the earlier PLIs are moving very fine, we are getting reimbursement from government in time, and we are very thankful to Indian Government for all those reimbursements which are happening on time.

On the capacity utilization, to answer your question, I already addressed this question earlier, but I will reiterate. We are currently at 65% level, and you can calculate where we can go with the complete 95% or 98% capacity utilization if that goes fine.

Dhruv Jain: And sir, the second question was on the JV losses, right? We have seen that Q-o-Q the losses of JV have kind of inched up. So, wanted to understand what's the pathway of the broader, how should we look at this number going forward in terms of how it breaks even and how that number percolates into profits going forward? Thanks.

Jasbir Singh: Well, as far as Resojet is concerned, that's a new facility and the new product line up. We believe that it should break even in next financial year. We should see losses coming down from quarter two of next financial year. And as far as the other JV is concerned, that is a turnaround story, and we are expecting next financial year it will continue to bleed. But after that there is a complete turnaround story which is happening. They have received new orders, and a new CEO also has joined, ex -Skoda CEO has joined that company. And there's a lot of positive things which are happening.

Moderator: Thank you. Next question comes from the line of Tina Virmani with Motilal Oswal Financial Services Limited. Please go ahead.

Tina Virmani: Sir, my questions are related to this JV where Ankur also asked you on the expected turnover or the asset turnover that you can expect from this particular facility. So, basically, if you take this assumption that the incentives are provided and Amber invests into this particular facility, over a longer term, three to four year or a five-year term period, where do we see the scale up which can happen in this particular subsidiary of IL JIN and Korea Circuit?

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And my second question is on the margins of Railways segment. Like you mentioned that margins can come back to the normal 19%, 20% which it was earlier. But what kind of margin profile is there for the newer areas, like Doors and Gangways, do you think that similar margins will be there for those portion also? These are my two questions.

Jasbir Singh: So, on the first question, the asset turns normally in the PCBs are similar to OSAT businesses. It is in the range of 1x to 1.25x. However, how we should look at it is, since government is giving i

ncentives, almost 70% to 75% will be given back collectively by MeitY as well as the state governments. So, the asset turns from that perspective is much better, it goes to about 2.5x or 3x. And also to answer your second question on the Railways front, yes, we expect the margins to come back from H2 onwards of next financial year. So, the next quarter and next to next quarter will be impacted because of the slowdown, but then we are coming back again. On the margins of the new product categories, so first two trains will be coming from the principals in Korea as well as from Austria, but after that it will shift to India. So, since the first two trains will come, that is just trading, there will be hardly any margins in that. But once the manufacturing starts from H2 onwards from Q3 of the next financial year onwards, the margin profile of this product category are in the similar range of 15% to 18% range.

Moderator: Thank you. Next question comes from the line of Achal Lohade with Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Congratulations for great earnings. Sir, if you could give a sense, I know it's kind of a repeated question, but for nine-months what would have been the industry growth in your estimate? I mean, you have said about 25% growth for the full year, does that mean that fourth quarter the underlying assumption is actually a lower number?

Jasbir Singh: Well, I think what we hear from different brands, everybody has grown differently. Most of them are reporting 30%-35% growth and some have reported 20% also. But on the industry side, I think the first nine-months should be somewhere about 30% growth kind of a thing, what we hear from everybody. Quarter four, of course, because it's already a large quarter last year, so percentage wise there, I don't think so that we should look at 30% or 35%. And that's the reason why I said that industry should be in the range of 25% by year end.

Achal Lohade: Understood. And the second question sir, with respect to the Electronics guidance, when you mention 45%, it implies actually a very small number for the fourth quarter for the Electronics revenue. So, I just wanted to understand what number could it be. I mean, is it a very, very

conservative number or is this a realistic number we should work with?

Jasbir Singh: No, we have given a conservative number. We have already revised the guidance. We have said that now it is not growing at 45%, it is growing at 55%+ for the complete year. So, we are very hopeful, strongly hopeful to deliver that 55% growth in the Electronics division.

Moderator: Thank you. Next question comes from the line of Nirranish Jain with BNP Paribas. Please go ahead.

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Nirranish Jain: Congratulations on a great set of results. Sir, my first question is on Ascent circuit, just wanted to check, like what is the revenue breakup for this quarter and the profitability as well? And one question from the accounting perspective, why are we not seeing any flow through in minority interest from the Ascent circuit? I mean, our minority interest has almost been flat in the last three, four quarters while the Ascent circuit revenue should start flowing in too, right? Or am I missing anything here?

Jasbir Singh: Well, Ascent Circuits has done Rs. 82 crores in Quarter 3. And we expect Ascent Circuits to get to grow in range of 20% to 25% range. And we have onboarded five new customers recently. So, whenever the new customer gets added, the share of business is very skewed initially for the first year and then it ramps up. We are already getting very good traction in Ascent Circuits on the single multi-layer PCB business, primarily because of the anti-dumping duty imposed. And we expect that in the next two years Ascent Circuits will be doubling its revenue from where it is today. There's a lot of poten

tial in that, and that's the reason why we are putting up Capex also.

And you asked for second question, can you please repeat it?

Nirranish Jain: Sir, we are not seeing any change in the minority interest in the last three, four quarters, while we expected that the Ascent Circuits profitability will also impact the minority interest. So, I just want to understand am I missing anything here? I mean, why the minority interest are going up as per the, like as the Ascent Circuits revenue consolidates?

Jasbir Singh: So, we own 60% of that and it is a path to control transaction which we have done with them.

Moderator: Thank you. Next question comes from the line of Deepak Krishnan with Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: I just wanted to check, we have seen a lot of interested other peers as well as companies potentially putting up compressor plants due to maybe restrictions of imports coming through. Our thought as to why we are not considering that given the sort of strong growth? So, just your views on that, sir?

Jasbir Singh: We are already in touch with our suppliers for the capacity ramp up, and most of the suppliers are indicating a lot of capacity being ramped up at their level. But however, in case we see that there is a shortage coming in, we will certainly plan.

Deepak Krishnan: Sure, sir. And maybe just wanted to understand what is the inventory level currently in channel given the summer, as such the previous summer was very strong with virtually stock outs, and after now two quarters we are seeing volume coming up. So, in terms of overall inventory level, is it at normalized levels? Do you see this growth momentum continuing till Q4? And after that, does it depend upon the season? Just maybe a check on the inventory level, at an aggregate industry level?

Jasbir Singh: So, how we see is that brands buy from us only when there is a normalized inventory level or less inventory level. So, our uptake is reflective that the inventory levels are at a very normalized level

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at this moment of time. However, we still need to see how the summer season spans out to be. Because generally the trend is that from December onwards brands start pushing up, filling the inventory at the dealers' level, and that's how the primary sales happen. I think we all should look at the secondary phase number from February onwards, that will actually define how the season is going on.

Moderator: Thank you. Next question comes from the line of Amit Mahawar with UBS. Please go ahead.

Amit Mahawar : Congratulations on great scale up across business. Sir, I just have one question. On a three-to-four-year basis, very clearly the Electronics division will lead the growth even in profitability and Consumer is anyway going to be a steady state. But in the Electronics division, so across the two, three divisions, can you help us understand how will we strategize the export opportunity? And once the new facility by Q4 '26 starts and stabilizes in '27, '28, should we expect a significant export scale-up? Or that's going to cater to maybe 80%, 90% India only?

Jasbir Singh: Well, right now, Amit, it is 90% India, and very small exports which are happening. But yes, as the ramp up is happening, the teams are already in touch for a lot of exports, not only for PCBs, but PCBAs also. I believe for cracking the customer outside India it takes a little time and gradually share of business grows. So, to answer your question on the three to four-year trajectory, yes, we

see a significant scaling up of exports happening from both Ascent Circuits as well as IL JIN.
Amit Mahawar : Sure. And a quick one on Capex and the cash flows. How should we think about maybe around next year or what kind of operating cash flow and investment should we understand? That's it, thank you.

Jasbir Singh: On the Electr

onics side or you are asking for the whole group?

Amit Mahawar : Overall.

Jasbir Singh: Overall I can tell, Amit, division wise. So, we are planning for about Rs. 250 -odd crores Capex in our Consumer Durable division where we are bringing up some new model lineups and also ramping up on the component side, giving solutions. Plus, we are also investing for our exports readiness. And then, we are also investing in our washing machine business category. On the Electronics side, we think that we have already announced Rs. 650 crores Capex in Hosur, out of which land parcel has come this year, then major portion will come next year, close to about Rs. 400 crores to Rs. 450 crores will be next year for the Ascent Circuits and the PCBs. And then our Railways division has already been announced, last year we announced Rs. 350 crores Capex for the two facilities which are coming up in Faridabad. Out of which Rs. 100 crores is being spent this year, and about Rs. 150 crores will come next year. So, that is going to be the overall Capex at the group level.

Moderator: Thank you. Next question comes from the line of Manoj Gori with Equirus Capital. Please go ahead.

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Manoj Gori : Sir, I have just one question. If you look at, there are some uncertainties around the supply chain, earlier it was on the group proper, now currently there are some uncertainties on the compressor side as well for the upcoming season. How do you see industry and reversal placed in terms of inventories and product? Can we expect some disruption if industry growth at around 15% or more than that?

Jasbir Singh: So, on the compressor supply chain issue, so copper supply chain issue has been resolved by the Government, they have already moved out the inner grooved tube from the category and the BIS has also been revised for one of the companies. And plus, we are very thankful to all the copper manufacturing companies who have put up the facilities for building up plain copper tube facilities. I think copper more or less is resolved.

As far as the compressor is concerned, I think February and March is good to go for everybody. But yes, April sounds a little tricky because the shipments, there is a delay in shipments. And the companies who large order book was given to them but they are supplying in a little miser way, I would say. So, April may get infected in case compressor issue does not get resolved. But I think we are getting assurances from China, we have now also shifted to other geographies. So, I do not think so that a very large issue should come up from that perspective on the compressor side also. Because if you see the worldwide, there's a lot of capacities available.

Manoj Gori : Sir, secondly on the electronics announcement of the various scheme that the government is likely to announce, any timelines do you expect like by when they should be coming out with any scheme announcements or any indication? Or any judgment from your end? That's all.

Jasbir Singh: I believe you are talking of the electronic component scheme?

Manoj Gori : Yes, sir.

Jasbir Singh: So, basically, since it has been nodded by the Finance Ministry, it's a matter of time. It has gone to the Cabinet. We are expecting that it should get announced in the Budget. But in case if it does not get announced in the Budget, most likely it would come in the month of March. And after that, the government do give some time for applicants to apply. And then, of course, there is a filtration process and approval process. So, most likely, by end of August, September, all the approvals should be in the place.

Moderator: Thank you. Next question comes from the line of Srinidhi Karlekar with HSBC. Please go ahead.

Srinidhi Karlekar: Sir, would it be possible to comment broadly how much price increases are required in your AC business to compensate for the

recent commodity increases and currency depreciations?

Jasbir Singh: Well, there's a little uptake on the gas refrigerant prices which has impacted in the range of Rs. 100 to Rs. 120 per air conditioner. Other than that, it's a pass-on strategy from our side. So, whenever any kind of currency or commodity is hit, we have demonstrated in past that we pass on
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to our customers at a quarterly lag basis. So, our is a B2B business, we operate on price variation clauses with our customers.

Srinidhi Karlekar: So, not much of inflation on the other component because of copper, apart from gas?

Jasbir Singh: Not really, copper is in the same range currently operating.

Moderator: Thank you. Next question comes from the line of Vipraw Srivastava with PhillipCapital. Please go ahead.

Vipraw Srivastava: Sir, quickly on the Korea Circuits JV. I mean, if you look at Korea Circuits, they are also into manufacturing of semiconductor substrates. You are starting with bare board manufacturing, what's the timeline you are looking at when you transition from bare board manufacturing to semiconductor substrate manufacturing?

Jasbir Singh: So, JV is basically for HDI, flex and semiconductor substrates. We will be beginning with HDI as a first phase, and then move to semiconductor substrate, because we think that FY '27-'28 will be the year when India's semiconductor ecosystem will get built up. Before that we are planning for HDI.

Vipraw Srivastava: And sir secondly, I mean, obviously, this whole Capex which you are going to do with Korea Circuits, it's going to be heavily financed by the Government of India. I mean, do you see the synergistic effect of this on the assembly business also? Because what I feel is you might actually price out the competitors if you are backward-integrated into bare boards.

Jasbir Singh: Well, of course, I mean, Ascent Circuits acquisition has really helped us for ramping our PCBA business also because Ascent Circuits is largely into telecom and auto, and defense, aerospace businesses. So, we are now gaining traction because of the PCBA. So, there is a cross deployment of customers in both PCBA and PCB. And I believe we will be able to do that. And that's the reason why we have commented that this journey started from Rs. 300 crores in 2018 when we acquired IL JIN Electronics, at that time EBITDA used to be 2.8%. And this year, you have seen the results, and we have guided the market that we will be growing 55% plus. And we expect our margins to be in the range of 8% EBITDA. And I think there's a possibility of increasing it to double digit number in the next financial year itself.

Vipraw Srivastava: We have a buying agreement with Korea Circuits, right? So, I mean, is the assumption correct that Amber has a quick ramp up of PCB facility?

Jasbir Singh: Yes. So, it was nice of them to accept this arrangement of uptake of two years, because in India it takes little time for customers to approve and get the regulatory approvals and all. So, from our side, they have agreed to uptake the capacities for first two years.

Moderator: Thank you. Next question comes from the line of Naushad Chaudhary with Aditya Birla Mutual Funds. Please go ahead.

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Naushad Chaudhary: Thanks for the opportunity. And apology, I am in a bad network, so if my call gets dropped. Two, three very quick clarifications. Sir, first, in our Electronics business, typically what is the length of contract we do in this business and same for Railways business?

Jasbir Singh: Well, depending on which applications we are serving, normally it takes close to about 2.5 to 3 years to onboard a customer. In Railways division, it's a process of four years minimum if everything goes fine at all the steps. And then you become Part 2. And then

finally after supplying

300 coaches or three years, then you become Part 1 supplier in Railways. In Electronics, generally the contracts are longish time, ranging from three to five years contracts.

Naushad Chaudhary: Secondly on the Ascent Circuits, this is slightly a dated question. In terms of, I was just trying to understand what was the incentive for the Ascent Circuits promoter to sell a majority stake to us at such an attractive valuation? Can you elaborate on that?

Jasbir Singh: Well, there's an issue of succession and the promoter is aging and he thought because he has two daughters, so he was trying to sell it from last one and a half years and he was meeting many bankers as well as many potential buyers. And finally, when we met him, the deal clicked.

Naushad Chaudhary: And last, in the RAC components ex of compressor, what other major components we do not have in our portfolio? And any plan to add if we have any?

Jasbir Singh: We are currently doing about 70% of what goes into air conditioners. We do not have refrigerants, we do not have compressor, we do not have copper tube, we do not have aluminium, wiring harnesses, many other components we do not have.

Naushad Chaudhary: And any plan to add those as well or is there a technical barrier?

Jasbir Singh: No, of course as a team we keep on evaluating which component to buy and which to get into. Of course, as a growth strategy, teams are already evaluating various options.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question and answer session. I would now like to hand the conference over to the management for closing comments.

Jasbir Singh: Thank you everyone for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with our Head of IR, Ravi Kharbanda or Rohit Singh from our IR team, or Strategic Growth Advisors' team. And we wish you all a very happy 76th Republic Day in advance. Thank you. Have a great day ahead.

Moderator: Thank you. On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

Date: 23 May 2025

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services Phiroze
Jeejeebhoy Towers Dalal Street, Mumbai – 400 001 To
Secretary
Listing Department

National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Mumbai – 400 050
Scrip Code : 540902
ISIN : INE371P01015 Symbol : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Earnings Call Transcript for operational and financial performance of the Company for the quarter and financial year ended 31 March 2025 ('Q4 and FY25')

This is further to our letter dated 13 May 2025 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended 31 March 2025, ('Q4 and FY25') held on Monday, 19 May 2025 at 9:30 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ir.ambergrouppindia.com/news-events/investor-events/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), Regulations, 2015, as amended. Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konika Yaadav)
Company Secretary and Compliance officer
Membership No. : A30322

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"Amber Enterprises India Limited
Q4 FY '25 Earnings Conference Call "
May 19, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 19th May 2025 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN , CHIEF
EXECUTIVE OFFICER AND WHOLE -TIME DIRECTOR

MR. DALJIT SINGH – MANAGING DIRECTOR
MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL
OFFICER
MR. SANJAY KUMAR ARORA – WHOLE -TIME
DIRECTOR – IL JIN ELECTRONICS
MR. SACHIN GUPTA – WHOLE -TIME DIRECTOR
MR. RAVI KHARBANDA - HEAD INVESTOR RELATIONS
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS

Amber Enterprises India Limited
May 19, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY '25 Earnings Conference Call of Amber Enterprises India Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh - Executive Chairman, CEO and Whole -Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello. Good morning. On the call today, I'm joined by Mr. Daljit Singh, our Managing Director; Mr. Sudhir Goyal , our Group CFO; Sachin Gupta, CEO of RAC and CAC division Whole -Time Director; and Mr. Sanjay Arora, President of Electronics division and Whole -Time Director of ILJIN Electronics.

We have uploaded quarterly presentation on the exchanges, and I hope everyone had an opportunity to go through the same.

I'm pleased to report FY '25 has been a phenomenal year both in terms of the performance and the progression of the company.

I'm delighted to report our total income crossed INR10,000 crores milestone and achieved ROCE of 19.5% , an affirmation of our long -term growth strategy and focused execution.

Let me talk about progression. First of all, we sincerely applaud the efforts of Ministry of Electronics and IT, MeitY, and Government of India for launching electronic component scheme, the scheme will be a key catalyst for development of robust component ecosystem, attracting new investment and generating employment in the country.

We plan to file an application under the PCB categories and finalizing our capex plan, which will be spent in phased manner over the scheme tenure .

In parallel, we are also finalizing the land for our new joint venture, Korea Circuits . The expansion of Ascent is progressing well in Hosur for bare board PCB. With new facility, the manufacturing capacity will more than double .

The journey of Electronics division, which began for capturing the technological shift in the AC industry from fixed speed AC to inverter AC , it is evolving as a unique full -stack EMS company with PCB -A vertical catering to diverse customer segments and bare board PCB vertical offering wide range of products, including high -end HDI and flex PCBs.

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Further, considering the robust growth potential in RAC industry, we plan to augment component capacity at Sri City within existing plant.

In Railways , the construction is progressing well for Sidwal's greenfield facility for HVAC, Pantry , Doors and Gangways , and is expected to commence operations by Q3 FY '26. With regards to Yujin machinery JV, the construction is progressing well, and I'm pleased to announce addition of brakes to the existing product lineup of Pantograph , Driving Gear and Couplers .

Switching to consolidated performance. FY '25 has been a landmark year with the revenue from operations recorded a robust growth of 48%, reaching INR9,973 crores, clocking record operating EBITDA of INR796 crores, growth of 53% year -on-year and PAT of INR251 crores with outstanding growth of 80% year -on-year.

As guided 2 years back, we achieved the high -teen ROCE of 19.5% in FY '25, an improvement of 690 bps over last year. Our net working capital days for the year stood at 9 days through the efficient workin

g capital management.

Let me take you through the divisional performance. The Consumer Durable division, which consists of RAC and its Components and CAC plus Non-RAC components. We delivered a remarkable growth of 46% year -on-year with revenue of INR7,329 crores driven by underlying RAC industry growth, conversion of new customers from gas charging to ODM and strong growth in the component business and CAC business. Blended growth of 46% is led by RAC, non-RAC vertical with 49% and 31% growth, respectively, and resultant record EBITDA of INR562 crores reflecting growth of 59% over last year. The commercial AC vertical has crossed INR200 crore mark and expanded its customer base with new additions reinforcing our market presence. We are optimistic about the growth outlook for the current year. With our strategic focus across the RAC, CAC component and non -RAC component verticals, we are well positioned to outpace the industry growth by a minimum margin of 10% to 12 %.

Electronic division. Moving to Electronics division, I'm pleased to report we have clocked a stellar growth of 77% with revenue of INR2,194 crores for the year , surpassing guidance of 55%. The operating EBITDA more than doubled to INR151 crores, recording a growth of 119% year-on-year. The division reported remarkable ROCE of 26% for the year. On the margin outlook, we have travelled the journey of expanding our EBITDA margins from 2.8% in 2018 when we started Electronics division , to almost 7% last year.

Looking ahead, we are strategically adding margin -accretive applications such as industrials, auto, aerospace and defense, with an aim to reach 10% to 12% margin for this division over the next 2 years .

Coming to Railway division, our third division, which is Railway Subsystem and Defense . The division reported a revenue of INR450 crores with a decline of 6%. As guided earlier, that this will be a muted year , on the expected lines, owing to the delay in the offtake of the products . Backed by the strong order book and product portfolio expansion , we remain optimistic of doubling this division's revenue over the next 2 financial years.

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Now let me hand over to Sudhir Goyal: , our CFO, for the financial highlights.

Sudhir Goyal: Hello, everyone. I'm pleased to report a strong performance of quarter 4 and full year financial year '25. Let me first take you through the quarterly consolidated financial highlights and the full financial year as well.

So full year, financial year '25. Let me take you through the full year financials '25 financials. Revenue for financial year '25 increased to INR9,973 crores compared to INR6,729 crores in the previous year, recording a significant growth of 48%. Operating EBITDA increased to INR796 crores against INR519 crores with a growth of 53% year -on-year. PAT has increased to INR251 crores compared to INR139 crores in previous years, reflecting a noteworthy growth of 80% year -on-year.

On the ROCE, we witnessed a strong performance, achieving a ROCE of 19.5% for the year, an improvement of 690 basis points over the previous financial year, reflecting capital efficiency and robust business fundamentals.

On the balance sheet front, net debt stood at INR780 crores against INR615 crores underscoring our disciplined approach towards capital efficiency. Our net working capital days stood at 9 days, an improvement of 31% from 13 days through proactive focus on working capital management.

Quarter 4 financial year '25, the consolidated revenue for quarter 4 financial year '25 grew by 34% year -on-year to INR3,754 crores compared to INR2,805 crores in previous year. And operating EBITDA increased to INR314 crores during the quarter compared to INR234 crores, reflecting a growth of 34%. Please note operating EBITDA is before the impact of ESOP expenses and other nonoperating income and expenses

. We recorded PAT of INR118 crores

after the JV loss of INR10.4 crores (wrong ly said, kindly read it as INR13 crores) , reflecting a growth of 20% year -on-year.

Now let me take you through the divisional performance overview. Firstly, revenue and operating EBITDA details of the divisional performance are not comparable with published segmental results .

The Consumer Durable division reported revenue of INR7,329 crores in financial year '25 compared to INR5,009 crores, reflecting a growth of 46% year -on-year on the back of strong RAC and component business. Operating EBITDA for the year increased by 59% year -on-year and stood at INR562 crores compared to INR353 crores in financial year '24.

Coming to Electronic division performance. The revenue for the year increased to INR2,194 crores compared to INR1,241 crores in previous year, reflecting a noteworthy growth of 77% year-on-year, surpassing our earlier growth guidance of 55% for financial year '25. Operating EBITDA for the year increased by 119% year -on-year and stood at INR151 crores compared to

Let me also share the performance of Ascent as it would be of interest. The Ascent recorded a revenue of INR325 crores for financial year '25, growth of 24% against full year financial year '24 and maintaining margin profile of 19 %.

Moving to Railway Subsystem and Defense divisional performance. The division reported a muted year owing to slower offtake as mentioned earlier. The revenue for the year stood at INR450 crores, reflecting a decline of 6% and resultant operating EBITDA of INR83 crores, EBITDA margin of 18.6%, impacted due to slower product offtake. To reiterate, we remain optimistic of doubling the division's revenue over next 2 financial years .

On the incentive front, we have received the PLI amount of INR36 crores for financial year '24. In the current year, we expect to receive INR49.5 crores under the PLI scheme for the financial year '25. With the expansion of Electronics and Railway division, the company is in a transformative growth phase to strengthen the margin profile over the next couple of years.

Thank you. Now I request the operator to please open the floor for the Q&A.

Moderator: The first question is on the line of Vipraw Srivastava from Phi IlipCapital.

Vipraw Srivastava: Yes. Great results sir. Quickly on the margin expansion, which you have guided. So sir, firstly, what kind of growth are you envisaging for EMS sector for FY '26? Any color on that?

Jasbir Singh: Well, as explained, we are adding a lot of new applications. And that's the reason why we guided that we are very confident that this division will be in above 10% range within next 2 years because we are adding industrials applications more now, and auto mobile is also adding up. It's already added, but now the business is growing, which are more margin -accretive businesses than the current businesses.

Vipraw Srivastava: Sure, sir. And sir, anything on the top line growth?

Jasbir Singh: Top line, we can't tell right now. But yes, I think we are very optimistic of -- or at least 30% plus growth, 30% to 40% growth range for this division.

Vipraw Srivastava: Sure, sir. And sir, last question. On the PCB manufacturing side, which you are going for Ascent, that will be the first phase to be operational by FY '26, right? It's INR300 crores?

Jasbir Singh: No, no. Ascent Circuit is already operational. They have clocked a revenue of more than INR325 crores this year. Their expansion in Hosur, which was undertaken, that construction is moving well. We expect that construction to be over and the commercial production to start by quarter 4 of current year. In the month of February or March, we will start the production for that new unit, which is expansion, where we are putting our money.

Vipraw Srivastava: For the I

NR600 crores unit, that's what you're saying, right? For the full unit, right?

Jasbir Singh: Yes, that's right. It's a INR650 crore expansion.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: Sir, I had one question on the consumer durables vertical. So obviously, we've seen that summers have been weak from -- because of rains, etcetera. In FY '24 also, we faced a situation similar to that. So do you think that FY '26 considerably will be declining or the RAC business will be flattish or something like that? Or do you think that if the non -AC contribution in durable vertical will be enough to kind of generate double -digit growth despite the weak summer? That's my first question.

Jasbir Singh: Dhruv, if you see, we are an aggregator of the demand. So yes, there are many news this time that AC is flattish. But just to tell all of you, we have done pretty well in April. May is also going very, very fine for us. And we feel that, yes, double -digit growth is very much possible for Amber's RAC business. And plus, we have added a lot of Non-RAC components and CAC business, which is doing very well.

Dhruv Jain: Great, sir. Sir, second question that I have was on working capital. So since another year that we've seen a very good working capital management, just wanted to ask, is this a new normal? Because if you look at before FY '24, working capital days were far higher, right? But last 2 years, we've seen this. Or do you think this will normalize going forward? Just your thoughts there.

Jasbir Singh: Yes. Dhruv, you're right, we used to be in the range of 35, 40 days, which is now less than 10. So we feel that this is maintainable. But yes, on a quarterly basis, this may not be maintainable because of season and off -season basis. But at the year -end kind of a thing, we think that, yes, it should be in the range of 10 to 15 days on a consol level.

Dhruv Jain: Got it, sir. And just one question on the JVs, right? So obviously, we've seen losses in the JVs kind of go up...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for the follow-up questions. The next question is from the line of Ankur from HDFC Life.

Ankur: I had two questions again on the room AC business. One was -- and you also did allude to this whole erratic rains that have happened both in the South, now also in the West, especially in the peak summer season. Would you want to take -- give us some guidance on how do you see industry volumes kind of playing out for FY '26?

And more importantly, how do you see the inventory situation at this point in time, given what we understand is in Q4, there was a lot of inventory which was pushed into the system, given issues on compressors, etcetera. So one on the inventory situation currently and b, on how do you see the overall industry growth for FY '26? That's one.

And second, we also have this new BEE rating, which I believe changed starting Jan '26. So impact on industry, would you expect -- typically, we see a prebuy, right, a quarter before that.

So would that be something you would also expect this time?

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Jasbir Singh: Ankur, in last 25 years, I have seen many such good seasons and bad seasons. So I would request all of you that in case you want to recommend anybody putting in money in air conditioner sector, you should not focus on the quarterly basis because this is an industry, which is seasonal in nature. But let me give you numbers. 25 years back, 0.5 million air conditioners used to sell in the country, and we have already crossed 14 million mark.

There are some reports which are referring to 14 million. There are some reports which are referring to 15 million also. What we expect that this industry should be in the range

of 30

million to 35 million in the next 5 years' time, which is a good CAGR. So yes, currently, you're right, on the southern side and on the Western side also, there's a lot of rains which are going on. So there are many brands which are struggling to grow.

And -- but as I explained that we are an aggregator of demand. For us, April has been very good for us. Even May is going pretty fine. On the inventory levels, it is varying from brands to brands. There are shortages in some brands till today also. And there is surplus inventory with some brands. So as a B2B company for us, what we see from the -- if I hear from the customers, there are some customers who are slowing down, but there are some customers who still continue to be very optimistic and they are growing on their demand.

I believe whenever this kind of season comes, industry normally get into a very pessimistic mode and start planning with a very pessimistic approach. And plus coupled with the Bureau of Energy rating in the month of January, so we expect little offtake in the quarter 3, which generally is not the case in line to the inventory buildup so -- but that's the standard patterns of the industry. So there's nothing unique, which is going to happen.

Whenever there is a positive season, you will see industry getting into optimism mode. And whenever there is a negative season, everybody gets into pessimistic mode. So it's a compounding of optimism and pessimism, I would say. But on the longer run, nothing changes for this sector. We are very optimistic for the complete sector.

And plus, as Amber, since we have diversified our portfolio now, our finished goods contribution today in the whole scheme of consolidated balance sheet is just 40% -- 42%, which used to be 76% when we got listed. So for us, things are very different today because of other divisions doing well and even our CAC business and the non-RAC components doing well, which are not very seasonal in nature.

Moderator: The next question is from the line of Pranay Roop Chatterjee from Burman Capital Management.

Pranay Roop Chatterjee: My question was also on the RAC side. So a listed peer of yours reported results, and they had about 100% growth in Q4. But what I mentioned on a couple of themes in the industry, I thought I wanted to check with you. They mentioned the increased growth is because the outsourcing propensity has started going up again, number one.

And number two, that the e-commerce and modern trade channel white label brands are actively gaining market share and hence, they are catering to them as well. So are these couple of trends

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that you are also seeing in the market and hence, that would explain the delta in the growth numbers?

Jasbir Singh: So see, the strategy of in-sourcing, outsourcing continues to shift. But yes, all the plants which

were supposed to become, they have already been executed by the brands. And since last year, it was a very good season. So definitely, yes, outsourcing concept, the propensity is towards now outsourcing more, which was towards in-sourcing for last 2 to 3 years, that's very right.

And on the brands which are like Croma, Flipkart and other kind of brands, yes, they are also gaining traction. So that does make the outsourcing business model lucrative right now as compared to what it used to be 2 to 3 years back.

Pranay Roop Chatterjee: Got it, sir. And I just wanted to understand because your commentary on your RAC segment was quite inspiring given the channel check calls I have been attending. So if you can throw some more color, is it because you are less indexed in the South, which is probably more impacted than other parts of the country? Is it because your customers are doing relatively better than the wider industry? Like what could explain the difference in tone of the contract manufacturers versus

sus, let's say, distributors, etcetera?

Jasbir Singh: No Pranay, I think probably the customers which we are catering to, their demand is growing.

So -- I mean, yes, South is down for everybody, definitely because of the rains and all, but North has already picked up. The Western part -- some of the Western parts and the central part of India has picked up. There are some rains going on. But yes, overall, the customers which we are catering are moving positive as of now.

Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies India.

Sonali Salgaonkar: This is Sonali and congratulations on a great set of ROCEs. The expansion has indeed been quite notable year-on-year. Sir, my first question is a bit strategic related to the ECMS component manufacturing scheme. I know you alluded to the fact that you will be participating in the PCB. But apart from that, is there any other segment which you would like to even evaluate? And in conjunction of that, ex of ECMS, what is the FY '26 capex? And with the ECMS, what would you expect that to be?

Jasbir Singh: Well, thank you, Sonali. I think on the ECMS, our capex, what we are planning without ECMS, our capex will be somewhere about INR500 crores, which will be for our Railway division and our RAC division, Consumer Durable division. In ECMS, we will be putting in an application of about INR3,000 crores, which is to be spent over a period of scheme in 5 years.

And I think this year, the capex will be somewhere about -- close to about INR800 crores to INR900 crores, which is ongoing Ascent Circuit capex because last year, only the land came in and now the building and machinery are going to be added up, plus the new joint venture, Korea Circuits land and some part of the building will come in this year. What was the second question?

Sonali, you asked one more question.

Sonali Salgaonkar: Yes. So this was actually just to clarify, ex of ECMS right now, status quo INR500 crores, right?

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Jasbir Singh: That's right.

Sonali Salgaonkar: Correct. Sir, my second question is regarding Sidwal. Now we understand that the order book has grown to about 20 billion plus, which is actually a very encouraging number. So we understand FY '25 was a bit weak across the railway stocks, not just with us, but across multiple other sectors. But what gives us the confidence of doubling the revenue over the next 2 years? Is it just the order book or the visibility into any other new categories that we are going into?

Jasbir Singh: Sonali, yes, I mean, one is the slowdown, which was there for Vande Bharat and Metro that is picking up the pace. So that is the first part. Second is our expansion into various product categories like Couplers, Pantograph, Brakes, Gears and also Doors and Gangways. Just to inform you all, we have already executed 26 new trains with the gangways.

So that product has started going up, and we have received more than about INR500 crores of orders for the doors as well. And we have just recently last week received our first order for the couplers as well. So all these addition of our bill of material in the rolling stock is gaining traction. And that's why we are confident of reaching to a double number of this division in the next 2 years.

Sonali Salgaonkar: Understood. Sir sorry, and in ECMS question, just one follow through. Is there any other segment which you would like to evaluate apart from the PCB board?

Jasbir Singh: No, we will be very focused in the PCB. So in PCB, there are 2 categories. Ascent Circuit is into multilayer and double layer categories. And on the Korea Circuits side, we will be filing application for the high-density interface and substrates category.

Moderator: The next question is from the line of Aditya Bhartia from Investec.

Aditya Bhartia: Sir, my first question is on the electr

onics business, wherein we saw very strong growth in fourth

quarter. Clearly, there's a lot of momentum that the segment is picking up. Just wanted to understand, are there any new segments that we have commercialized within the EMS space?

Any new large customers that you can speak about?

Jasbir Singh: Well, I'll not give a color on the customers because of the NDA signed. But yes, on the application side, I'll give you a brief. When we started in 2018, we had just started for consumer durable, particularly ranging in air conditioners and refrigerators. But today, we cater to hearable, wearable segment. We cater to smart meters segment. We cater to automobile sector, defense applications and telecom. These are the sectors which we are already catering to. What we are going to add in the next 2 years is industrials and aerospace and defense.

Aditya Bhartia: And this pickup in growth that we get to see in fourth quarter, sir, is it on account of any like automobiles maybe us becoming larger or on wearables and hearables getting much larger orders than what we used to. If you could just kind of give some indication around that?

Jasbir Singh: Aditya, we are gaining traction in almost every vertical basically. And I think we are very optimistic for this division. And normally, what happens is there are entry barriers of 2 to 3 years
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or maybe sometime in 4 years also depending on customers. And in the year 1 or 2, we get less share of business. But as we move older, we gain traction and we can gain more share of business also. So that's how the trajectory has been till now.

Aditya Bhartia: Understood, sir. And my last question is on the capex that you spoke about for the electronics business, almost at INR3,000 crores over 5 years. Is that roughly how we are going to file the application? Is bulk of that on the bare PCB side? And how exactly is this capex likely to be split across different entities within the electronics business?

Jasbir Singh: Well, it will be spread in 3 categories: PCB -A, PCB Ascent Circuit, which we are already doing and Korea Circuit, our new JV. So it will be in 3 categories. But the application which will go in the new scheme will be only for the PCBs because PCBAs are not allowed in that scheme. So large capex is going -- INR3,000 crore capex will come in that category, which is going to be spread over 5 years.

But we should clearly note that in one scheme, the 48% is going to be returned by -- through -- over a period of 5 years by government. And above than that, the state government's incentives of close to about 35% are going to kick in. So net capex for us, out of that INR3,000 crores, which we will invest in after 5 years, the net capex, which will come in the balance sheet will be just 25% to 30% of the whole INR3,000 crores.

Aditya Bhartia: Understood, sir. And this will be...

Moderator: Sorry to interrupt, sir but I may request to rejoin the question queue for follow-up questions. The next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Sir, my first question is on the Electronics division. If you can give a little light on what are we currently doing? And where are we moving towards? And what kind of a market we can look at in that perspective? Also in your Railway division, sir, you said about 2x of your doubling the revenue, but a little on the more longer time horizon, again, what sort of TAM are we looking? And what are the projects we are currently working on and what would qualify to go more into this? That is all, sir.

Jasbir Singh: On Railway division, earlier, we were just catering to INR25 lakh in one passenger car. So normally, Vande Bharat Express has got 16 passenger cars, and one passenger car is costing about INR6 crores to INR6.25 crores. Out of that, we were catering only air conditioner part. But now we

can cater to INR1.5 crores of what goes into it, as we added into Pantries, plus Doors and Gangways, Couplers, Brakes and Gears. So our TAM has expanded by 5x, while being in the same segment for metro and railway. That is one part.

And on the Electronics side, PCB -- coming on what we do in the Electronics side, we do 2 parts in the electronics side. First is we give PCB assemblies for various sectors, such as consumer durables, comprising of air conditioners, inverter PCB boards, refrigerator electronic boards, washing machine boards, microwave boards, water purifiers and also some small appliances. That is our consumer durable catering. Then we do smart watches, Bluetooth speakers as a
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hearable and wearable segment. We do smart meters. Then we do automobile telematics and other categories of products for 2-wheeler and 4-wheelers and large commercial vehicles also. And we do some optoelectronics for the defense applications also. And telecom also, we are doing 4G, 5G equipments. So this is our PCBA application side. And we are a backward integrated company with the PCB also in-house. We do single layer, multilayer, double layer and radio frequency PCB up to 48 layers currently. But what we are adding now apart from this

capacity is the HDI and semiconductor substrates, which is required in mobile phones and laptops and ITs and servers, etcetera. So this is going to be added in the next 2 years.

Anupam Goswami: Sir, just on the follow-up, what sort of revenue or market that we can look at from this new segment?

Jasbir Singh: Well, it's a very big TAM, just to explain about PCB itself. Last year, India almost consumed \$115 billion of electronics, out of which \$4 billion of PCBs, almost about INR32,000 crores of PCBs got consumed in India and only 9% of that got manufactured in India. And looking into these data points, Government of India has already supported the sector by antidumping duty up to 6 layers, which has gained a lot of momentum for bringing up capacities in the country. And now what we see in the next 5 years, the industry electronics consumption in India will go to almost about \$300 billion to \$400 billion. And as a thumb rule, 3.5% to 4% is the PCB consumption. So there is a TAM of about \$10 billion of consumption, even if we assume that 50% will still be imported at that time, still, there is current level of INR3,000 crores worth of PCB getting manufactured, going to almost about \$5 billion. So that's the opportunity size. And we expect to at least have 10% of this opportunity size moving forward.

Moderator: The next question is from the line of Nirranish Jain from BNP Paribas.

Nirranish Jain: Sir, my first question is just some clarity on the capex number. So you have highlighted INR3,000 crores under this ECMS scheme to be spent over 5 years. So this would be for both the Korea Circuit JV as well as for the Ascent Circuit, right? So is there any breakup on how much are we planning to expand the Ascent Circuit over and above the INR650 crore capex that you have already -- which is already undergoing?

Jasbir Singh: So currently, we have announced INR650 crores capex, which is ongoing. Maybe we add -- looking into the demand scenario, we may add moving forward after 2 to 3 years' time, another INR500 crores in this. And rest is the Korea Circuit JV.

And just to inform you all, we should note one more point, which is I would like to highlight that we have been able to successfully sign offtake agreement with Korea Circuits, where first 2 years of the production capacity will be offtaken to Korea Circuits by Korea Circuits team to their existing customers from India. So as we start the process, we don't have any issues on the customer side.

Nirranish Jain: Great, sir. Sir, moving to the second question, I just actually want to get a bit more detail on the comment

ary regarding the like next year expectation for output pacing the RAC industry growth

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by 10% to 12%. So generally, the question stems from the fact that considering that it's at least a weaker summer than what we had anticipated at the start of the year, even if it is delayed, but there is still a higher inventory at the dealer and brand level. And now over the years, at least more and more capacities have also been set up at the brand level.

So what gives us the confidence that we'll gain market share in terms of especially if there is -- like the growth is low, then obviously, the brands would be looking more for in-house sourcing for their new capacity setup. So how are we looking to outpace the growth? Can you just share a bit more color on this?

Jasbir Singh: See, if I see the results of all the listed players, I have seen documents around growth phase of 25% to 30%, whereas Amber has grown by more than 48%. So that's a testimony of our aggregation of the demand kind of scenario. We believe -- because we've added new customers last year, that is one part.

Second is we've added some customers on the components of RAC as well. And we are growing in the CAC part also. So these all 3 factors are leading us to comment that we will outpace the industry by at least 10%.

Nirranish Jain: Great, sir. Sir, and lastly, just CAC already did INR200 crores for us. And like what is the expectation for this business? Like how much can we expand from here onwards?

Jasbir Singh: It's growing pretty well. We started this division 2 years back, and it has crossed INR200 crores this year. We expect this division to grow at least by 20%, 25% to 30% range this year.

Moderator: The next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Yes. Congratulations for the number. Congratulations for good numbers. Sir, just wanted to check on the JV losses. If you could give some sense in terms of what has driven this increased losses? And how do we see it over the next couple of years?

Jasbir Singh: Well, these businesses take time for ramping up. This is a new business for us, both of them. And I think we are very confident that as we move ahead, we'll be able to take care of these losses. And the larger objective of getting into joint venture along with the Titagarh was particularly for gearing up for our new component sectors, which are the new categories, which we have added because these are very high entry barrier businesses.

So if you want to supply products like doors and gangways or brakes or couplers, these are safety

Level 2 and safety Level 4 products where the entry barriers are as good as 7 to 8 years. So our main objective of this JV was to get into that and which we have already received. And we are very happy that on signing itself, we were able to receive a substantial business from Titagarh India as well as abroad. Yes, outside JV is struggling at the moment, but we feel we should be able to come out of that very soon.

Achal Lohade: Any number you want to throw sir for FY '26? Like we had INR30 crores of loss for FY '25. Could we see a breakeven or we'll see substantial reduction and breakeven in FY '27?

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Jasbir Singh: I think it a little -- it should come down by another INR10 crores or so. So INR20 crores to INR25 crores should be the range moving forward.

Achal Lohade: Got it. And just to clarify, you mentioned that for the RAC, whatever is the industry growth will outpace the industry growth by 10 to 12 percentage points. Have I understood right, sir?

Jasbir Singh: That's right, yes.

Moderator: The next question is from the line of Abhishek Ghosh from DSP.

Abhishek Ghosh: Sir, just two questions. In terms of the proposed PLI component scheme where you'll be participating for about INR3,000 crores of outlay, what is the expected return on capital on that investments or on that project? How should we look at it?

Jasbir Singh: Well, if you see out of INR3,000 crores, almost 60% to 65% will be funded back in the scheme by central and the state government together. So we'll be in the net capex side, we will be investing about 30% of that. So 30% to 35%. If I see on the net capex side, the ROCE level for this industry is more than 25 -- in the range of 25% to 30%.

Abhishek Ghosh: Okay, sir. So for that INR3,000 crores, which we'll be investing, is it fair to assume that you'll have an asset turn of maybe like 1x, 1.5x? How should we look at it?

Jasbir Singh: Generally, like -to-like, these are asset-heavy businesses. So single layer and double layer, they are at asset turn of 1, 1.15 and HDIs are at asset turn of 0.85 to 0.9. But if you see on the net capex invested, the asset turns will be more than 2.

Abhishek Ghosh: Yes, that is true. And with margin profile of almost like 10% to 12%?

Jasbir Singh: No, it is -- these are the businesses in the range of 18% to 20%.

Abhishek Ghosh: Got that. And sir, the other question is in terms of the EMS division, you have called out that the margin trajectory can be double digit given the change in product mix. So will that be a gradual improvement from here on? Because this quarter, we have seen some softening of margins despite a very strong top line growth? Or is it going to be more like back-ended just from your thoughts?

Jasbir Singh: Till now, if you see in our INR2,200 crores of the Electronics division, almost 55% is still coming from the consumable sector. So these are the sectors with the low EBITDA margins.

Hearable, wearable, consumer durables, these are low EBITDA margins. What we are adding is automobile, industrial, energy sector and the defense sector. That is what we are adding. And that is why we are very confident that the trajectory will go beyond 10%.

And I would like to also highlight that this division of ours is at 26% ROCE currently and which is a very healthy level. I was expecting -- personally, I was expecting that we'll cross 7.5% to 8% in this division, but it has come down to 6.9% because more of consumer durable applications were sold. But as I hear from the team, moving forward in the next 4 quarters and

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next 8 quarters, they are adding a lot of customers from industrial side, and that is why we are confident of bringing up to 10% plus EBITDA margins of this division.

Moderator: The next question is from the line of Jalaj from Svan Investments.

Jalaj: Sir, first of all, congrats on a great set of numbers. Sir, I had two, three questions. The first one was, could you give us some idea as to what sort of capex are we planning to put in the Korea JV? And what sort of time line should we understand for the plan to get online and the revenue start to flow to our P&L?

Jasbir Singh: So in Korea circuit JV, we will be putting in an application of close to about INR2,500 crores, which is to be spent on a period of 5 years. And time line is that as per government, government has given 90 days' time to file an application. After that, I am assuming that another 60 days or so for approvals, and that's when the approvals will be granted. So post September, the work will start. So I am hopeful that by next financial year, quarter 4, it should be up and running.

Jalaj: Understood. Understood. And sir, this -- the second question was with regards to Sidwal. So we have been talking about the longer gestation period, along with a lot of time period to develop

the product. But how is the exports division or the exports portfolio shaping up there? And when should we expect something tangible coming into the P&L or otherwise?

Jasbir Singh: We have started participating in RFQs for the e

xport tenders at the moment. We have received

our first developmental order from New York. And we expect that after -- so the process is pretty long. You have to supply the products in the next 24 months. After that, they will watch and monitor the performance for next 18 months. After that, you are approved for supplies. So it is a process, I think, another 3 years' time from now on.

But the process has started. Teams have been formed and we have started working. And also, I would like to highlight that through Indian rolling stock companies, who are participating in the foreign tenders, through them also, it will be a deemed export for us. That has also started.

Jalaj : Understood. Understood. And one last question...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow-up questions.

The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: Congratulations on a robust guidance. I have one question on the guidance on the Railway side.

As you mentioned, doubling in the next 2 years, would it be more back ended? Would we see more growth in FY '27 and '28 or '26, you expect to be strong as well as per the order book that you have today?

Jasbir Singh: So FY '26 will be a slight growth over the period of last year because now the projects have started taking off. And just to tell you that the 200 Vande Bharat Express, which were to be rolled out 2 sets, both TMH and Titagarh they were supposed to be last year, which got delayed by an year. So that is happening this year, but the large numbers will start going from next year.

So you will see a big traction next year onwards.

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Indrajit Agarwal: Sure. And secondly, on the washing machine Resojet part, when do we see revenue accrual for us?

Jasbir Singh: So we have already supplied 28,000 washing machines this year. So revenue has started getting accrued, but we are having some losses there. I think the team is already working. And maybe this year, we plan that the number should be at least at a breakeven point.

Moderator: The question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Sir, one question on the Electronics side. So considering -- so what is the capacity available in Ascent? And in backdrop, what would be the growth driver for FY '26 for the overall Electronics division, both in terms of, sir, revenue profitability as well as working capital?

Jasbir Singh: Well, currently, Ascent is moving at almost 90% of capacity, and that's why we are putting up another 30,000 square meter plant. And Korea Circuits will be -- the first phase will be 10,000 square meter of HDI to begin with, and then we'll keep on adding as we move ahead.

Keyur Pandya: Sir, just one follow-up. So I mean, what will drive this 30%, 40% growth in FY '26? It could be our core EMS business, since Ascent is fully utilized. And just want to understand on the working capital side or the Ascent's revenue potential of INR650 crores. So INR650 crores would fetch us INR600 crores, INR650 crores kind of revenue?

Jasbir Singh: No. On the EMS side, since we are adding some applications, that's bringing up the growth. And for the Ascent Circuit, we see some numbers adding up in the last month of this financial year, where the plant will start adding up. But the large number will come from next year in the Ascent Circuits numbers.

Moderator: The next question comes from the line of Madhav from Fidelity.

Madhav: I just wanted to understand a bit on the Korea Circuit, the economics. So we're investing INR2,500 crores over 5 years. Could you give us some sense in terms of what could be the peak revenue potential of this project? You did mention the customer mix, but if you could give us some sense on the product mix as well, how the scale-up happens?

Because it's a

very large project -- probably the largest single location capex for Amber in my understanding. So if you could give us some more sense around the ramp-up timeline, etcetera, that would be great.

Jasbir Singh: Madhav, yes, it will be like INR2,500 crores over a period of 5 years. So like the first part of that will be about INR1,000 crores or so. Generally, the asset turns in this sector are 0.85 to 0.9 and that's where we are going to grow. But if you see in a horizon of 2 to 3 years' time, because we have an offtake agreement, we feel that it can add about INR1,500 crores revenue over a period of -- after we start the production over a period of next 2 years.

Madhav: So when does the plant commission -- the INR1,000 crore Phase 1 capex, when does that commission?

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Jasbir Singh: So this will commission next financial year, quarter 4 because we expect the approvals to come by September, and that's where the construction and everything will start. So it takes about 14 to 15 months for the plant to get commissioned.

Madhav: Okay. So quarter 4 of FY '27, so let's say, FY '28 is when we start seeing some...

Jasbir Singh: That's right. FY '28, you will see the PCB itself giving a revenue generation of more than INR2,500 crores at 18% to 20% of EBITDA.

Madhav: Yes. So that's -- so margins for this Korea JV is about 18% to 20% EBITDA margin?

Jasbir Singh: That's right. That's what generally the sector operates at. And they serve very high marquee customers like Micron and Samsung in the HDI category, and that's where we are already in touch with those customers at the moment.

Madhav: And of this INR1,000 crores, we expect about 75% in capex subsidy, is it? Or this is adjusted for the subsidy?

Jasbir Singh: No, it will be 48% to be reimbursed by MeitY through the scheme by Central Government and over and above to that, but this 48% is only on plant and machinery. Land and building is not included in this. Whereas the state governments give you a subsidy of about 35% on entire capex. So on a blended basis, if we see, it will be about 65% refund.

Madhav: Okay. So sir, effectively, INR1,000 crores capex for us implies INR350 crores of adjusted for the subsidy from the government that we'll have to invest, including with the Korea Circuit partner?

Jasbir Singh: Yes, yes. That's right.

Madhav: And on the INR350 crores, you're saying we can do a revenue of about INR900 crores, which is at 0.9x fixed asset turnover?

Jasbir Singh: Yes. I mean almost near to that.

Moderator: The next question is from the line of Pulkit from Goldman Sachs.

Pulkit: And my question is in continuation with what Madhav asked. So one is the capex that you'll do. But is there any other sort of revenue threshold, etcetera, that you'll need to meet in order to get this incentive? Secondly, can we just discuss some rough time lines? For example, you do this capex now. What are the milestones the government would want to see before this subsidy comes to us? And thirdly, if there is a time gap between now and then, how are you going to be funding that particular piece?

Jasbir Singh: Pulkit, on the time line basically and the turnover, so it's a hybrid scheme for capex and TLI, turnover -linked incentive, scheme. So out of 48%, 25% will be reimbursed after the plant is commissioned and 23% will come in next 5 years after achieving the turnover -linked incentive

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and employee -linked incentives also. So there is employment generation also which we need to do.

So once we meet those criteria, every year, we'll get -- we'll be -- it will be spread in -- 23% will be spread in 5 years. So that is how the time line on the subsidies are coming. Coming to the funding part, as an Electronics division, we are already in touch for raising the funds for

this

kind of -- meeting the objective because we are going to get back. So we are already in touch with various institutions for that.

Pulkit: Sure, sir. So it will be more like a working capital funding till the time you get the money back?

Jasbir Singh: Capex funding, rather than working capital funding, yes.

Pulkit: Understood. Understood. And sir, the same would be true for states also or state has a different mechanism of incentive reimbursement?

Jasbir Singh: Some states like -- we are already negotiating with two states at the moment. And that also has some hybrid part of it. Some portion is given back in first year, then remaining is spread in 5 years' time.

Moderator: The next question comes from the line of Amit Mahawar from UBS. We move on to the next participant. It's Manikant ha from Franklin Templeton.

Manikantha : Just two questions from my side on the Electronics division again. I know that we have not mentioned this in the presentation, but wanted to check if we can give any order book for Electronics division, ballpark number by end of '25 and how this would have grown maybe Y-o-Y in this year? That's the first question.

And second question is, are we incrementally seeing any export opportunities in the Electronics division, given maybe the other B2B company out there is focusing a lot on this export opportunities? Those are my two questions.

Jasbir Singh: Yes. Because of this tariff being spoken so much, there are many customers who started talking to us for exports. And we are talking, but let us see. I mean, I think we are not giving really great mileage to that. Maybe 2 years down the line, yes, we may see some big exports coming. Largely, we are focusing on domestic industry at the moment.

If I talk about the order book, so generally, the contracts are long term in nature. So we've already done INR2,193 crores. If I speak about 2 years order book, we are already sitting at close to about INR5,000 crores of order book kind of a thing at the moment from various customers, with various applications.

Manikantha : Just to clarify that INR5,000 crores is executable over 2 years is what you're saying?

Jasbir Singh: Yes. That's right. I mean, it keeps on adding up. You keep on delivering and keep on adding up. So it's a perpetuity kind of orders.

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Manikantha : And how this would have grown Y-o-Y basis, this INR5,000 crores?

Jasbir Singh: It's grown pretty well because last year, we have done 77% growth in this division. So it's grown very well and pretty -- and growing very fast, as we are adding applications. So we will see a compounding results after 3 years in this division.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Jasbir Singh: for closing comments.

Jasbir Singh: Thank you, everyone, for joining on the call. I hope we have been able to address all your queries. For any further information, kindly get in touch with our Head of IR, Ravi Kharbanda or Rohit Singh, from IR team, or Strategic Growth Advisors. Thank you very much. Have a good day ahead.

Moderator: Thank you. On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Date: 05 August 2025

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers Dalal Street, Mumbai –
400 001 To
Secretary
Listing Department

National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla
Complex, Bandra (E) Mumbai – 400 051
Scrip Code : 540902
ISIN : INE371P01015 Symbol : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Transcript of the Earnings Call held on 30 July 2025 for discussing the unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30 June 2025 ('Q1FY26')

This is further to our letter dated 25 July 2025 intimating the details of Earnings Call with Investor/Analyst (Participants) to discuss the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended 30 June 2025, ('Q1FY26') held on Wednesday, 30 July 2025 at 9:30 A.M. IST.

In this regard, we are enclosing herewith the Earnings Call Transcript. The same is also available on the Company's website at <https://www.ir.ambergrouppindia.com/news-events/investor-events/> for your information and for information of members / participants and public at large.

This information is submitted to you pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Yaadav)
Company Secretary and Compliance Officer
Membership No. : A30322

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Q1 FY '26 Earnings Conference Call "
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"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th July 2025 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER AND WHOLE -TIME

DIRECTOR
MR. DALJIT SINGH – MANAGING DIRECTOR
MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL
OFFICER
MR. RAVI KHARBANDA - HEAD INVESTOR RELATIONS
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS
SGA – INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Conference Call of Amber Enterprises India Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that your conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh, Executive Chairman and CEO and Whole - Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello, and good morning. On the call today, I'm joined by Mr. Daljit Singh, our Managing Director; Mr. Sudhir Goyal, our Group CFO. We have uploaded quarterly presentation on the exchanges, and I hope everyone had an opportunity to go through the same. I'm pleased to report robust performance during the quarter, driven by growth in all the 3 divisions , despite a challenging season for the room AC industry.

The consolidated revenue grew by 44%, reaching to INR3,449 crores for the quarter and operating EBITDA grew by 31% to INR263 crores and PAT of INR106 crores, recording a 42% growth over previous year. The operating EBITDA margin was impacted due to divisional mix and product mix. However, we expect the consolidated margins to be in the range of 8% to 9% by FY '26 end.

Let me now take you through the divisional performances. On the Consumer Durable s, this division continued the growth momentum in line with our earlier guidance of outpacing the industry for the year. The growth is driven by the following factors : A diversified product offering, adding wallet share in some customers, expanding component business, conversion of earlier gas charging customers into full ODM customers and robust growth in our commercial AC vertical. We also onboarded one more multinational customer in commercial AC vertical during quarter 1, which will contribute a decent growth in quarter 4 and thereafter .

Further, we have signed a strategic cooperation agreement with GMCC, the largest compressor manufacturer of the world, ensuring compressor supplies for 3 years as per our plans. Based on our cooperation agreement, GMCC is expanding its capacities in India. This expansion will be operational by November of this year .

We continue to remain optimistic about outperforming the RAC industry growth by a factor of 10% to 12% for the year, supported by our strong portfolio of finished goods and components to a diversified customer base.

Additionally, on the washing machine front, quality control orders is getting implemented by October 2025 on this product. We are now revisiting th is strategy, considering the capex required due to this quality control order of washing machines.

Coming to Electronics division. The division continued the stellar growth trajectory, almost doubling the revenues to INR766 crores, reflecting growth of 97% and resultant operating

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EBITDA of INR49 crores with growth of 62%. The performance is driven by both printed circuit board assemblies and bare printed circuit board vertical spanning across the customer segments in consumer durables, hearable and wearable, telecom, automotive, energy meters and defense.

On the strategic front, we have filed 2 applications under the Electronic s Manufacturing Component Scheme , one for multilayer PCBs through Ascent Circuits of INR990 crores to be spent over the span of the scheme. Second, HDI, high -density interface PCBs through Korea Circuit JV for INR3,200 crores to be spent in phased manner over the scheme.

The JV will cater to HDI and flex PCBs, bringing advanced technology in country, which so far has heavily relied on imports. An

d the buyback arrangement with Korea Circuits offers us early visibility on the revenue.

On the strategic front, I'm pleased to share that IL JIN Electronics has signed 2 definitive agreements, one with Power -One Micro Systems, Bangalore; and second, Unitronics Israel,

strengthening the industrial segment of the electronics portfolio .

Talking about the Power -One first. It's prominent player in rapidly growing battery energy storage systems, solar inverter space, including on -grid, off -grid and hybrid solar inverters, EV chargers and industrial UPS , catering to customers in large public sector units and large corporates.

The Industrial segment complements to our well -spread portfolio of electronic division. From the financial standpoint, it's a debt -free company and clocked impressive EBITDA margin of 17% to 18% on the revenue base of approximately INR245 crores in FY '25 and is expected to reach INR325 crores in revenue in FY '26.

This partnership enables the following: direct synergy to our Electronics division. It adds a portfolio of high -margin power electronics and energy sector modules. Given the multibillion -dollar TAM of this sector, it is highly scalable business. We shall be leveraging the group's purchasing power and also the capabilities of the component ecosystem such as printed circuit board assemblies, printed circuit board and sheet metal fabrication, enabling it to backward integrate and manufacture at scale . In Tranche 1, we will pay INR262 crores plus a deferred consideration basis on FY '26 numbers. We expect the closure of this transaction within the next 15 to 20 days.

Moving to Unitronics Israel. It's an Israel -based listed company and a prominent lead player offering comprehensive solutions in industrial automation and control systems such as programmable logical controllers, human machine interface (HMIs), PLCs integrated with HMIs, VFDs and software solutions.

On the financial front, Unitronics command an impressive EBITDA margin profile of about 30% on the revenue base of approximately \$57 million, deriving almost 95% of the business from U.S. and European region. Furthermore, it is a dividend -paying company, almost debt -free company and generating business ROCE of 60%.

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This partnership enables the following for us: entry into rapidly growing sector of industry automation and control systems, access to global markets like U.S. and Europe, expansion of Unitronics products in the Indian market, leveraging backward integration of printed circuit board assemblies and bare PCB boards and leveraging the purchasing power of the group. The total consideration converted into Indian rupee is expected to be around INR403 crores for approximately 40.24% controlling stake. We plan to close the transaction in the next 60 to 75 days.

To sum up, both the companies operate in fast -growing niches of industrial electronics applications, complementing with the strategy of strengthening the industrial portfolio and have rich margin profile, which will enhance the divisional profitability and returns. And these partnerships will augment the domestic manufacturing in the country aligned with Atmanirbhar Bharat vision. Both these add -ons balances volume and value play in our Electronics division. The Electronics division which began by addressing the shift from fixed speed to inverter air conditioners in 2018 and is now evolving into a full stack EMS company. It features printed circuit board assemblies vertical serving diverse customer segments and a bare printed circuit board vertical offering a range of products, including HDI , Flex PCBs and substrates. Furthermore, the division has expanded its capabilities to include complete box -build products into multibillion -dollar power electronics, energy market and automation market for industrial applications. With all the

add -ups, we intend to take Electronics division to \$1 billion by next 3 years with target EBITDA of 11.5% to 12% range.

Coming to Railway division. This division delivered a strong performance due to offtake in the metro projects. The division recorded revenue of INR123 crores, registering strong growth of 29% and operating EBITDA of INR22 crores, reflecting growth of 8%. On the expansion front, the construction is progressing well for Sidwal's greenfield facility for HVAC, pantry, doors and gangways and expected to commence operations by quarter 4 of financial year '26.

With regards to Yujin Machinery joint venture, new facility for pantographs, driving gear couplers and brakes is to begin product trials by September of '25. Our data center products developed by this division have also started gaining traction.

Special cooling products for missile launchers and other defense applications are also gaining traction and are expected to contribute meaningfully in the coming years. Backed by the strong order book and product portfolio expansion, we remain optimistic of doubling the division's revenue over next 2 financial years.

Now let me hand over to Sudhir Goyal, our CFO, for financial highlights. Thank you.

Sudhir Goyal: Hello, everyone. Good morning. I'm pleased to report a strong performance for quarter 1 financial year '26. Let me first take you through the quarterly consolidated financial highlights.

The consolidated revenue for quarter 1 '26 grew by 44% year -on-year to INR3,449 crores

compared to INR2,401 crores in the same quarter last year and operating EBITDA increased to
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INR263 crores for the quarter compared to INR200 crores in quarter 1 financial year '25, reflecting a significant growth of 31% year -on-year. Please note, operating EBITDA is before impact of ESOP expenses and other non -operating income and expenses. We recorded PAT of INR106 crores, reflecting a growth of 42% year -on-year.

Now let me take you through the divisional performance overview. Firstly, revenue and operating EBITDA details of the divisional performance are not comparable with published segmental results .

The Consumer Durable division reported revenue of INR2,560 crores in quarter 1 financial year '26 compared to INR1,918 crores, reflecting a growth of 33% year -on-year despite the challenging season for RAC industry.

Strong performance was achieved on the back of a strong product portfolio, including RAC and CAC and continued traction in component vertical. Operating EBITDA for the quarter increased by 28% year -on-year and stood at INR192 crores compared to INR150 crores in quarter 1 financial year '25.

Coming to the Electronic s division performance. The revenue for the quarter increased to INR766 crores compared to INR388 crores in the same quarter last year, reflecting a robust growth of 97% year -on-year. Operating EBITDA for the quarter increased by 62% year -on-year and stood at INR49 crores compared to INR30 crores in quarter 1 financial year '25. If we look at the performance of Ascent, it recorded a revenue of INR100 crores in quarter 1 '26, highlighting a growth of 37% against quarter 1 financial year '25.

Moving to Railway Systems and Defense divisional performance. The revenue for the quarter increased to INR123 crores compared to INR95 crores in quarter 1 financial year '25, reflecting a growth of 29% year -on-year and the resulting operating EBITDA of INR22 crores, translating into a growth of 8% year -on-year. The business delivered strong performance, particularly in metro projects . With a robust order book and an expanding product portfolio, we remain confident in doubling the division's revenue over the next 2 financial years.

In summary, with all the key divisional performance strongly, consumer durable delivering robust growth driven by deepening customer engagement and traccio

n in new categories,

electronic s continuing its strong growth in trajectory and the Railway Subsystem and Defense division portfolio expansion, the company is well positioned for a strong growth phase. This growth momentum, coupled with strategic actions like bare PCB expansion and inorg anic growth is expected to drive significant growth and lead to a structural improvement in our margin profile over the coming years.

Thank you. And now I request operator to please open the floor for the Q&A.

Moderator: The first question is from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: Congratulations on a good set of numbers. Sir, first question on your opening remarks, you mentioned that you're looking at Electronics business touching \$1 billion revenue in the next 3

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to 4 years. So just wanted to understand how much of it will be driven by acquisitions? How much by the bare PCB and PCBAs? And broadly, just want some color on how are you thinking about the individual scalability of these various components of the Electronics segment? That's my first question.

Jasbir Singh: Dhruv, thanks for the compliment. On Electronics division, see, it's a very big TAM today. If I tell you about the manufacturing footprint TAM of room air conditioning industry, that is about \$5 billion today as a current year, right?

But when we talk about PCB TAM, which is about \$4 billion, PCBA is about \$12 billion to \$15 billion today under the \$135 billion of electronics getting consumed in the country. Then we have added UPS inverter and battery storage space, which is another TAM of \$4.75 billion. And plus, we have added VFD drives and HMIs and PLCs, which is about \$6.5 billion TAM.

So we've jumped into ocean on the addressable market side for the products which we are offering now in the electronics space. PCBA, PCB, the industrial parts of HMI and PLCs and drives and the UPS and battery energy storage. It's about \$22 billion to \$25 billion TAM. So I think looking into that whole number of today, going to next 3 to 4 years, this will be almost double.

So out of that \$1 billion achieving I think it's very much visible, the kind of customer profile which we have built. On a \$1 billion kind of a thing, we should be about INR2,200 crores or INR2,500 crores in the PCB front by that time and largely driven by PCB applications and the

industrial portfolio, which is HMI, PLCs and inverters plus the other one should be contributing around INR1,300 crores to INR1,400 crores by that time.

Dhruv Jain: Okay. And sir, my second question is on the consumer durables vertical. So we have seen that Amber has significantly outperformed the industry in this quarter. And while you maintain that 10% to 12% outperformance for the full year, some -- I mean, some brands are talking about inventory buildup in the channel at this point of time. So do you see that your business in the durables segment sort of slows down in the second and third quarter given the fact that there is still some inventory in the system?

Jasbir Singh: Dhruv, on the inventory numbers, generally, the inventories are 1.4 million to 1.5 million. That's the standard inventories which the industry carries on. But now the numbers which we have is about 2.5 million to 3 million. I mean different research reports are stating different numbers, but that is the inventory. So it's almost double the inventory what is normally kept by the brands because of the bad season or things.

So what we are saying is that whatever the industry will be, normally, quarter 2 and quarter 3 are anyway the lean season for this industry. That's a historic trend in this -- quarter 1 and quarter 4 are the large quarters, which contributes about 65% of the revenue. I think depending on how the offtake will be in the festivities and in the quarter 3, that will define where the industry is going

to head towards.

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And whatever the industry will head, if it is flattish, we expect that we should be about 15% growth level. If it is negative, we will outnumber that number. And if it is positive by 10%, we should be there because nobody can predict where the quarter 4 and how good or bad the season will be.

But what I would like to tell all of you is that in last 25 years of my experience, we have seen 7 bad seasons plus 2 COVID seasons, which were impacted in the March of 2020 and March of 2021. So we have witnessed the disruption because of bad season plus COVID, 9 years, 9 seasons out of 25. 25 years back, the industry was 0.5 million mark. Today, industry is 15 million mark. So despite of this, I would only request all of you not to see the room air conditioner stocks from a quarterly number. You will end up buying at a wrong quarter and selling at a wrong quarter. It is to be seen from a long-term perspective.

One bad season is not an impediment for the longer-term outlook of this sector. We are very bullish. We are very optimistic. I believe personally and my team also believes. And if you map the number of current households, the division of HNIs, middle class, lower middle class and BPL families, this complete curve is shifting in the next 5 years in the households.

You can map the number. The number of 15 million should be about 35 million by 2030. So that talks about 2.5x kind of a thing for -- of course, there will be 1 or 2 bad seasons during the time. But on the longer outlook, we are very optimistic.

Dhruv Jain: If I may, can I squeeze in one small thing?

Moderator: Sorry to interrupt, sir. We request you to return to the question queue for follow-up questions as there are several participants waiting in for their turn. The next question is from the line of Praveen Sahay from Prabhudas Lilladher Capital.

Praveen Sahay: Many congratulations on a good set of numbers. Sir, first question related to the consumer durable. And in the consumer durable, you had also an indication of a commercial AC. There is a good expansion. So is it possible to quantify like any indication how much of the contribution that has reached to? Second question is, sir, related to the acquisition of Power-One. If you can give INR250-odd crores of revenue bifurcation in terms of the product mix, where it's largely coming from?

Jasbir Singh: So on the commercial AC front, we don't want to give a number because it keeps on changing, but it's growing pretty well. It has grown more than 40% for us because we've added product line. Now we can cater entire range from 3 tonnes to 17.5 tonnes, both in ductable and the packaged parts. Plus we also added cassette air conditioners and tower air conditioners, which are add-on, and we are now launching 2 more products by quarter 4. So -- but it is growing pretty well. I think that's given us a good growth story for -- good add-on what we've done in the sector. On the Power-One front, on the Power-One, your second question, basically, we will not be able to give the whole bifurcation of this. What we have the number is that they are targeting INR325 crores. Last year, it was INR245 crores. So it's going on a good growth. Looking into the solar
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installations and the requirement for battery energy storage space, I think this company has a very big potential of growing almost more than 40% for next 3, 4 years.

Praveen Sahay: Largely in the solar segment only, whether it's solar inverter or EV charger kind of...

Moderator: Sorry to interrupt, sir. We request that you return to the question queue for follow-up as there are several participants waiting for their turn. Our next question is from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Yes. Just quickly, first

ly, on the EMS industry. So obviously, the long-term growth trigger is there, and we remain bullish on that. But sir, for this year, FY '26, what kind of growth you are seeing? Should we continue with the quarter 1 run rate or you are seeing any ramp-up in the coming quarters for the Electronics division?

Jasbir Singh: Well, see, in the Electronics division, largely right now, if you see the split, we are about 60%, 58% to 60% is still the consumer durable. And in consumer durable, the quarter 2 and quarter 3 are generally the lean seasons. So I don't think that we will be able to maintain this run rate of 100% growth for quarter 2.

But on the overall year basis, yes, we are heading towards a very, very good growth because the automotive segment has started kicking in. Telecom has gained traction. Wearable has gained traction. The smart meters is up and running. We believe that by year end, by year-end, we should be bringing the banking of consumer durable to as low as 45% and in the next 3 years to as low as 25%, while growing the other segments.

Vipraw Srivastava: Got it, sir. Sir, second question quickly on the financials. So in the segmental breakup, the other unallocable expenditure has gone up. Reason for that? And secondly, why is the tax rate so high?

Sudhir Goyal: Other unallocable expenses has gone high?

Vipraw Srivastava: Decline, sir, sorry, my bad.

Sudhir Goyal: Okay. So I think we'll talk on this separately. I need to check on this.

Vipraw Srivastava: And sir, why is the tax rate so high 30%?

Sudhir Goyal: So since we have some MAT credit available with us, so in the main entity, we are still using the old regime of the taxation, which is 35%. And plus we are getting some additional benefit on the additional depreciation. So we are largely calculating our taxes based on the actual net cash outflow in taxes. So we will shift to the new regime once all that benefit has gone away.

Moderator: The next question is from the line of Sonali from Jefferies.

Sonali: A big congratulations to the team for such a stellar set of results. Sir, my first question is regarding the 2 applications that you have filed under ECMS, one worth about INR10 billion, one worth about INR32 billion via JV.

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Could you please help us understand the capex requirements for this over the period of next 5 to 6 years? And also how much of that do you expect to be subsidized from both the central and the state government? So in and I want to understand what's our capex outlook for FY '26, '27?

Jasbir Singh: Thank you, Sonali. Basically, on the 2 applications, first one is Ascent Circuits, we filed INR990 crores to be spent over a period of scheme, out of which the first phase we've already announced last year, INR650 crores, which is getting implemented and executed this year at new facility in Hosur. Second is -- the remaining portion of that, we will be investing after 3 years.

Second application we have filed is the joint venture with the Korea Circuits, which is INR3,200 crores. In that, the first phase will be INR1,200 crores in the very first year, which will be -- we expect that the scheme, the announcements of -- the approval from the applications filed will be done by maximum October or November by government and then 15 more months for start of production.

So the real, I think, output -- tangible output from this new JV will start coming in maybe quarter 4 of FY '27. And this is the first phase is INR1,200 crores. Then after 2 years, another INR1,200 crores. And then last year, which is about fifth year, will be another remaining portion.

Now coming to the incentive scheme. In HDI, 48% will be given back by the Ministry of Electronics and IT. And we have negotiated 42% of the incentives by the state governments, which is to be reimbursed over a period of the scheme.

So nutshell, but

here is a catch here. The MeitY scheme is only applicable on the plant and machinery. The state government schemes are available only on building, plant and machinery. So on a net basis, if you will see, we will be able to get back almost about 70% of the net invested capital. But this is not a pari passu scheme. First, we will have to arrange funds and organize and implement, execute and then apply for this.

Out of 48% from MeitY, 25% is the capital subsidy, which will be given after the start of commercial production. And remaining 23% is to be spread like it's a hybrid of top line incentive and employee-linked incentive. It's a hybrid of TLI and ELI, which will be given in a span of 6 years. And so are the cases with the state governments. Their incentive also starts from third year and spreading into next 5 years. So that's how we will get about 70% back.

Sonali: Sir, that's very clear. Sir, so is it fair to understand that per annum over at least the next 2 years, our capex in our consolidated balance sheet could be about INR5 billion to INR7 billion per annum and not more than that?

Jasbir Singh: If you see on the net capex side, I think it will be a little more because INR650 crores is being spent this year in Ascent, then we are putting up INR150 crores out of the INR350 crores announced in the Railway division. And then there is a further expansion of the Sri City plant in this. And then Korean JV -- Korea Circuit s JV, we'll be buying the land piece in this financial year. So this all capex will come here. And the remaining portion of the Korea Circuit JV will come to next year.

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Sonali: Understood. Got it. And just one last question. What is the reason for the decline in the margins in railways because last year's base was low, which is why we are checking.

Jasbir Singh: So this is basically because of the product mix because metro, we have sold more in metro little -- we have a little less margins in the metro. In railway, we have a little more. But nothing changes on the outlook of Sidwal for the financial year. You have seen these margins getting dipped because of commodity issues and because of the product mix. And even our bus air conditioning division is a little bit at a less margin, but whereas our defense is at a high margin. So generally, in quarter 4, defense, our AMC business and our railway business is more. And that's what brings the whole margin of Railway division back to 20% plus range.

Moderator: The next question is from the line of Nirranish Jain from BNP Paribas.

Nirranish Jain: Congratulations again. Sir, my first question is on the double -digit margin guidance for the Electronics division by next year. So is it fair to understand that this would primarily come from the uptick in the Ascent's new facility and the consolidation of the 2 acquired entities for whose benefit we might start seeing from third quarter this year itself?

And also wanted to check on the Power -One margin guidance. So till FY '24 on the reported financials, the margins used to be in the range of 7% to 8%. So what is leading to the 17% to 18% guidance on the Power -One Micro Systems?

Jasbir Singh: On the Electronics margin guidance, you see, I'll just take you all through the journey of electronics, which is very important for all of you to understand when we acquired IL JIN, this was a INR300 crore s company manufacturing printed circuit board assemblies for LG and IFB with 2.8% EBITDA. So this was what we started and inherited. For first 3 years, we were very focused in air conditioners and refrigerators and washing machine space.

By 2021, the company grew to INR500 crores and the margins went to 4%. We were struggling to see that why we have not been able to cross 8%, 9% of the range. And then we realized that we need to balance the volume and the value play. So the large part of the pr

inted circuit board

assembl y, if you want to be in the highest range of the margins, you need to be in the defense and aerospace. Now that is a high entry barrier business, very sticky business. Net working capital days are a little stretched in that business, but margin profile is very good.

Second comes the industrials which is again in the range of 15% to 20%. Now industrial itself is a very big ocean. You can divide it into the power electronics part like Power -One products, starting from UPS, battery energy storage space, you can divide it into HMI, PLCs, automation - related products. Even the smart meters comes into that. Even railway signaling also comes under industrial. So these are large portions, which are in the range of 15% to 20%. Again, high entry barriers, sticky businesses, little net working capital stretched, but good decent ROC Es. Third comes is the medical sector, which is again 12% to 14% range. Then comes the automobile sector. Automobile can be further divided into 4 categories: EV, non -EV, 2 -wheeler, 4 -wheeler. With 2 -wheeler non -EV, which is like a high -volume business, it's a bout 7%. But if you can go

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for 4 -wheeler EV, you can make about 8%, 9%. Then comes the telecom, then comes hearable wearable and lowest is the consumer durable and appliances.

So when we realized this that we are not doing anything wrong, if we continue to be in consumer durable, our margins will be in the range of 4%, 4.5% range. But we have to balance the volume and value play. That's where the strategy of bringing new applications started. 2022 , we added hearable wearable. '23, we added automobile. '24, we added smart meters and defense. And now we have added this industrial applications by inorganic growth.

So we are taking gradual steps, careful steps, building portfolio very cautiously. And then we backward integrated it into PCB to give more solutions and increasing our TAM while being focused in the electronic space, which is into PCB sector, which is a business of 15% to 20% range, depending on what kind of P CB you deliver. So this is our journey, and that's why we are

confident that we will be able to deliver you double -digit number by next year. And on the Power -One margins, I think, Sudhir, I'll ask Sudhir to answer that.

Sudhir Goyal: Yes. So on the Power -One, if you see their declared results of financial year '24, they used to give their sales revenue, including the GST. And GST gets adjusted in the notes to the accounts. So if you eliminate that, then it is around 9% to 10% plus there is some more salary they used to take, which is not maintainable after this transaction. So they normally draw the larger salary during the -- before the transaction. So that will become a maintainable salary, and that will bring the EBITDA level to around 17% to 18%.

Nirransh Jain: Sure, sir. And sir, lastly, on the funding plans. So out of INR4,200 crores capex plus another INR700 crores, INR800 crores outlay for the acquisitions. So how are we looking at the current funding plans, especially for the time gap before we start receiving the subsidies?

Jasbir Singh: Well, you must have seen that we filed an enabling resolution for the AGM for INR2,500 crores of QIP. And our AGM is on 11th of August, and we believe that after the clearance, that is one portion -- one direction we can take.

Second direction is a lot of private equity funds who are chasing to invest in the electronic division. And that could be the second portion to begin with. So we will see we'll take a right step at the right time, and we'll keep you updated as any event happens.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: I wanted to get a sense how is your RAC component mix right now?

Jasbir Singh: It keeps on varying RAC components and the finished goods

because we don't define the demand

side from the customers. We give solutions to whatever is demanded to us. Sometimes, it is 60:40, sometimes it is reverse, 40 :60. So very difficult to predict and even give the number.

Keshav Lahoti: Understood. Got it. And sir, last question on the Unitronics. What sort of growth you are looking for next 2 to 3 years?

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Jasbir Singh: Well, whenever we've acquired the companies in last 7 acquisitions, which we have done, our trend is that for first 6 quarters, which is about 18 months, we generally get into the company, we integrate our systems, our cultures, we understand the company and the possibilities and then drive the growth from there onwards.

So I believe currently, situation in Israel, they have just moved out of the war. There are still tariff issues happening. So I believe it will be going muted this year while maintaining their EBITDA margins -- and but yes, the very big TAM, they don't have presence in India. We've already hired a very dedicated team for bringing those products in India. India itself has a \$6.5 billion total addressable market for the products of Unitronics.

And secondly is the backward integration in the printed circuit board assembly and PCB. These 2 things we will start early, but larger tangible output of the growth, you will see after about 6 quarters.

Keshav Lahoti: Understood. Got it. Just a follow -up on this, but the Power -One is a different case. That way will continue to grow by whatever upwards of 40% from acquisition only, what I understand.

Jasbir Singh: Yes. Power -One is a growing company. They have all the required eligible criteria for participating in the government tenders. Their customer profile is very niche like Power Grid Corporation of India, BEML, BHEL, NTPCL, all of them and the large solar installations. So I believe that they will continue to grow in about 40% range.

Moderator: Our next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Congratulations for fabulous growth. Sir, just on the margin part for the consumer durables, if you could give us some sense; for the quarter, we have seen a substantial revenue growth, but actually a margin contraction. So if you could explain for the first quarter and also give us some sense about the direction just the way you kind of highlighted for electronics business?

Jasbir Singh: On consumer durable margins, see, we have a profile of business starting from 6% EBITDA to about 9% because some of the components are higher range. The assembly part is at a little lower range, but on the mid -level. And then we have also non -room air conditioner components, which are at 10% EBITDA also. So that's the range. But it's very difficult to predict the mix of the components and the finished goods.

And within the finished goods, there is a big range starting from 1 tonne to 1.5 and 2 tonne plus all the star rating . So I think very, very difficult for us to give any number here. But yes, we should be in the range of 7% to 8% range in the consumer durable side of the business.

But on the electronics, we have already explained why we feel that we should be hitting 10% plus range next year. And our railway segment is already at about 20%, which we will continue to maintain. So overall basis, we are very confident that the consolidated balance sheet will move towards about 8.5 to 9% range.

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Achal Lohade: Got it. And just one more question, if I may, with respect to the accounting part of this for these new ventures. Will this -- the depreciation will be on the gross spend or will be only on the net spend, if you could give us some sense?

Sudhir Goyal: So depreciation will be on the fair valuation of all the assets. So there will be a PPA, which will be done

for both the acquisitions as per the Ind AS. And whatever is the fair value comes based on that depreciation will be charged at the consol level. At the stand-alone level, the same depreciation will continue.

Achal Lohade: Understood. And just on this HDI and PCB, where the subsidies are available, the depreciation will be on the gross value or the net of subsidies?

Sudhir Goyal: So it will be first on the gross value and as and when we are getting -- so there are 2 type of subsidies. One is capex subsidy, one is opex subsidy. So capex subsidy will be reduced from the gross block and then the definitely charge on the -- after the adjustment of the subsidy. And on the opex, opex will be routed through the P&L account.

Moderator: Our next question is from the line of Vishal from Trinetra Asset Managers .

Vishal: Congratulation on a good set of numbers. So I have just one macro question. Like Amber today supplies 20% of India's RAC inverter. With India's EMS industry growing at a good pace, what local BOM share are you getting for an inverter AC assembly by upcoming years?

Jasbir Singh: If you're asking only about the inverter air conditioners, PCB applications, we are serving to many customers in inverter PCB applications. And on the industry side, if I see, I think we are controlling about 18% to 20% of India's inverter PCB board requirement.

Vishal: No, I was asking like your bill of material you will source in a local way, like as PLI scheme is promoting it?

Jasbir Singh: Yes. So on the -- right now, there's applications going on. Factories are yet to be established. Once the component ecosystem starts getting available from here, we will be more than happy to source it locally. Like in air conditioners case, because of PLI, cross flow fans, inverter PCB boards, motors, valves, copper tubes, they have started -- even compressors, they have started getting available from India, and we have started sourcing from India. And I believe that is one of the most successful PLIs of the government because the main objective was to increase the value addition.

Currently, in 2020, it used to be 25% and now it has touched to almost about 68% local value addition in the air conditioner space, and we are buying locally. So similarly, as the PLI scheme has been announced for the component in the electronics space, the moment factories are up and running, we'll definitely assess them.

Moderator: The next question is from the line of Arafat Saiyed from Reliance Nippon Life.

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Arafat Saiyed: Yes. Sir, if you look at, let's say, now we are serving almost 70% of BOM for room AC, the only thing missing was compressor. But now with the GMCC coming in also, as you said in the opening remarks, so what kind of arrangement we have with the GMCC and how you see, let's say, can we supply overall compressor in the next couple of quarters? Or how that would be?

Jasbir Singh: So our relation with the GMCC was very old relations, but when we saw some of the noise on the shortage coming, though, we were not convinced with the market's noise. But still, we thought that it is better to stitch the deal. So we signed a cooperation agreement with GMCC, giving them our core plan of compressor requirement for next 3 years.

And they've agreed to expand their capacities in India. The expansion is going on right now.

And I think that new lines, which they are putting up, it is not exclusive to us. They will be serving other customers also. But they are putting this expansion based on these strategic cooperation agreements. That will be up and running by November. So till 3 years, we don't anticipate any shortages now.

Overall, from 70% BOM, yes, we don't have compressor with us. We don't have refrigerant. We don't have copper tubes and aluminum and wiring harness. These are the new categories which we don't have right now

now, which contributes another 30% of it. As we move ahead and as the markets are moving ahead, we are currently doing some feasibility of increasing our bill of material. And as soon as the decision is arrived and the feasibility report is positive, we will definitely let all of you know.

Arafat Saiyed: Sir and my second question is on, again, let's say, outsourcing versus in-sourcing. So in the last couple of quarters, many brands now focusing on in-sourcing. But now to some extent, I think that is now back seated. So how do you think that in sourcing and outsourcing play for the next couple of quarters?

Jasbir Singh: I have seen this strategy being shifted by customers 3 times in last 20 years. And though market saw it for the first time. So we were not -- our business model is that we have mitigated 2 broad risks in our -- as a B2B company. One is brands changing their strategies of in-sourcing and outsourcing. And second is brands exchanging market shares between them. We have seen earlier Korean companies were the leader, then one Indian brand became the leader. And if in future, we don't know how that will pan up. But we are suppliers to everybody in the market. We are the integrated solution providers. Whenever the in-sourcing or outsourcing shift happens, we shift our strategy by supplying components to them. So that's our mitigation strategy.

And we have 24 plants in India supplying components and finished goods, out of which 4 are finished goods and remaining 20 are component plants, which are located in vicinity to all the customer clusters. So that's what Amber has developed in the last 15 years, and that's what is paying dividend to us today.

Moderator: The next question is from the line of Madhav from Fidelity.

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Madhav: Just wanted to understand the unit economics for the 2 capex, especially the Korea Circuit, we're investing INR3,200 crores. Could you give some sense in terms of the revenue potential and the margin profile and also the working capital required for the project? And by when do you think we can ramp up this fully? I know it's coming up in phases. So maybe for Phase 1, if you could give us some color, that itself would be great.

Jasbir Singh: So Madhav, on the Ascent Circuit in the Hosur, INR650 crores is getting invested this year. I believe by quarter 4 or maximum by quarter 1 of next financial year, the plant will be up and running. That is for multilayer PCBs. For HDI, which is going to be put up in UP, that is -- we are waiting for -- we have applied to MeitY.

I think they will take another 60 to 90 days' time to assess the applications and then approve the applications. After that, we have 15 months for our implementation and execution of the plant.

So FY '28, first quarter is when we expect these plants to be up and running.

And the asset turns in this business is about -- close to about 0.75 x to 1x different ranges. But we have an offtake arrangement with our -- with Korea Circuits already signed up. The moment we sign, we expect that very first year, we should be able to reach to at least 0.75x of the asset.

So in the first phase, we are going to implement INR1,200 crores investment. So you can say that in the very first year, we should be getting a top line of almost about INR750 crores to INR800 crores from the time it begins the production.

Madhav: And sir, what about the margin profile and the working capital cycle for this kind of business?

Jasbir Singh: Margins normally in the multilevel PCB board is somewhere about 15% to 20% range. And on the HDI side, depending on applications which you serve, it ranges from 15% to 30% also. If you are catering to defense application, aerospace application, you can go to 25% plus. But if you are serving to the IT laptops or telecom products, it is in the range of about 15% to 20%. And the

working capital cycle is almost about 60 to 70 days in this case.

Madhav: Okay. And so basically of the INR1,200 crores, just to be...

Moderator: Sorry to interrupt. Request Madhav sir to rejoin the question queue for the follow-up question.

The next question is from the line of Samyak Jain from Marcellus.

Samyak Jain: Sir, my question is on the 2 acquisitions that we have made. So on the face of it, it appears that it's a product company, whereas in our electronics, we are mostly contract manufacturing or supply components in our electronics division. So do you see any gaps in the capabilities that we currently have to grow the business for both the businesses that we have recently acquired?

Jasbir Singh: I'll give you a little brief of Amber's history. We started as a component manufacturer of air conditioners. The first component we produced for air conditioner was the outside sheet metal box for window air conditioner. That's where our journey began.

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And then that's when we started assembling the boxes, full air conditioners, then gradually, we backward integrated to create moats in the industry. And plus, we coupled up from 2012 onwards, the R&D capabilities also. So while you see the whole ocean of electronics getting consumed, it doesn't [inaudible 0:52:41] or it is semi knockdown or just the assemblies part of it.

Yes, you're right. We started our journey from printed circuit board assembly. First, we grew different applications in that assembly business. And then we backward integrated into PCB. And now we have started coming into fully box-built capabilities also. But within the PCB, I would like to highlight that we are already doing box built for telecom.

We are doing 4G and 5G equipment. We are doing box build for smart meters, and we are doing full box build for Bluetooth speakers and smart watches. So this is already in line. So nothing new. It is just the addition and the type of business which we have added.

Samyak Jain: So what I meant -- got it, sir. So what I meant was currently, it's more of a contract manufacturing that we are doing, whereas in the businesses, it would be a customer -facing B2B kind of wherein we would be directly dealing with all the customers who are consuming these products. So is there any difference or any understanding gap in my understanding?

Jasbir Singh: No, you see, like in railways, it is a business -- B2G business we have. And then we have a business with OEMs such as Alstom, Bombardier, Siemens, GE, Titagarh, B EML and all. In air conditioners, we have business with OEMs such as Daikin, Panasonic and all. Here, the Unitronics products, they are largely -- have a business relation with companies like Ingersoll Rand, who are manufacturing compressors, companies who are manufacturing machines, they are their users. So it's not a consumer -facing box -built businesses.

Similarly, when you come to Power -One Electronics, there, it's a B2G combination of B2G business plus projects business. On B2G business, they apply for the tenders. They give solutions for airports, they give solutions for Power Grid Corporation for BEML, for BHEL. And on the other side, on the solar panel installation, they take tenders for that. So it's a B2G and B2B businesses, not directly B2C. So there is no business which we've added is directly consumer -facing.

Samyak Jain: Got it, sir. And my second question is on the consumer durables. So while there is slowdown in the AC business, a lot of OEMs as well as your peers have reported poor set of numbers, while we have grown at a healthy pace.

Moderator: Sorry to interrupt. Request you to rejoin the queue for the follow -up questions. The next question is from the line of Deepak from Sundaram Mutual Funds.

Deepak : Jasbir ji, could you please highlight what was our Y -o-Y growth rate in RAC and RAC compone

nt and non -RAC component within the consumer durable segment for Q1?

Jasbir Singh: So it's about 30 -- sorry, it's about.

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Sudhir Goyal: So RAC has grown by 40% ; RAC and RAC components both put together has grown by 40%. And non -RAC component within Amber has grown by around 10% and balance is the like motors and the injection molding for the various other applications , that has also grown by like 10% to 15%.

Deepak : Okay. So RAC and component is 40% and the remaining non -RAC component is around 10% to 15%. Is that understanding correct?

Sudhir Goyal: Yes, yes.

Deepak : Okay. And sir, second question is on capex . I just want to double -click on that because earlier, I thought we were spending around INR350 crores on Hosur project in FY '26 and then again, half of it in FY '27. But now you're talking about spending INR650 crores of Hosur project in FY '26 itself, right? And then subsequently around INR1,200 crores in Phase 1 for that Korean Circuit JV in FY '27. So I just want to double check, what is our consolidated capex plan for FY '26 and '27? Could you please break i t down by segment within consumer durable, EMS and railway?

Jasbir Singh: No. So let me give you a clear picture on Hosur project. Out of INR650 crores, the land parcel was acquired last year. The remaining portion is getting spread into financial year s. The large part of the building and some part of the machinery will come this year, which will be around INR350 crores or maximum INR400 crores.

The remaining portion of the capex , which will be the last payments of the machines when the machines arrive will be in quarter 1 of the next year. So technically, it got spread in 3 financial years. The land came last year, building and some part of machinery this year and the remaining part of the machinery next year.

Deepak : Okay. So INR350 crores to INR400 crores this year and the balance would be in next year, correct?

Jasbir Singh: That's right. That's right. Yes.

Deepak : Okay. And sir, on this Korean Circuit, how would that be?

Moderator: Sorry to interrupt, sir. Request you to rejoin the queue for the follow -up question. The next question is from the line of Rahul Agarwal from Ikigai Assets.

Rahul Agarwal: Congratulations for a good set in a weak environment. Sir, 2 questions. One is, it looks like very hyper growth for Amber in Electronics and railways ahead. My sense was you're also getting into larger merger and acquisitions now. The challenge essentially going forward could be managing people, having heads of department and then integrating all of this into the Amber's culture.

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As of now, I just wanted to understand what are the gaps you have filled to handle such a large revenue. The P&Ls are going to be very big going forward. And what are the gaps which are still left to be addressed? So that's the first question.

And secondly, on cash flow, I think there are a lot of questions revolving around how much is going to be the capex purely because there are going to be timing mismatches. Once you raise the funds, whenever in case the Board approves that, just wanted to be double sure that what is the peak debt Amber plans over the next, let's say, just by March '26, how does the balance sheet shape up for Amber consol?

If Sudhirji can help us on understanding the overall cash outflow for the business over the next 9 months? And what could be the peak debt that will actually calm down the nerves a bit purely because till then we'll have full clarity on what is the equity funding plan and then we can work around the further numbers. So those are my 2 questions, sir.

Jasbir Singh: So on the first question regarding the management bandwidth, what we do at Amber is the moment we start the due diligence process of any company -

prospective company to be

acquired, or to be partnered with, we, first of all, onboard who's going to lead that portion and who's going to integrate those companies after we acquire. So that is a proactive approach which we take.

Just to give an example, when Ascent Circuits was acquired, parallelly Santosh was onboarded, who was MD and CEO of the company, large company catering in India, multinational company. And then parallelly, Mr. Agarwal joined us, who is taking care of the Electronics division with Sanjay Arora.

And now since Power -One and Unitronics have been onboarded, already the team leaders who will be heading this have been onboarded from large multinational companies. They have already joined. In fact, most of the vetting of the products and also the technical due diligence has been done by our own team now. So this is a proactive approach which we take.

And good part of these , both 2 acquisitions is that both the promoters are -- they are traveling our journey further with us. So they will be with us for the next 5 years. And we don't think any big change coming in. And the large part of the CEOs of the company, they have agreed to continue with us. So we don't see any big change and challenge on the management bandwidth.

As far as the Korea Circuit JV's capex is concerned and the numbers on the debt levels, what you were asking, I would like to tell all of you that at Amber, I would, in fact, like to guide this to all of you that at Amber, we have taken a very strategic decision that we should be net debt - free company by next financial year end. So that is our plan.

In case though we have a policy and principle approved at the Board level that we will never ever cross 2x of debt EBITDA. But looking into the current situation and the capex plans, we will be raising some funds, and we'll keep you all posted. I think we are aiming to be a net debt - free company by next financial year.

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Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand the conference over to management for closing comments.

Jasbir Singh: Thank you, everyone, for joining on the call. For any further information, kindly get in touch with our Head of IR, Mr. Ravi Kharbanda or Rohit Singh from our IR team , or Strategic Growth Advisors, our Investor Relations Advisors. Thank you very much. Have a good day ahead.

Moderator: On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

Date: 13 November 2025

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers Dalal Street, Mumbai –
400 001
To
Secretary
Listing Department

National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla
Complex, Bandra (E) Mumbai – 400 051
Scrip Code : 540902
ISIN : INE371P01015 Symbol : AMBER
ISIN : INE371P01015

Dear Sir/Ma'am,

Subject: Transcript of the Earnings Call held on 07 November 2025 for discussing the unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30 September 2025 ('Q2 & H1 FY26')

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith the Transcript of Earnings Call held on Friday, 07 November 2025 at 9:30 A.M. IST with Investor/Analyst (Participants), to discuss the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended 30 September 2025 ('Q2 & H1 FY26').

The same is also being uploaded on the website of the Company and will be accessible at <https://www.ir.ambergrouppindia.com/news-events/investor-events/>.

Kindly take the same into your records and oblige.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konika Yaadav)
Company Secretary and Compliance Officer
Membership No. : A30322

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Q2 & H1 FY '26 Earnings Conference Call "
November 07 , 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th November 2025 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER AND WHOLE -TIME
DIRECTOR
MR. DALJIT SINGH – MANAGING DIRECTOR

MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL OFFICER
MR. SANJAY ARORA – WHOLE -TIME DIRECTOR – ILJIN ELECTRONICS
MR. SACHIN GUPTA – CHIEF EXECUTIVE OFFICER , RAC AND CAC DIVISION AND WHOLE -TIME DIRECTOR
MR. RAVI KHARBANDA – HEAD OF INVESTOR RELATIONS
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS
STRATEGIC GROWTH ADVISORS – INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call of Amber Enterprises India Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the line operator by pressing star, then zero on your touch -tone phone.

I now hand the conference over to Mr. Jasbir Singh, Executive Chairman and CEO and Whole - Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello. Good morning, all. On the call today, I'm joined by Mr. Daljit Singh, our Managing Director; Mr. Sudhir Goyal, Group CFO; Mr. Sachin Gupta, CEO of our RAC and CAC Division and Whole -Time Director; Mr. Sanjay Arora, Whole -Time Director of ILJIN Electronics. We have uploaded quarterly presentation on the exchanges, and I hope everyone had an opportunity to go through the same .

To begin with, we sincerely appreciate the GST reform by Government of India and the reduction of rate from 28% to 18% on RAC. The move will strengthen the industry growth by enhancing affordability, driving deeper penetration and supporting premiumization.

Let me take you through the quarterly performance despite the sharp decline in the room air conditioning industry of 30% to 35% in quarter 2, owing to non -conducive weather and significant deferment of purchase by customers in between the announcement and implementation of GST rate cut , the company delivered almost flat revenue of INR1,647 crores as compared to previous year. This is reflective of resilience in our business strategy and expansion of Electronics and Railway division.

The operating EBITDA for the quarter is INR98 crores, which has declined by 19% and the resultant loss after tax of INR32 crores. The PAT during the period got impacted by the higher financing cost owing to Power -One stake purchase and elevated inventory levels and the share of loss of JVs. The inventory levels are expected to normalize by quarter 4, looking at the current situation of the sales going on .

Further, during the quarter, Amber Enterprises raised equity funds of approximately INR1,000 crores through QIP from marquee investors, and we extend our sincere gratitude to the investors for their confidence and support in Amber's growth journey.

Let me now take you through the divisional performances. Firstly, the Consumer Durable division. It demonstrated resilience during a challenging room AC season. The division's revenue declined by 18% against the sharp decline of 30% to 35% in the RAC industry.

On the industry outlook, we are hopeful of the revival of room air conditioner industry in quarter 4 and expect industry to be flattish for this year. We remain optimistic that this division, Consumer Durable division, should grow in the range of 13% to 15 % for the year, driven by diversified product offering, adding wallet share within existing customers, expanding component businesses and expanding product baskets.

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Commercial AC vertical continued the strong growth momentum during the year. Further strategic cooperation agreement between GMCC is in place, ensuring consistent compressor supplies for the 3 years as per our plans. In essence, subject to weather, we are hopeful for this division to touch more than double -digit growth for the year.

Coming to Electronics division. We secured funding of INR1,750 crores from marquee investors. This will empower us to pursue both organic expansion and strategic inorganic opportunities.

Further, ILJIN completed the previously announced acquisition of majority stake of 60% in Power-One Microsystems to emphasize its prominent place

in rapidly growing battery energy

storage systems, solar inverter space, including on-grid, off-grid and hybrid solar inverters, EV chargers and industrial UPS, catering to customers in large public sector units and large corporates.

Additionally, ILJIN through its subsidiary completed the previously announced purchase of controlling stake of 40.2% in Unitronics in October '25. It's an Israel-based listed company and a prominent player offering comprehensive solutions in industrial automation and control systems such as programmable logical controllers, human machine interface, HMIs, PLCs integrated with HMIs, VFDs and software solutions.

Coming to Bare PCB boards, as informed earlier, we have filed 2 applications under the electronic component manufacturing scheme, one for the multilayer PCBs through Ascent Circuits and second for HDI, High-Density Interface PCBs through Korea Circuits JV.

We are pleased to announce that our application for Ascent multilayer PCB project has been approved under the ECMS scheme with an investment of INR991 crores planned over the scheme tenure. We are thankful to Ministry of Electronics and IT, MeitY and Government of India.

This reaffirms our long-term commitment to strengthening India's self-reliance in electronics manufacturing ecosystem and reinforcing our leadership in PCB and EMS solutions. While we await decision on second application for HDI PCBs through our JV with Korea Circuits, which is also expected to be announced soon.

Moving to performance. The division continued the growth trajectory for H1 FY '26 with revenue of INR1,409 crores, reflecting growth of 60% and operating EBITDA of INR88 crores, increase of 30%, driven by both PCBA and PCB verticals. And on a quarterly basis, the revenue of the division grew by 30% and operating EBITDA by 5%.

In the PCB vertical, the slight movement in margins are due to raw material cost increase of copper clad laminate by 13% and gold price increases. Due to price variation clause with our customers, we are hopeful of revival of the margins in quarter 4. We expect this division margins to be in the range of 8% to 9% by the year-end.

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The Electronics division, which began by addressing the shift from fixed speed AC to inverter ACs in 2018 is now evolving into a full stack EMS company. It features PCB assemblies vertical serving diverse customer segment now and bare PCB vertical extending a range of products, including flex PCBs, HDIs, etc. Furthermore, this division has expanded its capabilities to include complete box build products in power electronics, energy market and automation market for industrial applications.

Turning to third division, Railway Subsystem and Defense. The division delivered a growth in quarter 2, driven by increased offtake in metro projects. The division recorded a revenue of INR132 crores, registering a growth of 7% and operating EBITDA of INR21 crores. On the expansion front, the construction is progressing well for Sidwal's Greenfield facility for Heating Ventilation Air Conditioning, Pantries, Doors and Gangways and is expected to commence trial operations from quarter 3 FY '26 and commercial production from quarter 4 FY '26.

With regards to Yujin Machinery joint venture for Pantograph, Brakes, Driving Gear, Couplers, this facility is now ready. Currently, product development is underway and commercial production is expected to commence from H1 of FY '27. Special cooling products for defense applications are also gaining traction and are expected to contribute meaningfully in coming years. Backed by a strong order book visibility of INR2,600 crores plus and product portfolio expansion, we remain optimistic of doubling the division's revenue over next 2 financial years. Now let me hand over to Sudhir Goyal, our CFO, for financial highlights.

Sudhir Goyal

al: Good morning, everyone. Let me first take you through the consolidated financial highlights. Let me take you through half year results for financial year '26 at consolidated level.

We recorded consolidated revenue of INR5,096 crores, growth of 25% over last year, operating EBITDA of INR361 crores against INR320 crores last year with a growth of 13%. PAT for the H1 financial year '26 is INR74 crores versus INR96 crores last year.

Now moving to quarterly performance. In quarter 2 financial year '26, we clocked consolidated revenue of INR1,647 crores, flattish over the last year same period. We recorded quarterly operating EBITDA of INR98 crores against INR120 crores last year, registering a decline of 19%. For clarification, operating EBITDA is before impact of ESOP expenses and other nonoperating income and expenses. Loss after tax of INR32 crores versus a profit of INR21

crores last year.

Now let me take you through the divisional performance overview. Firstly, the revenue and operating EBITDA details of the divisional performance are not comparable with the published segmental results. Starting with the Consumer Durable division. The Consumer Durable division reported revenue of INR873 crores in quarter 2 financial year '26 compared to INR1,069 crores in quarter 2 financial year '25, reflecting a decline of 18% year-on-year. Owing to challenging season for RAC industry impacted by weather and significant deferment of purchase by customers in between the announcement and implementation of the GST rate cut. Operating EBITDA for the quarter stood at INR37 crores compared to INR62 crores in the quarter 2 '25.

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Coming to the Electronic division performance. The revenue for the quarter increased to INR642 crores in quarter 2 financial year '26 compared to INR492 crores in the same quarter last year, reflecting a robust growth of 30% year-on-year. Operating EBITDA for the quarter increased by 5% year-on-year and stood at INR39 crores compared to INR37 crores in quarter 2 financial year '25.

If you look at the performance of Ascent, it recorded a revenue of INR106 crores in quarter 2 financial year '26, highlighting a growth of 27% and operating EBITDA of INR16 crores.

Moving to Railway Subsystem and Defense divisional performance. The revenue for the quarter increased to INR132 crores compared to INR124 crores in quarter 2 financial year '25, reflecting a growth of 7% year-on-year and the resulting operating EBITDA of INR21 crores, translating into a growth of 2% year-on-year. With a robust order book and an expanding product portfolio, we remain confident in doubling the division's performance over the next 2 financial years.

On the balance sheet front, we did 2 fundraising, one at ILJIN level and another one at Amber Enterprise level. Firstly, ILJIN Electronics secured funds of INR1,750 crores from marquee investors. The fund is predominantly in the form of compulsory convertible preference shares and a small portion of equity. We have already received INR370 crores in September and INR280 crores in October and remaining tranche of ChrysCapital of INR1,100 crores is under CCI approval, which we are expecting within this month, it will be received.

Secondly, Amber Enterprises raised equity fund of INR1,000 crores from marquee investors through QIP. As we embark on a growth phase in our Electronic division, we stand on the strength of a robust balance sheet. The net debt stood at INR1,012 crores against INR780 crores as at March '25.

Thank you. Now I request the operator to please open the floor for the Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ankur from HDFC Life.

Ankur: A couple of questions. One, on the Electronics segment, there seems to have been a slowdown at least relative to the pa

st few quarters in terms of growth at about 30%. So maybe because of the higher base also, but what is driving that? And more importantly, how do you see the full year growth for this segment along with margins?

Jasbir Singh: Ankur, see, electronics, you all know the journey when we started. So this was a small company when we started only giving solutions in largely into the consumer durable space. So organically, it has grown pretty well. We are expecting a good growth. But still, there's a large chunk of business which is coming from consumer durable s segment.

If I look at the PCBA business, which is the volume driver for this division, that is still contributing majority of almost about 85% revenue is coming from PCBAs and the rest is contributing by PCB. And in PCBA, almost 58% to 60% revenue is still consumer durable.

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We are gradually building the businesses vertical by bringing automobile, by bringing energy meters, by bringing defense applications and by building telecom and other product category, which is ramping up gradually.

So because consumer durable quarter has not done good and primarily air conditioners was a big dissuader, where ILJIN is one of the leading players supplying printed circuit board assemblies for all the air conditioning suppliers, majority of them. And that's the reason why you are seeing the dip in the growth. That's the main prime reason.

But otherwise, if you look at the way we are building the stack, organically, we are building a PCBA stack, which is growing pretty well, which when we started, it was INR300 crores. Last year, it was about INR1,800 crores. We are expecting it to be crossing almost touching INR2,450

crores or INR2,500 crores organically.

Then PCB also is growing pretty well, printed circuit boards. You all know the story what we have done in the PCB. And now we have added power electronics, box build products and industry automation products. So these are 3 stacks which we are building. PC BA, diversified product portfolio. PCB in all starting from single layer, multilayer, double layer and getting into HDIs and of course, then future in sub strates as well. And then box build capabilities of power electronics and this. And if you look at the total addressable market of all the 3 basically sectors or verticals within this, it is a total addressable market out of \$130 billion of electronics getting consumed in the country, all the 3 stacks built up is about \$16 billion to \$17 billion of TAM.

And this is what we are doing. We are gradually building up the building blocks, but all the building blocks are ramping up properly. This one quarter -- until unless we will remain more dominant in the consumer durable in PCBA. So this kind of issues will come up. But we are trying to graduate ourselves beyond consumer durable. I believe by next financial year -end, our banking on consumer durabl e in PCBA should reduce to almost about 40% to 45%.

Ankur: Right. But just in terms of a number, in terms of overall sales for the year, where are we -- I mean, you said about INR2,500 crores from ILJIN ; plus Ascent and all the rest. So are we touching that INR3,000 -odd plus crores in top line? Is that the number for the...

Jasbir Singh: We are very hopeful. We are very hopeful that we should be plus INR3,200 crores in this division , Ankur.

Ankur: Okay. And similarly, on the RAC side as well, while I understand overall industry plus the GST impact, weather has not been very supportive. But I think in one of your comments, if I got it right, you said will you still be growing in double digits for '26 for this division? Sorry, if you could just remind us what is the target on growth a nd margins?

Jasbir Singh: Yes. That's why I used the word resilience again and again in my commentary. So we are very hopeful looking into the current order book.

We personally believe that industry should be in the flattish for this year. And we are hopeful to deliver a growth of in Consumer Durable division, particularly I'm talking of, we are -- of (inaudi ble 19:25) 13% to 15% by year -end.

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Ankur: And just the last one on inventory...

Moderator: Sorry to interrupt Ankur . Please rejoin the queue in case of followup question. The next question is from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Just quickly, sir, on the cash flow side, I mean, we have seen a large decrease in payables, which is impacting operational cash flow. Any thoughts on that?

Jasbir Singh: Yes. So as we always maintain that we always have better terms from the customer as well as better terms from the creditors. And in the off -season, we need to pay all our creditors from whom we bought the material in the peak season. So that has made us re duce our creditors payable down.

Vipraw Srivastava: Right, right. Fair enough, fair enough. And sir, quickly on the printed circuit board side, regarding the Ascent capacity expansion, when do you see that contributing to our top line in FY '27, which quarter is H2? Is my understanding correct? Or it's earlier, any thoughts on that?

Jasbir Singh: Yes. So basically, this plant, we've got ECMS clearance. And incidentally, both the things happened at the same time, the ground -breaking of the plant construction start was graced by the Honorable Chief Minister of Tamil Nadu. We expect the plant to be up and running by September of next year and the trials to begin in September and the mass production will start in quarter 3 of FY '27.

Vipraw Srivastava: Right, sir. And sir, last question.

Moderator: Sorry to interrupt, Vipraw. Please rejoin the queue.

Vipraw Srivastava: Okay, sure.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: Yes. Just maybe just a follow -up from the previous question. Essentially, if mass production starts from Q3, and this would be for about INR600 crores out of the INR991 crores, INR650 crores. Is that understanding correct? And we would see half year revenue implying closing to 1.5x asset terms. Is that right?

And essentially on Ascent Circuits also for the Korea Circuits also, if you can sort of classify the time lines by when we would sort of start commercial production, given that approval comes this quarter, should we assume it to be FY '27? Or how should we look at the first phase of INR1,200 crores for Korea Circuits?

Jasbir Singh: So basically, on the Ascent Circuits, first, to answer your question, the asset turns are not 1.5x. These are almost 1 x to 1.10 x, depending on what layer of PCB you want to get into. Single layer, yes, it can be 1.4 x, 1.5x, but we are largely investing in multilayer PCB board in Ascent Circuit s. That's the expansion plan. Y es, it will start in quarter 3.

So you can say that 1 quarter revenue will definitely come from the next plant. As far as Korea Circuit JV is concerned, which is -- we are expecting the cabinet approval by UP government within this month. And the land has been allotted that LOI has been given. Post that, the land will be handed over to us and then the construction process will start.

And parallelly, we are also awaiting the next round of approval cycles, which is still to come from the MeitY. Because MeitY is flooded with applications. So they have cleared only first 4 applications under which we were one of the players who got approval. And we are expecting that both the things from UP government as well as this should be happening by next month or so. And that's when the plant will start construction.

So if everything goes well and planned, we are hopeful that by Jan

uary, we should be starting

the construction of that plant. It will take exactly 1 year for the full plant to be commissioned and then the trials to begin. So you can coordinate accordingly that from FY '27, '28, the revenue should come in the balance sheet.

Deepak Krishnan: Sure. And maybe just on your AC growth that you still expect about 13% to 15% growth in the consumer durables business. Essentially, do you also see any impact of prebuying any that is sort of helping you in any form or do you think this is essentially going to be very Q4 heavy with Q3 still seeing a lot of inventory in the system. So this is really more of a Q4 impact where the growth would sort of come through?

Jasbir Singh: Actually, in Consumer Durable, we not only have room AC, which is there, but we have other components business also, which is growing pretty fine. And that's the reason why we are very confident that we will deliver 13% to 15% growth. And the commercial air conditioner part is also playing a very positive role.

We have now created the whole range of commercial air conditioners till 17.5 tons, including cassettes and tower types, and we are bringing some new models also, which will be launched in November and some models are getting launched in December.

As far as the inventories are concerned, see, inventories are coming down. They were very high when the quarter 1 finished. Now inventories are coming down. I think it will get normalized before the start of quarter 4. All these points which I've spoken, all these factors will make a quarter 4. Normally, for air conditioning industry, quarter 4 and quarter 1 are the strongest quarters. So almost 65% sales come from quarter 1 and quarter 4.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital.

Dhruv Jain: First question is on your electronics margin. So you mentioned in your presentation that you will do double-digit margins in the next year. If you could just spell out the breakup of the PCB margins, the PCB assembly margins and the acquisition margins that you're expecting for the next year?

Jasbir Singh: Well, see, PCBA, I explained you last time also, I'll repeat it now. PCBA division of ours is in the range of 5% to 5.5% range. PCB is in the range of 17% to 19% range. It varies from quarter -

to-quarter, depending on which models we are selling more. And the Unitronics company, which we have added, that is in the range of 25% to 28% EBITDA range. And the Power-One should be in the range of 15% to 18%. So these are the building blocks which we have done. And on a consolidated basis, we think that it can cross double digits by next year.

So we are graduating slowly, gradually from 3% EBITDA in 2018, we have touched almost about 6%, 7% and now hopeful to cross 8% or in the range of 8% to 9% range in this year and then double digit next year.

Dhruv Jain: Fair enough, sir. Sir, in the railways business, you had highlighted that the first half is going to be slightly weaker. But how are you thinking about the second half of the year and for FY '27 in terms of growth, right? So if you could give any numbers that would be great?

Jasbir Singh: Difficult to give numbers. But yes, we are very hopeful now since everything is almost getting into closure mode, the factories are coming to an end where the expansion is happening. And the order book is stronger enough. We have already touched INR2,600 crore s order book. I am expecting another INR400 crores to INR500 crores new orders to come in next quarter and next quarter.

So we will be opening next year with a good order book in hand. I think with this point of view, we should expect Sidwal to deliver a good growth from where it is today. And that's the reason why we are again maintaining our guidance that we are very hopeful that this division will

double its

revenue in next 2 financial years.

Moderator: The next question is from the line of Nirransh Jain from BNP Paribas.

Nirransh Jain: Sir, my first question is again on the Electronics segment margins. So if I look at the core PCB assembly business, like as you said that the margins are generally in the range of 5%, 5.5%. But if I exclude the Ascent Circuit s, our margins have been hovering at around 4%, 4.5% from the last 2, 3 quarters, which ideally should have moved up considering that we are now moving our portfolio more towards th e industrial and automotive, et c.

So what is contributing to this margin weakness, which ideally should have come up with this portfolio skewness? And how should we look at the margins going ahead on this ? Yes, that's my first question?

Jasbir Singh: So anyway, I've answered this question, but I'll repeat it. Largely we got impacted because of the copper clad laminate prices got increased by 13%, which is the basic raw material for PCB. And also the gold price also went up. So that has immediately -- and we are a B2B company.

We have price variation clauses with all the customers.

As you have seen in our other divisions also, we are able to pass on to our customer any price increase or decrease with a quarter lag. So from quarter 4 onwards, we expect the margins to bounce back. And that's the reason on the PCB front.

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On the PCB assembly side, we got impacted because the large part of the assembly is driven through consumer durable segment. And in that, large part is coming from air conditioners. And air conditioning did not do good this time, and that's the reason. But we are very hopeful that we should be in the range of 8% to 9% range in this division by the year -end.

Nirransh Jain: Sure, sir. And sir, on the Ascent Circuit facility, so we have seen like a 2, 3 quarter delays now in the last presentation, we had pointed out that we were expecting commercial production to start by 4Q or 1Q FY '27. Now we are talking about 3Q. So any pa rticular reason or it's like a 2, 3 quarter delays on this front?

Jasbir Singh: One, actually, there were 2 factors which got this delay. First was the approvals from Tamil Nadu , which got delayed for the particularly for the chemical process, which is underway because this is this comes under the category, where pollution certificate to be received took longer time t han expected. That is one part.

Second is we were waiting for the ECMS clearance to ramp up our construction process. And the moment we got near to it, we just ramped it up. And now everything is behind. All the approvals are in place. ECMS approval is in place. Construction has started. I think now quarter 3 should be somewhere where we have alre ady guided.

We should be able to maintain that there should be no more delays. There were some delays in the construction because of the heavy rains in Chennai area, in Hosur area. That was about 15 to 20 days delay.

Nirransh Jain: Sure, sir. And lastly, some bookkeeping questions. Firstly, if you can call out the revenue and EBITDA for Power -One that we booked in this quarter and the growth rate for the non -RAC components business in this quarter that we generally give the split bet ween -- within the durables business?

Jasbir Singh: Non-RAC basically is about 22% right now in this division, which is growing. We started for almost 0 that is gaining traction.

Sudhir Goyal: And so on the Power -One, the revenue which got consolidated in this quarter is around INR26 crores with an operating EBITDA of around 13%.

Moderator: The next question is from the line of Sameet Sinha from Macquarie.

Sameet Sinha: Sticking to the Power -One question, what's the expectation for revenue contribution this year from Power -One? And what sort of growth? If I remember correctly, I think you were indicating 35% to 40%

growth in that business for the next few years?

And my second question is Unitronics, what was the price per share that you paid over there? And also will you be recognizing reve nue from it or is it just the mark -to-market on the balance sheet?

Jasbir Singh: For Unitronics, we paid 27 a share to buy it.

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Sudhir Goyal: Shekel 27.75 per share we have paid. And it's a subsidiary for us. It's not a mark -to-market. It's

not an investment only. It's a business investment, and we'll be doing a consolidation of the same as we got a management control over the affairs of the company.

Jasbir Singh: And Power -One is expected to deliver -- your second question was regarding Power -One. Power -One is expected to deliver in the range of INR265 crores to INR275 crores this year. We've started consolidating from August.

Sudhir Goyal: 5th of August.

Jasbir Singh: 5th of August onwards. So on a pro rata basis, the numbers will get consolidated in this. But next year, we are expecting a decent growth in this sector.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My first question is related to the gross debt. So around INR2,500 crores, INR2,600 -odd crores, out of that, around INR700-odd crores is related to the ILJIN or the subsidiaries. So INR650-odd crores, you had said INR370 crores and INR280 crores already received. So are you going to reduce this debt directly or for the expansion you are going to utilize? And also, if you can give some color like QIP money, which is coming in, how is that treatment the way forward?

Sudhir Goyal: So first on the QIP money, we already utilized it to reduce our debt, largely for the debt and partially for our capex and the issue expenses. On the ILJIN front, where we already received INR370 crores by September and INR280 crores in October. So the money which we have received is largely used for the acquisition currently. This INR1,100 crores we'll be keeping some part in the war chest for the future expansion and balance, we'll use it for the reduction in debt as well.

Praveen Sahay: So we are not going to see a significant reduction in the debt from here onwards from September '25?

Sudhir Goyal: On the net debt level, yes, there will be a significant reduction. And we are hopeful that by year -end, it should be cash positive by year -end. And in terms of the interest cost, which I'll just update that the net interest cost after adjusting from the other income, it shouldn't be more than INR20 crores, INR25 crores for the H2.

Praveen Sahay: Okay. Okay. And my next question is related to electronics and just a clarification because you had already given some indication on that. So the Q3 also, you are expecting a margin to be at the lower level because as you had mentioned, the Q4, you are able to pass on the higher prices in the gold and the copper clad?

Jasbir Singh: That's right. Yes. That's what our expectation is because it takes time. Normally we start asking for the price increase, and it takes about a quarter because it's a quarterly lag procedure in B2B, and that's how the industry operates.

Praveen Sahay: And this holds true for the PCB and PCBA?

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Jasbir Singh: If you would have seen our numbers from 2018, whenever the commodities have moved up, we have been able to pass on to customers on a quarterly lag. So there's always a lag of 1 quarter in between.

Praveen Sahay: And that holds true for PCB and PCBA?

Jasbir Singh: That's right, yes.

Moderator: The next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: First, on capex , if you could give us some sense in terms of total capex for FY '26, '27 and '28 ballpark numbers? And if you could break it up in terms of

the divisions, please?

Sudhir Goyal: Achal, this year, we are expecting a consol capex of between like INR700 crores to INR850-odd crores. I'm giving a range because sometimes construction gets delayed and the payment gets delayed. But this is the range for the consol capex this year.

Next year, division -wise, I can explain like how it will be. For the Consumer Durable division, it will be in the range of around INR300 crores -- and if I talk about the electronics because we are doing a large capex in the PCB segment, where Ascent Circuit is we already explained that in the first phase, we'll be doing around INR650-odd crores. Out of that, a larger part of the capex will come in the next financial year .

Then KCC will also get start in the next financial year, where the large part of the capex will be spent. In the first phase, we'll be doing around INR1,200 crores there, wherein large part of the capex will be done in the financial year '27.

And in the PCB assembly and the other segments, the total capex should be around INR150 crores, INR175-odd crores .

Railway, we are not expecting a large capex in the next financial year. It should be around like INR50 crores, INR60-odd crores maximum.

Achal Lohade: And consol capex in terms of total like what number that would be for FY '28?

Sudhir Goyal: FY '28 is too early to say. Reason is that how the PCB traction will be there because second phase we need to do both in Ascent and Korea Circuit s JV. But otherwise, the range that I have

given, excluding that PCB, the range in the other segments will be in the similar range, like INR300 crores to INR350-odd crores in the consumer durable and INR50 crores, INR60 crores in the railway subsegment.

And this all capex, what I have explained, is before the subsidy. So we are expecting a good amount of subsidy in not all the segments, largely in the PCB segment as well as PLI is yet to come for Amber as well as ILJIN. And as you know, that large part of the subsidy of PLI will come in the last financial year.

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Achal Lohade: Got it. The second question I have, in terms of the Electronics division, earlier, you had talked about \$1 billion kind of revenue. If you could just reiterate what sort of number from a medium-term perspective, next 3 or 4 years perspective, we can look at for electronics as well as for the Consumer Durables division, please?

Jasbir Singh: Well, yes, we guided that in next 3 financial year, we should be touching about \$1 billion revenue, and we seem to be quite on track as far as that is concerned in the Electronics division because of all the growth in the PCBA, PCB and the other building blocks, which we are building on the box build capabilities. So all this put together should be touching that kind of revenues.

Achal Lohade: And on the consumer durables, sir?

Jasbir Singh: Consumer durable, we expect -- I mean, it's difficult to give you revenue guidance. We never give any revenue guidance, but we feel that the industry is at 15 million now. And looking into the GST cut, the market should touch in the range of 30 million to 35 million by next 5 years by FY '30.

And looking into that, we are right now 27% of the manufacturing footprint, and we believe that we will be able to continue this share of business. So in line to that, we should be able to grow in line to the industry.

Moderator: The next question is from the line of Natasha Jain from PhillipCapital.

Natasha Jain: Sir, one clarification. You said the RAC industry will be flat and Amber will grow by 13% to 15%. Is that right?

Jasbir Singh: Yes. Amber Consumer Durable division is expected to grow in 13% to 15%.

Natasha Jain: Got it. And sir, since we've already done 15% in first half, we expect to maintain that run rate. That's good. So just a little color here. Can you tell us how is the order book

looking like in

terms of the new B EE rated inventory? Is that a good order book?

Jasbir Singh: Yes, we have a decent order book in hand. And because of that order book visibility, we are giving you this guidance of 13% to 15% growth.

Moderator: The next question is from the line of Anupam Goswami from SUD Life.

Anupam Goswami: Based on your guidance of 13% to 15% on consumer durables, where do we see our PCBA and especially PCBA, which is about 56% as you said, where do you see this revenue for this year?

Jasbir Singh: Sorry, please ask your question again.

Anupam Goswami: Sir, given your guidance on the RAC about 13% to 15% growth, where do you see PCBA for this year?

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Jasbir Singh: Only PCBA or Electronics division? For Electronics division - We have guided that we should be around INR3,200 crores plus, but only PCBA should be INR2,400 crores plus.

Anupam Goswami: Okay. And sir, we have been quite a few quarters, we have been saying that Sidwal and Railway division should double, whereas we haven't seen that traction yet. When do we start having that large chunk of orders or execution for the year going forward?

Jasbir Singh: See, all the delays of the Vande Bharat execution and all is now clarified by the government. And a large part of deliveries will start happening from next year onwards. So you should see decent growth coming from next year onwards.

Anupam Goswami: Okay. And 2 years, we should close to double the revenue of right now? That's right, yes.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance.

Keyur Pandya: Sir, just one question on the working capital. So this year, what should be the working capital for FY '26? And considering the changing mix, how should that be for FY '27? That is first question?

Sudhir Goyal: So working capital for the financial year '27 will be almost in the same range what we were having in the financial year '26. So we don't see much change in the working capital days apart from like 2, 3 days here and there. We are not expecting big change.

Keyur Pandya: And FY '26 should be around what range?

Sudhir Goyal: It should be around 30, 35 days at consol level.

Keyur Pandya: Okay. Second question on the electronics margin. Just basic back calculation suggests that, I mean, because of the higher share of PCBA, the impact of higher price copper clad laminate or gold should not be that much on the overall segment. So probably our PCB margins have come down from, say, 16%, 17% to around 8%, 9%. Otherwise, the impact should not be so large. Just correct me if anything is wrong in this calculation. So why such a sharp drop when the PCB is not relatively a large contributor to revenue or EBITDA for now?

Jasbir Singh: No. Largely, see, there are 2, 3 factors which we have explained. First is the copper clad laminate 13% increase, which is a major raw material. It is about contributing close to about 45% in the purchase. Second is the gold prices. And third is our banking on consumer durable in the PCBA sector, where a large portion was disrupted because of air conditioners not doing good. So these all 3 factors have led to this.

Moderator: The next question is from the line of Bhavik Mehta from JP Morgan.

Bhavik Mehta: Just one question. At the ILJIN level, since we have already started receiving the money in the past couple of months, can you share what is our stake down to now from the 90% what we used to have before the deal?

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Sudhir Goyal: So we got the money in the form of CCPS and the conversion of the same is based on the future performance. So we'll update once it will get converted. But currently, it is in the form of CCPS.

Bhavik Mehta: So as of now, should we assume that the stake remains at 90% on

ly and it will go down only
once the CCPS converts in the future?

Sudhir Goyal: Yes, right.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA.

Indrajit Agarwal: Sorry for harping on the margins at Electronics again. So if I just do the back calculation number, it means that fourth quarter for Electronics, we can see more like a mid-teen kind of margin because we get the back rate for the cost inflation over there. So would it be very lumpy in fourth quarter given the third quarter is also going to be quite weak?

Jasbir Singh: See, fourth quarter, we'll have first full quarter for all the other box build capabilities, Power - One and Unitronics and also the PCB -- the correction on the cost side and all. So that's the reason we are hopeful that this should be in that range of 8% to 9% by the year-end.

Indrajit Agarwal: Sure. And based on your current estimate, what do you think the associate or JV loss could look like in FY '27?

Sudhir Goyal: So expected loss to be in the tune between INR25 crores to INR30 crores.

Indrajit Agarwal: For the next year as well?

Sudhir Goyal: For the current financial year, total.

Indrajit Agarwal: For next year? For FY '27, what kind of number?

Sudhir Goyal: So next year, it should come down significantly. We'll update you because there some things are happening, and we'll update you very soon in next quarter.

Indrajit Agarwal: All right. And lastly, when you give out the capex number, this is gross, right? After that, all the subsidies and all that would come with a lag, but probably in FY '28 and '29 is when we receive most of the amounts?

Sudhir Goyal: Right, right. So those are the gross numbers.

Moderator: Ladies and gentlemen, due to time constraints, this was the last question for today. I now hand the conference over to the management for closing comments.

Jasbir Singh: Thank you, everyone, for joining the call. For any further information, please get in touch with our Head of IR, Ravi Kharbanda or our IR team of Strategic Growth Advisors, Investor Relations Advisors. Thank you so much. Have a good day ahead.

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Moderator: Thank you, sir. On behalf of Amber Enterprises India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Date: 16 February 2026

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers Dalal Street, Mumbai –
400 001
To
Secretary
Listing Department

National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla
Complex, Bandra (E) Mumbai – 400 051
Scrip Code : 540902
ISIN : INE371P01015 Symbol : AMBER
ISIN : INE371P01015

Subject: Transcript of Earnings Call held for discussion on Unaudited Financial Results (Standalone and Consolidated) of the Company for the third quarter and nine months ended 31st December 2025 ("Q3 & 9M FY26")

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the Earnings Call held on Tuesday, 10th February 2026 at 10:00 A.M. IST with investors and analysts.

The call was conducted to discuss the Unaudited Financial Results (Standalone and Consolidated) of the Company for the third quarter and nine months ended 31st December 2025 ("Q3 & 9M FY26").

The transcript is also being uploaded on the Company's website and will be accessible at:
<https://www.ir.ambergrouppindia.com/news-events/investor-events/>.

You are requested to take the same on record.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Ya adav)
Company Secretary and Compliance Officer
Membership No. : A30322

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"Amber Enterprises India Limited
Q3 & 9 Months FY '26 Earnings Conference Call "
February 10, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 10th February 2026 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN , CEO,
AND WHOLE -TIME DIRECTOR
MR. DALJIT SINGH – MANAGING DIRECTOR
MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL
OFFICER
MR. SANJAY ARORA – WHOLE TIME DIRECTOR , ILJIN
ELECTRONICS
MR. RAVI KHARBANDA – HEAD OF INVESTOR
RELATIONS
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS
STRATEGIC GROWTH ADVISORS – INVESTOR
RELATIONS ADVISORS

Amber Enterprises India Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Amber Enterprises India Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jasbir Singh, Executive Chairman, CEO and Whole -Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh: Hello. Good morning, everybody. On the call today, I'm joined by Mr. Daljit Singh, our MD; Mr. Sudhir Goyal, Group CFO; and Mr. Sanjay Arora, Whole -Time Director of ILJIN Electronics. We have uploaded our quarterly presentation on the exchanges, and I hope everyone had an opportunity to go through the same.

We extend our appreciation to the honourable Finance Minister for the enhanced outlay of INR40,000 crores towards the ECMS scheme. This scheme will serve as a catalyst for accelerating the growth of a robust electronics ecosystem in our country and creating significant employment opportunities.

Further, we extend our sincere gratitude to Ministry of Electronics, MeitY, for granting approval under the ECMS scheme for Ascent -K Circuits, HDI PCB application and Shogini Technoarts multilayer PCB application. These approvals are in addition to the earlier clearance received for Ascent's multilayer PCB application. The expansion reinforces our long -term commitment to strengthening India's 'Atma nirbharta' in electronics manufacturing ecosystem.

We are pleased to share that land allotment of 16 acres have been secured in Jewar near new Noida airport for Ascent -K Circuit to establish state -of-art manufacturing facilities for HDI PCBs, and we look forward to shortly do groundbreaking to commence construction.

Additionally, Amber Enterprises has been allotted 100 acres of land in Jewar Airport, near new Noida Airport, enabling the company's future expansion plans. We extend our gratitude to the government of Uttar Pradesh for fast cabinet approvals of both projects and timely allotment of land parcels.

Let me now take you through the quarterly performance. Consolidated revenue for the quarter stood at INR2,943 crores, reflecting a growth of 38% over previous year. Despite weak underlying room AC industry, our operating EBITDA for the quarter stood at INR247 crores, growth of 53%. PAT before exceptional onetime impairment of Shivalik grew by 128% to INR84 crores.

Let me now take you through the divisional performances.

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Firstly, on the Consumer Durable division. The Consumer Durable division recorded revenue growth of 27% in quarter 3 FY '26 and EBITDA growth of 22%. The growth is driven by the diversified product offering, adding wallet share within existing customers, expanding product portfolio.

The room AC industry has transitioned to the revised higher efficiency BEE Star rating norms effective 1st January 2026, marking a key shift toward enhanced energy performance and sustainable cooling solutions. And the quarter witnessed a channel filling a head of BEE rating upgrade. We continue to deepen and strengthen our customer base, both in Room AC and Commercial AC during this quarter.

We are cautious about sharp surge in commodity costs and currency depreciation. While we are navigating these challenges, the pass-through will happen with a quarterly lag as we have seen earlier. On the outlook, we believe industry will be flattish this year, while we continue to remain optimistic that this division should grow in the range of 13% to 15% for the

full year basis.

Coming to the Electronics division. ILJIN purchased 80% stake in Shogini Technoarts, a Pune-based Printed Circuit Boards manufacturer with capabilities across single-sided, multilayer and flex PCBs. Shogini brings a sizable 4.5 lakh square meter capacity boost and broadens division reach to diverse customer base spanning across automotive, medical, industrial, power and other segments.

Coupled with Ascent expansion, JV with Korea Circuit and Shogini lays a strong foundation to emerge as India's most comprehensive printed circuit board manufacturer, offering solutions from single-layer PCBs to advanced HDI products across the value chain. Further, strengthening its position in high-value Industrial Automation segment. ILJIN has increased its holding in Unitronics, Israel, taking its current stake to 45.5% now.

Moving to the performance. The Electronics division continued its growth momentum with revenue of INR845 crores, reflecting growth of 79%, driven by printed circuit board assembly vertical PCBA, bare PCB board, PCB and new additions of power electronics and automation electronics.

The division recorded EBITDA of INR88 crores, recorded growth of 157% despite the margin pressure in the bare PCB vertical. The PCB vertical continues to face headwinds of CCL and gold price spike. And as a Tier 2 B2B supplier, our ability to pass on comes with an inherent lag of almost 1 to 1.5 quarters. And we are confident to pass on these to our customers.

Looking ahead, driven by strong growth momentum and portfolio of high-value margin-accrue products, we expect FY '27 full year EBITDA margins to be in double-digit number.

The Electronics division, which began to address the shift of fixed speed AC to inverter AC in 2018 is now evolving into a full stack EMS company. It features PCB assemblies serving diverse customer segments and comprehensive bare printed circuit board solutions and box build solutions for wearable, power electronics and industrial automation products.

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Now coming to the third division, Railway Subsystem and Defense. The record capex allocation in railway budget and announcement of 7 high-speed rail corridors positions India firmly on the path towards faster and future-ready mobility, which augurs well for the sector. On the performance, the division registered a growth of 20%, driven by railways, metro projects and defence solutions.

On the expansion front, the construction is progressing well for Sidwal's greenfield facility for HVAC products, Pantries, Doors and Gangways and the facility is under machine installation phase now and commercial production is expected to begin in quarter 4 FY '26.

With regards to Yujin Machinery joint venture for Pantographs, Brakes, Driving Gears, Couplers, this facility is now ready. Currently, the product development is underway and commercial production is expected to commence from second half of FY '27, following requested RDSO approvals.

Special cooling products for defence applications are also gaining traction and are expected to contribute meaningfully in coming years. Backed by a strong order book visibility of INR2,600 crores plus and product portfolio expansion, we remain optimistic of doubling the division's revenue over next 2 financial years.

During the quarter, onetime exceptional impairment loss has been recognized for our investment in Shivalik through which we had invested in Titagarh Firema, Italy. The Shivalik investment was done primarily with 2 objectives. One, to have strategic association with leading rolling stock manufacturer, Titagarh. Together, we have been actively contributing to some of the country's most prominent mobility initiatives, including key metro projects and Vande Bharat. Our collaboration with Titagarh has translated into business visibility worth about

INR700

crores for Heating Ventilation Air Conditioning products as well as new products which were launched, doors and gangways and which shall continue to grow in future as well.

Secondly, the objective was to open export opportunities for Sidwal through Italy venture.

However, Titagarh Firema turnaround did not materialize in the manner we had envisioned due to the operational and other challenges. And to curtail future losses, onetime exceptional impairment loss has been recognized during this quarter.

Now let me hand over to Sudhir Goyal, our CFO, for financial highlights. Thank you.

Sudhir Goyal: Yes. Hi. Good morning, everyone. Let me first take you through the consolidated financial

highlights. For the quarter 3 financial year '26, we clocked a consolidated revenue of INR2,943 crores, up by 38% over last year. We recorded quarterly operating EBITDA of INR247 crores, a growth of 53% year -on-year.

For clarification, operating EBITDA is before impact of ESOP expenses and other nonoperating income and expenses. Profit for the quarter stood at INR84 crores before impairment of Amber Enterprises India Limited

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investment in Shivalik of INR94 crores, reflecting a growth of 128%. However, PAT is after considering one -off provision of INR9 crores pertaining to new Labo ur Codes .

Let me take you through 9 months financial year '26 financial performance at the consolidated level. We recorded consolidated revenue of INR8,039 crores, growth of 29% over last year.

Operating EBITDA of INR608 crores, resulting in a growth of 26% year -on-year and profit before impairment loss of INR158 crores, reflecting a growth of 19%.

Now let me take you through the divisional performance overview. Firstly, revenue and operating EBITDA, details of our divisional performance are not comparable with the published segmental results. Starting with the Consumer Durable division.

The Consumer Durable division reported revenue of INR1,971 crores in quarter 3 financial year '26 compared to INR1,555 crores in quarter 3 financial year '25, reflecting a growth of 27% year -on-year. Operating EBITDA for the quarter increased by 22% year -on-year and stood at INR141 crores compared to INR116 crores in quarter 3 financial year '25.

Coming to the Electronics division performance. The revenue for the quarter increased to INR845 crores in quarter 3 financial year '26 compared to INR472 crores in the same quarter last year, reflecting a growth of 79% year -on-year, driven by PCBA vertical, bare PCB and new additions.

I would like to emphasize we acquired Shogini on 1st of December and consolidated P&L includes results for 1 -month only in respect of Shogini. Operating EBITDA for the quarter recorded growth of 157% year -on-year and stood at INR88 crores compared to INR34 crores in quarter 3 financial year '25.

Moving to Railway System -- railway subsystem and defence divisional performance. The revenue for the quarter increased to INR127 crores compared to INR106 crores in quarter 3 financial year '25, reflecting a growth of 20% year -on-year and the resulting operating EBITDA of INR18 crores, growth of 49% year -on-year. With a robust order book and expanding product portfolio, we remain confident in doubling the divisional revenue over the next 2 financial years. On the balance sheet front, ILJIN Electronics has successfully concluded fundraise with the entire INR1,750 crores received from marquee investors. As we embark on a growth p hase in our electronic division, we stand on a strength of robust balance sheet. Thank you. Now I request the operator to please open the floor for the Q&A.

Moderator: The first question is from the line of Nattasha Jain from PhillipCapital. Please go ahead.

Nattasha Jain: Congratulations on a very good set of numbers. Sir, my first question is on RAC. Given that there was a push in the

third quarter on account of BEE and then there was low -cost inventory, how should we see fourth quarter ? I mean, from a very near -term perspective and then calendar '26, given that there is high amount of inflation and the entire GST benefit probably is written

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off and the cost could be even higher than that. So how should we read calendar '25 -- '26 from an RAC point of view?

Jasbir Singh: See, this is how we look at room AC sector in the country. And as an industry, we feel that if you see quarter 1 was -5%, -10%, then quarter 2 was -35%. We saw a little growth in the industry in quarter 3 with the primary sales moving ahead in lieu of the energy rating. So we feel that the industry should be flattish this year, whereas we have again and again maintained our guidance, and we are hopeful to deliver about 14% to 15% kind of a growth.

Let me give you a little background on air conditioning industry, Natasha, that in last 25 years, we have seen 7 bad seasons in this industry and 2 COVID waves hit us, both in March. So 9 bad years for the industry in last 25 years. 25 years back, market s ize was 0.5 million number, just 5 lakh numbers.

And now we are at 15 million -- 14 million to 15 million number, 1.4 crores to 1.5 crore number.

So I expect that in future also these kind of issues will keep on coming on the currency and commodity issues, be it table revisions.

But looking into the households, looking into the per capita income growth, looking into the

adequacy of power and the desire of comfort living, I believe that this industry should grow in the range of 12% to 15%, at least for next 4, 5 years. And there on, once we cross INR4,000 per capita income, this will further grow at 20% to 25% range. This has been historic in all the countries. So we believe that on the calendar year '26 basis, industry should be in the range of at least 12% to 15% growth path.

Nattasha Jain: Sir, this would be value growth that you're talking about or just RAC volume?

Jasbir Singh: No, I'm talking about volume growth. Value may be a little higher because of higher increase in the cost.

Nattasha Jain: Understood. Sir, and my second question is, very recently, Mitsubishi Electric had announced that they are doing a INR2,100 crores capex and backward integrating into RAC and compressors. Now given that all Japanese and Korean brands are our prime customers, I just want to understand how should we read this from Amber's point of view. Because I believe Mitsubishi is one of our biggest clients. And does it entail any risk for us?

Jasbir Singh: No, there is no risk, Natasha, since you have all seen that 2021 when PLI got announced all 6 major brands announced, which are all our customers, their own factories. And industry -- I mean, markets did assume that Amber will not do well and our stock price was hit unnecessarily. But we could see that Amber moved into a different category. We started offering our products in the component shape, and we kept on growing more than the industry space.

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So this Mitsubishi Electric, yes, it's our client. This was told by them 2 years back, and we have already gone into supplying the components for the factory, which was inaugurated. We are very much part of this. And our association continues from here on with Mitsubishi Electric Group.

Moderator: The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: Congratulations team for a very good set of numbers. So my first question is an extension of what you said, right? So you mentioned that the industry should grow at 12% to 15% CAGR going forward. And with the brands, I mean, with the PLI now getting over and over the last 4 or 5 years, we've seen that the brand's share of overall manufacturing has g

one up, should we

now -- the EMS share moves up given the PLI is getting over and growth for you guys should be AC plus industry because you have EMS gains share?

Jasbir Singh: Dhruv, as Amber's B2B capability on components and on the finished goods capability side, we have seen this kind of shift in in-house outsourcing 3 times now in the last 25 years. Whenever this kind of shift has happened, we've moved in tandem to the industrial industries or our brands or our customers' policy change.

And we have established 24 factories now in vicinity to customers. So any customer who would like to manufacture on their own, we are very happy to supply them the components. I'll just give you an example of automobile in a true reference. If Toyota puts up a factory, they will do engines on their own, car chassis on their own, car bodies on their own and assembly line on their own. But will Toyota ever produce tires for their own? Audiovisual systems, glasses, seats, bumpers.

So similarly, in our category also, whenever a brand puts up a factory, they do some kind of a backward integration plus assembly and plus labs, but other components are required to be supplied just in time by suppliers like us. So we have a very comprehensive solution for the customers. If they want to buy full boxes, we can give full boxes. If they want to buy only components, we are happy to supply components only. And that's what we have done in the last 25 years.

Moving forward, this trend will continue. We don't control the change of policy of a customer, whether they want to in-source or outsource. We are there as a backbone of them as a supply chain solution provider. Plus, what we are doing over and above is we are expanding our product portfolio into the commercial air conditioning space.

We have already successfully launched our Tower series, Cassette series, Ductable series from 3 ton to 17.5 tons. And we are also bringing some new products as we go ahead. So that is over and above. And plus to this is our non-room AC components, which we deliver as a solution for refrigerator, washing machine, microwave ovens, etcetera.

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So all these three things put together, I think we will continue to outnumber industry. Maybe in a year, 2 years' time, 3 years' time, we may move in tandem to the industry. But eventually, we have seen that we have surpassed the industry by the numbers -- good numbers every time.

Dhruv Jain: Fair enough, sir. Sir, my second question is on finance cost, right? So despite the QIP, we have seen the finance cost go up marginally on a Q-o-Q basis. So if you could just help us understand the reason for the same?

Sudhir Goyal: Yes. So -- hi, Dhruv. This is Sudhir. So finance cost has increased because of -- you know that there was some changes happening in the energy rating, and we have built some inventory at a lower cost in terms of copper as well as compressor, which has increased the cost of finance cost.

Plus we have acquired Shogini on the 1st of December, and we have paid around -- INR575 crores payout to acquire that entity. So finance cost includes that as well. And also, we increased our stake in Unitronics post our first acquisition on 9th of October, when we acquired 40.2% and now we are at 45.5%. So that has led to an increase in finance cost. But you will see that it will start coming down in the current quarter.

Dhruv Jain: If you could just give some numbers of Ascent, Shogini?

Sudhir Goyal: Dhruv, since you know, Unitronics is a listed entity in Israel, and their results are not still come out. So it is difficult for us to give you in the Electronics division entity-wise numbers because that will be an insider information, and it's not wise to give you that number. We'll give you once those numbers are out individually.

Moderator: The next question is from the line of Son

ali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Congratulations to the team for a great set of numbers. Sir, my first question is the Consumer Durable division with a growth of about 26% year-on-year on sales, it's far ahead of most of the peers who have reported, including the branded or the contract manufacturing. So it's a very positive thing, but would you like to help us understand what drove this?

Jasbir Singh: Well, Sonali, a couple of things. We've increased our wallet share in some customers. And our non-AC components is actually paying dividends now. That's -- and plus the new product categories, which we have launched. So all put together is delivering this number. I think our team has worked very diligently on all fronts to increase product portfolio, to increase the wallet share in existing customers, to work on non-AC components, where injection molding has done pretty well.

We have started supplying to customers in telecom sector and to energy meter customers. And plus, of course, the refrigerator and washing machine and microwave oven customers are also gaining traction. And our ductable ranges of commercial ACs are also growing. So all put together has led to this kind of a number.

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Sonali Salgaonkar: Sir, great to hear that. Just an extension to this on the AC industry, after the liquidation that we saw in December, what is the current inventory level? And are there any initial trends you are -

- you fathom of the upcoming summer?

Jasbir Singh: Well, inventory is varying from customer to customer. I think -- but overall, at an industry level, if we sum it up, I think industry is -- reached to almost a normalized inventory level at the moment. So if there is a spike in summer, we will see a good summer ahead.

Sonali Salgaonkar: Sir, great to hear that. Sir, my second question is regarding the capex outlook for '26 and also '27, if you could help. And how should we look at the journey of Shivalik from here on now that we have taken the impairment loss?

Sudhir Goyal: Yes. Hi, Sonali, this is Sudhir. So current year capex, we are expecting it should be around INR800 crores. And for the next year, the expenditure, which will be capitalized should be around INR1,100 crores to INR1,200 crores. And for Shivalik, now we have explained that there will not be any further loss in the Shivalik because we have taken a complete impairment of the investment. And we don't see now anything coming from the Shivalik, and we'll be focusing on our Indian operations and expanding the same.

Sonali Salgaonkar: Sir, great to hear that and all the best to the team and congratulations once again.

Jasbir Singh: Thank you.

Moderator: The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Two questions. First, when we look at your guidance of 13% to 15%, that implies a mid-single-digit kind of growth for RACs in fourth quarter. So would you still think that the industry would actually end up being flattish or negative in the fourth quarter as a result?

Jasbir Singh: Well, I mean, I think if you sum it up, Indrajit, for all the 4 quarters, quarter 1, I explained it was -5%. Quarter 2 was -35. Quarter 3 has been a little slightly above 0, it's like 3 and 5 number. So quarter 4 should be flattish, at least, I mean, even if they do well, overall, it will come to be like a flattish number. That is our estimate looking into it.

Indrajit Agarwal: Sure. Thank you. And -- sorry.

Jasbir Singh: And I believe that I have always guided that in air conditioners due to the heat waves, the sales move up 1-month ahead or it gets postponed. So I would urge everybody not to look at RAC

sector on a quarterly basis rather than on a complete financial year basis. I think that will be a relevant way to look at the RAC sector stocks.

Indrajit Agarwal: Sure. That is helpful. Second, Sudhir ji, talked about inventory buildup of copper and compressors ahead of the BEE table change. I just want to understand what does that regulation
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state. Does it state that post 31st December, you cannot sell to the brands or retailers or the retailers cannot sell? But still when can we manufacture old BEE norm air conditioners ?

Jasbir Singh: Yes. So basically, the norm is that the manufacturing cannot happen for the old products post 1st January, whereas the manufacturer can supply the old inventory for 3 months. Coming to the retail part, the retailers are allowed to sell the old inventory for 6 months. So that is how the government's norms are. So we cannot manufacture. So first -- before 31st, we've stopped -- we have to stop all the old models.

Indrajit Agarwal: Sure. So the inventory that we have built up will be utilized in the next months. We will see that the inventory drawdown when we see March quarter results. Is that understanding correct?

Jasbir Singh: That's right. Yes.

Moderator: The next question is from the line of Pulkit from Goldman Sachs. Please go ahead.

Pulkit Patni: Two questions. First, could you give a rough breakdown of consumer durables between AC, AC components and non -AC components?

Jasbir Singh: It's -- right now, it varies, Pulkit, from quarter -to-quarter. This time, this quarter, it has been about 60 -40. 60% has been finished goods and 40% have been components.

Pulkit Patni: And sir, within components, AC and non -AC?

Jasbir Singh: Now almost we have reached a 50 -50 split.

Pulkit Patni: Okay. So it's 60 -20-20 for the quarter. Okay. That's useful.

Jasbir Singh: But it keeps on varying. Don't make a generic view about that it will continue. Every quarter, it changes.

Pulkit Patni: Sure, sure. Sir, my second question is, I remember this was maybe 2 or 3 years back where we had seen some commodity price inflation. And while theoretically, obviously, that's a full pass -through business, but we've seen whenever brands are under pressure , there is some pressure felt by OEMs also ?

Is it fair to assume that consumer durables, especially air conditioner margins could be under pressure next year given the magnitude of commodity price increase that we have seen? Or do you think it's going to be a complete pass -through, though with a lag of 1 quarter?

Jasbir Singh: So I think from a B2B company's perspective, it will happen with a quarter lag. Whereas I think for our customers, because the BEE table has changed, it's an opportunity for them to change maybe from February or March onwards.

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Pulkit Patni: But you don't think there's going to be any margin impact for you because of the commodity price inflation?

Jasbir Singh: There will be slight margin impact, but not a very big impact for us.

Moderator: The next question is from the line of Tanay Shah from DAM Capital. Please go ahead.

Tanay Shah: Congratulations on a great set of numbers. Sir, on the electronics piece side, right, I mean, we've acquired Power -One now and even Unitronics. If you could just spend some -- a couple of minutes here on how we're looking to scale these businesses up because Unitronics currently is not present in India. So what are our plans for scaling these businesses up? And to what opportunity can we possibly take it to?

Jasbir Singh: See, Power -One and Unitronics, both are in the industrial power electronics space. Unitronics, we feel that there is a geography expansion scope, bring those products to India. Second is the product expansion space. They do not -- have not manufactured any PLCs, HMIs used for the heating ventilation air conditioning applications. So we've -- after acquisition, we've already sent them samples and th

e team has visited India. And now they have started their R&D work.

I think within 15 to 18 months' time, we are hopeful that we will add new product category on the heating ventilation, which will be launched worldwide because Unitronics, almost 55% to 60% growth comes -- sales comes from US markets and remaining comes from the European markets.

So India will be their expansion on geography. Second will be product expansion strategy. And

third will be, of course, due to the Amber's balance sheet, there will be some purchase leverage, which will come. And fourth is the backward integration.

Unitronics, they only assemble the products because they are the designers of the products, they develop the software and they assemble the products in Israel. But they buy the printed circuit boards from outside. They buy printed circuit board assemblies from outside, even the injection molding required from outside.

So that is what we are exploring right now gradually that the growth of Unitronics can be catered by India by supplying these components as a backward integration. So these are the 4 things as a synergy which we are looking into the Unitronics.

Coming to Power -One products, which are UPS, solar inverters, both off -grid, on -grid and battery energy storage systems and EV chargers. So it's both B2B and B2G business. They apply in tenders, they apply directly to OEMs. And what we are doing right now is, again, similar case, they were assembling, not manufacturing components. So there is a scope of ILJIN and Amber put together supplying the boxes, the sheet metal boxes, injection molding components and PCB and PCBA. That is first thing.

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Second is purchase leverage. And they are largely south -based. We are now bringing them to north because it's a voluminous products. So we are planning to expand in existing facility as a brownfield expansion, one of their facilities in North , Noida for catering the clients from Noida. So that is what power electronics is.

But these both -- the TAM of both the products, power electronics, the audience of Power -One products and Unitronics product is almost about -- current level is \$6.5 billion. I'll just give you a heads up on PC -- what we are doing in electronics. PCBA, we are doing, we are doing printed circuit boards. We are doing power electronics and industrial automation.

If you sum it up, the TAM of all the 4 today, out of \$155 billion electronics getting consumed in the country at the moment, the TAM of these 4 things are about \$16 billion to \$17 billion.

Now where is this \$155 billion going ahead in next 5 years? As a business as usual, the growth is expected to be about \$350 -odd billion, whereas Government of India has taken a very good target of touching \$500 billion.

So you can imagine, if we concentrate on India as operation, it's a good place to be in. And these are all value -added capabilities, which we have added. So in value -added PCBA is volume -based things. PCB and power electronics and Unitronics are all value -based things.

So as a B2B supplier, you have to balance volume and value. Volume will give you purchase leverage and scale and value -based proposition will give you bottom line and also stickiness and entry barriers. And that is what we are trying to do in the electronics division.

Tanay Shah: Absolutely. And my second question is, Sudhir sir mentioned that we do around INR1,100...

Moderator: Sorry, can you please rejoin the queue for more questions as there are more participants left in the queue? The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: My first question is related to the Electronics segment. Out of 79% of growth, if you can give some colour on how much is organic and how much is the inorganic growth in that?

Jasbir Singh: In 9 months financial,

about 12% is the inorganic growth contribution. Out of INR2,100 -odd number, almost about INR240 crores is the inorganic and rest is organic.

Praveen Sahay: Okay. And second question related to the Sidwal. Out of this time, 20% of growth and also you had said all the three segment, railway, metro and defence contribution. So how is the defence contribution in the growth as well as if you can give the order book bifurcation of INR2,600 crores, how much is the defence ?

Jasbir Singh: Defence , we started our endeavour in defence vertical about 4 years back, and we are seeing some green shoots right now. Earlier, we were doing about INR4 crores to INR7 crores in Sidwal

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for defence applications. But this year, we expect that we will do about INR50-odd crores in the defence order book.

But as far as the INR2,600 crores (Please note that all the percentages mentioned below represent a share of revenue from the Railway Sub -systems & Defense Division for 9MFY26, and not a percentage of the order book) is concerned , I think almost about railway contribution will be about 46%. Metro is about 35% and defence will be about 10% in this -- at the moment . But what we are doing is we have been visited by very marquee defence customers, and that

continues. We hope that in next 2 financial years, defence vertical will start contributing at least 20% in the Sidwal's books.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Sir, as you have highlighted 9 -month inorganic growth, possibly, can you highlight the same for the Q3? And lastly, I just want to understand what is the impact of the inorganic on the margin front? What would be possibly the organic and inorganic?

Because your inorganic is a high -margin business. And Electronics, we have seen hitting double - digit margin, which we are supposed to hit FY '27 slightly ahead of the target. So what is the EBITDA margin guidance for FY '27 for Electronics division?

Jasbir Singh: Well, we've guided earlier also, and we'll reiterate that we should be hitting a double -digit number in FY '27 for Electronics division. This is the first quarter ever where we have seen about 10.5% EBITDA for our Electronics division. Both volume and value play could be exhibited here. But as our CFO told you that because of Unitronics is a listed entity, we'll not be able to give you a breakup of this. Once they declare the result, definitely, we can give you the numbers on all the subsidiaries.

Keshav Lahoti: Understood. Got it. One last question from my side. As you have highlighted, normally, copper and PCB prices, hit is there. Can you please quantify what would be the impact of margin because of this in this quarter? And when will it get normalized?

Jasbir Singh: Well, in Consumer Durable division, we think that it will be maybe 0.25% kind of 0.25% to 0.5%, but which will be definitely -- we will change the costing. And as we have done in past, that happens at a quarterly lag that we come back.

On the CCL front, only in the PCB sector, not in PCBA, not in the power electronics and other places, but only in the PCBA, right now, there is an impact of about 5% on the pricing. But the customers have started giving the revised approvals, and we are hopeful that this will be completely passed on by next quarter -- after the next quarter.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

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Rahul Agarwal: So given the constraints on asking questions, I'll just summarize everything what I wanted to know in one question. We have different projects, projects going on into electronics. We've not discussed KCC in detail on this call, apart from the Ascent capex and stu

ff like that. So if you

just summarize for us across 3 segments, the project status in terms of execution, how do you think you will spend money over the next 2 years? What are the time lines for these projects?

And for all 3 segments, if you could just summarize the growth outlook for fiscal '27, '28, just ballpark number on margins, that will really help to basically get a full understanding on the entire company? That's the only question I had. Thank you.

Jasbir Singh: So I'll give you detailed analysis on the projects -- ongoing projects in the electronics sector. The first expansion we are doing in Hosur, in Tamil Nadu, where the groundbreaking ceremony happened and it was blessed by the Chief Minister of Tamil Nadu for the groundbreaking.

Construction is moving perfectly on time as guided. We should be starting our trial production in September of this 2026. And by January 2027, we should be coming in the mass production scale. That is on the Hosur side.

There is an investment coming up for total investment, land we already acquired last year. The building -- major building part will come now. And I think on the complete capex, about -- close to about INR700 crores, INR800 crores will come this year on the machine building -- building plus the plant and machinery.

Now coming to Korea Circuits, the KCC, which has been allotted, we have been allotted the land. We have deposited 10% of the land, and they have yet to give us the possession. The allotment has been done. I think coming weeks, we should be able to get the possession. And then that's when by March, we expect that we should be able to do the groundbreaking, March or April as our maps get approved.

Total 15 months' time for the construction. First phase of investment is INR1,200 crores, which is -- and it's a 70 -30 JV. So we are expecting about 60 -40 or 70 -30 kind of ratio for equity and debt. And that's where our partners are also going to infuse funds. And after 15 months, there will be trial production period of 3 months. So you can imagine that after 18 months, we will start the commercial production of that.

Offtake agreement has already been signed. The first 2 years, complete capacity offtake will be done by KCC themselves. So we are not bothered about the top line as soon as we start the project. After that, of course, there will be customers and the ecosystem of complete semiconductor and OSAT businesses are getting established in the country. So they will be both domestic and export.

Then there is another expansion going on in the Pune for organic expansion. We bought

adjoining land in Pune, and that's the construction going on. I believe the construction will be over in the March or April. And May will be when it will start. And that is on the electronics side. These are 3 ongoing projects on electronics.

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Fourth investment, which we are doing is in Sidwal, which is almost -- the building is ready. Machine installation is happening in the greenfield facility for doors, gangways and pantries and heating, ventilation, air conditioning. I expect that by March, the trial production will start and April or May will be the commercial production start for that plant.

For Yujin, the factory is already done. Now we have applied to RDSO for requisite approvals. Because these are all safety products, it will take time for approvals. We expect that in H2 of next financial year, we should be able to do the trial production. And in quarter 4, I think the commercial production will also start. So these are the status of all the projects going on.

Rahul Agarwal: Would you like to summarize the guidance on growth and margins, just medium term?

Jasbir Singh: Well, I think all the divisions are doing pretty good. I believe as we have already guided that in consumer durable, we expect to do about 15% kind of a growth des

pite markets being flattish.

And electronics is doing pretty good. All the divisions are doing very good. We expect that it will be a good growth story for next year also because of all the projects adding up.

And in Sidwal, we are on a good growth path. I believe we should see somewhere about 40% growth kind of a story in Sidwal next year itself. And we have guided and we maintain our guidance that we will reach a number of double -- doubling the revenue of Sidwal in next 2 financial years.

Moderator: The next question is from the line of Sameet Sinha from Macquarie Capital. Please go ahead.

Sameet Sinha: Jasbir, as you were thanking the Finance Minister, I was hoping to hear about the 20-year moratorium on taxes for the data center industry and that you would have your products ready.

But in the context that the defence sector took you, let's say, 4 years to get up to INR50 crores, can you kind of give a sense of where the data center products, how could that progress? And is that also going to take 4, 5 years to get there or it could be much faster?

Jasbir Singh: Well, I think that's a great announcement done in this budget, which it was a surprise for all of us. So we were very excited to hear that. I think it will take about 3 to 4 years for companies to shift their data centers here and take a leverage of this incentive scheme, which Government of India has given for 20 years. But it is positive for companies like us because we've already developed our products of in-row and in-rack cooling products.

Liquid cooling and immersive cooling is under development at the moment, so -- which we feel that it will be developed by next 12 months' time period, and that's where we'll do the kind of trial productions. But in the in-row and in-rack, we have cracked two good customers.

And they gave us a very small share of business for the first year, which was about 5% to 7% of their requirement. But now next year, we expect little to grow a little bit bigger. So to summarize your question, I think somewhere about third year, we should see a good traction on the data center in Sidwal coming up.

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Sameet Sinha: Got it. Okay. The second question is, obviously, the story of commodity prices going up and down has a big impact. When do you think that, that ecosystem develops in India with CCL and other products, which will kind of give you that visibility and probably pricing integrity as you plan your business? How long will that take?

Jasbir Singh: See, India government has done a great job as a rule of physics first to bring our assembly business. 7 years back, we were not even assembling our phones there. And now we have seen because of PLI, we are exporting billions dollars of phones outside India. Now second phase, they have come up with the component scheme. Third phase will be the raw material like CCLs and glass fiber and other raw material required for the components.

I believe we have already got announcements of 2 companies making CCL. We at Amber are also right now exploring some joint ventures for the CCL, which may take about a year from now, but we would like to finally -- because we are coming up with a big capacity on the PCB side, we would like to add that going forward, maybe in 2 to 3 years' time.

But overall, if I see once the component ecosystem, semiconductor ecosystem, assembly ecosystem starts building up in the country, automatically, the raw material supply base will continue. But from my point of view, personally, if I see -- this is my personal opinion, I believe in 3 to 4 years from now, we can see a good component ecosystem getting developed for raw

materials in India.

And that will still -- I mean -- but the issue of commodity prices will still take care of only on the currency side. Right now, for air conditioning industry, we have started buying copper

tube

from India. Mettube has put up facilities. There are other companies who have put up facilities, but the LME fluctuates, that's international fluctuations.

Moderator: The next question is from the line of Nirransh Jain from BNP Paribas. Please go ahead.

Nirransh Jain: Firstly, congratulations on a very good quarter. My question is related to the capex announcement. So in a recent exchange notification, we have mentioned that for this 100 acres land, we'll be doing the INR6,800 crores worth of investment for 2 manufacturing facilities. So now since we know the details on the Korea Circuit with a INR3,200 crores capex, may we know the details of the balance figure around INR3,600 crores. What are our plans for there? I mean, of course, this would be over a period of 4, 5 years, but any broader sense on where this will go into?

And secondly, I also want to check on Shogini, since we have got an ECMS approval. And the slide also mentioned about INR500 crores worth of investment outlay. So what's the time lines for this expansion there?

Jasbir Singh: Okay. So on the YEIDA front, first of all, I would like to tell all the participants that the expansion which we have received, we will be getting two sets of incentives, one from ECMS

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scheme on the HDI, which is about 48%. And second is from the government of UP, which is about 42%.

Now 42% is minus the land on building plant and machinery, 48% is only on the plant and machinery. So net capex, which will eventually be happening will be much lesser than what we are putting up in the initial phase. So please look into the net capex kind of a thing. Initially, yes, we will have to do capex, but these are very good incentive schemes, which government, both central as well as the state governments have given.

Secondly, we will be getting about 30% top-up on the central scheme incentive by UP government, but everything will happen after the fifth year after we complete the whole INR3,200 crore expansion. So similar, the scheme is very long. Scheme is about 7-, 8-year scheme. So you have to do the capex over the period of scheme, and that's how we are distributed. But on the Korea Circuit, it will happen earlier. It will happen in 3 to 4 years' time in the phases. As we explained, that first phase will be INR1,200 crores.

As far as Shogini is concerned, it is INR500 crores of application. And we have 4 to 5 years to do that number for -- that the eligibility is 4 to 5 years. So at the moment, we are not anticipating any big capex. It's about, I think, INR55 crores to INR60-odd crores capex, which we'll be doing in coming financial year. That's all we have planned for Shogini at the moment.

Nirransh Jain: Sure, sir. Sir, and secondly, I also want to check on Power-One and Unitronics. So these are already very high-margin accretive businesses already operating at roughly 28% for Unitronics.

So with your plans for further backward integration where we'll be integrating our PCB and PCB assembly solutions, do you think there is further scope of margin expansion into these businesses?

Jasbir Singh: Well, it varies. I mean, I think 28% is -- was in one of the quarters. In other quarter, there was 22%, depending on which geography is selling what products. But on an average, it is 24%, 25% on a maintainable basis. At the moment, I'm not anticipating a little -- we are going a little slow because this is our first full acquisition outside India.

I believe -- our team is already there in -- from India for our purchase leverage project task force formation. And we believe that it will take about 1-year or 1.5 years for us to demonstrate purchase leverage capabilities coming on the table because of Amber and also because of the backward integration.

But answer is yes, there is a possibility of margin expansion. And that's both because

use of the

purchase leverage as well as because of the new product segment. But to demonstrate on the balance sheet, I think it will require a little patience for at least 1.5 years from now.

Nirransh Jain: Sure, sir. That's all from my side. Thank you and all the best.

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Jasbir Singh: Thank you, everyone, for joining on the call. For any further information, kindly get in touch

with our Head of IR, Ravi Kharbanda or Rohit Singh, or Strategic Growth Advisers, our Investor Relations Advisors. Thank you very much, and have a good day ahead. Happy to address any queries further, if anyone of you have, please contact Ravi for that. Thank you. Thanks.

Call: May 2026

Date: 22nd May 2026

To
Secretary
Listing Department

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Department of Corporate Services
Phiroze Jeejeebhoy Towers Dalal Street, Mumbai –
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Secretary
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Complex, Bandra (E) Mumbai – 400 051
Scrip Code : 540902
ISIN : INE371P01015 Symbol : AMBER
ISIN : INE371P01015

Subject: Transcript of Earnings Call held for discussion on Audited Financial Results (Standalone and Consolidated) of the Company for the fourth quarter and financial year ended 31st March 2026 ("Q4 & FY26")

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the Earnings Call held on Monday, 18th May 2026 at 09:30 A.M. IST with investors and analysts.

The call was conducted to discuss the Audited Financial Results (Standalone and Consolidated) of the Company for the fourth quarter and financial year ended 31st March 2026 ("Q4 & FY26").

The transcript is also being uploaded on the Company's website and will be accessible at:
<https://www.ir.ambergrouppindia.com/news-events/investor-events/>.

You are requested to take the same on record.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Ya adav)
Company Secretary and Compliance Officer
Membership No. : A30322

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"Amber Enterprises India Limited
Q4 & FY '26 Earnings Conference Call "
May 18, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 18th May 2026 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN , CEO,
AND WHOLE -TIME DIRECTOR
MR. DALJIT SINGH – MANAGING DIRECTOR
MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL
OFFICER
MR. SACHIN GUPTA – WHOLE -TIME DIRECTOR
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ELECTRONICS
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Moderator: Ladies and gentlemen, good day, welcome to the Q4 and FY 2026 Earnings Conference Call of Amber Enterprises India Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Jasbir Singh, Executive Chairman, CEO, and Whole Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.

Jasbir Singh : Hello. Good morning, everybody. On the call today, I'm joined by Mr. Daljit Singh, our Managing Director; Mr. Sudhir Goyal , Group CFO; Mr. Sanjay Arora, Whole -Time Director of ILJIN Electronics; and Mr. Sachin Gupta:, Whole -Time Director of Amber. We have uploaded our presentation on the exchanges, and I hope everyone had an opportunity to go through the same.

I'm pleased to report FY '26 has been a remarkable year for the company as our consolidated revenue surpassed INR 12,000 crore s milestone despite the RAC industry witnessed a challenging year on the account of weather conditions. While Amber Group demonstrated resilience with growth driven by all 3 of its diversified divisions and each engine propelling the growth forward.

Let me reflect briefly on the strategic initiatives taken in Electronic division during the year. We strengthened the volume and value play by expanding both horizontally and vertically through our partnerships with Power -One, Unitronics and Shogini. On th e expansion front, we have got more than INR4,500 crores total investment approvals under ECMS for Ascent -K Circuit in Noida for HDI PCB, along with Ascent Circuits in Hosur and Shogini in Pune for multilayer PCB applications.

On the way forward, Ascent -K Circuits, HDI PCB manufacturing facility is set to commence its construction by June of '26. With trial production expected by quarter 3 FY '28, this will be a state-of-the-art facility strategically located near new Noida Airp ort.

The bare PCB business collectively with Ascent, Shogini and Ascent -K is well positioned to emerge as India's largest and most comprehensive PCB manufacturer, offering solutions from single -layer PCBs to advanced HDI products. This reinforces our long - term commitment to strengthening India's 'Atmanirbharta ' in electronics manufacturing ecosystem. Further, strengthening our foothold in the promising and fast -growing industrial automation space, we have now increased our stake in Unitronics , Israel to 50.4%, achieving the majority ownership. Switching to performance. The consolidated revenue of Amber grew by 22%, reaching INR12,186 crores for the year and recorded operating EBITDA of INR970 crores with growth of 22%. Adjusted PAT stood at INR338 crores, recording a growth of 22% over previous year.

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Let me now take you through the divisional performances. Firstly, on Consumer Durable division. Owing to weather conditions, room AC industry has remained largely flattish during the year. In line with our guidance, the division outperformed the industry, recording a growth of 14% over previous year. The performance is driven by a diversified product portfolio, deepening of wallet share and continued expansion of our product offerings. Further, considering the robust growth potential in room AC industry, we have augmented our RAC production capacity at Sri City in South India. On inventory front, considering the geopolitical uncertainty,

we have proactively built inventory to mitigate for any supply chain risk.

Coming to our Electronics division. The division continues its strong growth momentum in FY '26 with revenue

of INR3,268 crores, reflecting a growth of 49% year -on-year basis, driven by strong PCBA business, along with bare PCB business and addition of new businesses. The division reported operating EBITDA of INR287 crores with growth of 89% . Continuing the strong growth momentum, this division is expected to grow by around 40% in FY '27.

Coming to Railway division. This division delivered a strong growth of 19% revenue during FY '26 and operating EBITDA grew by 8%, supported by increased offtake driven by metro, railway and defense solutions. On the expansion front, Sidwal's Greenfield facility of HVAC, Pantry, Doors and Gangways in Faridabad is now ready and trial production is underway, and commercial production is expected to begin from current quarter, backed by strong order book visibility of INR2,600 crores plus and product portfolio expansion, we remain optimistic of division's growth of 30% to 35% for both FY '27 and FY '28.

As we look ahead, FY '27 holds the promise of strong growth momentum. However, on the margins front, prevailing high commodity prices, currency depreciation and minimum wage revision in UP and Haryana poses headwinds in Consumer Durable and Electronic division. For bare PCB businesses, there has been increase in input cost of copper clad laminate. Prices has increased by more than 60% in last 1 year and still increasing.

Gold prices have also increased by approximately 60% in last 1 year and prices still continue to increase. On the Railway division side, the Indian railway contracts are fixed price contracts, whereas the metro project contracts are the pass on mechanism is there.

To sum up, we expect a margin pressure of 50 to 100 bps at consolidated level, which is of temporary in nature and expected to normalize as macro environment improves.

Now let me hand over to Sudhir Goyal, our CFO, for margin -- financial highlights.

Sudhir Goyal: Hi. Good morning, everyone. Let me take you through the consolidated financial highlights, starting with the full year performance. Revenue for financial year '26 increased to INR12,186 crores compared to INR9,973 crores in the previous year, recording a growth of 22%. Operating EBITDA increased to INR970 crores against INR796 crores, reflecting a growth of 22% year -on-year. For clarification, operating EBITDA is before impact of ESOP expenses and other nonoperating income and expenses.

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Adjusted PAT for the year stood at INR338 crores against adjusted PAT of INR277 crores in financial year '25, reflecting a growth of 22%. Adjusted PAT is prior to the exceptional one-off impairment of investment in Shivalik and share of loss of Shivalik JV amounting to INR112 crores in financial year '26 and INR26 crores in financial year '25, whereas it's after considering the one-off provision of INR9 crores of new labor code and other JV losses of INR8 crores. Coming to the quarterly performance for quarter 4 financial year '26, we clocked a consolidated revenue of INR4,148 crores, up by 10% over last year. We recorded quarterly operating EBITDA of INR362 crores, a growth of 15% year -on-year, adjusted PAT for the quarter stood at INR162 crores versus INR128 crores last year, reflecting a growth of 27%.

While there was no adjustment of loss of JV on account of Shivalik in quarter 4 financial year '26, whereas quarter 4 '25 we adjusted back for loss of INR9 crores. Further to clarify, in quarter 4, share of loss of Shivalik JV is INR64 crores from 1st January '26 till 30th March '26, the date of sale of Shivalik shares.

Since we have already impaired investment to exceptional items in quarter 3, accordingly, we have reversed the impairment of INR64 crores as exceptional item and recorded it as a loss from JV of INR64 crores. Importantly, there is no net impact on the P&L in quarter 4 on account of Shivalik as the reversal of the exceptionio

nal item and the recognition of the JV loss offset each

other. Further going forward, there won't be any impact of Shivalik in our financials.

Now let me take you through the full year divisional performance overview. Firstly, revenue and operating EBITDA details of the divisional performance are not comparable with the published segmental results. Starting with the Consumer Durable division. The Consumer Durable division reported revenue of INR8,383 crores in financial year '26 compared to INR7,329 crores in FY '25, reflecting a growth of 14% year -on-year. Operating EBITDA for the year increased by 6% year-on-year and stood at INR593 crores compared to INR562 crores in financial year '25.

Coming to Electronic division performance. Revenue for financial year '26 increased to INR3,268 crores compared to INR2,194 crores in financial year '25, reflecting a strong growth of 49% year -on-year, driven by strong PCB A business along with bare PCB and the addition of new businesses.

Please note, we acquired Power -One Microsystems in August, Unitronics in October and Shogini in December. Hence, the consolidated financials include performance of these 3 entities for partial period only. Operating EBITDA for the year recorded growth of 8.9% year-on-year and stood at INR287 crores compared to INR151 crores in financial year '25.

Moving to Railway Systems and Defense divisional performance. The revenue for financial year '26 increased to INR535 crores compared to INR450 crores in financial year '25, reflecting a growth of 19% year-on-year and the resulting operating EBITDA stood at INR90 crores, a growth of 8% year-on-year. The division is expected to deliver 30% to 35% revenue growth in FY '27.

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On the balance sheet front, net debt stood at INR511 crores as of March '26 against INR780 crores in March '25. Our net working capital days stood at 29 days as of March '26 compared to 9 days in March '25. Please note that the net working capital days calculation is considering acceptances as part of trade payables. The increase in working capital days was primarily driven by proactive inventory buildup considering the supply chain disruption from geopolitical uncertainties.

On the incentive front, we have received a PLI amounting amount of INR49.5 crores in April pertaining to financial year '25. In the current year, we expect to receive INR78 crores under the PLI scheme for the financial year '26.

Thank you. Now I request the operator to please open the floor for Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Our first question comes from the line of Ankur with HDFC Life.

Ankur: Hi. Good morning. Two questions. One on the RAC side Jasbir ji, how do you see the industry volume growth given whatever we've seen. It's been kind of some heat waves, the rainfall in the beginning of the season in April. Things seem to be getting better as we get into May. So overall, if you could just help us both for Q1 and also for the full year, what is that the industry growth could be? And more importantly, how is Amber kind of seeing growth for this year? That's number one.

Number two, on the margin front, as you said, there could be an impact of 50 to 100 basis. If you could just try and help us understand which segments would see most of these pressures and some guidance there on the margin front across segments, if possible? Thanks

Jasbir Singh: Good morning, Ankur. I'll ask Sachin to reply to your first question, and then I'll answer the second question. Sachin, over to you.

Sachin Gupta: Yes, Ankurji, so coming to the volume side, obviously '25-'26, as everyone knows, the quarter 1 and quarter 2 were very, very flattish or they were like down by 30%. But quarter 3 and quarter 4 saw the recovery. So the complete year is probably on a flattish side. But the qu

arter 1 has

started at a very positive note for '26-'27. So initial 10 days of April were very sluggish because of the rain and all that. But since 12th April, you can see that the South, West and North all have kicked in.

So the heat is already very high in the North. So the demand is good. Against last year because the base was very weak, the industry expects to grow by somewhere around 20% in quarter 1. On the complete year side, we are estimating a growth of somewhere around 12% to 13% on the complete year.

Ankur: In Volumes, okay. And price hikes should be another 10%, 12%. Is that fair?

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Sachin Gupta: So price hike versus last year. So there were 2 incrementals. One was in the month of January because of the star rating change. One is in the month of April, majorly driven because of the commodity increase. So both together, we can say that the price increase is somewhere around 14% versus last year.

Jasbir Singh: And Ankur, on the second question on the margin side, as explained in my commentary, there are 3, 4 forces which are in play right now. I would like to a little give more brief on those forces.

Basically, first factor is the minimum wage increase, which happened of 35% in Haryana, which led to riots in Noida and UP government also in turn increased minimum wages to about 22%.

And then other states are also now looking to increase. So that is one part.

Second is the commodities like copper clad laminate, the gold, which we use in PCB business.

And what we have seen in the PCB front is in Amber, we are Tier 1. So in Tier 1, we directly deal with the customers, and we can increase the pass on or reduction of commodity and currency

risk within a quarter 1 -- at a quarterly lag basis. But in the PCB business, we are Tier 2. We don't supply directly to Maruti or Hyundai, we supply to Tier 1 guys, and that's where the inventory has to be taken care at 2 levels. And hence, the lag in the PCB business to increase the cost is about 2 quarters. So this has been our learning in last 1 year as far as the PCB is concerned. On Indian Railway, contracts are fixed term contracts. They don't negotiate because these are tender documents. But whereas other contracts like defense contracts or telecom contracts or the data center air conditioning contracts, which are now getting signed, those are the contracts which have gotten pass on through.

And that's the reason why we gave just update to everybody that this is temporary, of course. You would have seen in last 7 years, we have been able to pass on, and we will continue to pass on. But since it is momentary, but we thought that we should -- we should be -- it's our duty to inform everybody that next 1 or 2 quarters should be -- you should see this hit coming in.

Ankur: Understood. Okay. Thank you so much. All the best.

Jasbir Singh: Thank you.

Moderator: The next question comes from the line of Nattasha Jain with Phillip Capital. Please go ahead.

Nattasha Jain: Thanks for the opportunity and good morning gentlemen. I just have one question. So recently, there was a news article that government has imposed import restriction on RAC compressors and other appliance compressors. So sir, could you help us understand the industry dynamics, what is the manufacturing capacity in India? How much Amber as a company manufactures? And do you think this and next year could see some pain in terms of shortage there?

Jasbir Singh: So Nattasha, basically, there are room AC category of compressors required 2 tonne and below compressors, whereas commercial air conditioners industry require 2 tonne and above compressors. So there are 2 categories of compressors. And then the third compressor which Amber Enterprises India Limited

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kicks in is in for refrigerators, right? We, at Amber, we are not producing or manufa

cturing

compressors. We buy compressors from outside. We have a long-term agreement with GMCC, who is supporting us on the compressor, and we also buy from other manufacturers like LG and other compressor manufacturers. So we don't see any shortages on the compressor front. But to just give a brief on quality control order, which was in the news. So there were quality control orders imposed on the compressor industry, and we have seen because of the production-linked incentive scheme, 5 investments have kicked in, in India in the last 3 years which is basically LG has put up a plant, Daikin has put up a plant. Mitsubishi has put up a plant. GMCC has increased its capacity and Highly is also thinking of increasing its capacity. So these are 5 manufacturers who are catering to room AC industry at the moment.

Whereas coming to commercial air conditioner division, there are companies like Copeland or Danfoss who are manufacturing compressors for those category of compressors. And you don't need only 2 tonnes, but you need 3 tonne, 4 tonne, 7.5 tonne, 5 tonne, 8 tonne, 11 tonne, 12-tonne capacities of compressors. So right now, the manufacturing capacities, which have been built in country are below 2 tonne.

And that's why the quality control order says that, but there is still a shortage in terms of the capacity built up versus the growth in the country for the room AC. And that's the reason why government has allowed to import 30% of last year imported volumes to cater to the shortage. Coming on the 2-tonne front, that they have extended it for 1 year. So the complete compressors can be imported from outside India because right now, we don't see any big capacity coming up for the commercial air conditioner sector.

Then come to refrigerator compressor model. I mean, there are some very specific compressors, which are not getting manufactured here just like dispensers and other categories of refrigeration compressors. But on an overall basis, there looks to be adequate capacity. But still some industry players feel that some particular compressors are of shortage. And hence, the QCO order was released to clarify and extend the imports. I believe that the way things are moving, we will see that further capacity increases will also come from new players also and existing players will also expand. So we don't see any big problem coming out of this place because of compressors.

Nattasha Jain: And just one follow-up here. So can we say at least for this calendar year or rather FY '27, there will still be a shortage of about 40% given industry will grow at 12% in terms of volume?

Jasbir Singh: No, we don't think so because if you map each and every manufacturer's capacity versus the requirement in the industry, looking at a CAGR of about 13% to 15% growth. I believe it is adequately placed. The capacities are adequate enough. I mean, of course, there is -- the shortage part has been addressed by the 30% allowance of import of compressors below 2 tonnes. So that bridges the gap.

Nattasha Jain: Understood. Thank you so much sir and all the best.

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Jasbir Singh: Thank you.

Moderator: The next question comes from the line of Sameet Sinha with Macquarie. Please go ahead.

Sameet Sinha: Yes, thank you very much. So 2 questions. First one on the inventory side. So from my understanding, you're talking about inventory that's built up, that's basically the components and the parts, not the finished products because you said the demand was strong. So on that front, by front loading this, what sort of benefit do you think you've got in terms of if you could quantify how much savings would that be in current component prices, that would be appreciated? And my second question is Jasbir, in just in terms of -- whenever we've spoken, you always mentioned how we've seen the progression about going towards high

er -margin businesses. Does

that still stand? Or would you think at this point, you'd be open to going towards high volume, low margin, but high ROCE business, if you can talk about that? Thank you.

Jasbir Singh: So coming on the first question on the inventory buildup, yes, we proactively increased our inventory level looking into the supply chain constraints. And we are not getting a very big advantage on the pricing side, but we are getting advantage on the supply side that we are able to fulfill our contracts on a timely basis to each and every customer.

As far as our endeavor on going towards the higher business model goes, I'll just give you a brief of what we have done in electronics. We had acquired ILJIN in 2018 when this was a INR300 crore company with about 3% of EBITDA. Now this last year, we have crossed about -- close to about 8.8% of EBITDA in the Electronics division, and we have crossed INR3,200 crores of top line. We expect a 40% growth while getting towards -- closer towards a double-digit EBITDA numbers.

So our endeavor on going towards the value side of the businesses is because in B2B business, what we are trying to attempt is we are trying to balance the left and right. So left side is the volume side business which are equally important to bring scale and to have a leverage on the purchase side. On the value side, there are more sticky businesses.

There are entry barriers in those businesses like industrial electronics, industry automation electronics, power electronics or aerospace and defense going forward, medical electronics.

These are more sticky businesses, more entry barriers and high -margin businesses. So we will continue to balance both volume and value play while attempting to build a very strong diversified B2B company.

On the Railway side, also, we are doing the same things. We started with small company, INR157 crores with about 13% EBITDA. Now EBITDA's are more about 17%, 18% type. And we are growing in that on more value -oriented products, we've gone into metro side. We've gone into doors and gangways. We've deep dive more into the BoM of railways. And now we are developing data center cooling solutions. We've grabbed almost 4 customers there.

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And we've already executed 3 projects, very marquee projects in India on the data center in rack and in row cooling side. So those are all value propositions which we are doing. But as a B2B company, there are 2 pulses which we feel. The 2 pulses is basically scale and second is efficiency. And the scale team is responsible to balance volume and value play. While the efficiency teams are the operational teams, which have to bring in efficiency on the plant side, on the purchasing side, on the R&D side and so on and so forth.

Sameet Sinha: Got it. Thank you.

Moderator: Thank you. Our next question comes from Dhruv Jain with Ambit Capital. Please go ahead.

Dhruv Jain: Thanks for the opportunity. My first question is on capex. So in last quarter you had said that the capex would be about INR800 crores, but this number has been much higher. So just wanted to get a sense that is it some front end of capex that you've done and how should we look at FY '27 capex also?

Sudhir Goyal: Yes, hi Dhruv. This is Sudhir. So rightly said that there is some front ending of capex. If you see our overall capex out of the overall capex, capitalized capex is only INR550 crores. The balance is under CWIP, which is under process and which will get operational in the current financial year. So the overall capex is around INR1070 crores.

Dhruv Jain: Okay. So how should we think about FY '27 capex then?

Sudhir Goyal: So FY '27, we are expecting that one is Ascent and one is the other than Ascent. Ascent will be around INR1200-odd crores, including the capitalized portion out of this INR547 crores. And apart from that,

there will be around INR700 crores to INR800 crores capex in all the other entities put together.

Jasbir Singh: See Dhruv, I'll add to what Sudhir has answered. These are all asset-heavy businesses where the capex is going, largely the printed circuit boards. This is exactly like OSAT and ATMP business where asset turns are about 0.8 to 1x. But what we are looking at as a team is the net capex, which we'll end up doing after deducting the subsidies from government, both center and state. So in this case, like Ascent -K Circuit, we'll be getting about 48% on plant and machinery back from -- through ECMS scheme.

And we have negotiated 42% incentives on building plant and machinery from UP government. But this will come with a lag. First, we have to invest and then we have to apply it and it will come in 5 to 6 years. But if we have to build self-resilient, self-reliant, I would say, electronic component ecosystem, these asset-heavy businesses are good to have, good ROCE business on a long-term basis, and we are taking a very cautious call to develop this.

It's an import substitution story for us, and it's -- we have already taken leadership in the country in the PCB sector, and we want to continue to maintain that through joint ventures as well as

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through our collaborative approach, what we are doing. We believe that I would request all of you to see the net capex at the end of the year.

Dhruv Jain: Got it, sir. And sir, the second question is on EMS. So this quarter, if we strip off the acquisition, growth seems to be undervalued. So what is -- just in connection to that, the 40% growth guidance that you have given, how should we think of organic growth and growth coming through the various acquisitions?

Jasbir Singh: Dhruv, so there was 2 customers who shifted from purchasing agreement to job work agreements. So that's the reason on the top line side, you would have seen that it's organic expansion is looking a little subdued. But on the margin side, if you have seen, this quarter has delivered 10.8% margin. So we are pretty much on line to deliver what we have. In future also, this kind of shifts can happen.

We don't control what customer wishes from us. We serve them in whatever shape and form they want us to serve in case of subassemblies or components or just job work basis or this keep on changing with the management changes. But as given the guidance, we are very hopeful looking into the order book right now for the whole electronic division, we are positive, very confident to deliver about 40% of growth this year.

Dhruv Jain: And sir, what would be the split of organic and acquisition....

Jasbir Singh: Everything is organic because we've already acquired

Dhruv Jain: Thanks a lot and all the best.

Jasbir Singh: Thank you.

Moderator: Our next question comes from Praveen Sahay with PL Capital. Please go ahead.

Praveen Sahay: Yes, thank you for opportunity. Sir, my first question is a clarification on the CD consumer durable segment. In that you had given 47% of your revenue for FY '26 comes from the RAC CBU. So how is the growth? Because if I look at the 47% of our total revenue, it gives me around 33% of growth, so how that's a number to look at? Is that the full complete built-up unit has grown faster than the component? Or is more on the realization front growth is there? Or how is the volume? Can you just give us some detail on that?

Jasbir Singh: So this keeps on changing because sometimes customer wants us full boxes. Sometimes they want semi-knockdown conditions and sometimes only the components. So it varies from customer to customer and quarter-to-quarter, very difficult. But if you see the trajectory and the history, we were about 80% banking on finished goods when we got listed in FY '18. Now despite the growth in the top line side on the consol

basis, the whole FG has come down to as

low as maybe 40% or something around that. So -- and it's basically -- Sachin, you would like to add something?

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Sachin Gupta: Yes. So basically in '25-'26, as you are saying that there is an impact of the realization. So the contribution has gone up. So it's not because of the realization, it is majorly because of the conversion of the gas charging customers to the ODM solutions. So that we have been updating in all our quarterly calls. So we like onboarded them in '24-'25, but that was like in the last quarter. So now '25-'26, it has been for the whole year. So the gas charging customers converted to the ODM, that is why the finished good contribution has come.

Praveen Sahay: Okay. Got it, sir. And second question, sir, related to the electronics segment, where you have

now consolidated Unitronics as well. So now if you can give us some color on how is the -- because the Shogini and the Ascent is also there, how is the mix of P CB versus the PCBA segment?

Jasbir Singh: So PCBA is growing. I mean, out of, I think, INR3,268 crores, which we have delivered. PCBA, how much is this? Okay. PCBA is INR2,281 crores, almost INR2,300 crores and then total on the other side is about INR596 crores, which is Power -One, Unitronics and Shogini and Ascent clocks crossed INR402 crores. So almost about INR1,000 crores is the other, out of which if you see Shogini plus PCB will be about INR500 crores -- around INR600 crores is PCB. So INR2,200 crores is organic PCBA, around INR600 crores is PCB and remaining is Power Electronics and Industrial Automation electronics.

Praveen Sahay: Any indication on the margin front for both the segments, PCB and PCBA ?

Jasbir Singh: So PCB -- in PCBA, we are at about 5% , in PCB, we are at about 12%, 13%. This generally business is about 16%, 17% business, but because of CCL and because of gold prices and currency, that is, but they are taking price increases from the customer that's underway. We think that by -- from next 2 quarters, we should be able to get it.

We are getting positive responses. As far as Power -One is concerned, it's about 15%. As far as Unitronics is concerned, because it's a listed entity, we cannot tell. I think you can look into -- after 2 weeks once the results are declared . But it's a good positive company which we have added.

Praveen Sahay: Thank you sir and all the best.

Moderator: Thank you. The next question comes from the line of Indrajit Agarwal with CLSA. Please go ahead.

Indrajit Agarwal: Hi. Thanks very much. I have a couple of questions. First, if you can throw some light on the pricing of PCBs, both globally and India, given that the cost inflation would have been felt by everyone across the geographies?

Jasbir Singh: So pricing on PCBs is basically right now, 90% is getting import and 10% is India. But whereas you would have seen that there is an antidumping duty imposed by government to a tune of 30%.

So despite of this commodity increase of CCL and gold has been a global phenomenon. It's not Amber Enterprises India Limited

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particularly to India. So even Chinese import or Taiwanese PCB imports have gone expensive.

So it's just -- and it is from -- up to 6 layers , it is protected through the antidumping duty. So that's why the demand has not shifted from India to China or other nations. It's very much intact.

Indrajit Agarwal: No, my question is, is the price increase that has happened globally and also in India not enough to offset the cost inflation?

Jasbir Singh: See, CCL is continuously increasing. It's touched 60% increase in last 1 year, and you cannot go to customer every time. They have given us improved increases. We have got increases. First -- the first increase, which we got was 2 quarters back, which was about 15%. Then again, a

no other

18% increase we got. But still, there is a remaining percentage of increase because on the other side, the currency is also depreciating. So it's a moving part. So we are standing in front of customers now every quarter, whereas we used to meet them very -- maybe after a year or so, but because of these things, we have started meeting them very often. But we are getting positive responses.

Earlier, when we started asking for price increase, there was a big backlash. There was like a very strong opposition towards this. But then when they started comparing costs from the global suppliers also, they thought that it is better to give increases, and they have started giving increases.

Indrajit Agarwal: Sure. My second question is , if you can talk a little bit more about the key projects in terms of the delays, all those small delays. For example, Ascent as you mentioned, there has been some delay in the multilayer PCB, Korea Circuits and also Yujin JV and Railways . So what is the kind of confidence we have in the time lines now?

Jasbir Singh: So there is no large delay. I mean it's about a delay of a quarter in the construction of Ascent in Hosur. The construction got delayed because there was an issue in the release of consent to establish by pollution department. And that was because of ambiguity of -- due to a Supreme Court guidance, there was some river going off in the diameter of 3.5 kilometers away from this land.

And then Tamil Nadu government was very fast in formalizing a committee, deciding it for us and then giving it up, but it took about 1.5, 2 months for clarification, and that's how the construction got delayed in Ascent. But I think it's moving perfectly fine after that. There's no other further delay we are anticipating. We expect that the trial production will start by Q3 and commercial production will start by February, mid of February of next 2027.

As far as Ascent -K Circuit is concerned, because this was dependent on the ECMS clearance.

Post ECMS clearance, we approached UP government, and they released land parcel to us. It has been registered now finally in our name. Possession has been granted. And the team is right now preparing to get the maps approved. That's why we have mentioned in our commentary that we are going to -- we are thinking of doing a groundbreaking ceremony in the month of June.
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We expect the construction to finish in 15 to 16 months which will start the trial production. We have kept about 3 to 4 months for the trial production. And that's how from quarter 3, quarter 4 onwards of FY '28, we will start the mass production of HDI plant.

As far as Yujin is concerned, there is no delay in Yujin. Yujin factory came up as expected. It's under the RDSO approval. Now approval, as informed earlier in the quarterly calls, it's a process of close to about 12 to 15 months. So that is underway. We have received INR178 crore order book in Yujin for Couplers, and we are now expecting a first order on the Pantographs also. And the first order on the Brakes also has been received, but those approvals will happen from Korea and then move to India once the RDSO approval is done.

Indrajit Agarwal: Thank you so much. If I may squeeze in one more. If you can throw some light on the Sumitronics JV, what is the plan over there and what kind of opportunity?

Jasbir Singh: So there is no Sumitronics JV. There's an alliance which has happened. It's a cooperation agreement with Sumitronics. They want to -- they have large customers on the automobile side, and they want to collaborate with us to participate for the automobile PCBA businesses. And that's the collaboration. So there's no joint venture happening with Sumitronics, but we are excited with this collaboration because it gives us an edge.

We already have an experienced supplier worldwide with us now because

se earlier, we were seeing

that there was large entry barriers for ILJIN to enter because we had -- we did not have a big, I would say, experience in the automobile sector. And that was keeping our customers a little on the side. They were reluctant to onboard us. But now with Sumitronics, that barrier has been broken.

Indrajit Agarwal: That's all from my side. Thank you so much. All the best.

Moderator: The next question comes from the line of Achal Lohade with Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good morning, sir. Thank you for the opportunity. Sir, first, if you could clarify in terms of the growth, you said 40% revenue growth for the electronics business. Is this post the conversion, what you talked about and hence, the growth -- the revenue growth number is weaker. So in that case, could you also clarify the margin for that division? And within that, if you could also clarify if it would be driven by PCBA or PCB business in terms of the margin?

Jasbir Singh: So what conversion are you talking about?

Achal Lohade: The job work what you said ...

Jasbir Singh: Considering the job work change, we are expecting a 40% growth on the top line. And the margins, what we are expecting right now should be in the range of 9.5% to 10% range.

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Achal Lohade: Understood. Number two, in terms of the RAC business, the consumer durables, how do you see the margins there? And is it fair to say that the percentage appears lower because of the price inflation or there is impact in actually rupees per unit margin as well?

Jasbir Singh: So percentage, yes, will look dip because whenever the prices increase happens because now 14%, as Sachin explained, there has been increase of 14% in the finished goods side, whereas we work on the absolute number with our customers. But the real term of real basically impact of commodity currency, we pass on to our customers, and that is happening from last so many years. We have demonstrated it year and year again, which happens on a quarterly lag basis. So whatever changes are happening this month, this quarter will be passed on to the customers for the next quarter. And that's how historically our sector has been.

Achal Lohade: Just to clarify, sir, you mean the rupees per unit margin is intact. Is that fair understanding?

Jasbir Singh: Yes, that's right.

Sudhir Goyal: So in percentage terms, there will be impact because the price increase will increase the finished good price, but whereas we have a fixed price margin per unit. So overall, fixed margin will remain same in terms of value. But in percentage terms, it will look a little less because of the higher base.

Jasbir Singh: So whenever in the past also, whenever commodities have eased off, the percentage has started looking better -- but we don't take credit for that.

Achal Lohade: Fair point, sir. Just a quick clarification. In terms of the non -AC component, how large is that now of the CD business, sir?

Jasbir Singh: So of CD business, it's about 25% right now (Please read it as Non-RAC business forms about 32% of our consolidated revenues). It's also maintaining a good growth, like just PTS has delivered a good growth on the bottom line basis. They are already touched 13% EBITDA now. And our cross flow fan business -- sorry, our other businesses of refrigerator and washing machine, that's also doing fine.

Achal Lohade: Got it. And 47% of the business...

Moderator: Sorry to interrupt, Achal . I request you to rejoin the queue. Our next question comes from the line of Rahul Agarwal with Ikigai Asset Manager Holdings. Please go ahead.

Rahul Agarwal: Hi. Good morning everyone. Thank you so much for the opportunity. Jasbir, just clarifying whatever we have discussed so far, I think for the CD business, we're talking about 25% revenue growth and some bit of percentage margin decline.

On electronics, you already mentioned 40%

growth after the job work adjustment with 9.5%, 10% range. For railways, the growth is about 30%, 35%. Margins you could clarify. We don't know the order book breakdown between Indian Railways and Metro Railways just clarify that.

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And second is a question with Sudhirji. First on capex. My sense is that given where we are right now and whatever capex is spending on the new project side, you should end up spending like INR1,800 crores to INR2,000 crores, assuming the Korea circuit JV capex also comes through . If you could just clarify and you can ignore the capitalization part to it that from a cash flow perspective, INR1,800 crores to INR2,000 crores for fiscal '27 and about INR1,200 crores to INR1,300 crores, '28 based on the current capex pipeline on the new projects. Is that number correct? Those are the 2 questions. Thank you.

Jasbir Singh: So let me answer the first question, and Sudhir will take up for the second one. On the CD front, we have informed that the markets are expecting to grow in about range of 13% to 14% range, and that's how we are also expecting to move in tandem with the markets. It's not 24%, 25%, Rahul. On electronics, you are right, it's -- we expect that post our conversion of job work basis, we expect the number to be around 40% range bound and margins in the range of 9.5% to 10%. In railways, 30 to 35% looks doable if there is no disruption of offtake from Indian Railway and Metro. Currently, it's going smooth, and we don't anticipate at the moment. But in case there is some changes, we will let you know. But the margins in the railway side, we expect in the range of 16% to 17%. So that's how the whole part of it. Now , over to Sudhir.

Sudhir Goyal: Yes. Hi Rahul . So on the capex, yes, we will be doing around INR1,800 crores to INR2,000 crores of overall capex, including Ascent new project, some part of Ascent -K and the other divisions. But from the cash flow perspective, since we have negotiated better terms, long -term terms from the many suppliers of Ascent circuit for PCB, we are expecting that the cash outflow will be much lesser INR1,800 crores to INR2,000 crores, it should be around INR1100 crores to INR1200 crores you can expect from the cash flow perspective.

Rahul Agarwal: Okay. And on fiscal '28, if you have a budget from a cash flow perspective?

Sudhir Goyal: So it will be same because in '28, our new Ascent -K circuit larger capex will happen. There also we'll have a better -- much larger pay terms from the capex suppliers. So you can expect a similar or a little higher around INR1,400 crores, INR1,500 crores of cash outflow for the capex in terms of cash.

Rahul Agarwal: Perfect. Thank you so much and wish you all the best Jasbirji and Sudhirji. Thank you.

Sudhir Goyal: Thank you.

Moderator: Our next question comes from the line of Santhosh Seshadri with Avendus Spark. Please go ahead.

Santhosh Seshadri: Good morning. Thanks for the opportunity. I have a question on net debt position. So , how should we think about our overall gross debt and net debt relative to fourth quarter levels considering the capex spending and maybe the working capital associated with the project ramp -

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up? And what would be the impact of that on interest cost and other income in FY '27? So that's my first question.

Sudhir Goyal: So FY '26, we have reported a net debt of INR511 crores. And looking into the capex, what we are doing and the cash flow, slight increase in the net debt position by year -end. It could be more by INR200 crores to INR300 crores where we'll be generating a cash flow and then we'll be

spending out of that. But cash generation might be a little less than what we are generating from the overall business. So you can expect

around INR700 crores to INR800 crores of net debt by year-end.

Santhosh Seshadri: All right. Thank you very much. And my second question is on the Consumer Durables division. Sorry if this is a repetition. Your earlier commentary suggested 20% growth in first quarter and 12% to 13% percentage growth in FY '27. Just to clarify, is this for the broader industry? Or are we talking specifically about for the consumer durable divisions?

Jasbir Singh: No, we were mentioning about the broader industry trend because post 12th of April, we have seen a positive offtake of goods because of the heat wave in South and West and North. And last year, base was also very less. So -- but quarter 2 and quarter 3 are generally lean quarters for the industry. That's why we expect that the industry will be in the range of 12% to 13% growth phase this year.

Santhosh Seshadri: And for the overall revenue growth for consumer durable business in FY '27?

Jasbir Singh: We should move in tandem with our industry.

Santhosh Seshadri: All right. Thank you very much.

Moderator: Thank you. The next question comes from the line of Nirranish Jain with BNP Paribas . Please go ahead.

Nirranish Jain: Hi sir. Good morning. Sir, my first question is on the noncontrolling interest. Just wanted to check, as per schedule it's written INR1,750 crore fund that we took in has been accounted in the balance sheet. So if you can help us understand that how much percentage stake dilution is being considered already in this NCI? And based on the CCPS conversion, how much could there be further dilution upon the conversion?

Sudhir Goyal: So nothing is being considered as a dilution on CCPS. Nothing -- no dilution has still now happened due to CCPS. It will happen in future based on the future multiple and valuation. So currently, on a conservative side, the auditor has considered the diluted percentage and calculated the NCI. So this is a maximum amount that we have considered looking into the agreement, but this is on the maximum side. It will be much lesser than what the actual conversion will happen in the equity.

Nirranish Jain: And sir, can we get that what's that maximum percentage dilution that the auditors considered?
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Sudhir Goyal: I think they are considered around 30 -odd percent.

Nirranish Jain: Okay. Okay. And sir, secondly, just wanted a clarification on the capex side. So do we expect to receive any capital subsidy also for the next year? Or do we expect it to get it in FY '28 once we commission the Ascent plant?

Sudhir Goyal: So capital subsidy, we have already got in terms of land because land subsidy already taken into consideration, and we got a value at a lesser price at around 25% . And balance CapEx subsidy of building and other capex will come over the period of 5 to 6 years once we start the commercial production. So you can expect the subsidy will start flowing in from next year onwards, like financial year '28 onwards for Ascent .

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we would take that as the last question for today. I would now like to hand the conference over to Mr. Jasbir Singh for the closing remarks.

Jasbir Singh: Thank you, everyone, for joining on the call. For any further information, kindly get in touch with our Head of IR, Mr. Ravi Kharbanda or SGA , our Investor Relations advisors. Thank you very much, and have a good day ahead. In case you have further queries, you can reach out to both the gentlemen. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Amber Enterprises India Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

Date: 25th June 2026

To
Secretary
Listing Department

BSE Limited
Department of Corporate Services
Phiroze Jeejeebhoy Towers Dalal Street, Mumbai –
400 001
To
Secretary
Listing Department

National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G, Bandra Kurla
Complex, Bandra (E) Mumbai – 400 051
Scrip Code : 540902
ISIN : INE371P01015 Symbol : AMBER
ISIN : INE371P01015

Subject: Transcript of Business Update Call held to discuss Company's Manufacturing Collaboration
with Oppo Mobiles India Private Limited

Ref.: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and
Disclosure Requirements) Regulations, 2015, as amended, please find enclosed the transcript of the
Business Update Call held at a shorter notice on Saturday, 20th June 2026 at 10:00 A.M. (IST) with investors
and analysts.

The call was conducted to discuss the Company's manufacturing collaboration with Oppo Mobiles India
Private Limited and to provide relevant business updates in relation to aforesaid collaboration to
investors and analysts.

The transcript is also being uploaded on the Company's website and will be accessible at:
<https://www.ir.ambergrouppindia.com/news-events/investor-events/>.

You are requested to take the same on record.

Thanking You,
Yours faithfully
For Amber Enterprises India Limited

(Konica Ya adav)
Company Secretary and Compliance Officer
Membership No. : A30322

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Business Update Conference Call "
June 20, 202 6

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock
exchange on 20th June 2026 will prevail."

MANAGEMENT : MR. JASBIR SINGH – EXECUTIVE CHAIRMAN , CHIEF
EXECUTIVE OFFICER AND WHOLE -TIME DIRECTOR
MR. DALJIT SINGH – MANAGING DIRECTOR
MR. SUDHIR GOYAL – GROUP CHIEF FINANCIAL
OFFICER
MR. RAVI KHARBANDA – INVESTOR RELATIONS HEAD
MR. ROHIT SINGH - HEAD OF CORPORATE AFFAIRS
SGA – INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to the Conference Call of Amber Enterprises India Limited to discuss the manufacturing collaboration with Oppo Mobiles India Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. I now hand the conference over to Mr. Jasbir Singh, Executive Chairman and CEO and Whole Time Director of Amber Enterprises India Limited. Thank you, and over to you, sir.
Jasbir Singh : Good morning, and thank you all for joining in the call. On the call today, I'm joined by Mr. Daljit Singh, our Managing Director; Mr. Sudhir Goyal, our Group CFO; and Mr. Ravi Kharbanda, our Investor Relations Head.

I trust you have had the opportunity to review our exchange filings. Amber Group has entered into a manufacturing collaboration agreement with Oppo Mobiles India Private Limited, executed on June 18. Oppo's decision to partner with Amber reflects the confidence that a global brand of significant standing has placed in our manufacturing capabilities, quality infrastructure, ability to deliver at scale and operational consistency.

It marks our entry into India's mobile phone market, the second largest mobile phone market in the world, at a particularly compelling juncture, as the Government of India continues to drive domestic value addition and import substitution with renewed intent and policy momentum. This is also fully consistent with our stated strategy of maintaining the right balance between high -margin value -added businesses and asset -light high -volume, low -margin businesses. This collaboration meaningfully diversifies our revenue profile and importantly, reduces the seasonal concentration inherent in our room air conditioner business.

Let me walk you through the key operational parameters of this arrangement.

On the scope, this agreement covers 3 brands, which is Oppo, OnePlus and Realme. Facility side, the manufacturing will be carried out at an existing facility under an sublease arrangement with Oppo India. This structure does not require any Press Note 3 approval.

On the capital outlay, consistent with the asset -light nature of this collaboration, capex requirements are very, very minimal.

On the time line, we expect trial production to commence in quarter 4 of FY '27, with commercial production to start by quarter 1 of FY '28.

On the scale side, we expect to begin with around 8 million units in year 1, followed by a calibrated phase -wise ramp -up. If everything goes as scheduled, we expect to touch the volumes of around 13 million to 15 million in second year of operations.

On value addition side, we will commence with assembly first and SMT operations with a clear road map to progressively deepen our value addition into components such as high -density

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interconnect printed circuit boards and then gradually increase local value addition over next 5 years.

On the margin side, returns will be in line with the industry standards at the commencement with margin improvement anticipated as operating scale and local value addition increases.

Capital efficiency , the business is structurally low on working capital intensity and asset -light in character, both attributes that are conducive to healthy and improving returns on capital employed.

On the path ahead, we view this as the beginning of a longer relationship with Oppo. Together, we will explore additional avenues of collaboration aligned with Government of India's vision

of Atmanirbhar Bharat focusing on increasing local value addition.
This milestone marks a sign

ificant inflection point in Amber's evolution, we began as a predominantly room air conditioner focused company. We have since expanded meaningfully into electronics and railways. And today, we enter the mobile phone segment, one of the highest volume consumer electronics categories in the world. We are energized by the opportunities that this next phase of our growth journey presents for Amber, for our shareholders, and for our partnership with Oppo India.

Now let me hand over to operator to open for Q&A please.

Moderator: Thank you very much. Your first question comes from the line of Sameet Sinha with Macquarie. Please go ahead.

Sameet Sinha: Yes. So a couple of questions there. First is, if you can just talk about the economics of the -- on a per unit basis. Are we talking about you recognizing revenue on a gross basis like an ODM, it seems like it's a manufacturing relationship. So you'll probably recognize revenues on the value addition only. And if you can confirm that?

And the second one is, how does Amber develop the expertise for this? Is this -- as you mentioned, you can sublease the facility from Oppo. Are you going to use their expertise, their people and pay for the opex? I think those are the first 2 questions.

Jasbir Singh: Thank you, Sameet. So first, I'll answer your second question on the capability side. Currently, we are -- at IL JIN, we are already manufacturing 9 million to 10 million of smart watches every year. And we do about more than close to about 15 million of printed circuit board assemblies for various applications. On the bigger boxes side, which is air conditioners, we do about more than 5.5 million boxes every year.

So scales side, assembly side is not a problem at all for the group. But since we will be subleasing the existing facilities, we don't anticipate any issues in going through the learning curve. I think we have kept the first 3 months as the learning curve period. That's why we want to go slow in the quarter 4 of this current year. And commercial production will begin from the quarter 1 of the next year.

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On the commercial arrangement side, there's -- it all depends on Oppo India, whether they want to go for the sale purchase agreement or they want to go for a complete job/work basis. It will completely depend. But the margins are in line to the industry. If we consider minus the PLI part of it, normally, the industry is operating at 1.5% to 2% of EBITDA levels, depending on which model do you make.

So if it is a higher -end model, the EBITDA will be about 1.5%, 1.7%. If it is a lower -end model, the percentage will increase. So we -- the arrangement is on the bottom line side, not on the top line side basically. We have a flexibility on the top line side.

Moderator: Your next question comes from the line of Santhosh Seshadri with Avendus Spark.

Santhosh Seshadri: So my first question is on the PLI opportunity. Since the revised incentive in a potential framework possibly focusing on value addition rather than pure assembly. So what are the focused areas of Amber in backward integration apart from HDI interconnect facility?

Jasbir Singh: Well, it's very early statement to make right now because we don't have even the draft of the second PLI, which is being talked about. So I'll rather restrain commenting on the structure of the PLI, which is coming up until unless there is some kind of a draft notification or some public document available on that. It is being speculated that it is a local value addition.

But in case the local value addition happens, so we are already doing SMT in-house. We are -- we have printed circuit boards with us. And of course, the arrangement is such that we can go for higher value addition. And Oppo India will help us to bring more suppliers to India for other components also going forward.

Santhosh

Seshadri: And my second question is on potential of working with other brands. So since Oppo is part of this BBK Group, so does this open door for working with other brands of BBK Group as well?

Jasbir Singh: Yes. So it covers all the 3 brands, Realme, Oppo and OnePlus.

Santhosh Seshadri: And any possibility of working with Vivo?

Jasbir Singh: Vivo, we don't have any arrangement at the moment. This is our first endeavor to get into the mobile phone manufacturing. I think we will go slow, take baby steps. I think we have a good task of about touching 8 million to 9 million phones in the very first year, taking this number to 14 million, 15 million next year. So once that is achieved, then we'll think about adding any other brands.

Moderator: Your next question comes from the line of Dhruv Jain with Ambit Capital.

Dhruv Jain: Sir, my first question is that to do this arrangement, would you have to look at some other

technical ODM JVs that we've seen in the space over the last 2 or 3 years like Longcheer or do you think that will not be necessary and we closely work with Oppo at this point of time?
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Jasbir Singh: Dhruv, at this moment, we are starting with Oppo India. And we don't have association right now with Longcheer and all. But as Oppo is deeply engraved and embedded in the whole ecosystem of mobile phone and with other projects also. So this arrangement is a long-term arrangement. And of course, we are going to build up on this arrangement as we move forward.

Dhruv Jain: And my second question is on scalability, right? So if you look at the scalability of the phone market, the market's not growing over the last 4 or 5 years now. I know that it's a larger opportunity. But in the past, you've seen that Amber looks at categories which offer a lot of growth. So just want your sense as to what is the scalability beyond the Oppo here because you beat your TAM possibly in the next 2 years?

Jasbir Singh: Dhruv, there are two ways to look at it. One, yes, you are right. I mean, on the volume side, domestic number of phones getting sold in the country are almost the same. But as the average selling price is going up every year, people are moving towards high-end phones. So that's what is driving the replacement market. But what we see as Amber is on the local value addition. So we have just -- the industry is at just 10%, 12% of local value addition right now.

Everybody is doing only assembly part. Some of them are doing assembly plus SMT. We'll start with assembly and SMT and in year 1 -- year 2, sorry, not year 1 -- year 2, we will be adding our HDI whenever HDI plans will be ready. That is our first foray. And then we can take this local value addition to 35% to 40% in the next 5 to 6 years, depending on which category to add. So that is where the endless TAM comes in.

Moderator: The next question comes from the line of Praveen Sahay with PL Capital.

Praveen Sahay: My first question is, as you are targeting nearly around 20% of Oppo India volume, nearly around 8 million to 9 million and you are also talking about the subleasing of their own facility. So how is the capacity? How big is the capacity as the manufacturing facility which you are leasing for?

And secondly, that they've already partnership with some other EMS players. So where you are placing yourself for the way forward, the volume growth or the backward integration in this whole collaboration?

Jasbir Singh: See, we are not disturbing their existing ecosystem with other manufacturers. As far as the catering to 20%, 25% or 30% of Oppo's volume is concerned, they have a high -- very big compound where the manufacturing happens. And the lines are very dedicated. Industrial premises made in a way where easily it can be subleased with the exclusivity arrangements and that is what we are going to do at the moment.

Praveen

Sahay: Okay. Sir, next question I have with Ascent, which you had acquired a remaining stake and also the MD has resigned, who is the owner earlier. So who is now going to head the entire of PCB manufacturing for you? And can you give some way forward how you are looking at because now you are a majority holder there and a lot of capex also you are doing in that particular entity.

So if you can guide

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Jasbir Singh: We have taken over -- earlier, we acquired 60%, now we own 98.5%. Yes, because of the arrangement in the agreement, Mr. Manjunath had to step down because he's no more a shareholder in the Ascent. But we continue to have a good relationship with him. But on the heading side, it will be headed the whole division, PCB division will be headed by Mr. Santosh. He has 25 years experience in the printed circuit board category. He was earlier heading AT&S, which was the earlier, the largest PCB company. Now Amber has become the largest PCB company with Ascent and Shogini in our fold. And he's already with us from last 1 year.

Moderator: Your next question comes from the line of Indrajit A. with CLSA.

Indrajit A: First of all, congratulations on embarking on a new business division. I have a couple of questions. First on how the organization will be structured within our entity? Will it be part of IL JIN or a different entity?

Jasbir Singh: Indrajit, right now, there's a lot of flexibility, but we are -- as we move ahead, we'll give a clarity on that, whether it will come directly under Amber or it will go in IL JIN. At the moment on the face of it because we are doing smart watches, hearable, wearable, it looks that we'll be there. But we will not be able to define it right now because we have other shareholders also in the IL JIN cap table. We'll let you know once the decision is taken before start of the commencement

of operations.

Indrajit A: Sure. That's helpful. My second question is on management bandwidth. So would you have a different team, different CEO heading that business or the head of the hearable, wearable team would actually be heading that?

Jasbir Singh: Certainly, it requires a very dedicated efforts. And certainly, there will be a senior most management dedicated to this sector only because assembly is something which we are definitely starting with, but our aim and our long -term growth is -- goal is to penetrate into the component business of the mobile phone, and that is where the growth and the margins are.

Moderator: Your next question comes from the line of Aniruddha Joshi with ICICI.

Aniruddha Joshi: Yes. Congrats team for the acquisition. Sir, Amber has always worked with high -margin products. So this is probably among the one large product, which is a relatively very low margin. So -- and again, how will be the working capital requirements? What will be the ROCE that can get generated on this business? So if you can share more details on the financial aspect of the acquisition -- of this transaction.

Jasbir Singh: You are right. This is a low -margin business, but very high -volume business, similar to what we do in smartwatches. We took a step up of smartwatches about 4 years back, and now we have reached 1 million watches every year -- sorry, 10 million watches in a year. And -- but we see a very, very good ROCEs. Generally, these are very ROCE accretive. If you take this on a stand -alone basis, I mean, the ROCEs will be more than 30%, 35%.

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But of course, it will add up in the ROCE of full Amber profile. But if we talk about the component side where our goal is the PCB, we work in the range of 15% to 16%. And if you add on other components on the mobile phone ecosystem, there are good decent margins in that whole component ecosystem. And we'll keep on adding. I would just t

ake you back in to what we did in air conditioners. 25 years back when we started air conditioners, we were just giving our sheet metal of air conditioners, then we started assembling air conditioners. Every 3 years, we used to add one component as a backward integration. First, we added heat exchanges.

Second, we added -- after another 3 years, we added injection molding. Th en we acquired a motor company . Then we acquired an inverter PCB board company, then we entered into fans and boards, and we touched about 70% of bill of material. So , our objective is to go gradually - and we will continue to balance the volume and the value play. We are starting with low -margin, high -volume business. But over a period of 5 to 6 years, we'll keep on adding components to increase our margins.

Aniruddha Joshi: Okay. Sure, sir. And the working capital requirements?

Jasbir Singh : It's very, very minimal working capital requirements. Normally, this sector operates on a net -working capital days of almost 4, 5 days, maximum 10 days.

Aniruddha Joshi: Okay, sure, sir. This is very helpful.

Mod erator : Thank you. Your next question comes from the line of Achal Lohade with Nuvama Wealth Management Limited. Please go ahead.

Achal Lohade: Thank you for the opportunity. I think broadly, questions got answered. Just 1 clarification. In terms of the investment, eventually, if everything goes well, what is the kind of investment we are looking at? Is it multiples of INR1,000 crores? Or it is more of INR200 crores eventually, let's say, in 4, 5 years' time, assuming a picture -perfect scenario?

Jasbir Singh : To start with on the assembly and SMT, we are not putting in any capex. It will be minimum. It will be below INR50 crores to start with. Once we touch 14 million to 15 million number, then we'll add the component side. On components side, it depends on which category of components you want to get into. So, if you want to get into camera modules or you want to get in to display or you want to get into metal casings or there are so many components or we are already putting up capex in the printed circuit boards. So , there will be no duplication of the capex. So , at the moment, I think very, very minimal capex will go up.

Achal Lohade: Got it. And like you said, we haven't decided yet in terms of which segment it will be part of, and whether we'll recognize on gross or just the job work charges. Have I understood, right?

Jasbir Singh : Yes, that's right. Because it will depend on Oppo India's team. Some of the models may come on the gross side and some of the models may come on the opposite . But the bottom line is going to be intact for whichever -- on the absolute number.

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Achal Lohade: Thank you so much for the clarification. Thank you.

Mod erator Thank you. The next question comes from the line of Aditya with Investec. Please go ahead.

Aditya : Hi, good morning Jasbir ji. My first question is on the ramp -up that you spoke about. So , FY28 as we start the commercial production, should we anticipate 8 million units to be getting done in that particular year? Or is it like...

Jasbir Singh : That's right, 8 million to 9 million, but you can consider on a conservative side, 8 million number.

Aditya: And by FY29 or FY30, it should be heading 12 million to 15 million unit target.

Jasbir Singh That's right. Maybe more, but we are taking a conservative number of about 14 million to 15 million number.

Aditya: Understood, sir. And you also spoke about that existing relationships of Oppo will not be changed. So does that mean that all the EMS companies that Oppo is currently working with it continues to work with those companies and -- but possibly, there will be no ramp -up in those relationships.

Jasbir Singh : See, we have requested them not to give others business to us. That is not Amber's model.

So , I

believe it will get -- it will continue in the shape and form, which is happening right now. But there is something to look at there is that because we are getting into more into component side going longer basis. So , we may end up supplying them components.

Aditya: Understood. Understood. And you mentioned that besides PCB, of course, we will be doing straight away, but besides PCB you'll be mainly focusing on domestic value addition. Is it likely to be done in -house, things like camera modules, chargers, display mod ules? Or is it that we'd be open to be having other suppliers applying to us. Any thoughts that you have given to us?

Jasbir Singh : Aditya to begin with, you see we don't want to open up too many fronts because this is a new product category for us. So first 2 years we'll focus on SMT and assembly. Second year onwards we will add HDI. After third year, we will add another component. So , I think we still have to make a road map. But our objective is how to bring in the value addition to about 30% to 35% in over the next to 5 to 6 years. So, it will -- that road map is still to be formalized.

Aditya: Understood, sir. That's a very inspiring development. Congratulations.

Jasbir Singh: Thank you.

Mod erator Thank you. Ladies and gentlemen, due to time constraints, we will take this as a last question for today. I now hand the conference over to the Jasbir Singh for closing comments.

Jasbir Singh : Thank you, everyone, for joining on the call. And I think we've been able to answer all your queries. But in case still if you have any further information or any query, please contact our Amber Enterprises India Limited

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Head of IR, Ravi or Rohit, and Strategic Growth Advisors , SGA, our Investor Relations Advisors . Thank you, and have a great day ahead. Thank you all.

Mod erator : Ladies and gentlemen, on behalf of Amber Enterprises India Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines. Thank you.